

Business Relationship Management

Business Relationship Management

Carol Nixon

ETP
ED - TECH PRESS
www.edtechpress.co.uk



Published by ED-Tech Press,
54 Sun Street, Waltham Abbey Essex,
United Kingdom, EN9 1EJ

© 2025 by ED-Tech Press

Business Relationship Management
Carol Nixon

Includes bibliographical references and index.
ISBN 978-1-83535-723-1

All rights reserved. No part of this publication may be reproduced, stored in retrieval system, or transmitted in any form or by any means, electronic, mechanical, photocopying, recording or otherwise, without either the prior written permission of the publisher or a license permitting restricted copying in the United Kingdom issued by the Copyright Licensing Agency Ltd., Saffron House, 6-10 Kirby Street, London EC1N 8TS.

Trademark Notice: All trademarks used herein are the property of their respective owners. The use of any trademark in this text does not vest in the author or publisher any trademark ownership rights in such trademarks, nor does the use of such trademarks imply any affiliation with or endorsement of this book by such owners.

Unless otherwise indicated herein, any third-party trademarks that may appear in this work are the property of their respective owners and any references to third-party trademarks, logos or other trade dress are for demonstrative or descriptive purposes only. Such references are not intended to imply any sponsorship, endorsement, authorization, or promotion of ED-Tech products by the owners of such marks, or any relationship between the owner and ED-Tech Press or its affiliates, authors, licensees or distributors.

Printed and bound in U.K.

British Library Cataloguing in Publication Data.
A catalogue record for this book is available from the British Library.

For more information regarding ED-Tech Press and its products, please visit the publisher's website
www.edtechpress.co.uk

TABLE OF CONTENTS

Preface

vii

Chapter 1	Business Management	1
	Introduction	1
	The Process of Management	3
	Significance of Management	3
	Managerial Roles (Mintzberg)	4
	Functional areas of management	9
	Development of Management Thought	10
	Classical and Neo-Classical Theories of Management	17
	Contingency Approach to Management	20
	Bringing the Marketing Mix Together	22
	Appropriate Software within a KMS Environment	25
	The Marketing Mix	28
	Software Useful in Knowledge Management Systems	34
Chapter 2	Customer Relationship Management.....	44
	Related Trends	44
Chapter 3	Business Relationship in Marketing Management	90
	Tips and Tools: Business Relationships	90
Chapter 4	Business Process Management.....	123
	Process Design	123
	Decision Making in Business and Management	128

Business Continuity Planning	136
Business and Industry	140
Development Strategies for Ecotourism Accommodation	144
Information Management Concepts	151
International Tourism Business	154
Chapter 5 Business Management and Consumer Relationship System	165
Customer Experience	166
Consumer Market	168
Chapter 6 E-Business Strategy Management	211
Organizational and Management Change in the E-Business Era	211
Presence	215
E-Business Strategy	217
Strategies for the Future	222
The Electronic Information Environment	224
E-Commerce Systems	231
E-commerce Contracts	235
Practices in E-Commerce	241
Measuring E-Commerce	244
Chapter 7 Employment Relations and Performance Management	252
Managing Employee Performance – The Cycle	252
Phase I: Planning	253
Employee Relationships in a Recession	254
Employment Contract	255
Performance Objectives Management	262
Globalization and Employment Relations	270
Culture and Social Considerations	271
Working Poor	272
Conceptual Framework of Employment Relations	276
<i>Bibliography</i>	285
<i>Index</i>	287

PREFACE

Businesses must establish and maintain good relationships with their business partners and their customers in order to succeed. This is done through relationship management. Relationship management involves strategies to build client support for a business and its offerings, and increase brand loyalty. Building a relationship most often occurs at the customer level, but it is valuable between businesses as well.

Building a relationship with clients yields rewards for all parties. Customers who feel that a company is responsive to their needs likely will continue to use that company's products and services. The same principle applies to relationships between businesses. Put simply, business partners are more likely to be loyal when there's a better connection between the two. A company's reputation for responsiveness and generous post-sales involvement can often stimulate new sales. Maintaining communication with consumers lets a company identify potential problems before they come to a costly head.

Business-to-customer or B2C businesses rely on customer relationship management (CRM) tools to build a solid rapport with their customers. CRM involves a significant amount of data and sales analysis as it seeks to understand market trends, the economic landscape, and consumer tastes. CRM also can include marketing techniques and a post-sales support program.

Business relationship managers perform various responsibilities depending on the needs of their company. Businesses in different industries may target different types of clients, so the daily duties of a business relationship manager can vary based on their place of employment and field of work. For example, some businesses serve customers in the general population, while others primarily work with other businesses. A business relationship manager understands the key clients of their company and works with those clients to understand how the company can best serve them. Additionally, business managers often collaborate

with business executives to make important strategic decisions. Business relationship managers play a vital organizational role, serving as a liaison between customers and upper management, executives and stakeholders. Professionals who fill this role handle customer-facing processes and initiatives and help inform future business strategies. Learning the skills to be a business relationship manager can help you adopt a customer-centric approach that may result in higher rates of customer retention and satisfaction.

The Practice of Business Relationship Management embodies a set of competencies (e.g. knowledge, skills, and behaviors) to foster an effective business value-producing relationship between a service provider and its business partners. These competencies can be leveraged through organizational roles (e.g. in an IT organization, the CIO typically has a role of BRM for the enterprise), a discipline (e.g. all business partner facing service provider roles should be skilled in Business Relationship Management), and an organizational capability (e.g. a service provider organization should be effective in shaping and channeling demand to the highest business value opportunities).

A business relationship manager is a professional who monitors customer satisfaction and works to improve a business' relationship with its key clients. When businesses develop stable relationships with their target customers, they can build customer loyalty, generate a positive reputation and increase their organization's earnings. Customers who feel satisfied by their relationships with a business are more likely to make repeat purchases from that business and recommend it to others. Since customer satisfaction is central to many business models, companies often hire business relationship managers to track, analyze and improve customer relations.

This book is vital reading for students of business marketing, purchasing, business networks and relationship management at the MBA and final year undergraduate level. It will also be a valuable resource for all managers operating in business markets, including those in purchasing, marketing, technical development and distribution.

– Carol Nixon

1

Business Management

INTRODUCTION

Today, the success of a typical company, depends on its ability to anticipate changes, reduce product life cycles, adjust to changing government regulations, compete with companies in every corner of the globe, and transform ever-increasing amounts of data into information and, in turn, into knowledge that can be acted upon. In addition, success depends on the ability of employees to learn to work in new and different ways, including acting on acquired knowledge that can change over time. All of these activities centre around a company's declining profit margins.

In light of this changing business environment, it would be helpful initially to explore the need to rethink a company's operations as a way of capitalizing on knowledge. Similarly, the different levels of knowledge acquisition and usage, in knowledge management systems, need to be examined as they affect company personnel along with the types of problems that can use knowledge in their solutions.

The central focus of the chapter is on the essentials of knowledge management systems (KMSs), which provide a basis for their underlying structure.

They were noted briefly in the prior chapter and include:

- The utilization of *problem finding* and its related techniques to get a grasp on present and anticipated problems and to identify future opportunities that are tied in with a company's critical success factors.
- A *knowledge infrastructure* that is related to very large databases, data marts, data warehouses, and knowledge bases.

- The employment of *network computing* that is linked with a company's intranets and extranets as well as the World Wide Web.
- A wide range of *appropriate software* that includes knowledge extraction tools, knowledge management software, knowledge management intranet search engines, knowledge discovery or data mining software, and OLAP and statistical analysis software.

Each of these areas is covered in more detail in this chapter and subsequent chapters of the text.

CAPITALIZING ON KNOWLEDGE

Building upon the comments made in the prior chapter regarding the need to establish a chief knowledge officer (CKO), a typical company needs to rethink its operations as a way of capitalizing on its knowledge. Typically, companies are still staffed by people who believe knowledge is power, but they are not about to give it up to their co-workers.

Additionally, employees recognize the value of shared knowledge but do not have the time, the tools, or the tangible incentives either to contribute to or take advantage of the process. Overcoming these obstacles, for example, is the job of John Peetz, chief knowledge officer at Ernst & Young for the firm's 20,000 U.S. employees, many of whom are already working long hours and are scattered around the country in airplanes, hotels, and client offices.

To expand further upon this example, the plan is for each Ernst & Young auditor and consultant to utilize a laptop loaded with Lotus Notes, Microsoft Office software, and a browser for the World Wide Web. They are all expected to download to their laptop, and master the contents of, at least two of 80 available "power packs"—databases containing information on particular areas of the firm's practice, such as expatriate tax processing or changing regulations in the health industry.

Each of the power packs has 42 specific entries, including contact information for the firm's network of "subject-matter experts" (senior consultants available to help a junior associate out of a jam), client information, industry background, and templates for presentations. For example, specific power packs might contain a basic diagram for planning supply-chain management, sample shop floor layouts, or a simulation of a pizza shop's production process.

The main thrust behind this rich knowledge is to help Ernst & Young consultants meet project deadlines and impress clients by having essential information organized efficiently and stored in their laptops.

During a meeting, the consultant can quickly pull up the answers to, say, an arcane tax question. Or after the meeting, the consultant can create a claims form processing model for an insurance industry client based on a template in the power pack, something that would be time-consuming if the consultant had to start from scratch.

To establish a broad-based knowledge database, Mr. Peetz had to persuade the firm to change the way it thinks about knowledge. Many people feared that wide publishing

of Ernst & Young's best ideas would inevitably lead to leaks to their competitors. In reality, a good idea by itself has relatively little value. However, the key is rapidity and execution. The risk of losing the firm's ideas is not as high as the risk of not capitalizing on them. Also, he had to overcome the functional divisions within Ernst & Young.

The firm's tax people, for example, did not think they had any knowledge that the consultants needed to see. Consultants could not imagine that auditors would be interested in what they knew. Each group wanted a separate database. Finally, Peetz had to get people to contribute to the database, a process he initially dubbed "dental extraction."

The solution is linking participation to job evaluations. Now, at the end of the year, one-fourth of a person's annual performance review is based on his or her contribution to the knowledge process. Overall, the rethinking of Ernst & Young's operations has, to a degree, taken off in the direction of reengineering as way of capturing important knowledge about their client's operations. In turn, this knowledge has useful applications for consulting projects.

THE PROCESS OF MANAGEMENT

Management is considered a process because it involves a series of interrelated functions. The management process includes planning, organizing, staffing, directing and controlling functions.

Management as a process has the following implications:

- *Management as social process:* Management process involves interaction among people. Goals can be achieved only when relations between people are productive.
- *Management as integrated process:* Management process brings together human, physical and financial resources. Management process also integrates human efforts so as to maintain harmony among them.
- *Management as iterative process:* All managerial functions are contained within each other. For example, when a manager prepares plans, he is also laying down standards for control
- *Management as continuous process:* Management involves continuous identifying and solving problems. It is repeated again and again.

SIGNIFICANCE OF MANAGEMENT

Management is a function, a discipline, a task to be done, and managers practice this discipline, carry out the functions and discharge these tasks—Peter F. Drucker. Analysis of business failures made over many years shows that a high percentage of these failures were due to unqualified or inexperienced management. The Bank of America has said, in its publication "Small Business Reporter". "In the final analysis, more than 90% of business failures are due to managerial incompetence and inexperience."

The significance of management is much more in case of developing countries. In recent years development specialists have shown in their research that availability of money or technology does not bring development. The limiting factor in almost every case has been the lack of quality on the part of managers. There are some people or groups who believe that there is no need of management. In fact, they feel that people would work together better and with more personal satisfaction if there were no managers.

They refer 'team effort' as the ideal group operation. Perhaps they do not realise that whenever an individual plays a game, he has clear group goals as well as some personal goals also. In fact, every group effort designed to attain goals with minimum cost of time, money and materials, adopts some basic principles and techniques of management. Management is critical in the nation's economic and social development also. Efficient management helps a developing country to make better use of resources for the achievement of economic development.

MANAGERIAL ROLES (MINTZBERG)

Managers must wear many different hats in formulating and implementing task activities related to their positions. In an attempt to understand the diversity of hats managers must wear, Henry Mintzberg examined managerial activities on a daily basis. His study enabled him to identify ten different but, coordinated sets of behaviour, or roles, that managers assume. These ten roles can be separated into three general groupings: interpersonal roles, informational roles, and decisional roles.

INTERPERSONAL ROLES

Three of the manager's roles come into play when the manager must engage in interpersonal relationships. The three roles of figurehead, leader, and liaison are each necessary under differing circumstances. Adopting one or another of the three interpersonal roles is made easier by the formal authority the manager obtains from the organization.

The figurehead role is enacted when activity of a ceremonial nature is required within the organization. A baseball manager attending a minor league all-star game, the head chef of a prominent restaurant greeting customers at the door, and the president of a bank congratulating a new group of trainees are all examples of the figurehead role. While the figurehead role is routine, with little serious communication and no important decision making, its importance should not be overlooked. At the interpersonal level, it provides members and non-members alike with a sense of what the organization is about and the type of people the organization recruits.

The second interpersonal role, the leader role, involves the coordination and control of the work of the manager's subordinates. The leader role may be exercised in a direct or an indirect manner. Hiring, training, and motivating may all require direct contact with subordinates. However, establishing expectations regarding work quality, decision-

making responsibility, or time commitments to the job are all outcomes of the leader role that are indirectly related to subordinates.

Quite often, managers are required to obtain information or resources outside their authority. The liaison role is enacted when managers make contact with other individuals, who may or may not reside in the organization, in order to complete the work performed by their departments or work units. An auto assembly plant supervisor may telephone a tire supplier to determine the amount of inventory available for next week; a prosecuting attorney may meet with the presiding judge and defence attorney to discuss the use of motions and evidence in a libel trial; or a college professor may meet with professors in a separate department on campus to obtain information on a prospective doctoral student. Ultimately, the liaison role enables a manager to develop a network for obtaining external information which can be useful for completing current and future work activities.

INFORMATIONAL ROLES

Monitor, disseminator, and spokesperson are the three informational roles that a manager may assume. These informational roles are created as a result of enacting the set of interpersonal roles already described. A network of interpersonal contacts with both subordinates and individuals outside the work unit serves to establish the manager as an informational nerve center of the unit, responsible for gathering, receiving, and transmitting information that concerns members of the work unit.

A manager assumes the monitor role by continually scanning the environment for information or activities and events that may identify opportunities or threats to the functioning of the work unit. Much of the manager's gathering of information is achieved through the network of contacts that has been established through the interpersonal roles. Hearing small talk at a banquet about a competitor's planned marketing programme, learning through casual conversation at a ball game about the negative medical evaluation of an unsigned ball player, or daily reading of a business periodical are all examples of the kinds of information gathering involved in the monitor role.

The information a manager gathers as a monitor must be evaluated and transmitted as appropriate to members of the organization. The transmittal of information by a manager activates the disseminator role. Privileged information may be disseminated to subordinates, peers, or superiors in the organization. The manager may inform the marketing vice-president about the specific marketing strategy a competitor is planning to implement. A baseball manager may inform the team owner that an impending trade should be canceled because of the unfavourable medical report on one of the players. Or reading *The Wall Street Journal* may inform the manager that a shipping strike is looming and thus enable her to inform subordinates that temporary layoffs may occur next month.

Occasionally, a manager must assume the spokesperson role by speaking on behalf of the work unit to people inside or outside the organization. This might involve lobbying for critical resources or appealing to individuals who have influence on activities that

affect the work unit. A top manager asking the board of directors to keep the work unit together during a reorganization period or a corporate president speaking to a college audience on the role the company plays in education would both constitute engaging in the spokesperson role.

DECISIONAL ROLES

Both interpersonal and informational roles are really preludes to what are often considered to be a manager's most important set of roles: the decisional roles of entrepreneur, disturbance handler, resource allocator, and negotiator.

The entrepreneur role comes into action when the manager seeks to improve the work unit. This can be accomplished by adapting new techniques to fit a particular situation or modifying old techniques to improve individual or group activity.

Managers usually learn of new or innovative methods through information gathered in the monitor role. As a result, a supervisor purchases a new kiln which will shorten the drying process for ceramic tiles; a director of a youth club trains staff in the use of personal computers to increase file access; or a president establishes a new pension plan to improve employee morale. Whereas the entrepreneur role establishes the manager as the initiator of change, the disturbance handler role establishes the manager as a responder to change. Organizations, unfortunately, do not run so smoothly that managers are never called upon to respond to unwelcome pressures. In these cases, the manager is required to act quickly to bring stability back to the organization. A law partner must settle a disagreement among associates in the firm on who will present a case before a judge; a personnel director must negotiate with striking employees dissatisfied with the procedures for laying off employees; or a cannery first-line manager must respond to a sudden shortage of cans used to package perishable fruit because the supplier has reneged on a contract.

When a manager is placed in the position of having to decide to whom and in what quantity resources will be dispensed, the resource allocator role is assumed. Resources may include money, time, power, equipment, or people. During periods of resource abundance, this role can be easily performed by a manager. In most cases, however, organizations operate under conditions of resource scarcity; thus, decisions on the allocation of resources can be critical for the success of the work unit, division, or organization.

As a decision maker, the manager must strive not only to appropriately match resources with subordinates but also to ensure that the distribution of resources is coordinated to effectively complete the task to be performed. An office manager must provide secretaries with appropriate equipment to generate and duplicate documents. A manager of a fast-food restaurant must coordinate work shifts to have the maximum number of employees working during the lunch hour. Corporate presidents may provide their administrative assistants with decision-making responsibility for day-to-day matters. In addition to decisions concerning organizational changes, disturbances, and resources,

the manager must enact a negotiator role. The process of negotiation is possible only when an individual has the authority to commit organizational resources. Hence, as managers move up the managerial hierarchy and obtain control over more resources, they become more involved in the negotiator role.

For example, the president of a record company may be called in to discuss terms of a possible contract with a major rock group; a production manager must negotiate with the personnel department to obtain employees with specialized skills; or a college dean must negotiate with department heads over course offerings and the number of faculty to be hired.

The relative emphasis a manager places on these ten roles is highly dependent on the manager's authority and status in the organization. Length of time on the job, position in the management hierarchy, goals of the subunit to be achieved, and skills the manager possesses all play a part in determining which roles are more prominent than others at any given time. For instance, a marketing manager is more likely to emphasize the interpersonal roles because of the importance of personal contact in the marketing process.

A financial manager, charged with responsibility for the economic efficiency of the organization, will probably focus on the decisional roles. A staff manager, or a manager who performs in an advisory capacity, is likely to be more heavily involved in the informational roles. Regardless of the differences that may occur, however, all managers enact interpersonal, informational, and decisional roles while performing their tasks.

Effectively managing an organization is a demanding task. Managers not only must develop skills related to the functional areas of management but also must learn how to integrate these activities. What makes this process demanding is that events and activities external and internal to an organization can radically change the techniques and methods managers must use in order to arrive at successful outcomes. Managers cannot afford to be limited in their view of management, nor can they simply rely on how things were done in the past.

Even the most seasoned and successful managers are prone to mistakes. However, a more complete knowledge of the managerial process can reduce the chances of mistakes that will have dire consequences for an organization. Such knowledge may help managers to better plan, organize and staff, direct, and control organization activities within the context of their organization.

MINTZBERG'S TEN MANAGEMENT ROLES

Mintzberg's Ten Management Roles are a complete set of behaviours or roles within a business environment. Each role is different, thus spanning the variety of all identified management behaviours. When collected together as an integrated whole (gestalt), the capabilities and competencies of a manager can be further evaluated in a role-specific way.

The Ten Management Roles

The ten roles explored in this theory have extensive explanations which are briefly developed here:

1. *Figurehead*: All social, inspiration, legal and ceremonial obligations. In this light, the manager is seen as a symbol of status and authority.
2. *Leader*: Duties are at the heart of the manager-subordinate relationship and include structuring and motivating subordinates, overseeing their progress, promoting and encouraging their development, and balancing effectiveness.
3. *Liaison*: Describes the information and communication obligations of a manager. One must network and engage in information exchange to gain access to knowledge bases.
4. *Monitor*: Duties include assessing internal operations, a department's success and the problems and opportunities which may arise. All the information gained in this capacity must be stored and maintained.
5. *Disseminator*: Highlights factual or value based external views into the organisation and to subordinates. This requires both filtering and delegation skills.
6. *Spokesman*: Serves in a PR capacity by informing and lobbying others to keep key stakeholders updated about the operations of the organisation.
7. *Entrepreneur*: Roles encourage managers to create improvement projects and work to delegate, empower and supervise teams in the development process.
8. *Disturbance handler*: A generalist role that takes charge when an organisation is unexpectedly upset or transformed and requires calming and support.
9. *Resource Allocator*: Describes the responsibility of allocating and overseeing financial, material and personnel resources.
10. *Negotiator*: Is a specific task which is integral for the spokesman, figurehead and resource allocator roles.

As a secondary filtering, Mintzberg distinguishes these roles by their responsibilities towards information. Interpersonal roles, categorised as the figurehead, leader and liaison, provide information.

Informational roles link all managerial work together by processing information. These roles include the monitor, the disseminator and the spokesperson. All the remaining roles are decisional, in that they use information and make decisions on how information is delivered to secondary parties.

Generalist and Specialist Management

The core of Mintzberg's Ten Managerial Roles is that managers need to be both organisational generalists and specialists.

This is due to three reasons:

1. External frustrations including operational imperfections and environmental pressures.

2. Authority disputes which upset even basic routines.
3. The expected fallibility of the individual and human, manager.

Mintzberg's summary statement may be that the role of a manager is quite varied and contradictory in its demands, and that it is therefore not always the lack of managerial prowess, but the complexity of individual situations demanding a variety of roles, which troubles today's manager.

FUNCTIONAL AREAS OF MANAGEMENT

PRODUCTION MANAGEMENT

Production means creation of utilities by converting raw material in to final product by various scientific methods and regulations. It is very important field of management.

Various sub-areas of the production department are as follows:

- *Plant lay out and location:* This area deals with designing of plant layout, decide about the plant location for various products and providing various plant utilities
- *Production planning:* Managers has to plan about various production policies and production methods.
- *Material management:* This area deals with purchase, storage, issue and control of the material required for production department.
- *Research and Development:* This area deals with research and developmental activities of manufacturing department. Refinement in existing product line or develop a new product are the major activities.
- *Quality Control:* Quality control department works for production of quality product by doing various tests which ensure the customer satisfaction.

MARKETING MANAGEMENT

Marketing management involves distribution of the product to the buyers.

It may need number of steps. Sub areas are as follows:

- *Advertising:* This area deals with advertising of product, introducing new product in market by various means and encourage the customer to buy thee products.
- *Sales management:* Sales management deals with fixation of prices, actual transfer of products to the customer after fulfilling certain formalities and after sales services.
- *Market research:* It involves in collection of data related to product demand and performance by research and analysis of market.

FINANCE AND ACCOUNTING MANAGEMENT

Financial and accounting management deals with managerial activities related to procurement and utilization of fund for business purpose.

Its sub areas are as follows:

- *Financial accounting:* It relates to record keeping of various financial transactions their classification and preparation of financial statements to show the financial position of the organization.
- *Management accounting:* It deals with analysis and interpretation of financial record so that management can take certain decisions on investment plans, return to investors and dividend policy
- *Taxation:* This area deals with various direct and indirect taxes which organization has to pay.
- *Costing:* Costing deals with recording of costs, their classification, analysis and cost control.

PERSONNEL MANAGEMENT

Personnel management is the phase of management which deals with effective use and control of manpower.

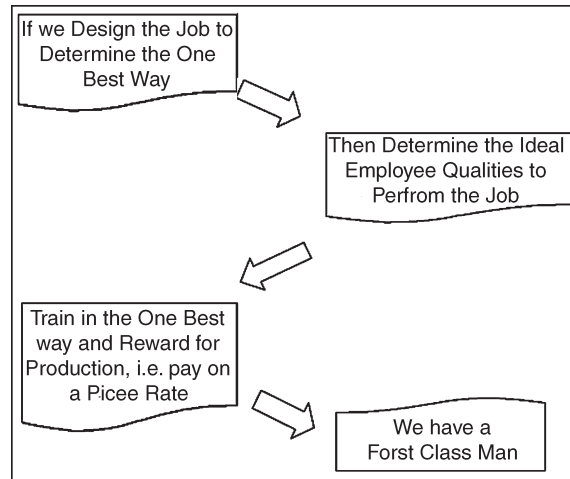
Following are the sub areas of Personnel management:

- *Personnel planning:* This deals with preparation inventory of available manpower and actual requirement of workers in organization.
- *Recruitment and selection:* This deals with hiring and employing human being for various positions as required.
- *Training and development:* Training and development deals with process of making the employees more efficient and effective by arranging training programmes. It helps in making team of competent employees which work for growth of organisation.
- *Wage administration:* It deals in job evaluation, merit rating of jobs and making wage and incentive policy for employees.
- *Industrial relation:* It deals with maintenance of overall employee relation, providing good working conditions and welfare services to employees.

DEVELOPMENT OF MANAGEMENT THOUGHT

TAYLOR'S FOUR FUNDAMENTAL PRINCIPLES

1. Develop one best way to do each job, based on careful job analysis.
2. Scientifically select, train, and develop workers to perform the job in the "one best way."
3. Provide a culture between managers and workers in which workers closely follow the manager's guidance, and managers work to improve processes.
4. Equal division of work between management and workers; it is the responsibility of workers to diligently carry out jobs in the one best way and management must work to continuously improve the firm's performance.



FRANK AND LILLIAN GILBRETH: LEAN PRODUCTION

- *Similarities with Taylor's work:* Both viewed careful job analysis and design as the starting point of efficiency gains. Both sought to find “standard” high efficiency approaches to completing a job.
- *Differences:* The Gilbreth's saw the initial job design scheme as the starting point at which employees could be looked to for further improvement. Taylor saw his “one best way” as sort of the end of the process, and really did not see workers making contributions to enhance performance. The Gilbreth's and Toyota which embraced their approach saw workers as sources of continuous improvement.

HENRI FAYOL'S GENERAL PRINCIPLES OF MANAGEMENT

- *Division of Work:* More and better work with the same effort results from allowing individual task specialization.
- *Authority and Responsibility:* Authority is the right to utilize organizational resources, give orders, and to exact obedience. Responsibility is the obligation to use authority to effectively and efficiently achieve organizational objectives. Authority and responsibility go hand in hand and flows from the top down.
- *Discipline:* Conformance with directives and instructions. Without discipline no enterprise could prosper.
- *Unity of Command:* For any action whatsoever, an employee should receive orders from one superior only.
- *Unity of Direction:* One head and one plan for a group of activities having the same objective.
- *Subordination of Individual Interest to General Interest:* The interest of one employee or group of employees should not prevail over that of the enterprise.

- *Remuneration of Personnel*: Remuneration of personnel is the price of services rendered.
- *Centralization*: The optimum degree of centralization must be found for each enterprise.
- *Scalar Chain*: The scalar chain is the chain of superiors ranging from the ultimate authority to the lowest ranks. It represents an unbroken series of authority-accountability relationships
- *Order*: A place for everyone and everyone in his place.
- *Equity*: The head of the enterprise should strive to instill a sense of equity throughout all levels of the scalar chain.
- *Stability of Tenure of Personnel*: It takes a long time for managers to settle in. Excessive turnover is undesirable.
- *Initiative*: Initiative is the power of thinking out a plan and ensuring its success. The initiative of all is a great source of strength for the enterprise.
- *Esprit de Corps*: In union there is strength.

TENANTS OF MODERN BUREAUCRACY

- The organization is governed by written policies, procedures, and directives.
- There should be a hierarchy of formal authority and responsibility.
- Individuals, both employees and clients, are treated impersonally.
- Authority is invested in the office, not the person holding the office.
- Written directives and instructions are provided (a job description).
- Positions are filled on the basis of pre-defined qualifications and promotions are based on merit.

Pros and Cons of Bureaucracy

Pros:

- Insures (or attempts to insure) that organizations treat each client and employee equitably and consistently.
- Insures uniformity and consistency across the organization.
- Seeks to reduce graft and corruption.

Cons:

- Very inflexible—does not deal with exceptions and unique situations well.
- The rules tend to be difficult to change, and therefore slow to change, which creates problems when the environment is dynamic.

According to Weber, Bureaucratization

Resulted from Trelated Causes

1. Competition among capitalist firms in the marketplace.
2. Competition among states, increasing rulers' need to control their staff and citizenry.

3. Bourgeois demands for equal protection under the law: “It is primarily the capitalist market economy which demands that the official business of administration be discharged precisely, unambiguously, continuously, and with as much speed as possible. Normally, the very large, modern capitalist enterprises are themselves unequally models of strict bureaucratic organization.”

HAWTHORNE STUDIES: BIRTH OF THE NEO-CLASSICAL SCHOOL

- Series of experiments that took place at the Hawthorne plant of the Western Electric Company. The original purpose of the experiments was to look at the effects of working conditions on efficiency, but they became much more complex.
- Key Researchers were Elton Mayo and Fritz Roethlisberger.
- Most famous experiment was the Illumination Study—Researchers thought that by lowering the lighting in the workroom, productivity would go down; however, he found just the opposite.
- Assessment—these studies pointed out that workers’ feelings, attitudes, motivations, and needs had an impact on their productivity. Management realised for the first time that they needed to be concerned about workers in order to make the organization more efficient and productive. Hawthorne Studies also pointed out the importance of the informal organization created by the social relationships formed by employees.
- Not many concrete suggestions for improving management flowed from the studies.

THE HUMAN FACTOR IN MANAGEMENT

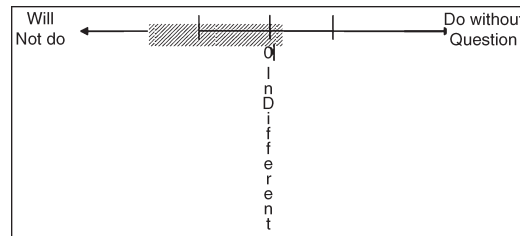
- *Mary Parker Follett*: Great works are accomplished in groups. Shared power and group accomplishment should be important goals of management. She would now be talking about subordinate empowerment
- *Chester Bernard, Acceptance View of Authority*: Authority flows from the bottom up, through the Scalar Chain. In effect, the right to lead is granted by those who are led—*i.e.*, the consent of the governed.

In order for a subordinate to likely comply with an order the following must be true:

- They understand the order
- They feel the order is consistent with the purpose of the organization.
- The order does not conflict with their personal beliefs, and is considered a reasonable request (within the zone of indifference).
- They are able to perform the task as directed.

Zone Indifference

The psychological zone that encompasses acceptable behaviours employees do not mind following.



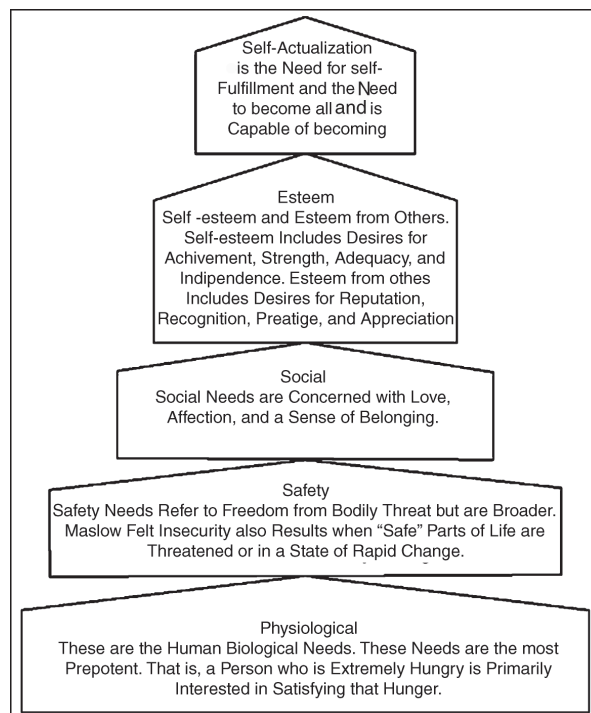
SOURCES OF MANAGERIAL AUTHORITY

The Classical School vs. the Neo-Classical view:

- According to the classical view, authority flows from the top of an organization to the bottom. It is based on the rights of property owners and is a logical, but legalistic, view of the source of a manager's formal authority.
- According to the acceptance view, authority flows from the bottom of an organization to the top; that is, managers get their authority from their subordinates. Chester Barnard suggested there is a zone of indifference within which subordinates will accept orders from their superiors more or less without thinking about them.

ABRAHAM H. MASLOW AND THE BEHAVIOURALIST SCHOOL

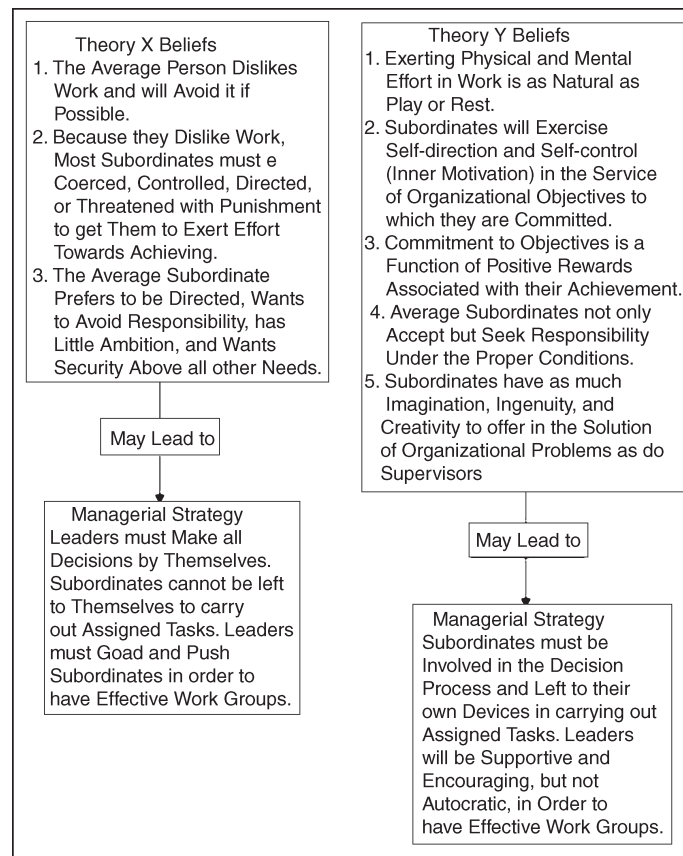
Hierarchy of Human Needs



Maslow's idea of a "hierarchy" means that needs at one level must be relatively satisfied before the needs at the next higher level can motivate behaviour. Once a need is relatively satisfied it ceases to motivate behaviour. In Maslow's view, only needs that are relatively unsatisfied are capable of motivating people. This is known as Maslow's prepotency principle—the need that is most powerful in motivating behaviour is the need at the next higher level of the hierarchy above the level that is currently satisfied.

DOUGLAS MCGREGOR

Theory X and Theory Y



FREDERICK HERZBERG

Hygiene Factors and Motivating Factors

Primary needs represent the need for basic survival and the need to avoid pain and discomfort in work situations. These primary needs are satisfied by what Herzberg called hygiene factors in the work environment—factors such as money and working conditions. Herzberg considers money the most important hygiene factor. In motivator-

hygiene theory, hygienes have a unique role. They prevent employees from being dissatisfied with their jobs, but they largely do not affect employee satisfaction.

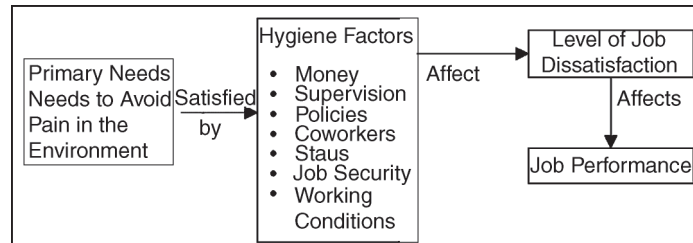


Fig. Role of Hygienes in Motivator-Hygiene Theory

In addition to primary needs, people at work have growth needs. These needs are satisfied by motivator factors—factors such as recognition and achievement. Herzberg considers achievement the most important motivator. Motivators help make people satisfied with their jobs.

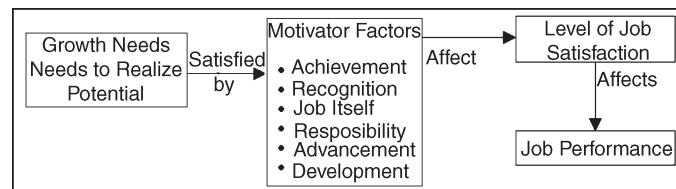
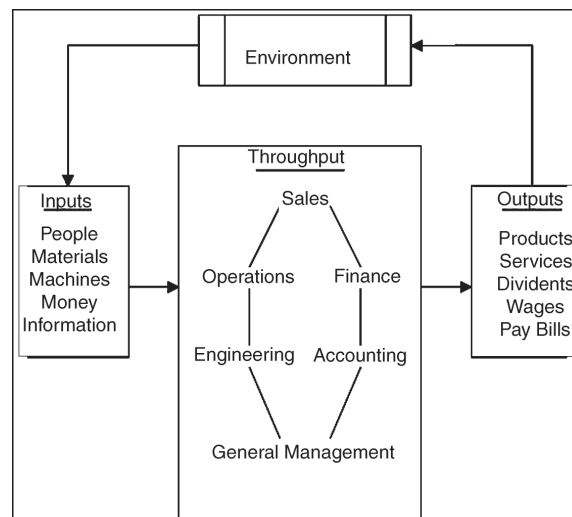
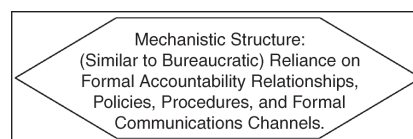


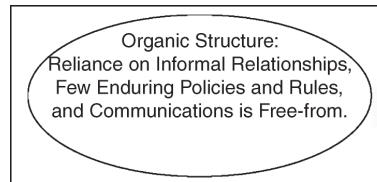
Fig. Role of Motivators in Motivator-Hygiene Theory

The Business Firm as an Open System:



Organization Structure:





EXTERNAL ENVIRONMENT

- *Burns and Stalker Study*: Research on the type of organizational structure that is most successful in a given type of external environment. A highly centralized and bureaucratic organization (mechanistic structure) is more successful in a stable environment while an organization that is more flexible and decentralized (organic structure) works best in a dynamic environment of change.
- *Lawrence and Lorsch Study*: Looked at environmental uncertainty—important to match structure of organization to type of environment.

CLASSICAL AND NEO-CLASSICAL THEORIES OF MANAGEMENT

CLASSICAL MANAGEMENT THEORY

There are three well-established theories of classical management: Taylor's Theory of Scientific Management, Fayol's Administrative Theory, Weber's Theory of Bureaucracy. Although these schools, or theories, developed historical sequence, later ideas have not replaced earlier ones. Instead, each new school has tended to complement or coexist with previous ones.

Theory recognizing the role that management plays in an organization. The importance of the function of management was first recognized by French industrialist Henri Fayol in the early 1900s. In contrast to the purely scientific examination of work and organizations conducted by F W Taylor, Fayol proposed that any industrial undertaking had six functions: technical; commercial; financial; security; accounting; and managerial. Of these, he believed the managerial function, 'to forecast and plan, to organize, to command, to coordinate, and control', to be quite distinct from the other five. Fayol also identified general principles of management: division of work; authority and responsibility; discipline; unity of command; unity of direction; subordination of individual interest to general interest; remuneration of personnel; centralization; scalar chain of authority; order; equity; stability of tenure of personnel; initiative; and esprit de corps. Fayol's views on management remained popular throughout a large part of the 20th century.

EVOLUTION OF CLASSICAL APPROACH TO MANAGEMENT

Traditional process of learning is either through observation and experiment. Nature or environment is considered uniform and when we observe certain phenomenon or

events uniformly leading to the same result or results, we conclude a cause and effect relationship between the two. This is learning by observation or in other words by experience.

Earlier thinkers on management followed this approach in developing theories of management. Learning principally is through empirical process and through analysis of the data collected through observation. Draw the principles of management by looking at and analyzing the jobs that all managers commonly do. This approach served as a starting point for pioneers on management science to verify the validity and improve the applicability of the principles and practices of management. Analysis of observed data is what constitutes a case study. The observational method of case study helps arriving at logical conclusions about past experience and to test the same as standards for future events.

The German socialists, Max Weber followed the classical approach and developed his theory of Bureaucracy, which portrays the structure and design of organization characterized by a hierarchy of authority, formalized rules and regulations that serve to guide the coordinated functioning of an organization.

Basic Postulates of the Classical Approach by Max Weber:

- Management of an organization is considered as a chain of inter-related functions. The study of the scope and features of these functions, the sequence through which these are performed and their inter-relationship leads one to draw principles of management suitable for universal application
- Learning principles of management is done through the past experiences of actual practicing managers
- As business environment consists of uniform cycles exhibiting an underlying unity of realities, functions and principles of management derived through process of empirical reasoning are suitable for universal application
- Emerging new managers through formal education and case study can develop skill and competency in management concepts and practices
- The classical approach also recognized the importance of economic efficiency and formal organizational structure as guiding pillars of management effectiveness.
- Business activity is based on economic benefit. Organizations should therefore control economic incentives

NEOCLASSICAL THEORY OF MANAGEMENT

Human Relations Theory

Explains the modern advancement of Human Relations Management theory which takes into account human factors like the employer-employee relationship. Human relations theory is largely seen to have been born as a result of the Hawthorne experiments which Elton Mayo conducted at the Western Electrical Company. The important strand

in the development of modern management was the increase in attention to the human factors, which has become known as the 'human relations school of management.' The core aspect of Human Relations Theory is that, when workers were being observed and included in the research, they felt more important and valued by the company. As a result, their productivity levels went up significantly.

This represented a significant departure from many of the classical theories, particularly Fordism, as it went against the notion that management needed to control workers, and remove their autonomy at every step. Instead, it showed that by engaging with workers and considering their requirements and needs, company's could benefit from increased productivity.

Behavioural Theory

The behavioural management theory is often called the human relations movement because it addresses the human dimension of work. Behavioural theorists believed that a better understanding of human behaviour at work, such as motivation, conflict, expectations, and group dynamics, improved productivity.

The theorists who contributed to this school viewed employees as individuals, resources, and assets to be developed and worked with—not as machines, as in the past. Several individuals and experiments contributed to this theory.

Social Systems Theory

Developed by Niklas Luhmann is an option for the theoretical foundation of Human Resource Management (HRM). After clarifying the advantages of using a grand (social) theory as the basic theoretical perspective, the roots of this social systems theory - the deterministic view of systems as machines, the open systems approach and non-linear systems theory - are addressed. Based on the view of social systems as autopoietically closed systems, five major contributions to a theoretical foundation of HRM are identified:

- The conceptualization of organizing and managing human resources as social processes, thus overcoming an individualistic angle;
- The new importance of individuals as essential element in the system's environment;
- the abstention from far reaching or highly unrealistic assumptions about the 'nature' of human beings;
- The interaction between various levels and units of analysis built into the theory which is essential for comprehensive and in-depth analyses of HR phenomena and
- The openness for additional theories for which social systems theory provides the overall framework.

George Elton Mayo was in charge of certain experiments on human behaviour carried out at the Hawthorne Works of the Western Electric company in Chicago between 1924

and 1927. His research findings have contributed to organizational development in terms of human relations and motivation theory.

Elton Mayo's contributions came as part of the Hawthorne studies, a series of experiments that rigorously applied classical management theory only to reveal its shortcomings.

The Hawthorne experiments consisted of two studies conducted at the Hawthorne Works of the Western Electric Company in Chicago from 1924 to 1932. The first study was conducted by a group of engineers seeking to determine the relationship of lighting levels to worker productivity. Surprisingly enough, they discovered that worker productivity increased as the lighting levels decreased—that is, until the employees were unable to see what they were doing, after which performance naturally declined.

A few years later, a second group of experiments began. Harvard researchers Mayo and F. J. Roethlisberger supervised a group of five women in a bank wiring room. They gave the women special privileges, such as the right to leave their workstations without permission, take rest periods, enjoy free lunches, and have variations in pay levels and workdays. This experiment also resulted in significantly increased rates of productivity.

In this case, Mayo and Roethlisberger concluded that the increase in productivity resulted from the supervisory arrangement rather than the changes in lighting or other associated worker benefits. Because the experimenters became the primary supervisors of the employees, the intense interest they displayed for the workers was the basis for the increased motivation and resulting productivity. Essentially, the experimenters became a part of the study and influenced its outcome. This is the origin of the term Hawthorne effect, which describes the special attention researchers give to a study's subjects and the impact that attention has on the study's findings.

CONTINGENCY APPROACH TO MANAGEMENT

The contingency approach to management is based on the idea that there is no one best way to manage and that to be effective, planning, organizing, leading, and controlling must be tailored to the particular circumstances faced by an organization. Managers have always asked questions such as “What is the right thing to do? Should we have a mechanistic or an organic structure? A functional or divisional structure? Wide or narrow spans of management? Tall or flat organizational structures?

Simple or complex control and coordination mechanisms? Should we be centralized or decentralized? Should we use task or people oriented leadership styles? What motivational approaches and incentive programmes should we use?” The contingency approach to management (also called the situational approach) assumes that there is no universal answer to such questions because organizations, people, and situations vary and change over time. Thus, the right thing to do depends on a complex variety of critical environmental and internal contingencies.

HISTORICAL OVERVIEW

Classical management theorists such as Henri Fayol and Frederick Taylor identified and emphasized management principles that they believed would make companies more successful. However, the classicists came under fire in the 1950s and 1960s from management thinkers who believed that their approach was inflexible and did not consider environmental contingencies. Although the criticisms were largely invalid (both Fayol and Taylor, for example, recognized that situational factors were relevant), they spawned what has come to be called the contingency school of management. Research conducted in the 1960s and 1970s focused on situational factors that affected the appropriate structure of organizations and the appropriate leadership styles for different situations. Although the contingency perspective purports to apply to all aspects of management, and not just organizing and leading, there has been little development of contingency approaches outside organization theory and leadership theory.

CONTINGENCY PERSPECTIVE AND ORGANIZATION THEORY

Environmental change and uncertainty, work technology, and the size of a company are all identified as environmental factors impacting the effectiveness of different organizational forms. The contingency perspective, stable environments suggest mechanistic structures that emphasize centralization, formalization, standardization, and specialization to achieve efficiency and consistency.

Certainty and predictability permit the use of policies, rules, and procedures to guide decision making for routine tasks and problems. Unstable environments suggest organic structures which emphasize decentralization to achieve flexibility and adaptability. Uncertainty and unpredictability require general problem solving methods for nonroutine tasks and problems. Paul Lawrence and Jay Lorsch suggest that organizational units operating in differing environments develop different internal unit characteristics, and that the greater the internal differences, the greater the need for coordination between units.

Joan Woodward found that financially successful manufacturing organizations with different types of work technologies (such as unit or small batch; large-batch or mass-production; or continuous-process) differed in the number of management levels, span of management, and the degree of worker specialization. She linked differences in organization to firm performance and suggested that certain organizational forms were appropriate for certain types of work technologies.

Organizational size is another contingency variable thought to impact the effectiveness of different organizational forms. Small organizations can behave informally while larger organizations tend to become more formalized. The owner of a small organization may directly control most things, but large organizations require more complex and indirect control mechanisms. Large organizations can have more specialized staff, units, and jobs. Hence, a divisional structure is not appropriate for a small organization but may be for a large organization.

Customer diversity and the globalization of business may require product or service diversity, employee diversity, and even the creation of special units or divisions. Organizations operating within the United States may have to adapt to variations in local, state, and federal laws and regulations. Organizations operating internationally may have to adapt their organizational structures, managerial practices, and products or services to differing cultural values, expectations, and preferences. The availability of support institutions and the availability and cost of financial resources may influence an organization's decision to produce or purchase new products. Economic conditions can affect an organization's hiring and layoff practices as well as wage, salary, and incentive structures. Technological change can significantly affect an organization. The use of robotics affects the level and types of skills needed in employees. Modern information technology both permits and requires changes in communication and interaction patterns within and between organizations.

CONTINGENCY PERSPECTIVE AND LEADERSHIP

Dissatisfaction with trait-based theories of leadership effectiveness led to the development of contingency leadership theories. Fred Fiedler, in the 1960s and 1970s, was an early pioneer in this area. Various aspects of the situation have been identified as impacting the effectiveness of different leadership styles. For example, Fiedler suggests that the degree to which subordinates like or trust the leader, the degree to which the task is structured, and the formal authority possessed by the leader are key determinants of the leadership situation. Task-oriented or relationship oriented leadership should work if they fit the characteristics of the situation.

BRINGING THE MARKETING MIX TOGETHER

The 4Ps are a useful framework for designing e-Marketing strategies - and have the benefit that they are clear and familiar to most managers. Successful e-Businesses bring together the elements of the marketing mix into an integrated offer representing value to the customer. This can be illustrated, for example, by outlining aspects of the 4Ps of the marketing mix of the office supplies company Quill (www.quillcorp.com).

PLACE

Customers are offered the convenience of easy ordering - not just by Web but via many other routes, with expert personal assistance readily available by telephone. We have personally tested the service and found it fast and reliable. A particular benefit is the UPS (courier service) order tracker so that customers can track the delivery status of their order.

PRODUCT

Quill offers a wide range of office and computer supplies, furniture and speciality products. The main selling point is the very wide range available from stock - almost

everything imaginable for the office. This is a 'hypermarket'-type approach, offering customers far more choice than would be expected from most traditional suppliers.

PRICE

Competitive, discount prices can be offered. Low price levels are sustainable because of the e-Efficiency of the business, and also the economies of scale arising from successfully selling large volumes.

PROMOTION

Quill is promoted by a wide range of integrated marketing communications of which an affiliate programme and e-Newsletter are central.

E-Commerce uses the Internet and the World Wide Web technologies. The evolution of the Internet and World Wide Web to their present state and provide details of the current state of those technologies that enable e-Commerce. These include digital networks and their protocols, which form the basic system technologies required to develop an e-Commerce system, and the client-server architecture and World Wide Web in particular.

As the basis of commerce is transactions between buyers and sellers, e-Commerce requires interactive digital technology that can facilitate transactions over the Internet. Consequently, also introduces interactive technologies such as JavaScript and methods of exchanging data between systems. It also looks at how the Internet, World Wide Web and interactive technologies need to be configured to enable electronic commerce that is secure.

Finally, current developments in Internet and World Wide Web technology are considered in terms of their future impact on e-Commerce.

THE INTERNET AND THE WORLD WIDE WEB

Prior to the Internet, World Wide Web and its associated technologies, the impact of technology for the purposes of business transactions had been peripheral.

The Internet and the World Wide Web have fundamentally changed commerce. Commerce's basic mode of communication, written and verbal communication between a business and its customer or business and its suppliers or partners, remained unchanged since Adam Smith's first observations on economic markets.

Electronic communication, in the form of digital mainframe computers and microcomputers (personal computers) connected to the Internet, has radically transformed commercial activity for customers and businesses alike. The transformation has been so fundamental that new terms such as 'e-Commerce', 'e-Business', 'e-Markets' and the 'new e-Economy' are freely used to describe the modern phenomenon of Internet-based commercial activity. e-Commerce may be described as the sharing of product and service information, developing and maintaining human commercial relationships, and transacting business over the Internet and the World Wide Web. Technologies such

as telephony have influenced business activity in the past, but their influence has not been revolutionary. Such technologies have not fundamentally changed how businesses organize themselves and how they interact with their customers, suppliers or partners.

In contrast, the Internet and the World Wide Web have revolutionized business activity:

- Provides an introductory description of the current IT, Internet and World Wide Web technology underpinning e-Commerce;
- Comments on its implications for business and e-Commerce;
- Explores potential future developments in Internet and World Wide Web technology that will affect e-Commerce.

This introductory reading on e-Commerce technology should enable you to describe Internet and World Wide Web technology to enable e-Commerce. Critically, the reading should enable you to state and understand the main elements of an e-Commerce system architecture and assess e-Commerce security technology for confidentiality and payments.

MEMEX

The Internet's evolution has encompassed over fifty years of technological and conceptual development. The original concept of the Internet is attributed to Vannevar Bush. He worked in a team of engineers during World War II in the United States. His experience of working in an expert team of scientists led him to think about the problem of processing and sharing information among the team. His solution was the invention of a machine called Memex (MEMory EXtension). He envisaged that Memex would work like the human brain, which finds information by association. His ideas provided the conceptual framework for subsequent work on developing the technology of the Internet and World Wide Web.

ARPANET

The Internet began in 1969 as a communications medium project of the US Department of Defence, and its associated academic and research agencies. It needed a network of computers to enable collaborative work among the different agencies. In its original form, the Internet consisted of a decentralized digital network that connected defence, research and academic mainframe computers.

This network was called the ARPAnet after the agency that led the project, the department's Advanced Research Projects Agency (ARPA). The purpose of the ARPAnet was to connect various government and related computers, and in the event of disaster or war to preserve the integrity of information passing between these important government agencies. ARPAnet was privatized in 1990, and as it was gradually released to the public domain it began to be transformed into the Internet that we know today.

THE WORLD WIDE WEB

Around the same time, Tim Berners-Lee, a research scientist working at the European CERN physics lab in Switzerland, conceived the World Wide Web and

released it to the public domain in 1991. The problem that Tim Berners-Lee faced was how to share research knowledge among scientists who used different brands of computers and associated software at CERN. He developed the method of hypertext link for connecting information stored on different computers. In his words, his motive for inventing the Web was: 'If everyone had the same information as me, my life would be easier.

The original idea for linking electronic documents was Ted Nelson's. He coined the term 'hypertext' in the early 1960s. Marc Andreessen developed the first graphical browser for the Internet. It enabled people seeking information on the Internet to find it quickly and efficiently.

A major effect of the Internet and the Web over the 1990s was to enable executives and business strategists to develop new ways of doing business electronically. These new electronic approaches are termed e-Commerce 'business models'. Business models that combine the use of the Internet and Web technologies with fundamental business transformation are referred to as 'e-Business'. The term e-Business is used to describe a business that shares its production or service information with customers and business suppliers or partners, fosters the development of customer relationships electronically, and enables business to be transacted from personal computers or other electronic devices, such as mobile phones or personal digital assistants (PDAs). One of the most successful e-Commerce business models is the US company Dell Computers.

It has a \$14 million per day Internet-based revenue stream, or a quarter of its total revenue. Though a survey by NOP in 1999 revealed that only 15 per cent of the companies surveyed used the Internet for making online sales, Gartner Research predict that 97.5 million US users will adopt e-billing and online account management by 2005.

APPROPRIATE SOFTWARE WITHIN A KMS ENVIRONMENT

The *fourth* important factor in an effective KMS framework is the utilization of appropriate software. Before knowledge can be accessed by decision makers, it must be available in a format that is easy to understand and use. Although the company may have in place an effective knowledge infrastructure, generally it is necessary to analyse appropriate information in order to get at the underlying knowledge to answer the question(s) under study as well as explore "what-if" situations.

Hence, there is a need to employ the appropriate software for extracting, storing, and disseminating the desired knowledge. In addition, the software employed can be designed exclusively for discovering knowledge. Not only will the essentials of knowledge extraction tools, knowledge management software, knowledge management intranet search engines, and knowledge discovery or data mining software be presented, but also some of the current popular packages that are found widely in a typical company will be examined.

In certain situations, other types of software packages, such as OLAP software, statistical analysis software, and GUI/4GL software, can be useful in getting a handle on knowledge that is contained in multiple knowledge bases and databases found throughout an organization. Overall, the utilization of knowledge software of some type will be evident in the discussion that follows.

It should be noted at the outset that most companies are likely to end up with more than one software package because the situation dictates that knowledge software is judged best by its users. That is, the focus is *situational* to get at the appropriate knowledge, store it, and disseminate it. Typically, very large databases are used where there are larger volumes of data and information and detailed analysis is required to discover the knowledge to solve problems. When the queries are simpler and the data and information is smaller, simple and easy-to-use software will do the job to discover the knowledge needed to answer questions surrounding the problems. However, more and more companies today find themselves in situations where users demand a wider range of decision support, EIS, OLAP, and knowledge discovery software packages to solve a growing number of problems facing them.

KNOWLEDGE EXTRACTION TOOLS

Within a KMS environment, there are often a number of off-the-shelf products that can be employed. In addition to groupware, E-mail, document management systems, object and relational databases, and workflow software, which are often an integral part of business process analyses and/or reengineering efforts, knowledge extraction tools are generally the first ones acquired to get a handle on a company's current knowledge.

More specifically, knowledge management systems employ knowledge extraction tools to identify and extract important technical information from organization files, documents, etc., so that their contents can be turned into practical knowledge for a company's personnel.

Thus, the important challenge of knowledge extraction tools centers on their ability to provide fast and accurate current knowledge about a company's current operations that can be used as is or analyzed further by a company's decision makers.

For many companies, knowledge extraction tools must not only deal with textual information to derive knowledge but also must be able to treat text in several languages. From this perspective, the extraction tools must be capable of meeting the varying needs of an organization within its KMS environment.

For example, Inight's LinguistX product line has multilingual natural language processing capability for extracting knowledge at a very high rate of speed. It is capable of supporting a number of functions, including automatic language identification, phrase extraction, and automatic summarization in several languages. Currently, LinguistX is an integral part of major applications from companies that market some type of knowledge discovery software.

KNOWLEDGE MANAGEMENT SOFTWARE

Going beyond knowledge extraction tools, knowledge management software is useful to contain a massive amount of data and information, organize it logically, and make its resulting knowledge accessible to the right people at the proper time and place.

It is certainly a challenge when considering the multitude of sources and a corporate culture that has typically thrived on hoarding rather than sharing knowledge. Companies have found that employing knowledge management software requires a good deal of hand-holding from vendors. It is also expensive and will not deliver without a research analyst or knowledge worker dedicated to the development efforts on a full-time basis.

Currently available knowledge management software views a KMS environment somewhat differently. For example, Wincite is a goal-oriented solution that organizes and distributes information related to a specific problem. On the other hand, grapeVine stores information on a variety of topics and distributes it to people based on their individual profiles.

Still other KMS software is somewhat in between these two. The best advice for a company is to approach its KMS operating mode with eyes wide open. If a company already has a person or department committed to tracking information, these software packages can help them work more effectively to get a grasp on the company's knowledge.

KNOWLEDGE MANAGEMENT INTRANET SEARCH ENGINES

In response to the times, leading intranet search engine vendors have repositioned themselves as knowledge management companies. They offer strategic services and software tools that include intelligent agents, push technology, and database crawlers capable of searching across multiple platforms. Two typical software vendors are Fulcrum and Verity. Fulcrum states that intelligence is delivered in two phases. The first phase takes a logical view of the entire collection.

In phase two, the view of the collection provides the foundation for intelligent analytical assistance for knowledge workers. Empowering knowledge workers with the ability to find, create, and share information is a major element in capturing the tacit knowledge that exists in an organization.

Verity, on the other hand, made a name for itself with its Topics, a knowledge categorization framework that is recognized as a direct precursor to today's push techniques. In recent years, they have licensed Search to over 300 ISVs (integrated software vendors), from Adobe to Xerox, who incorporate Verity software into widely distributed products.

The new Search '97 family is the latest generation of products. The major challenger to these intranet search engine software vendors is the Microsoft Corporation, which offers customers its Index Server text retrieval software for free. But to date, Microsoft has not focused seriously on this market.

OLAP AND STATISTICAL ANALYSIS SOFTWARE

Other useful software for uncovering hidden patterns and relationships includes OLAP software and statistical analysis software as well as GUI/4GL languages. Although the first two are treated below, all of these software approaches can be helpful to decision makers under varying circumstances.

Online analytical processing (OLAP) applications (which will also be found where appropriate in Part III of the text) are essentially focused on employing multi-dimensional analysis. Generally, this analysis centers on dividing data into the important dimensions that are useful for understanding and managing a company's operations. Multidimensional analysis provides for selection, analysis, summarization, and reporting by dimensions and attributes within dimensions.

Because multidimensionality is the core of on-line analytical processing, major vendors have developed specific software to focus on this feature. These vendors recognize that users need to look at different slices of data trending by time periods and by types of transactions. Their needs go beyond the traditional spreadsheets. Typically, users would enter numbers into spreadsheets and work them through until they thought they had it right.

There was no inherent integrity to the results. However, with many OLAP products, users can perform such analyses quickly and simply since all the required calculations and aggregations have been already executed and validated.

Typical successful OLAP vendors include Arbor Software, Inc's Essbase and Pilot Software Inc's LightShip Suite. Some of the software products currently offered can store up to six dimensions with relative ease, thereby making the job of multidimensional analysis much easier for users. For complete coverage of OLAP software, reference can be made to a recent text by the author.

Today, there are a number of statistical software packages available from a wide range of vendors. Some are focused on different methods of forecasting. The Statistical Analysis System (SAS) from the SAS Institute is the most widely used software. This firm offers 70 to 80 statistical routines. Some other statistical analysis packages, like Forecast Pro, have the capability to analyse data and information statistically.

The software conducts the analysis that will determine which method (i.e., simple methods, exponential smoothing, Box-Jenkins, and dynamic regression) will do the best forecasting based on data and information supplied. There are also business graphics software packages that complement statistical-analysis packages. Lastly, it should be noted that knowledge discovery or data mining tools have a statistical orientation since they help decision makers analyse patterns and trends and serve as relatively accurate predictive tools.

THE MARKETING MIX

The idea of the marketing mix has been around for many years - well before an 'e-' came in front of Marketing or anything else. As far back as the first half of the twentieth

century, the job of the marketer was described as a 'mixer of ingredients'. Marketers devise strategies and tactics aimed at providing satisfaction and adding value for customers. The various elements are blended into a 'marketing mix' - a phrase first coined by Neil Borden (1964) of Harvard Business School.

The marketing mix can be defined as the blend of tools and techniques that marketers use to provide value for customers. It is most widely known as E. Jerome McCarthy's (1960) '4Ps': Place, Product, Price and Promotion. 'Place' is not quite self-explanatory, but refers to the routes organizations take to get the benefits of the product or service to the intended customers - channels of distribution.

'Product' means both tangible product and also 'service' and all the ways in which an organization adds value. 'Price' means not just the price charged, but also all aspects of pricing policy, including, for example, distributor margins. 'Promotion' is not just the more specialized 'sales promotion', but also every way in which a product is promoted to customers - from print advertising to Web sites.

The 4Ps are used as an approach to marketing planning that, according to later editions of McCarthy's still-popular *Basic Marketing*, has worked for millions of students and teachers. The prominence of the 4Ps derives largely from Kotler's and colleagues' focus on these as central to marketing strategy (*Marketing Management* and *Principles of Marketing* texts - the early US editions of which were widely accepted as the basis of marketing teaching).

In recent decades, there have been numerous attempts to update and revise the marketing mix. For example, Jefkins (1993:37) pointed out that the concept of 4Ps is no more than a simplifying convention that 'loses sight of the chronological sequence'. He devised a more realistic twenty-element mix that attempted to describe the marketing process sequentially, starting from conception, through pricing, product, distribution and sales to maintaining customer interest and loyalty.

Some marketers assert that there are '5Ps' of marketing, with the fifth being 'People'. 'People' has two meanings in this context. First, customers are people, often buying according to emotion and whim. Without these fickle customers, we have no business. Second, people make it happen. Without people to put marketing plans into operation, nothing happens.

Booms and Bitner (1982) proposed that for marketing services, the marketing mix should be extended to seven, by adding 'Process' and 'Physical evidence' in addition to 'People'. For a service, where there is no tangible product, the process of providing the service is all-important. Similarly, a service cannot be sampled. The provider needs to present evidence of the quality of the process.

With an increasing 'service' element in the added value of most production activities, the '7Ps' approach is becoming more widely accepted. The e-Retailing book in this series will return to the '7' approach. For simplicity we shall use the better-known '4' here as a framework for examining online marketing operations. The operational aspects of the other three will be incorporated where relevant.

In recent years, what marketers actually do has changed radically. Some authors have questioned whether the old idea of the marketing mix can still be valid. The challenge is based on a shift of emphasis towards relationship marketing and customer relationship management (CRM), aspects which are fundamental to marketing the e-Business. The CRM approach has many advantages, we focus on the well-tried 4Ps as an aid to classifying marketing tactics, e- or otherwise.

One development has merit as being descriptive of the way marketers think about the customer. The '4Cs' (Lauterborn 1990) imply more emphasis on customer wants and concerns than do the Ps. 'Place', rather than implying managements' methods of placing products where they want them to be, can be thought of as 'Convenience for the customer', recognizing the customers' choices for buying in ways convenient to them.

Product', rather than being something that a company makes, which then has to be sold, can be thought of as a 'Customer benefit' - meaning satisfactions wanted by customers. 'Price' may be what companies decide to charge for their products, but 'Cost to the customer' represents the real cost that customers will pay, including, for example, their own transport costs. Finally, 'Promotion' suggests ways in which companies persuade people to buy, whereas 'Communication' is a two-way process also involving feedback from customers to suppliers. In the sections that follow, we consider the operational aspects of marketing the e-Business. While using the better-known 4Ps for our headings, we draw attention to differences in approach implied by the 4Cs.

PLACE

'Place' (Convenience in the 4 Cs) means the elements of the marketing mix that marketers use to enable customers to access the benefits of a product or service. Traditionally, this has meant 'channels of distribution' through (e.g.) various wholesaler and retailer combinations. Viewing from the 'convenience for the customer' (4Cs) perspective gives a more customer-orientated focus. This is a vital decision area for the e-Business for three reasons.

First, relatively small local companies can widen their market and even export. Second, many e-Businesses aim to gain competitive advantage by using e-Systems to de-layer the distribution chain. For example, Dell (www.dell.co.uk) supplies customers directly, rather than through distributors, wholesalers or retailers. Third, distribution is an area where some e-Businesses have been severely criticized for failing to deliver customer service.

Place elements of the marketing mix have been changing rapidly over recent decades, and these changes impact in many ways on the marketing operations of the e-Business. First, the growth of retailer power has involved major retailers taking more control of their supply chains. The involvement of wholesalers has been reduced, tending to give way to contract logistics (under retailer control).

At the same time, supply chains have become more efficient, with computer network links between suppliers and retailers - many still based on EDI. Predating the Internet, EDI is based on privately owned third-party computer networks. Stock levels have been reduced using techniques such as JIT and Enterprise Resource Planning (ERP). Control of the physical distribution, ordering, invoicing and payment systems, particularly for major retailers, is often still carried out using EDI networks such as Tradanet (www.gegxs.com/gxs/products/product/traser). Increasingly, though, retailers such as Tesco are allowing Internet access to their suppliers for real-time electronic point-of-sale (EPOS) data. Trusted supplier partners can thus respond more quickly to changes in customer demand.

PRODUCT

'Product' is equivalent to Customer benefit in the 4Cs. In fact, people do not buy 'products' as such, but rather solutions to problems, or good feelings. The oft-quoted example is of a company selling the 'product' of an 8-mm drill bit. What the customer actually buys, though, is 8-mm holes. The customer is not interested in features of the drill such as the grade of steel used, only in whether it will solve the particular problem: drilling through plaster, mortar and brick, for example.

Online catalogues selling B2B might well describe this as 'tungsten carbide tipped' in the realistic expectation that trade customers will fully understand the purpose. When selling B2C, a description more in line with customer wants should be used, say 'for drilling masonry for wall plugs and similar'.

When buying online, customers are far less likely to request help than they are in the store, cash-and-carry, buying via telesales or even when placing a formal written order. Rather, when buying online, customers who need help in understanding a product are more likely to abandon the transaction and find an alternative supplier, or even buy through a different channel. e-Businesses, therefore, need to be particularly careful about describing products clearly in customer benefit terms.

The second reason why customers buy products - to get good feelings - is also apt for the e-Business. Other channels such as the retail store or the face-to-face salesperson are often much better at identifying and satisfying customers' emotional needs and wants. The physical store uses atmospherics in the attempt to change mood and give shoppers a pleasant emotional experience when buying. Emotional cues may include visual (decor), olfactory (perfume), touch (smooth and cool or soft and cuddly) and oral (music) cues. Similarly, the sales representative selling face to face has the opportunity of using verbal and non-verbal (body language) communication to build personal relationships with customers, enhancing the emotional value of products.

In trying to replicate the physical buying experience, the e-Business is at a disadvantage. On the other hand, with transaction data ready-digitized, the e-Business is well placed to enhance product value using CRM techniques. For example, data-mining can be used to build a picture of products most likely to be wanted by individual

customers. Products tailored specifically can be offered proactively. Amazon (www.amazon.co.uk), for instance, uses such a system to match new books to existing customers likely to be interested in them.

The Internet, though, has the advantage in selling information-based products, including market information, business application and games software. For example, to find information on size and trends of consumer markets, there is no need to purchase a heavy paper-based report; the information can be downloaded from suppliers such as Mintel (sinatra2.mintel.com).

PRICE

'Price' is equivalent to cost to the customer in the 4Cs. Pricing decisions generate revenue, whereas the rest of the marketing mix involves costs. Pricing decisions are particularly critical for the e-Business as there is a customer perception that prices should be lower online than otherwise. Many organizations (e.g. Eurotunnel; www.Eurotunnel.com for car crossings from England to France) apply a standard discount for online purchase.

In some cases, customers can make much bigger savings buying online. For instance, to buy tickets from a travel agent in the UK for the Calgary Stampede rodeo in Canada (www.calgarystampede.com/stampede) is likely to be expensive, as the agent will probably sell these only as part of a package. Tickets can be booked directly via the Internet at a substantial saving. Some e-Businesses sell almost solely on the basis of price. For example, emagazineshop (www.emagazine-shop.com) sells a wide range of the magazines normally available at newsagents'. Subscription prices are normally lower than newsagents, but emagazineshop offers lower prices still. The most popular magazines are discounted by at least 20 per cent, more specialist ones 10 per cent. This is a rare example of a pure-play dotcom, founded in 1997, that has survived the dotcom crash and is growing steadily, now employing 25 people. Despite the Internet facilitating de-layering of intermediaries, it is still not automatic that costs will be less for selling online.

Someone still has to carry out functions such as breaking bulk and physical delivery - and for online sales these can be even higher than for offline (many small orders delivered to individual customers rather than fewer, larger deliveries to a store), with consequent loss of advantages of economies of scale. Hence, many suppliers selling on the basis of cheap prices, even successful ones like Amazon (www.amazon.co.uk), struggle to make a profit on their e-Operations. Again, this is an area where the success of emagazineshop is an exception.

Not all prices are lower on the Internet. As already mentioned, the cost to the customer includes not just the selling price, but all the costs of buying. To buy from a (bricks) grocery supermarket incurs transport costs, and also the notional cost of the value of a customer's travel time. Tesco (www.tesco.com) is able to make a charge for home delivery, which its many e-Customers must consider represents good value.

The Internet is an ideal medium for operating a mechanistic market. For the customers, this means quick and easy access to the 'best' deals. For sellers, this should in theory mean a level playing field, where products offered at a competitive price sell, regardless of issues such as the size of the organization; hence the suitability of the Internet for electronic trading exchange.

The level playing field idea, though, has hit some snags when translated to practice, and price-based services have achieved no more than modest success to date. A number of buying services are available such as Shopsmart (uk.shopsmart.com), the leading consumer price comparison site, and ComputerPrices ([www. ComputerPrices.co.uk](http://www.ComputerPrices.co.uk)), which finds the cheapest computer kit in the UK. Priceline (www.priceline.com) is an alternative price-based service that creates a market or reverse auction.

Enter the price you want to pay for a wide range of services like flights or hire cars and the system searches for suppliers willing to sell at that price - but the customer cannot choose the (say) airline for their flight. The company does, however, guarantee that it will be one of the top airlines. Most UK customers, though, prefer to have more control over what they get, rather than buying purely on price. For most e-Businesses, pricing remains as for non-electronic strategies; that is, based on the complex interaction of all elements of the marketing mix and value.

Marketing pricing is still what it was, the price that customers are willing to pay, based on considerations such as the company, brand, reputation and product. The difference that e-Commerce makes is that pricing and competitor information is faster and more transparent, meaning that market forces also tend to act faster and perhaps more efficiently. There is thus a tendency for prices to converge at lower levels.

PROMOTION

Promotion' is equivalent to Communication in the 4Cs. First thoughts on promoting the e-Business must be that it is unnecessary - the business can rely on its super Web site. Having built that Web site, it can sit back and wait for customers. Of course, we quickly realise that there is more to it than that.

Why should visitors come to our Web site? If surfers do find it, are they our potential customers? In practice, it is likely that we will have to be more proactive in promotion, integrating e- with other communications channels.

For many businesses, selling predominantly both on- and offline, the Internet is just one of a wide range of communication channels. The 'process' of integrating the communication tools is vital.

People' play a vital part in the marketing communication process, even (or perhaps especially) for the e-Business. Customers want human contact, and those businesses that can provide a real human to interact with a customer quickly - whether online, via email, over the telephone or even face to face - are more likely to succeed than some of the faceless, e-only operations that have been getting a reputation for poor service.

Similarly, though, those e-Businesses with customer-friendly systems that effectively mimic human interaction (www.google.com) and Amazon (www.amazon.com) tend to be more popular than the more mechanistic sites. The People aspect is also important for e-Businesses in tailoring offers to the individual customer. For example, Amazon emails details of new books to customers whose profile makes them likely customers.

MAKING BANNERS WORK

Recently, a perception has arisen in the marketing world that banner ads are not cost-effective. Despite this, online advertising expenditure is still growing, and has now reached well over £150 million per year (£30 million more than cinema advertising, for example).

The interstitial, a pop-up that interrupts browsing to show an ad, is a much more active form of advertising. Some people using the Web for a specific purpose find these irritating, though. Online advertising company RealMedia (www.uk.realmedia.com) is using a less intrusive system called adPointer. This generates an ad when the cursor has not moved for a specific time.

Schemes that provide users with incentives to look at advertisements have been around for some years, but in the UK, Bananalotto.com (www.bananalotto.com) has raised the stakes by offering the chance to win £1 million as you click the banner ad. KPE, the media and entertainment consultancy, developed around ten games for its clients. Managing Director Paul Zwillberg says, 'So much of the Internet has been characterized by repurposing things that worked well in print or on TV.

Advergaming' is ... a new combination that's made for the medium.... You take one of the most popular uses of interactive content and marry it with tried and tested advertising models like brand association, trial or data capture and you get something really wonderful.'

SOFTWARE USEFUL IN KNOWLEDGE MANAGEMENT SYSTEMS

Today, knowledge management systems often integrate a variety of off-the-shelf software products, such as groupware, document management systems, E-mail, relational databases, and workflow, with knowledge extraction tools, knowledge management software, knowledge management intranet search engines, knowledge management alternatives (Lexis-Nexis), and knowledge-discovery or data mining software.

In addition, knowledge management systems can employ OLAP software, statistical analysis software, and GUI/4GL software packages to assist decision makers in getting at the knowledge at hand. Depending on the nature and purpose of a knowledge management system, there can be still other software products and hardware needed to form a complete KMS package to gather, organize, collaborate, refine, and distribute

knowledge. Essential to capturing and making individuals' knowledge available to the entire organization is the ability to deal with heterogeneous information. Although data warehouses are useful for collecting and storing structured information in an organization, a large amount of information resides in unstructured text—E-mail messages, documents, presentations, etc.

Knowledge extraction tools to get at appropriate organizational information will be covered next. Then the popular software approaches mentioned above will be set forth in some detail to complement the discussion of knowledge management software.

KNOWLEDGE EXTRACTION TOOLS

A starting point within a KMS environment is extracting information initially in the entire knowledge acquisition process. Other than the laborious task of manual mining of information, the preferred way is to make this information structured and readily accessible—that is, turn it into organizational knowledge by identifying and extracting important content from the text automatically.

Knowledge extraction from text involves several underlying phases of document and linguistic analysis: breaking the document into units (titles, paragraphs, sentences, and words), determining the linguistic role of each word in each sentence (i.e., noun, verb, adjective, etc.), normalize different surface representations of the same word (i.e., bought, buys, etc.), and identifying and classifying patterns within the analyzed, normalized text that constitute content-rich structures—noun phrases (“stock market decline”), people (“President Clinton”), and organizations (“Treasury Department). In turn, these extracted objects can be indexed by search engines, for example, in order to support better retrieval, categorization of topic area, and message routing and filtering.

The challenge for providers of knowledge extraction tools is to provide a product that is very fast, accurate, and extendable. Because organizations deal with hundreds of gigabytes of textual information, system throughput is critical, as are precision (correctness) and recall (completeness). For many companies, knowledge extraction tools must deal with text in several languages.

Above all, the tools must be able to be tailored to the customer's domain and to the KMS environment. Due to the complexity of knowledge extraction tools, they have not been developed overnight, but rather over a long period of time.

For example, Inxight's LinguistX product line is the result of 20 years of research and development at Xerox PARC. This product line provides multilingual natural language processing components to extract knowledge at very high speeds. It supports a range of functions, from automatic language and character-set identification to phrase extraction to automatic summarization in 11 European languages and Japanese, with others to follow.

Today, LinguistX is incorporated into major applications from companies, such as Infoseek, Excite, Oracle, Textwise, and Verity. These products along with many others are covered in the material to follow on knowledge discovery software.

KNOWLEDGE MANAGEMENT SOFTWARE

Knowledge management software shares its borders with search and knowledge discovery or data mining tools where the differences are somewhat subtle. That is, search tools ferret out information known to be present, but they do not necessarily reveal anything inherent in the data. Data mining focuses on legacy data that is more transactional and financial in nature for extracting patterns, trends, and rules.

In contrast, knowledge management software provides the capability for users to collect and organize information and knowledge, search for what is needed, and share the findings with others. As will be seen in the exposition to follow, knowledge management software varies from one vendor to another. Thus, it is helpful to look at these software tools from this perspective. It should be noted that identifying the intended purpose of knowledge management tools will go a long way toward choosing the appropriate one(s).

GrapeVine for Lotus Domino and Lotus Notes is a groupware management system that helps companies classify and index corporate knowledge using charts and profiles. It is highly scalable and follows earlier release of its client/ server version. If a company has deployed Notes, employees are already using it to exchange information about their projects, sales leads, and the like. GrapeVine attempts to discover and route existing information stored in Notes databases or on local area networks that it thinks company employees have an interest in. With this approach, users might even find the new project they are embarking on overlaps with one already in progress in another part of the company.

Typically, GrapeVine is the best solution for companies that rely heavily on Lotus Notes for messaging, collaboration, and document storage. The application sits on top of the Lotus Domino server and pulls information from Notes databases and other external files. It then distributes the information to users through the Notes messaging system. Integrating GrapeVine with Notes should be straightforward for a Notes administrator, but GrapeVine does provide a consultant for three days (at no charge) to help with the details. Users familiar with Notes will take to GrapeVine quickly. It is available from GrapeVine Technologies, Inc., Troy, Michigan (248-680-6685).

Wincite is a Windows-based knowledge management system that has fast data retrieval, flexible report distribution, and graphing and support using an Oracle client/ server architecture. The Wincite solution tackles the knowledge management system from a conventional approach.

It is aimed at analysts who track market conditions, competitors, and other information. This tool organizes intelligence and distributes it to employees within a business. If analysts are knowledgeable, Wincite will amplify their aptitude; if their insight is less keen, it will distribute those findings as well.

This solution approach to knowledge management requires in-depth customization by the vendor to define the content users want to track, design the data entry screens, and set up the briefing books. Wincite consultants work on site for about six days and

then complete the job back at the Wincite office. The entire process takes about one month. Because the Wincite approach to knowledge management is straightforward, it does not profess to find any hidden relationships within the data. However, it organizes what analysts feed into the knowledge base and distributes it throughout the organization.

The knowledge base is easily built by linking Wincite to external files or inserting data directly into the system. Findings are consolidated into tailored reports that can be posted to a web site or sent by E-mail. It can be obtained from Wincite Systems LLC., Chicago, Illinois (312-630-4848).

Another knowledge management software package is KnowledgeX. By feeding it pieces of information, KnowledgeX can discern relationships that the user might otherwise overlook.

For example, by feeding it with public documents about management and investment policies, the solution might reveal hidden relationships that might be indicative of how future management decisions will be made. Similarly, KnowledgeX is a useful tool for tracking the career paths of the competition's chief executives and displaying the results graphically. KnowledgeX displays its output either in a hierarchy or in a "spider web" form. Generally, since KnowledgeX is easy to implement for users familiar with SQL databases, it requires little maintenance and lets users create some custom reports.

Other knowledge management tools include the following: Sovereign Hill provides a search and index tool, a web access layer, and a sophisticated database that understands people, places, and things. The software parses free-form data and distills it into the core relationships. For example, after supplying it with industry news, users can query Sovereign Hill about competitors. Its answer will not just incorporate hits on a competitor, but also identifies the relationships the competitor has with employees, customers, or competitors.

It is available from Sovereign Hill Software Inc., Dedham, Massachusetts (781-407-7700). KnowledgeShare (from Cambridge Technology Partners, Inc.) is a client/server-based system for developing and managing an enterprise-wide repository on intranets.

Lastly, Decision Suite 3.0 (from Information Advantage) is an integrated suite that lets a user navigate, filter, visualize, and share live analysis and information. Overall, these knowledge management tools are designed to help typical companies manage corporate knowledge effectively and disseminate it throughout the organization as needed to assist appropriate company employees.

KNOWLEDGE MANAGEMENT INTRANET SEARCH ENGINES

Knowledge management software that utilizes intranet search engines is the most basic and widely used tool for finding and accessing information housed on companies' Internet-based computer networks.

Many of these products came from earlier ones designed to locate and retrieve data from databases, file systems, and other legacy systems before intranets took hold across

companies. Typically, search engines often make up just one part of a broader-based knowledge management product package. Typical intranet search engines are set forth below.

The Knowledge Access Suite from Information Discovery (Hermosa Beach, California) was the first and only set of products to provide business users with a gateway to knowledge that has been predistilled from data and is stored in a Pattern Warehouse.

Business users need not perform data analysis but simply query explainable knowledge on the intranet that has been automatically premined. At the heart of the Knowledge Access Suite lies PQL (Pattern Query Language) which is a pattern-oriented query language specially designed to provide business users access to refined information, just as they use SQL to access data. Originally a supplier of software and services to the CD-ROM market, Dataware Technologies, Inc. developed NetAnswer, knowledge management technology that utilizes its own database.

Once information is found, it is placed in the database, thereby eliminating the chance of its disappearing from a non-Dataware data source.

The current Dataware NetAnswer release is a query-and-retrieval system featuring relevance ranking and natural language processing. It is compatible with major web browsers and consists of a server and database.

Excalibur Technologies Corporation (Vienna, Virginia) developed Visual RetrievalWare software specifically for finding data in a multimedia age. The software is designed to index and retrieve text, photos, video, audio, and animation via Boolean language as well as statistical, semantic, and pattern recognition. Excalibur also has a product specifically for text searches.

Another intranet search engine is one that is available from Fulcrum Technologies, Inc. (Ottawa, Canada), which pioneered “brokering technology.” Brokering technology allows users to index information residing on networked computers and execute simultaneous inquiries across network resources. The key to the company’s Knowledge Network product is a feature called Knowledge Map, a folder hierarchy that shows users the information sources available to them through the corporate intranet. Knowledge Network consists of software that sits on a web server and can be accessed via standard web browsers.

Information Dimensions, Inc. (IDI) (Hermosa Beach, California), a spin-off from the Battelle Memorial Institute, first developed a product called Battelle’s Automated Search Information System (BASIS). IDI has since developed a BASIS intranet package for UNIX and NT networks that includes a document manager, a web server gateway, and client software. Another important company in this category of knowledge management intranet search engines is Verity, Inc. (Sunnyvale, California).

Verity’s flagship product is SEARCH ’97, an application platform containing a group of tools designed for accessing information from many data sources across an enterprise. It features agent technology designed to proactively search, filter, categorize, and deliver information to users; database gateways that allow for cross-database searching; and

an intranet spider for indexing data. It includes a user interface for the desktop, an information server, and an agent server.

KNOWLEDGE MANAGEMENT ALTERNATIVE—LEXIS-NEXIS

Setting up a programme with Lexis-Nexis is an alternative to the knowledge management software mentioned above. This company provides businesses with information collected from a wealth of news sources and public records that users can search and retrieve over the Internet. Currently, it houses more than one billion documents in a massive central repository and adds almost 14 million documents to the pool each day. Actually, Lexis-Nexis consists of two separate services. The Lexis is a full-text legal information service that was started in 1973 to help legal professionals more efficiently research the law.

Lexis has evolved into 40 specialized libraries covering all major fields of practice, including tax, securities, banking, environmental, energy, and international law. On the other hand, Nexis news and information service, which began in 1979, is a leading news and business information service. It contains more than 13,500 sources, including regional, national, and international newspapers, news wires, magazines, trade journals, business publications, and public records.

The Lexis-Nexis system is somewhat similar to the Wincite software mentioned previously. It searches for information based on specific criteria and delivers it to the users in a company who need answers. In the early stages of implementation, a Lexis-Nexis representative meets with the knowledge manager to determine the type of information that needs to be collected and the relevant topics that need to be covered.

The representative gets a firsthand view of the type of user that the system will serve and the person(s) who will be in control of the information pool. Next, the Lexis-Nexis representative determines which product best serves the needs of the company. Lexis-Nexis offers a number of services, among them Tracker, Info Tailor, and Requester. Tracker is a software programme that lets the knowledge manager search for information and publish the results on the corporate intranet or in other common areas, such as a Lotus Notes database. Info Tailor is a personal information agent that brings customized news to the user's desktop every morning. Requester is a search tool designed for users who need to track their own information from their desktops.

Users can request information on a variety of topics including news, company financial and personnel statistics, industry forecasts, and product data. Among the companies using the Lexis-Nexis system are utility companies, which use it to track their competitors and new regulations that affect the utilities industry. These utilities can also prospect companies that are relocating to other local areas to win new accounts.

KNOWLEDGE DISCOVERY OR DATA MINING SOFTWARE

Knowledge discovery or data mining software provides an important means for decision makers in a KMS environment to uncover patterns and trends as well as rules

for today and tomorrow. Among the major players are: Angoss Software International, Business Objects, Cognos, DataMind, IBM, Information Discovery Inc., Magnify, NeoVista Solutions, Pilot Software, SAS Institute, and Thinking Machines.

The Data Mining Suite is an integrated set of products that provide a powerful, complete, and comprehensive solution for large-scale enterprise-wide decision support and data mining. The system works directly on very large SQL repositories with no need for sample or extract files and delivers results on the web.

Over 90 percent of computations are performed on the server, in parallel if desired. The system directly accesses large volumes of OLAP and relational data, incrementally discovers powerful patterns that are very general and go far beyond decision trees and simple rules. The system delivers automatically generated English text and graphs as explainable documents on the intranet. Another typical software product is the Intelligent Miner from IBM that runs on AIX using a 5-node RS/6000 SP.

Analyses are performed from Intelligent Miner clients on Windows NT. This software package serves as the core technology for Loyalty Consulting's data mining services for clients in finance, retail, telecommunications, and other industries. Intelligent Miner's full range of data mining capabilities help users to acquire more intimate knowledge of their customers, predict customer behaviour, and find the most cost-effective way to influence that behaviour. Most importantly, Intelligent Miner meets users' key criterion for data mining: the ability to deliver measurable results, such as increased revenues and lower selling costs.

It provides a wide range of algorithms for clustering (both demographic and neural), classification (tree induction and neural induction), value prediction, association discovery, sequential pattern discovery, and predictive modeling. Essentially, Intelligent Miner allows users to build better data mining models than are available with many other tools since it offers a broad range of data mining algorithms that can be combined to provide greater value to users.

Server data mining software licenses typically cost \$150,000 to \$200,000, while desktop or "micro mining" software licenses typically cost \$500 to \$50,000. For example, IBM's Intelligent Miner can deal with data warehouses containing hundreds of gigabytes or terabytes of information. Its licenses range in price from \$25,000 to \$150,000 for systems from Risc/6000 UNIX machines to System/390 mainframes. Although these costs may appear to be somewhat high, some vendors and users note that data mining offers a good return on investment and an important competitive advantage.

DATABASE AND COMPUTER VENDORS INCORPORATE KNOWLEDGE DISCOVERY OR DATA MINING CAPABILITIES

Today, database vendors have integrated their products with the data mining capabilities of other vendors. This decision support strategy pairs the processing horsepower of relational databases with the discovery-driven analysis capability of data

mining. This combination improves the scalability and performance of data mining applications, and simplifies their management. For example, Brick Systems (Los Gatos, California) has integrated its RDBMS technology with data mining technology from Data Mind (Redwood City, California). DataMind Professional Edition provides scalable data mining software that builds a model from historical data via an automatic discovery process, thereby allowing business professionals to explore relationships in historical company data.

In addition, data mining vendors are cooperating with computer vendors. For example, several vendors, like Information Discovery Inc., NeoVista Solutions, Pilot Software, and SAS Institute, are linked with Hewlett Packard. They are part of HP's OpenWarehouse Alliance Programme which focuses on selecting best-in-class warehouse component providers to ensure compatibility and to maximize functionality on HP computing platforms. Information Discovery System is a collection of client/server data mining tools that work with Oracle, Sybase, and Red Brick relational databases and also perform data mining on the Internet.

This software takes advantage of the parallel processing technology of an HP 9000 Enterprise Parallel Server by decomposing its analysis and sending it to the separate processors automatically. In a similar manner, NeoVista Solutions' Decision Suite Series provides comprehensive, enterprise level, data mining solutions, and associated professional services to Global 2000 companies.

Products are based on a comprehensive suite of automated knowledge discovery software—the Decision Suite Series—designed to be highly scalable and to integrate easily with legacy and open systems decision-support environments, such as HP's Enterprise Parallel Server.

The Pilot Discovery Server (a key component in the Pilot Software Decision Support Suite) is a sales and marketing product that uses data mining to help users increase sales and acquire and retain customers. Seamlessly integrated within a large relational data warehouse, Pilot Discovery Server analyzes all available information in customer activity and demographics. The product runs on HP 9000 Enterprise. Similarly, the SAS Institute's software—SAS/Insight and SAS/Spectaview—offers various tools for the exploration of data to uncover anomalies in the data tools for modeling as well as analytical tools, such as multi-dimensional analysis. SAS software runs on HP computing platforms.

OLAP SOFTWARE

OLAP software centers on *multidimensional analysis*, which is an architecture for performing computer analysis in new and different ways. OLAP software packages can be used to uncover new patterns and knowledge about a company's operations. Typically, this analysis divides data into the important dimensions used to manage the business.

For example, dimensions for marketing applications might include products, market areas, distribution channels, and time periods. In turn, these dimensions can be used to

describe each data point in the database, such as selling price, units sold, total revenue, and market share. Dimensions can be further described by attributes, such as location, size, or year. Attributes can also describe hierarchies within a dimension, even overlapping and inconsistent hierarchies.

From an end user's perspective, multidimensional analysis provides for selection, analysis, summarization, and reporting by dimensions and attributes within dimensions. Multidimensional analysis can support virtually any time-series application. These include forecasting and budgeting. Most current spreadsheet, database, and reporting tool vendors offer simplistic multidimensional tools.

However, some of these vendors and others are offering more sophisticated tools. That is, all multidimensional engines are not created equal.

There is a need to look for engines that can work with any data warehouse, use meta data, and use any PC development tools for the user interface. Not only should the engine be robust to support an unlimited number of dimensions, custom groupings, and automatic and custom calculations but the engine also needs to reside on a server large enough to support hundreds of users, large volumes of data, and intensive processing.

The major OLAP software products include Essbase from Arbor Software, Inc. (Sunnyvale, California); Commander from Comshare, Inc. (Ann Arbor, Michigan); Express from Oracle Corporation (Redwood Shores, California); KnowledgePoint from Knosys Inc.

(Boise, Idaho); and LightShip Suite, from Pilot Software, Inc. (Cambridge, Massachusetts). They exhibit some interesting and helpful features to users.

For example, some software products handle up to six dimensions with ease. In addition to this software, some users are turning to alternative products because they are considered easier and faster to implement. For example, Business Objects from Business Objects, Inc. (San Jose, California) gives managers the ability to perform complex multidimensional analysis, thereby allowing them to follow lines of questioning on their own. As another example, SAS/EIS from SAS Institute (Cary, North Carolina) uses fourth generation language-based packages that are designed to provide multidimensional views and analyses.

STATISTICAL ANALYSIS SOFTWARE

Although many of the current software packages have statistical analysis capabilities, there are those that are designed primarily as statistical analysis systems for uncovering important relationships and trends. For a typical business situation, a series of data is used to see what the results look like when plotted under a certain set of conditions. Interactively, the set of conditions can be changed and new output plotted.

Needless to say, there are a whole series of business problems that benefit from graphic solutions: project planning, break-even analysis, learning curves, and so forth. Since a picture is often worth a thousand words, a thousand lines of printout, or ten minutes of discussion, decision makers are able to absorb a tremendous amount of

information when it is shown graphically. Because knowledge management systems make great use of computer graphics, they allow organizational personnel to build models and speculate with their computers using graphic output concerning how hypothetical decisions might translate into reality. A number of statistical analysis packages currently available include SAS (Statistical Analysis System) from the SAS Institute, Inc., SAM (Strategic Analysis Model) from Decision Sciences Corporation, SPSS from SPSS, Inc., STATSII from CompuServe, and DISSPLA and Tell-A-Graf from Integrated Software Systems Corporation. SAS is used for most statistical applications that are widely found in business today.

SAM has been used for expediting strategic planning by generating alternative future scenarios. SPSS is useful in market-research studies; STATSII centers on business statistics, forecasting, and econometric modeling. DISSPLA is a graphics software system with a high-level subrouting plotting language for producing graphs, surfaces, and maps. Tell-A-Graf enables users to call up graphs, charts, and plots using simple English-like statements.

2

Customer Relationship Management

Customer relationship management is a broadly recognized, widely-implemented strategy for managing a company's interactions with customers, clients and sales prospects. It involves using technology to organize, automate, and synchronize business processes—principally sales activities, but also those for marketing, customer service, and technical support.

The overall goals are to find, attract, and win new clients, nurture and retain those the company already has, entice former clients back into the fold, and reduce the costs of marketing and client service. Customer relationship management denotes a company-wide business strategy embracing all client-facing departments and even beyond.

When an implementation is effective, people, processes, and technology work together to increase profitability, and reduce operational costs.

RELATED TRENDS

Many CRM vendors offer Web-based tools and software as a service which are accessed via a secure Internet connection and displayed in a Web browser. These applications are sold as subscriptions, with customers not needing to invest in the acquisition and maintenance of IT hardware, and subscription fees are a fraction of the cost of purchasing software outright.

PHASES OF CRM

The three phases in which CRM help to support the relationship between a business and its customers are, to:

1. *Acquire*: A CRM can help a business in acquiring new customers through excellent contact management, direct marketing, selling and fulfillment.
2. *Enhance*: A web-enabled CRM combined with customer service tools offers customers excellent service from a team of trained and skilled sales and service specialists, which offers customers the convenience of one-stop shopping.
3. *Retain*: CRM software and databases enable a business to identify and reward its loyal customers and further develop its targeted marketing and relationship marketing initiatives.

Challenges

Tools and workflows can be complex to implement, especially for large enterprises. Previously these tools were generally limited to contact management: monitoring and recording interactions and communications. Software solutions then expanded to embrace deal tracking, territories, opportunities, and at the sales pipeline itself.

Next came the advent of tools for other client-facing business functions. These technologies have been, and still are, offered as on-premises software that companies purchase and run on their own IT infrastructure. Often, implementations are fragmented; isolated initiatives by individual departments to address their own needs. Systems that start disunited usually stay that way: siloed thinking and decision processes frequently lead to separate and incompatible systems, and dysfunctional processes.

Types/variations

Sales Force Automation

Sales force automation involves using software to streamline all phases of the sales process, minimizing the time that sales representatives need to spend on each phase. This allows sales representatives to pursue more clients in a shorter amount of time than would otherwise be possible. At the heart of SFA is a Contact management system for tracking and recording every stage in the sales process for each prospective client, from initial contact to final disposition. Many SFA applications also include insights into opportunities, territories, sales forecasts and workflow automation, quote generation, and product knowledge. Newly-emerged priorities are modules for Web 2.0 e-commerce and pricing.

Marketing

CRM systems for marketing help the enterprise identify and target potential clients and generate qualified leads for the sales team. A key marketing capability is tracking and measuring multichannel campaigns, including e-mail, search, social media, telephone and direct mail. Metrics monitored include clicks, responses, leads, deals, and revenue. This has been superseded by marketing automation and Prospect Relationship Management solutions which track customer behaviour and nurture them from first contact to sale, often cutting out the active sales process altogether.

Customer Service and Support

Recognizing that service is an important differentiator, organizations are increasingly turning to technology platforms to help them improve their clients' experience while aiming to increase efficiency and minimize costs. Even so, a 2009 study revealed that only 39% of corporate executives believe their employees have the right tools and authority to solve client problems.”. The core for these applications has been and still is comprehensive call centre solutions, including such features as intelligent call routing, computer telephone integration and escalation capabilities.

Analytics

Relevant analytics capabilities are often interwoven into applications for sales, marketing, and service. These features can be complemented and augmented with links to separate, purpose-built applications for analytics and business intelligence. Sales analytics let companies monitor and understand client actions and preferences, through sales forecasting, data quality, and dashboards that graphically display. Marketing applications generally come with predictive analytics to improve segmentation and targeting, and features for measuring the effectiveness of online, offline, and search marketing campaign.

Web analytics have evolved significantly from their starting point of merely tracking mouse clicks on Web sites. By evaluating “buy signals,” marketers can see which prospects are most likely to transact and also identify those who are bogged down in a sales process and need assistance. Marketing and finance personnel also use analytics to assess the value of multi-faceted programmes as a whole.

These types of analytics are increasing in popularity as companies demand greater visibility into the performance of call centres and other service and support channels, in order to correct problems before they affect satisfaction levels. Support-focused applications typically include dashboards similar to those for sales, plus capabilities to measure and analyse response times, service quality, agent performance, and the frequency of various issues.

Integrated/Collaborative

Departments within enterprises — especially large enterprises — tend to function with little collaboration. More recently, the development and adoption of these tools and services have fostered greater fluidity and cooperation among sales, service, and marketing. This finds expression in the concept of collaborative systems which uses technology to build bridges between departments. For example, feedback from a technical support centre can enlighten marketers about specific services and product features clients are asking for. Reps, in their turn, want to be able to pursue these opportunities without the burden of re-entering records and contact data into a separate SFA system. Owing to these factors, many of the top-rated and most popular products come as integrated suites.

Small Business

Basic client service can be accomplished by a contact manager system, an integrated solution that lets organizations and individuals efficiently track and record interactions, including e-mails, documents, jobs, faxes, scheduling, and more. These tools usually focus on accounts rather than individual contacts. They also generally include opportunity insight for tracking sales pipelines plus added functionality for marketing and service. As with larger enterprises, small businesses are finding value in online solutions, especially for mobile and telecommuting workers.

Social Media

Social media sites like Twitter, LinkedIn and Facebook are amplifying the voice of people in the marketplace and are having profound and far-reaching effects on the ways in which people buy. Customers can now research companies online and then ask for recommendations through social media channels, making their buying decision without contacting the company.

Details on companies are now also shared online. People are using social media to share opinions and experiences on companies, products and services. As social media is not as widely moderated or censored as mainstream media, individuals can say anything they want about a company or brand, whether pro or con.

Increasingly, companies are looking to gain access to these conversations and take part in the dialogue. More than a few systems are now integrating to social networking sites. Social media promoters cite a number of business advantages, such as using online communities as a source of high-quality leads and a vehicle for crowd sourcing solutions to client-support problems. Companies can also leverage client stated habits and preferences to personalize and even “hyper-target” their sales and marketing communications.

Some analysts take the view that business-to-business marketers should proceed cautiously when weaving social media into their business processes. These observers recommend careful market research to determine if and where the phenomenon can provide measurable benefits for client interactions, sales and support.. It is often found that people feel that interaction is peer to peer between them and their contacts and resent the company involvement, responding with negatives about that company.

Non-profit and Membership-based

Systems for non-profit and membership-based organizations help track constituents and their involvement in the organization. Capabilities typically include tracking the following: fund-raising, demographics, membership levels, membership directories, volunteering and communications with individuals. Many include tools for identifying potential donors based on previous donations and participation. In light of the growth of social networking tools, there may be some overlap between social/community driven tools and non-profit/membership tools.

Strategy

For larger-scale enterprises, a complete and detailed plan is required to obtain the funding, resources, and company-wide support that can make the initiative of choosing and implementing a system successful.

Benefits must be defined, risks assessed, and cost quantified in three general areas:

- *Processes:* Though these systems have many technological components, business processes lie at its core. It can be seen as a more client-centric way of doing business, enabled by technology that consolidates and intelligently distributes pertinent information about clients, sales, marketing effectiveness, responsiveness, and market trends. Therefore, a company must analyse its business workflows and processes before choosing a technology platform; some will likely need re-engineering to better serve the overall goal of winning and satisfying clients. Moreover, planners need to determine the types of client information that are most relevant, and how best to employ them.
- *People:* For an initiative to be effective, an organization must convince its staff that the new technology and workflows will benefit employees as well as clients. Senior executives need to be strong and visible advocates who can clearly state and support the case for change. Collaboration, teamwork, and two-way communication should be encouraged across hierarchical boundaries, especially with respect to process improvement.
- *Technology:* In evaluating technology, key factors include alignment with the company's business process strategy and goals, including the ability to deliver the right data to the right employees and sufficient ease of adoption and use. Platform selection is best undertaken by a carefully chosen group of executives who understand the business processes to be automated as well as the software issues. Depending upon the size of the company and the breadth of data, choosing an application can take anywhere from a few weeks to a year or more.

Implementation Issues

Increases in revenue, higher rates of client satisfaction, and significant savings in operating costs are some of the benefits to an enterprise. Proponents emphasize that technology should be implemented only in the context of careful strategic and operational planning.

Implementations almost invariably fall short when one or more facets of this prescription are ignored:

- *Poor planning:* Initiatives can easily fail when efforts are limited to choosing and deploying software, without an accompanying rationale, context, and support for the workforce. In other instances, enterprises simply automate flawed client-facing processes rather than redesign them according to best practices.

- *Poor integration:* For many companies, integrations are piecemeal initiatives that address a glaring need: improving a particular client-facing process or two or automating a favoured sales or client support channel. Such “point solutions” offer little or no integration or alignment with a company’s overall strategy. They offer a less than complete client view and often lead to unsatisfactory user experiences.
- *Towards a solution:* Overcoming siloed thinking. Experts advise organizations to recognize the immense value of integrating their client-facing operations. In this view, internally-focused, department-centric views should be discarded in favour of reorienting processes towards information-sharing across marketing, sales, and service. For example, sales representatives need to know about current issues and relevant marketing promotions before attempting to cross-sell to a specific client. Marketing staff should be able to leverage client information from sales and service to better target campaigns and offers. And support agents require quick and complete access to a client’s sales and service history.

Adoption Issues

Historically, the landscape is littered with instances of low adoption rates. In 2003, a Gartner report estimated that more than \$1 billion had been spent on software that was not being used. More recent research indicates that the problem, while perhaps less severe, is a long way from being solved.

According to CSO Insights, less than 40 per cent of 1,275 participating companies had end-user adoption rates above 90 per cent.

In a 2007 survey from the U.K., four-fifths of senior executives reported that their biggest challenge is getting their staff to use the systems they had installed. Further, 43 per cent of respondents said they use less than half the functionality of their existing system; 72 per cent indicated they would trade functionality for ease of use; 51 per cent cited data synchronization as a major issue; and 67 per cent said that finding time to evaluate systems was a major problem. With expenditures expected to exceed \$11 billion in 2010, enterprises need to address and overcome persistent adoption challenges.

Specialists offer these recommendations for boosting adoptions rates and coaxing users to blend these tools into their daily workflow:

- *Choose a system that is easy to use:* All solutions are not created equal. Some vendors offer more user-friendly applications than others, and simplicity should be as important a decision factor as functionality.
- *Choose the right capabilities:* Employees need to know that time invested in learning and usage will yield personal advantages. If not, they will work around or ignore the system.
- *Provide training:* Changing the way people work is no small task, and help is usually a requirement. Even with today’s more usable systems, many staffers still need assistance with learning and adoption

- *Lead by example:* Showing employees that upper management fully supports the use of a new application by using the application themselves may increase the likelihood that employees will adopt the application.

Privacy and data security system

One of the primary functions of these tools is to collect information about clients, thus a company must consider the desire for privacy and data security, as well as the legislative and cultural norms. Some clients prefer assurances that their data will not be shared with third parties without their prior consent and that safeguards are in place to prevent illegal access by third parties.

CRM Role in Sales Strategy

Customer relations management software can help your business grow by managing many sales processes, from lead scoring to enhancing long-term customer relationships. A January 2010 study by the Aberdeen Group revealed that many of the fastest-growing companies use CRM technology to turn more sales leads into revenue.

The study showed that 63 percent of companies with the highest annual growth in terms of revenue from sales leads used lead management technology, such as CRM.

Sales Planning

CRM software can give you an overview of your projected sales for a specific period. Such forecasting data can help you plan marketing campaigns and prepare for increases or dips in sales volume.

You can also use data from the CRM system to manage sales territories more effectively. It allows you to view the schedules of your field agents along with the potential of various territories so you can place the right members of your team in the locations where they are most needed, thus optimizing your team's performance.

Improve Lead Conversion

CRM can help shift the focus of your sales professionals away from peripheral tasks so they can spend more time selling. Data gathered through CRM software can help monitor sales quotas, identify deals that have not yet closed and create strategies to shorten sales cycles.

Your CRM system will track and assess incoming leads and distribute the most promising leads to the agents most likely to close the sale. CRM applications can also help to foster efficient collaboration within your team by coordinating tasks among agents.

Build Customer Relationships

Maintaining existing customer relationships is just as important to your business as acquiring new customers. CRM applications can store detailed data from each interaction

with your customers. Your sales and marketing teams can use this information to anticipate your customers' needs. Consistently providing personalized customer service will help you build a loyal customer base.

CRM can manage customer account profiles and sales processes as well as develop and monitor your long-term customer contracts.

Track And Analyze

CRM enables you to track lead data so you can calculate the return on your lead investments and marketing campaigns on an ongoing basis. This allows you to see which lead sources are producing the most revenue and adjust your focus accordingly. It also lets you access data on each lead, which is a valuable asset for your sales team.

According to CRM producer SAP, the sales analysis aspect of the software can "monitor the overall health of your business by creating accurate forecasts, proactively monitoring pipeline performance, effectively managing budgets and properly allocating resources to meet revenue goals.

Pricing And Order Fulfillment

CRM helps to ensure accurate pricing and quotes. It also captures and tracks customer orders, confirms product availability and expedites order fulfillment.

Among the chief purposes of CRM, according to the CRM information resource website SearchCRM, is "providing employees with the information and processes necessary to know their customers, understand and identify customer needs, and effectively build relationships between the company, its customer base and distribution partners."

CRM and Marketing Mix

Since CRM is among the vital constituents of the organisational processes as it supports identification of the customers, knowledge creation, development of relationships with the customers and incorporating their demands in the company's product or service offering, it helps in ensuring that the marketing mix is designed in accordance with the customer requirements (Palmiater et al., 2008).

For instance, when Toyota introduced economical cars meaning low priced cars to meet the demands of the middle class people, it was a big failure for the company as its loyal customer's perceived reduction in the quality of the company's products and started switching to other companies. In order to recover from the loss, the Toyota Company had to call back its economical cars and run ads on Television emphasizing that no compromise is made on the quality of its cars.

Similarly, when Unilever realized that its Sunsilk customers were unhappy with the shampoo packaging, it instantly launched new packaging in about a month to meet the demands of the customers. In order to create new image in the customer's minds, it engaged in various CRM activities such as organizing events like fashion shows, getting

the product endorsed by the leading celebrities and allowing the customers to avail free hair wash opportunities. Hence, when effective CRM activities are designed, only then the companies are able to attract the customers, develop cordial relations with them and retain them for long period of time.

In order to have a successful implementation of CRM in an organisation, there are four key areas that should be present in its business operations so that it can effectively develop cordial relations with its customers i.e. people, strategy, technology and processes (Hutt & Speh, 2007). According to Roberts, Liu and Hazard (2005), the successive CRM implementation process encompasses four key features i.e. keeping a close focus on the key customers, developing effective CRM plans in accordance with the customers' requirements, proper knowledge management processes so that information can be stored and used appropriately and applying technology within the organisation that supports CRM based strategies.

Consumer Market

The consumer market is composed of individuals who buy a specific good or service. Rarely does one product interest the entire population. This statement applies even to staples, such as sugar, flour, and salt. A small percentage of households do not eat these products, so even if a company did target the entire population, not everyone would be a potential consumer. The same statistical truth applies to cultural products.

However, because of the extremely fragmented nature of the cultural sector, some distinctions are in order. For example, looking at this sector as a whole, it can be said that nearly 100 per cent of the population consumes one type of cultural product or another.

Indeed, in its broadest sense, the cultural sector encompasses everything from the performing arts to heritage, compact disks, movies, book and magazine publishing, and radio and television, with each of these disciplines appropriating a more or less important share of global demand. In Canada, for example, statistics¹ show that 37.0 per cent of families attend a performing arts event at least once a year: movies 62.2 per cent, museums and art galleries 32.9 per cent.

In the United States the figures for cultural consumption are: classical music 15.6 per cent, opera 4.7 per cent, musicals 24.5 per cent, plays 15.8 per cent, ballet 5.8 per cent, art museums 34.5 per cent, and historical parks 46.9 per cent.² In Australia³ the figures are: musical theatre 19.3 per cent, classical music 7.7 per cent, festivals 21.9 per cent, concerts 23 per cent, and museums 27.8 per cent. Of course, within each of these sectors, consumers cluster according to specific poles of interest.

This leads to sharper market segmentation. The consumer makes a discriminating choice among various cultural products to acquire or consume the type of product desired. The distribution of consumers according to various market segments differs in both time and space. Markets undergo and reflect the influence of opinion leaders, trends, tastes, and societal characteristics.

Markets also vary from country to country according to different social structures. Over the past 40 years, various surveys focusing on the sociodemographic profile of consumers of cultural products have been carried out in nearly every European country as well as in Canada, the United States, Australia, and Japan.⁴ It is fascinating to note that, regardless of whether the surveys were conducted in the 1970s, 1980s, or 1990s, they all obtained the same attendance rates and the same sociodemographic profiles.

Differences in the measuring tools used can sometimes make it difficult to compare countries; nonetheless, these studies have consistently and systematically revealed strong polarisation of audiences between high art and popular culture across all countries over the past four decades.

They show, for example, that cultural products catering to high art attract educated consumers, whereas those catering to popular culture draw on all segments of the population, in accordance with the relative weight of each. The proportion of university graduates making up Canadian audiences, for example, ranges between 50 per cent and 70 per cent for high art, compared with 10 per cent to 25 per cent for popular culture. By way of comparison, the overall percentage of university graduates in Canada is 25 per cent.

Similar results have been found in other countries, most notably in France⁵ but also in Russia, where university graduates make up 50 per cent of performing arts audiences but only 7 per cent of the general population.

Other sociodemographic variables are also linked to attendance, including average income and type of occupation. It should be pointed out once again that this profile is based on averages.

Less-educated individuals with lower income may be great consumers of culture, as is the case for students and those specialised or working in the cultural milieu. Indeed, it is well known that, as a rule many people active in the arts are highly educated yet so ill paid that they struggle to stay above the poverty line. On the other hand, there are people with both very high salaries and very high educational levels who are not interested in the arts and gladly keep their distance.

Four factors are known to influence an individual's penchant for complex cultural products: family values that encourage or discourage high art; the educational milieu and the value it places on high art; the fact of having attended performances or visited museums as a child; and amateur art practice. A more detailed analysis of the typical cultural consumer's traits reveals other nuances based on the different disciplines.

For example, dance audiences are relatively younger and even more female in composition than those of the other performing arts; similarly, more women than men read novels, although a larger proportion of men read daily newspapers. In the film sector, there are two very different segments of avid cinema-goers; one of these segments is dominated by a young clientele, while the other is made up of educated people. The majority of consumers in the film sector belong to one or the other of these two segments.

Relationship Marketing

Although marketing practices can be traced back as far as 7000 B.C., marketing thought as a distinct discipline was borne out of economics around the beginning of this century. As the discipline gained momentum, and developed through the first three quarters of the twentieth century, the primary focus was on transactions and exchanges. However, the development of marketing as a field of study and practice is undergoing a reconceptualisation in its orientation from transactions to relationships. The emphasis on relationships as opposed to transaction based exchanges is very likely to redefine the domain of marketing. Indeed, the emergence of a relationship marketing school of thought is imminent given the growing interest of marketing scholars in the relational paradigm.

In this paper, we observe, that the paradigm shift from transactions to relationships is associated with the return of direct marketing both in business-to-business and business-to-consumer markets.

As in the pre-industrial era once again direct marketing, albeit in a different form, is becoming popular, and consequently so is the relationship orientation of marketers. When producers and consumers directly deal with each other, there is a greater potential for emotional bonding that transcends economic exchange. They can understand and appreciate each others' needs and constraints better, are more inclined to cooperate with one another, and thus, become more relationship oriented.

This is in contrast to the exchange orientation of the middlemen. To the middlemen, especially the wholesalers, the economics of transactions are more important, and therefore, they are less emotionally attached to products. Indeed, they touch products but simply act as agents and take title to the goods for financing and risk sharing. The separation of the producers from the users was a natural outgrowth of the industrial era. On the one hand, mass production forced producers to sell through middlemen, and on the other, industrial organisations, due to specialisation of corporate functions, created specialist purchasing departments and buyer professionals, thus separating the users from the producers.

However, today's technological advancements that permit producers to interact directly with large numbers of users and because of a variety of organisational development processes, such as empowerment and total quality programmes, direct interface between producers and users has returned in both consumer and industrial markets, leading to a greater relational orientation among marketers.

Academic researchers are reflecting these trends in marketing practice, and searching for a new paradigm of the discipline that can better describe and explain it. As with each new shift in the focus of marketing, there are advocates and critics of the relationship focus in marketing.

However, in the same way as Kotler observed about other shifts in marketing, we believe that the emergence of a relationship focus will provide a "refreshed and expanded self concept" to marketing.

Our optimism stems from at least four observations:

- Relationship marketing has caught the fancy of scholars in many parts of the world, including North America, Europe, Australia and Asia, as is evident from the participation in some of the recent conferences held on this subject;
- its scope is wide enough to cover the entire spectrum of marketing's subdisciplines, including channels, business-to-business marketing, services marketing, marketing research, customer behaviour, marketing communication, marketing strategy, international marketing and direct marketing;
- like other sciences, marketing is an evolving discipline, and has developed a system of extension, revision and updating its fundamental knowledge; and
- scholars who at one time were leading proponents of the exchange paradigm, such as Bagozzi, Kotler, and Hunt, are now intrigued by the relational aspects of marketing.

In the context of these developments, the purpose of this thesis is to trace the evolution of relationship marketing and to identify its antecedents. We plan to demonstrate that while relationship focus in the post-industrial era is a clear paradigm shift from the exchange focus of the industrial era, it is really a rebirth of marketing practices of the pre-industrial age when the producers and users were also sellers and buyers and engaged in market behaviours that reduced the uncertainty of future supply and demand assurances which could not be otherwise guaranteed due to the unpredictability of weather, raw materials, and customers' buying power. Our approach mirrors the activities recommended by Savitt as the appropriate methodology for conducting historical research.

Axioms And Purpose Of Relationship Marketing

Relationship marketing attempts to involve and integrate customers, suppliers and other infrastructural partners into a firm's developmental and marketing activities. Such involvement results in close interactive relationships with suppliers, customers or other value chain partners of the firm.

Interactive relationships between marketing actors are inherent as compared to the arm's length relationships implied under the transactional orientation. An integrative relationship assumes overlap in the plans and processes of the interacting parties and suggests close economic, emotional and structural bonds among them. It reflects interdependence rather than independence of choice among the parties; and it emphasises cooperation rather than competition and consequent conflict among the marketing actors.

Thus, development of relationship marketing points to a significant shift in the axioms of marketing: competition and conflict to mutual cooperation, and choice independence to mutual interdependence. One axiom of transactional marketing is the belief that competition and selfinterest are the drivers of value creation. Through competition, buyers can be offered a choice, and this choice of suppliers motivates marketers to

create a higher value offering for their self-interest. This axiom of competition is now challenged by the proponents of relationship marketing who believe that mutual cooperation, as opposed to competition and conflict, leads to higher value creation. In fact, some social psychologists have gone so far as to suggest that competition is inherently destructive and mutual cooperation inherently more productive.

The second axiom of transactions marketing is the belief that independence of choice among marketing actors creates a more efficient system for creating and distributing marketing value. Maintaining an 'arm's length relationship' is considered vital for marketing efficiency. Industrial organisations and government policy makers believe that independence of marketing actors provide each actor freedom to choose his/her transactional partners on the basis of preserving their own self-interests at each decision point.

This results in the efficiency of lowest cost purchases through bargaining and bidding. However, this belief is also challenged recently in economics. It argues that every transaction involves transaction costs in search, negotiation and other associated activities, which add to, rather than reduce the cost, and thus lead to inefficiencies instead of efficiencies for the firms engaged in exchange transactions. Relationship marketers, therefore, believe that interdependencies reduce transaction costs and generate higher quality while keeping governance costs lower than exchange marketing. In short, better quality at a lower cost is achieved through interdependence and partnering among the value chain actors. The purpose of relationship marketing is, therefore, to enhance marketing productivity by achieving efficiency and effectiveness.

Several relationship marketing practices can help achieve efficiency, such as customer retention, efficient consumer response and the sharing of resources between marketing partners. Each of these activities have the potential to reduce operating costs of the marketer. Similarly, greater marketing effectiveness can be achieved because it attempts to involve customers in the early stages of marketing programme development, facilitating the future marketing efforts of the company.

Also, through individualised marketing and adoption of mass customisation processes, relationship marketers can better address the needs of each selected customer, making marketing more effective. To what extent the above purpose of relationship marketing a totally new phenomenon? and, haven't these objectives always been important in marketing? If yes, how is relationship marketing different than exchange marketing? As suggested, try to address these questions by first agreeing that marketing has indeed always been concerned with retaining profitable customers and with facilitating future marketing activities. However, marketing practices that were adopted to achieve these objectives have changed over a period of time. The reasons for this change can be attributed to the prevailing context and conditions of each time period and its influence on the marketing thought. We examine, in the subsequent sections of this thesis, the causes of marketing practices during the preindustrial, industrial and post-industrial eras.

Shifts In Marketing's Orientation

As is widely known, the discipline of marketing grew out of economics, and the growth was motivated by lack of interest among the economists in the details of market behaviour, especially those related to the functions of the middlemen. It coincided with the growth in the number of middlemen and the importance of distribution during the industrial era. The first courses offered on the subject area of marketing at University of Michigan in 1902 and at The Ohio State University in 1906, therefore, focused on the inter-relationships among marketing institutions and among various divisions of the firm in performing the distributive task. Unlike mainstream economists of the late nineteenth century, who were preoccupied with public policy and economic effects of market institutions, early marketing thinkers had operational interests.

Most of this centered around efficiency of marketing channels and the services performed by them in transporting and transforming the goods from the producers to the consumers. The process of marketing was thought to generate additional forms of utility including time, place and possession utilities to the consumer. Thus, marketing as a discipline got organised around the institutional school of thought, and its main concerns centered around the functions performed by wholesalers and retailers as marketing institutions. The founders of the institutional marketing justified the need for independent middlemen role on the grounds of specialisation and division of labour, although both producers and consumers believed that the middlemen received higher margins than what they deserved.

Thus, middlemen were perceived as adding no value and creating economic inefficiencies by having location monopolies. Other authors of that period belonging to the institutional school of marketing thought, such as Butler, Breyer, Converse and Huegy, and Alderson also espoused the value and functions of middlemen in achieving marketing efficiency.

They utilised economic theories to design effective and efficient institutional frameworks. Because of their grounding in economic theory, institutional marketing thinkers viewed the phenomena of value determination as fundamentally linked to exchange. Although the institutional thought of marketing was later modified by the organisational dynamics viewpoint, and marketing thinking was influenced by other social sciences, such as psychology, sociology and anthropology, exchange remained and still remains the central tenet of marketing. Formal marketing theory developed around the idea of exchange and exchange relationships, placing considerable emphasis on outcomes, experiences and actions related to transactions. Recently several scholars have begun to question the exchange paradigm, and its ability to explain the growing phenomena of relational engagement of firms.

In the recent past, researchers have tried to develop frameworks for relational engagement of buyers and sellers, often contrasting it with the exchange mode inherent in transactions. Business practice exhorts both customer and supplier firms to seek close, collaborative relationships with each other.

This change in focus from value exchanges to value-creation relationships have led companies to develop a more integrative approach in marketing, one in which other firms are not always competitors and rivals but, are considered partners in providing value to the consumer. This has resulted in the growth of many partnering relationships such as business alliances and cooperative marketing ventures. Close, cooperative and interdependent relationships are seen to be of greater value than purely transactions based relationship. However, the relationship orientation of marketing is not an entirely a new phenomena.

If we look back to the practice of marketing before the 1900s, we find that relationship orientation to marketing was quite prevalent. Although history of marketing thought dates back to only the early 1900s, marketing practices existed in history, even to pre-history.

During the agricultural era, the concept of 'domesticated markets' and relationship orientation were equally prevalent. In short, current popularity of relationship marketing is a reincarnation of the marketing practices of the pre-industrial era in which producers and consumers interacted directly with each other and developed emotional and structural bonds in their economic market behaviours.

Orientation of Marketing Practice in the Pre-industrial Era

Pre-industrial society was largely based on agricultural economy and the trade of art and artifacts. During the agricultural days, most farmers sold their produce directly in the bazaars. Similarly, artisans sold their arts and artifacts at these markets. Consumers and producers gathered together face-to-face for trading products. The role of the producer was not separated from that of the trader and the producer functioned as both 'manufacturer' and 'retailer' of its own products. Also, producers and consumers developed strong relationships that led to the production of customised products made by the artisans for each customer.

Similarly, relational bonding between traders was also quite prevalent, partly because of the need to do business with others you could trust. Thus, ongoing trade relationships were a critical element of business practices in the pre-industrial era where ownership was linked with the management of business. Most traders of Africa traded only with selected clans on a regular basis. So important was the element of trust in these clan-trade relationships that outsiders could rarely enter into the system. The evidence of such clan based trading exists even today within the clan-oriented network of traders in diamonds and other precious metals.

For example, the Palanpuri clan have dominated the trade of diamonds all over the world along with the Orthodox Jews. Economic and anthropological studies indicate that the Jews were not really outcasts left to perform trading activities; rather, they chose to control trade amongst themselves as they could trust no others. Such clan-oriented trading developed a network of partnerships as their trading activities extended internationally, with the network partners often coming from the same or related clan

with whom ongoing business could be conducted. Similar evidence of the ongoing business relationships can be found in the economic history of the old 'silk route' that flourished during pre-colonial times between China, India and Afghanistan. Economic history books narrate the vigorous efforts of Chinese silk producers towards market development and promotion of ongoing trade activity along the 'silk trade route'. Relationships between customers and suppliers of silk were vital because Indian weavers and silk craftsmen heavily depended on the supply of Chinese silk to produce garments and artifacts required by local kings and nobles. Such relationships once again reflect interdependencies of these marketing actors. In order to facilitate future trade, some traders cooperated with weavers and designers in India, providing them with contemporary designs from China. The influence of Chinese designs in the earlier arts of India bears clear evidence of the cultural exchange in the interest of promoting future trade of the Chinese silk.

Retaining customers, influencing repeat purchases, fostering trust and facilitating future marketing were also concerns of marketers in the pre-industrial era. The development of 'branding' as a marketing practice could be cited as the best evidence of this concern. Although the history of branding can be traced back for many centuries, the term was derived from the marking of livestock. Owners of livestock started branding their cattle in order to distinguish theirs from other cattle when they brought them to the market for sale. As this system evolved, family names were used as brands, not only to identify the product, but also to give the consumer the satisfaction of knowing the products depicting the name carried a certain "warranty" of quality because the producers were willing to ascribe their family name to the product.

It became a method of providing quality assurance to the buyer, a system to promote repeat purchase, and a method to facilitate future marketing. Even the development of open-air markets or bazaars in the pre-industrial period was aimed at facilitating ongoing business and trading. Not only did such marketing venues provide a common arena for buyers and sellers to meet, they also aimed at minimizing nomadic trade whereby traders could swindle their customers and escape any form of retribution. Urban trade privileges and guild regulations in Europe restricted the 'hit and run' sellers from becoming a part of the market system. Those who participated in the market knew and trusted each other, once again providing continuity and security for the repeat purchaser. Producers established permanent retail shops at the marketplace where they could make and sell these goods on a daily basis. As a consequence, consumers and producers had direct relationship with each other. We can see that relationship orientation in marketing was evident during the preindustrial era. Direct interaction between the producers and consumers necessitated cooperation, reliance, and trust among marketing actors.

Evidence suggests that these relationships sometimes continued for generations as producers and consumers trusted each other's family and clans. The relationship orientation in marketing and trade continued into the early years of the Industrial

Revolution and the emergence of capitalism. Fullerton describes some of the efforts adopted by marketers during this period to build and maintain relationships with buyers. Market development efforts were complemented by close cooperation between business and government which helped develop markets among the nobility, the high clergy, and the growing urban bourgeoisie. Merchants of this period established fixed-location retail shops in cities throughout Europe. This represented their desire to build and retain customers.

Fixed location retail outlets meant local buyers could come back time and again allowing the producer and the consumer to establish long-term relationships for repeat purchases over the long-term. It also meant direct accountability of each other's actions. Marketing practices during early industrialisation were also highly individualised, relationship oriented and customised. Many products were manufactured on a custom basis for rich individuals or industrial customers. The design and tailoring of clothes, the creation of jewelry, watches, home furnishings and other consumer products were customised. Marketers rarely had to consider inventories of finished products, and publishers sold textbooks for which a demand already existed. Such production, based primarily on customer request and demand, did not require marketing activities such as advertising or price competition. Relationships between customers and suppliers were critical, since the customer depended on the manufacturer or trader to make goods available to him or her as per specifications and expectations. Consumers making a commitment to buy based on the trustworthiness and commitment of the marketers was critical. Reciprocally, the producer relied on the credit worthiness of the consumer and took the risk of making custom products. Branding became even more popular during this period, as producers and merchants began to attach their own family names to the products they offered, in great symbolic gestures, assuring their personal commitment to a product's quality. This practice of branding based on family names continued in the early years of the industrial era in Europe, North America and also in Japan.

Orientation of Marketing Practice in the Industrial Era

It was with the advent of mass production and mass consumption that marketers began to adopt a more transactional approach. Emergence of mass production and mass consumption resulted in key consequences. First, people moved away from small subsistence farms to jobs in industrial towns, and needed retailers to supply assortment of basic conveniences of food, shelter and clothing. Secondly, manufacturers were motivated to produce in mass quantities given the associated economies of scale. On the one hand, economies of scale helped these manufacturers to lower the cost of goods, and hence prices of the products they sold, and on the other hand, it increased the need to find markets for their products.

Unable to sell the entire stock of produced goods, producers were confronted with an increased inventory of finished products. These market conditions gave rise to aggressive selling and the development of marketing institutions that were willing to

bear the risks and costs of inventory ownership and storage. Wholesalers, distributors and other marketing intermediaries assumed the role of middlemen who, on the one hand, stored the excess production of manufacturers, and, on the other hand, helped in locating and persuading more buyers to purchase goods and services. So crucial became this function that early marketing thought was developed on the concept of distribution and the creation of time and place utilities. Early marketing thinkers, such as E.D.

James, Simon Lifman, and James Hagerty, concentrated on these distributive elements of marketing. This period also gave rise to modern marketing practices, such as sales, advertising and promotion, for the purpose of creating new demand to absorb the oversupply of goods that were being produced. Scholars, such as Ralph Butler, were among the first to articulate this promotional concept of marketing. Thus emerged the transactions orientation of marketing whereby marketers became more concerned with sales and promotion of goods and less with building ongoing relationships. This shift was further accentuated during the Great Depression of 1929, when the oversupply of goods in the system heightened the pressure on marketers to find and persuade customers to buy their products.

Thus the transaction orientation has been a major influence in marketing thought and academic research throughout the industrial era. During the height of the industrial period, marketing practices were aimed at promoting mass consumption. Developed out of the need to support the mass production machinery, the emphasis was directed at increasing the sale of products. Both personal and impersonal manifestations of the selling 'force' were found increasingly in business, supported by other activities, such as advertising and promotion. Marketing was considered successful only when it resulted in a sale.

Measures of marketing performance were linked, as is still the practice today in many companies, to sales and market share. Some marketers resorted to extreme practices of persuasive selling including deceptive advertising and false claims. As competition intensified with excess capacity, sales transactions further increased. Many engaged in aggressive selling and competitive warfare. Short-term orientations dominated marketing practices; the desire to maximize profit in the short run was accentuated as the uncertainties of the future market appeared perilous, given the rise in competition and its consequent effect on industry mortality. Some marketers relented and looked for innovative ways to protect their markets. Aided by the managerial school of marketing thought, two important developments occurred in the later period of the industrial era. The first development was the marketer's realisation that repeat purchase by customers was critical, making it necessary to foster brand loyalty. Several marketing scholars also became interested in repeat purchase and brand loyalty behaviour as early as World War II.

This research was further advanced in the buyer behaviour theory of Howard and Sheth, wherein they closely examined repeat purchase behaviour and brand loyalty. In order to achieve a brand image, brand differentiation and effective advertising, certain

marketing techniques emerged. The development of market segmentation and targeting became important tools for marketing planning. In the face of competition, marketers realised the benefits of focusing on specific groups of customers for whom they could tailor their marketing programmes and successfully differentiate themselves from their competitors. Brand marketing that grew during this period supported the philosophy that the retailer was not the salesman for the manufacturer but rather the buyer for the consumer. Some marketers read this change and shifted focus from discrete, one time sales to ongoing, repeat-purchase possibilities. The second significant change was the development of administered vertical marketing systems whereby marketers not only gained control over channels of distribution, but also developed effective means of blocking competitors from entering into these channels.

Vertical marketing systems such as franchising and exclusive distribution rights permitted marketers to extend their representation beyond their own corporate limits to reach final customers. In many ways, the development of the vertical channels was a reversal of the practice of separating producers from the consumers. These developments represented the reemergence of direct marketing and in maintaining a long-term relationship with consumers. Yet, the orientation of the industrial era was largely transactional, as can be gauged by standard measures used to evaluate marketing performance: market shares, sales revenues, and profitability per brand, territory and segments. Such measures reflect the concern for competition and its consequent effects on profits. In industrial marketing, the transactional approach was further compounded by the practices of competitive bidding. On one hand, users of industrial products were separated from the purchasing function, given specialist procurement departments in most industrial and business organisations. On the other, competitive bidding processes forced industrial marketers to prepare bid documents for each transaction. Every transaction became important and it was necessary for them to outsmart other competitors in such bids so that they can win the customer order.

Although ‘reciprocity’ was practiced to facilitate future sales, emphasis remained on discrete transactions. However, not all firms were happy concentrating on discrete transactions. Several industrial buyers and sellers began to develop longer-term contracts for supplies and service, creating an on-going interactive relationships between themselves. Some of them engaged in long-term partnerships and formed alliances with other companies. For example, a partnering type of relationship between Whirlpool and Sears and McDonalds and Coca-Cola have existed for more than fifty years. Similarly, Mitsubishi Electric and Westinghouse Electric are engaged in an alliance-type relationship for over 60 years, as are Philips and Matsushita.

Orientation of Marketing Practice in the Post-Industrial Era

Post-industrial era has seen substantial development towards relationship marketing, both in practice and in managerial thinking. Marketers started realising the need to supplement a transaction-orientation with an orientation which showed more concern

for customers. It began with the advent of complex products, which gave rise to the systems selling approach. This approach emphasised the integration of parts, supplies and the sale of services with the individual capital equipment. Customers liked the idea of systems integration and sellers were able to sell augmented products and services to customers. The popularity of system integration began to extend to consumer packaged goods, as well as services. At the same time, some companies started to insist upon new purchasing approaches such as national contracts and master purchasing agreements, forcing major vendors to develop key account management programmes.

These measures forced intimacy and permanence in the buyer-seller relationships. Instead of purchasing a product or service, customers were more interested in buying a relationship with a vendor. The key account management programme designates account managers and account teams that assess the customer's needs and then husband the selling company's resources for the customer's benefit. Still considered a boundary spanning sales activity, key account programmes reflect higher commitment of selling organisations towards their major customers. Such programmes, concurrently, led to the foundation of strategic partnering relationships that have emerged under relationship marketing. The growth of relationship orientation of marketing in post-industrial era is the rebirth of direct marketing between producers and consumers. Several environmental and organisational development factors are responsible for this rebirth of direct relationships between producers and consumers.

At least five macro-environmental forces can be identified:

1. Rapid technological advancements, especially in information technology;
2. The adoption of total quality programmes by companies;
3. The growth of the service economy;
4. Organisational development processes leading to empowerment of individuals and teams; and
5. Increase in competitive intensity leading to concern for customer retention.

These forces are reducing the reliance of producers, as well as consumers, on middlemen for affecting the consummation and facilitation processes. The impact of technological revolution is changing the nature and activities of the marketing institutions. The current development and introduction of sophisticated electronic and computerised communication systems into our society is making it easier for consumers to interact directly with the producers. Producers are also becoming more knowledgeable about their consumers by maintaining and accessing sophisticated databases that capture information related to each interaction with individual consumers, at a very low cost.

It gives them the means by which they can practice individual marketing. As a result, the functions formerly performed by the middlemen are now being undertaken by either the consumer or the producers. Producers are building such systems that allow them to undertake quick responses with regard to manufacturing, delivery and customer service, eliminating the need for inventory management, financing and order processing through middlemen. Also, consumers have less time and thus a reduced inclination to go to the

store for every purchase. They are willing to undertake some of the responsibilities of direct ordering, personal merchandising, and product use related services with little help from the producers.

Hence, given the recent technological strides and consumer attitudes, some functions performed by middlemen may be entirely eliminated. For instance, the 'just in time' inventory system, made possible by the real time transportation and communication systems now available, allows a producer to eliminate the need for an intermediate inventory holding institutions between itself and the consumers or suppliers. Other technological systems, such as flexible manufacturing are being used by some to mass-customise their offerings to individual consumers. Rapid technological developments have also increased the cost of research and development. The window of time in which it is possible to recover R&D costs has also shortened. This has forced companies to work together in joint research projects and joint product-development programmes. Similarly, the rapid convergence of technologies, such as communication and computers or electronics and home appliances, mandates that companies in such industries work on joint projects to leverage their combined resources and to share risks. Thus, interfirm partnering and alliances is becoming popular. Another major force driving the adoption of relationship marketing is the total quality movement that recently revolutionised industry's perspectives regarding quality and cost.

Most companies saw the value of offering quality products and services to customers at the lowest possible prices. When companies embraced Total Quality Management to improve quality and reduce costs, it became necessary to involve suppliers and customers in implementing the programme at all levels of the value chain. This needed close working relationships with customers, suppliers and other members of the marketing infrastructure. Thus, several companies, such as Motorola, IBM, Xerox, Ford, AT&T, Toyota, etc., formed partnering relationships with suppliers and customers in order to practice TQM. Other programmes such as Just-in Time supply and Material- Resource Planning also made use of the interdependent relationships between suppliers and customers.

The third force ushering in relationship marketing is the growth of the service economy, especially in the advanced countries. As more and more organisations depend upon revenues from the services sector, relationship marketing becomes prevalent. One reason being that services are typically produced and delivered by the same institution.

Service providers are usually involved in the production and delivery of their services. For instance, in the case of personal and professional services, such as haircut, maid services, consulting services, accounting services, and legal services, the individual producer of the service is also the service provider. In much the same way as the users of these services are directly engaged in obtaining and using the service thus, minimizing the role of the middlemen, if any. In such a situation, a greater emotional bond between the service provider and service user develops and the need for maintaining and

enhancing the relationship. It is therefore evident that relationship marketing is important for scholars and practitioners of services marketing.

Certain organisational changes have facilitated the growth of relationship marketing. Amongst these the most significant is the role definition of the members of the organisation.

Through a variety of changes in organisational processes, companies are now directly involving users of products and services in the purchase and acquisition decisions of the company. For a considerable time, these functions were managed by the procurement department as a specialised function, with little or no input from the actual users of these products and services.

Thus the separation that existed between the producer and the user due to the existence of user middlemen, acting as gatekeepers, is potentially bridged in many cases. Wherever such changes are being made, direct interaction and cooperative relationship between producers and users develop. Finally, in the post-industrialisation period the increase in competitive intensity is forcing marketers to be concerned with customer retention. As several studies have indicated, retaining customers is less expensive and perhaps a more sustainable competitive advantage than acquiring new customers. Marketers are realising that it costs less to retain customers than to compete for new ones. On the supply side it pays more to develop closer relationships with a few suppliers than to develop more vendors.

In addition, several marketers are also concerned with keeping customers for life, rather than merely making a one-time sale. In summary, relationship-orientation in marketing has staged a comeback. It was only during the peak of industrialisation that marketing's orientation shifted towards a transactional approach. With the advent of middlemen, and the separation of producers and users, there was a greater transactions orientation. Industrialisation led to a reversal in the relationship between supply and demand, when due to mass production efforts producers created excess supply of goods and services and were themselves preoccupied with achieving production efficiencies. Thus, they needed middlemen to service the customer. The middlemen in turn, adopted a transactional approach as they were more interested in the economic benefits of exchange than the value of production and/or consumption. Although efficiencies in product distribution were achieved through middlemen, effectiveness was not always accomplished as was evident from the literature on channel conflict. Now with one-to-one connect between the producer and user, relationship orientation in marketing has returned.

Employee Experience Management (EEM)

Along with the notion of Experience Economy, Employee experience is defined as what employee received during their interaction with careers' elements (e.g. firms, supervisors, coworkers, customer, environment, etc.) that affect their cognition and affection and leads to their particular behaviours.

Employee Experience Management (EEM) is conceptualized by Abhari as an approach to deliver excellent experience to employee, which leads to the positive customer experience by emphasizing on their experiential needs-like Experiential Marketing for external customers.

Harris (2007) hinted, “It [customer experience] begins at the heart of an organization. It begins with employees who are being the strategy and living the brand”. EEM, same as Internal marketing, is an internal approach by focusing on employee (internal customer) prior to external customer. The notion of EEM come from the question that how firms make sure that employee create the desirable customer experience, whenever they interact with customer or provide the information and service to them. Alternatively, utilizing employee in delivering brand value promise is remarkable concern in EEM. EEM also goes beyond standard Human Resource Management by rewarding more employee-experience in form of both professional and personal development.

Enterprise Feedback Management (EFM)

Enterprise feedback management (EFM) is a system of processes and software that enables organizations to centrally manage deployment of surveys while dispersing authoring and analysis throughout an organization.

EFM systems typically provide different roles and permission levels for different types of users, such as novice survey authors, professional survey authors, survey reporters and translators. EFM can help an organization establish a dialogue with employees, partners, and customers regarding key issues and concerns and potentially make customer specific real time interventions. EFM consists of data collection, analysis and reporting.

Prior to EFM, survey software was typically deployed in departments and lacked user roles, permissions and workflow. EFM enables deployment across the enterprise, providing decision makers with important data for increasing customer satisfaction, loyalty and lifetime value. EFM enables companies to look at customers “holistically” and to better respond to customer needs.

Gartner projected that 40 percent of total feedback system deployments would be EFM solutions in 2008. Its worth noting that the motivation to pilot/deploy EFM is often to reduce the reliance on (or reduce the costs of) traditional satisfaction research.

Esteban Kolsky, when a research director at Gartner, described the market structure as follows: “The market for these tools is a highly fragmented one, with no single provider. It’s going to jumpstart a bunch of acquisitions as larger vendors look to work EFM and surveying into their growth strategy.”

The EFM market grew 60% to 70% in 2005 and 2006.

EFM applications support complex survey design, with features such as question and page rotation, quota management and advanced skip patterns and branching. The software typically offers advanced reporting with statistical analysis and centralized

panel management. EFM applications are often integrated with external platforms, most typically with CRM systems but also with HRIS systems and generic web portals.

Unlike low-end survey tools, EFM applications provides a workflow process with user roles and permissions, so that users may be able to author a survey but require another user to approve it before it is published. Such workflow ensures consistent survey quality and enforces respondent privacy and IT security policies. Applications of EFM vary widely from HR, IT, Marketing, Sales and continues to expand on its corporate implementation and scope. Departments within an organization can collaborate on feedback initiatives, sharing results and gaining insights that enable the organization to listen, learn and react to the needs of their key stakeholders. A key part of the value of an EFM deployment is the development of the business rules (i.e. who needs to see what feedback info) and which parts of the customer/employee/partner facing process needs to be measured.

Importance of CRM for customer satisfaction

Customer Relationship Management (CRM) is a concept that was introduced in the field of marketing during mid 1980s. The term 'Customer Relationship Management' was introduced by Berry in 1983. The primary reason behind the emergence of CRM was the losing relevance of other marketing strategies. All the marketers were somehow offering the same marketing mix and copying each other's strategies. Thus, in order to gain sustainable competitive advantage the marketers needed something different and then came up with the idea of developing relationships with the customers. The researchers also concluded that retaining the firm's existing customers is more profitable rather than attracting new ones. This led to the introduction of 'relationship marketing' which later resulted into a more comprehensive system termed as 'customer relationship management'.

Customer relationship management (CRM)

CRM is a comprehensive system which integrates technology to develop long-term mutually beneficial relationships with the customers. The definition of CRM proposed by Goldenberg seems to be feasible in today's scenario. He provides, "CRM integrates people, process, and technology to maximize relationships with all customers. CRM is a comprehensive approach that provides seamless coordination between all customer-facing functions. CRM increasingly leverages the Internet." CRM assists the business organization in identifying, selecting, acquiring, developing and retaining current and potential customers that are profitable to the organization. The basic objective of all CRM activities is to enhance customer satisfaction so as to secure customer loyalty and improve customer retention.

Role of CRM in driving customer satisfaction

CRM plays an important role in driving customer satisfaction. Satisfied customers are profitable to a firm not only because they are likely to make repeat purchases but

also because they promote the firm through words of mouth. Thus, CRM improves the firm's market share by bringing in more customers. However, proper implementation of CRM is a must for customer satisfaction. CRM prescribes that in order to satisfy the customers, first of all it is important to understand the customers. Customers should be very well understood for their tastes, attitudes, preferences and decision-making factors. This helps the firms in identifying their target customers. No firm can ever cater to all the customers satisfactorily so identification of target market is a pre-requisite.

Next, the marketing mix should be aligned to target market's demands to maximize their satisfaction. CRM provides for an effective company-customer communication so that the firm's marketing mix can be tailored to suit the target market. This also helps the firm to trace customers' changing preferences and anticipate the future demand so as to design future offerings according to it. However, no matter how superior marketing mix a firm offers, there is always a scope for customer grievances. Therefore CRM also requires that if there are any customers' complaints and grievances, these should be handled properly. This helps in securing the customers' trust on the firm and also develops a bond between the firm and customers. CRM is a continuous process and requires regular efforts. The marketplace is highly competitive today and customer satisfaction is the only key to survive. The customers therefore should be treated as assets and must be valued forever.

Benefits of Implementing CRM

Customer relationship management is meant to shore up less than adequate efforts in the past at understanding who your most profitable customers are. This means creating a profile of desirable customers, developing marketing and sales campaigns to reach those prospects, and maintaining your best customers to increase the lifetime value of the relationship. In short, CRM should provide the benefits of:

- Selling to your best prospects, and
- Retaining your best customers for
- Improving the profitability of your institution.

However, Ernst & Young reports that 63% of respondents to their e-commerce/CRM survey did not know how much their profitability increased as a result of their CRM projects. Unfortunately, the CRM process is so new that bankers we talked with have not had any time to obtain measurable results. Most CRM projects are being implemented on the faith that obtaining and analyzing customer data will enable the bank to be more profitable. As a side benefit, CRM systems help the bank present a consistent view of the customer relationship across all delivery channels, CRM is costly. It generally requires new database management systems, integration with legacy system, analysis and decision support systems, campaign management systems, new messaging and routing systems, and sales tracking systems. When done right, CRM is an enterprise-wide endeavor. It requires the melding of employee behaviors with information technologies, for the benefit of the customer.

Warnings and Pitfalls

In today's CRM environment, there is a danger we see with multiple vendors offering systems built on relational database technology and touting theirs as the one customer relationship management tool you need. Because most new banking applications are being developed with a database that aggregates customer data, a "data mart," these vendors are jumping on the CRM bandwagon. The problem will come when you have implemented multiple CRM data marts to handle various applications, and then find you cannot reconcile the data in each database. It will be better to implement a single CRM system first and then hang multiple applications off the core database.

You should think of CRM technologies as basically handling two major operations:

- Back office customer data aggregation and analysis
- Front office end-user data presentation and manipulation

All CRM solutions are built on a relational database, often called "middleware" because it suits between the legacy systems that handle the transaction processing and the front end systems that deliver the data across end points. Between the back office and the front office are many technologies that facilitate analysis and presentation.

The end-user may be a banker or the customer. End-user touch points may be in the bank, at the credit officer's workstation, in the call center, at the teller line or on the platform, or on remote, at an ATM machine, a kiosk, on the telephone, via internet, or soon, through wireless devices.

The question is where should you begin your CRM implementation?

In the rush to provide new, or enhance old delivery channels-from call centers, to ATMs, to the Internet-with consistent customer relationship record at each touch point, you run the internet banking solutions, and total delivery channel solutions, is the inherent customer relationship management technology on which they are based.

Principles Of Service In Banking

1. By satisfying the clients' business objectives a bank can satisfy their own professional and personal objectives.
2. Every bank wants their client to regard the organization as their partner of choice time after time.
3. Satisfied customers/clients become engaged clients when they trust the bank the are linked with and feel a sense of pride through an association with it.
4. Engaged clients form a significant source of continued and improved growth.
5. An engaged client will actively sell the bank's product and services to others.
6. Engaged client forms a sound commercial foundation for the existing bank.
7. Don't keep good news to yourself-inform the client of every success.
8. Give every customer a reason to trust the bank.
9. Do what you said; you could do it, when you said you would do it.
10. Take personal ownership& responsibility for keeping the client informed of progress in any matter they have raised.

Findings & Conclusion

The main objective of the report has been to assess the current state of the CRM development within Indian credit institutions and to evaluate its organizational impacts.

CRM should be viewed neither as a new competitive tool nor as a cluster of technologies, but rather as a set of business processes that help manage client credit institutions relationships and improve internal credit institutions workflow. CRM in fact, is a process that helps to maximize medium to long term profits as a result of a better customer knowledge, customized treatment of customers or a perception of it, and improved fulfillment of customer needs. These goals can be better reached by adoption of enabling ICTs. Ideally, an effective CRM project needs to be very well integrated in the credit institution organization.

Implementing a CRM process means gathering flows of information concerning actual and potential customers. Information flows coming from delivery channels should ideally be consolidated into a customer database in order to develop customer profiles that enable banks to improve customer services CRM based on ICT can strengthen the marketing strategy of the financial organization by making more effective the management of all the information concerning customers. The exploitation of CRM appears to have a positive impact on the quality and quantity of information conveyed to customers.

This is particularly relevant for the most sophisticated customers, i.e. those who are used to dealing with new technological tools and are not afraid of interacting with the bank through the telematics channels. Nevertheless, distant interaction is not as effective as personal interaction between customers and their bank. Therefore, according to almost all of the bank representatives, e-business supports low value information needs, while more sophisticated requests for information can be addressed only through personal interaction between the bank and the customer that usually takes place at the branch.

Almost all the credit institutions have adopted the strategy of launching their e-business services as an additional service rather than as an alternative to offline services. The impact of e-business in banks is being limited by their strategic decision not to cannibalize their branches. This research highlights how some of the credit institutions which had originally invested only in the development of a virtual channel had to drastically re-define their customers or by opening a call centre. The credit institutions representatives argued that their customers want a choice of channels and they are adopting a multi-channel strategy. Most of the banks consider that since Internet and telephone are most useful for managing operational and low value added tasks, the traditional delivery structure still has a fundamental role and can be developed to specialize in high added value tasks and consultancy services. Most financial suppliers believe that customer support services are a core business in the financial industry. Most of the financial organizations choose to internalize the customer support contact center, whereas others choose to outsource front-office customer care tasks to contact

centre companies. But the final elaboration of data on customers and their exploitation for CRM strategy is maintained in house and involves the bank management personnel.

The customer retention is the result of an increasing degree of product personalization and differentiation. Credit institutions apparently prefer to compete on quality (product information, broader range of product and services) rather than on price (meant as product acquisition cost to the customer: price, mode of payment, delivery). Therefore product innovation (cross-selling, product differentiation and personalization) seems to be the crucial issue of the CRM strategy.

Financial institutions have to realize the importance of the technology scalability as well as the reengineering of the business processes.

A medium to long term CRM strategy requires significant innovation in the organization of the banks' flow of information.

Ideally, CRM technologies and processes could make the slogan "the right customer with the right product at right place and in the right moment" possible.

But many banks face the problem of having multiple database with customer information, so that multiple entries refer to the same customer if he/she holds more than one product with the company. This makes it difficult for sales people or relationship managers to have a full view of their customers. A number of CRM deployments have failed because of inconsistent customer data. This problem results in companies sending, for example, the same offer twice to the same customer.

Need of Customer Information

The customer's desire to be known, confidence in service consistency, convenience, a feeling of welcoming and belonging and a comfort level where they know if there is a problem it will get handled right away. Of course, true loyalty goes beyond the physical hotel. These days loyalty is built with every single customer communication as well.

One way hotel companies communicate to customers is via emails. However, many companies are not communicating to their guests based on established preferences. For example, hotel brands will still offer ski vacations to die hard sun worshippers. At the hotel, many hotels are at the point where they are collecting information but are simply not tapping into that information to improve a guest stay. This can actually disenfranchise the guest since they have gone to the trouble of providing their desires which are not being executed.

It's better to not gather the information, or say when it will actually be used. "It is more harmful to ask for that information and then not use it. In earlier, we saw that delivering superior customer value is a prerequisite for sustainable competitive advantage and that to be able to deliver superior customer value, a firm requires a good understanding of what customers value.

A good understanding of customer value presupposes good customer information. You cannot claim a customer focus, or seriously attempt to satisfy your customers, unless you understand their needs. An effective customer information system ensures

that the appropriate knowledge of the customer is available for customer-focused decisions and actions. Without customer information, for example, it would be impossible to customize customer experiences, let alone manage customer relationships.

Knowledge of the customer is about being intimate with the customer. Customer intimacy is not just a cliché. Customer intimacy is a value discipline for firms that value and use an intimate knowledge of their customers to determine precisely which types of customers to serve and then align all their value-creation processes to create and deliver solutions to their specific type of customer. In a competitive landscape where competing products with little defensible product differentiation are becoming commodities, customization is one very powerful way to de-commoditize a product and build customer relationships.

Customization, as a term, is used broadly here to denote making changes in value creation and delivery such that the customer value is adjusted to each customer when and where appropriate. To know when and where customization is appropriate, you need to know your customer. Customer-focused firms pay attention to their customers. They listen to their customers. They really know their customers. The more knowledge the firm has about its customers, the more poised and able the firm is to deliver superior customer value.

Ritz-Carlton is known for its ability to personalize its service encounters with its frequent guests by maintaining a detailed preference profile at the individual customer level. With smart customer information systems, Ritz-Carlton's frontline employees are empowered to address guests by their first names and with knowledge of the guest's specific preferences. CLASS (Customer Loyalty Anticipation and Satisfaction) is an example of the information technology backbone to the Ritz-Carlton's guest relationships management programme.

Nadia Kyzer knows that having a database system is not enough, saying: "If our employees didn't put the information to real concrete use, the system would be worthless." Many firms use their knowledge of the customer to tailor their products and messages, or to promote new services to their customers.

For example, on the Internet, firms use knowledge gained from cookies to model patterns of customer behaviour on their Web sites so as to target promotions deemed appropriate for that customer. But good customer information management goes beyond targeting messages and promotions. QVC, the television-based retailer, uses a "daily activity report" to capture, monitor, and respond to customer perceptions of quality. Indeed, customer information should drive all business processes of the firm, including anticipating and meeting customer needs, creating and delivering services, and anticipating and recovering from service failure. Customer-focused firms must have good customer information to support the decisions and activities of the firm.

Customer-focused decisions affecting customer value require information on customers' needs, their product preference criteria leading to brand choice or loyalty and their perceptions and behaviour with regard to the product. This is true not only in

the acquisition and use, but also in the disposition of products. Since service firms interact with the customer during consumption of the product there is ample opportunity to obtain and respond to customer information.

For example, New England's largest bank, FleetBoston, recently instituted the "customer experience crusade." The firm hired new staff to be stationed in the lobbies of its large-volume banks to serve as "meeter-greeters" assisting customers with their banking problems. Ostensibly, the attempt was to reverse the lousy service reputation FleetBoston had acquired due to its preoccupation with challenges following its merger with BankBoston. With the knowledge gained from the activities of these customer service agents, the bank could be learning a lot about customer experiences and about how its customers actually use a number of the bank's services. This knowledge could then be used to drive all decisions about structuring and delivering the bank's services.

Good customer information is an asset of the firm. Logically, anything that contributes to sustainable competitive advantage is an asset to the firm. Since information on customers is useful in better matching a firm's products as solutions to customer needs, customer information is an asset that contributes to sustainable competitive advantage. For example, retailing has become so fiercely competitive that customer information assets are now seen as a competitive advantage.

Customer loyalty programmes in retailing are an attempt to link customer information to transaction data. Customer databases with purchase histories showing shopping preferences can be used in customercentric business decisions. Customer information is so valuable that firms who share customer information have to be careful about ownership of the database. At the end of a joint project, for example, Wells Fargo bank and Microsoft went to court to determine who owned a customer database that was created as part of that joint venture.

A good example of the power of customer information is on the Internet. Personalized Web pages use customer information "on-the-fly" to customize the online customer experience. It is common knowledge now that firms have data that tells them who is visiting, how long they are staying on the site, and where on the site visitors are spending their time.

Firms have knowledge of customer behaviour on their Web site with information on where visitors were entering the Web site (beyond the home page) and leaving the Web site, what keywords or links brought them to the site, and so on. All this is possible with data-warehousing and data-mining techniques. In the Internet age, entire new services, such as online investment brokerage firms, have sprung up with value propositions enabled by technology-powered databases of customer information. In the brave new investment world, such new business models have forced traditional investment brokerage houses to incorporate these added value propositions to their existing businesses.

Other new financial service models have emerged. For example, a number of online firms offer instant mortgage or credit application and approval. Much of this is possible

because rules-based algorithms created from studying databases allow firms first to offer conditional approval then then to be able to verify the credit risk because financial institutions have well-developed databases of an individual's financial history with them.

While the technology is available to do more with information, it is unfortunate that the kinds of information that most firms obtain on a regular basis are usually limited to transactional data—such as what was purchased, when, and for how much. With this information, firms are able to use recency, frequency, and monetary data and conduct what is called RFM analysis. Patterns of relationships between the variables are used to determine the best prospects among the customers in the database—those that might be high-propensity targets for a promotion. Transactional data is important, but not adequate to make customer-focused decisions.

In addition to being able to individualize interactions with the customer, with customer information that goes beyond transactional data a firm can derive knowledge to guide anything from cost-saving measures in operations to new product decisions. To really understand the customer, firms need information on a multitude of dimensions other than just transactions around their other actual consumption activities.

Kinds of Customer Information

Customer-focused decisions and actions require customer information at two levels. At the aggregate level, customer information is about the market—or more specifically, about the typical customer in the segment(s)—and at the individual level, it is about a specific customer. When the number of customers for a firm is large and there is no opportunity to directly interact with the customer, it does not make economic sense to get down to the level of individual customer-specific profiles. For example, Procter & Gamble may not be able to interact with each and every Crest toothpaste user. In such a situation, the customer profile is aggregated and constructed at the market segment level.

On the other hand, for firms that directly interact with the customer, it makes sense to profile specific individual customers. For example, General Electric interacts with individual customers of kitchen appliances who contract customer service agreements. GE can use their knowledge of each individual customer to target service contract renewal offers or offers for replacement products when the normal life of the appliance has passed.

In general, it should become apparent that the more the aggregation, the less specific and accurate the information on individual customers. The level of aggregation of the information will also determine whether that information is useful for individualized or segment-level decisions, processes, and activities. As the level of aggregation of customer information increases, the level of aggregation of the customer solution increases and the firm is working at the segment level. With lower levels of aggregation, the firm is working at the individual customer level.

Customer information, whether at the market segment level and/or at the individual level, provides a profile of the customer that guides a customer-focused firm's decisions and actions. A customer profile should be based on two broad categories of information: *Background profile* is general customer information not directly related to the product and is not product-specific; and *consumption profile* is directly related to the product and is product-specific, in that it is about behaviour related to the consumption of the specific product.

Defining Customer Identity

The background profile helps to identify the customer and to understand the customer's product-related behaviour. Firms have been diligent about gathering demographic and psychographic data to establish the background profiles of customers in the B2C market. Customer-focused firms use this background profile to understand product-related consumption behaviour. Such information is managed on an ongoing basis. In the B2C context, "who the customer is" can be profiled along the dimensions of demographic, psychographic, and consumption behaviour.

Of these three dimensions, the demographic and psychographic dimensions provide the background profile. Similarly, the background profile of the B2B customer needs to be in terms of their size, type of industry, their corporate culture, and other characteristics used to identify the firm.

In the B2C context, customers purchase and consume solutions for individual or household use. Consumers' consumption of products are determined to a great deal by their backgrounds. Their personality, family, economic, social, ethnic, and cultural profile influence the way they think, feel, and behave at home, with their friends and social circles and in society in general.

This background profile helps us understand their consumption profile and the customer value they seek in specific product solutions for their needs in the context of their activities. Similarly, in the B2B context, the background profile of customers helps us understand their consumption profile and the customer value they seek in product solutions in the context of their value chain activities.

Business customers purchase and consume solutions for their own business activities. The type of industry they operate in, what value they create, their size, the skills and knowledge sets of their employees, and the "personality" of their firm (their corporate culture) affect the way firms think, feel, and behave in the marketplace with all their stakeholders, especially with their suppliers and their customers.

The Consumption Profile

Whereas the background profile serves to identify the customer, to truly understand customer value one needs systematic information on the purchase and use of the product by the customer. This information is crucial to get a complete picture of benefits and costs to the customer. A consumption profile comprises information that provides a

comprehensive view of the customer's knowledge, attitude, and behaviour with respect to a specific need and associated solutions. The consumption profile containing information on product-related behaviour helps profile a customer in terms of how the product is acquired, consumed, and disposed. Such a framework allows the provider of the solution to get into the "customer activity cycle," as Sandra Vandermerwe calls it.

Consumer behaviour models frequently divide a customer's consumption experience or customer activity cycle into the three stages of preconsumption, consumption, and postconsumption. In essence, when the customer recognizes a need to be filled, the customer

1. Processes the options and selects a solution to meet that need,
2. Engages in procuring and utilizing that solution, and
3. Evaluates the effectiveness of that solution.

The valence of the evaluation of the experience with the solution provider then determines the predisposition of the customer toward that solution provider for subsequent consumption cycles. A positive predisposition may materialize in the form of repurchase, brand loyalty, and favourable word-of-mouth behaviour. All of the customer activities in each of the three stages of consumption should be the focus of the firm's attention.

In some consumption contexts, these stages are not as distinct as in others. For example, in most B2B and high-involvement contexts, the three stages and their respective decisions and activities are quite pronounced, while in low-involvement consumption contexts these stages are not as pronounced and deliberate. Regardless of whether the customer is highly involved with the consumption context or not, the information available to the firm regarding the customer's behaviour (purchase, use, and disposition) should help align the firm's decisions and actions in all three stages of consumption.

It is important to note here the differences in the consumption of tangible-dominant products and intangible-dominant products vis-à-vis the firm's production activities. In the case of tangible-dominant products, the firm produces the product and then the customer consumes, or purchases and uses it. Whereas, with intangible-dominant products, the consumption process is temporally overlaid on the production process.

The Preconsumption Stage

Customer behaviour during this stage of the consumption cycle falls into three broad and sequential sets of activities: experiencing the need for a solution to a problem, identifying and analyzing the options to the problem, and deciding on a specific solution or way of meeting the need. For interactions with the customer during the preconsumption stage to be customer-focused, firms need to understand the perceptions, attitudes, and activities of customers as they go through their purchase decisions. Firms need to understand what customers expect from the solutions provider during this phase.

Since a product is a means to an end, to really know how the firm is doing with its products it is necessary to understand what the ends are. It becomes necessary to find out what role the firm's product plays in its use for the customer. It is also important to understand what those product roles might be in different usage situations. Often the customer's preferred solution can vary from one situation to another and yet the provider may not pay attention to that important change in the value that the customer is expecting from each customer experience.

The customer engages in accessing and assessing the relevant information on the ways in which a need can be met. Based on the information available to them, customers identify the various options and sort through information to determine the merits of each option. A number of complex issues about the customer experience in this stage are relevant for the firm. Where do customers get the information on the options—from what channels and in what form is the information sought? What are the firms, brands, or solution providers that are evoked in the customer's mind? What are the criteria that the customer uses to evaluate the choice of providers of solutions? What are their expectations from the solution? How do customers benefit from the products and services?

When Nike introduced its slip-on sneaker Presto, teens could select designs for their shoes, attach matching music to them, and email them as music videos to friends. Nike was engaging itself in the preconsumption activities of the teen shopper. The firm acted on its understanding of how teens make and follow fads and fashion to introduce a new and innovative footwear design. If you can understand and reach into the customer's preconsumption activities, you can identify and attract the most appropriate customer for your firm's solution. Customer acquisition efforts can be more precise.

Customers make their choice after weighing all options against their criteria. Firms must learn how they make these vendor decisions. Who is involved in the purchase decision making? Who influences the customer's preferences and biases? Household (B2C) and organizational (B2B) consumption activities can involve several different individuals in a purchase decision. Individuals play roles of users, buyers, influencers, decision makers, and so on, in what are called "buying centres." What are the various perspectives of each of these individuals and units engaged in the process? What are their respective roles in the decision? How is the purchase decision made, and what process do the customers follow? When and how often is the decision made? What are the preferences on the method of payment? How do these customers evaluate you and your products before purchase? Who is involved in that evaluation? This kind of detail in the purchasing activities of the customer, if gathered and utilized, can improve the effectiveness of the firm's customer acquisition efforts.

When the firm can interact directly with the customer, as in the case of services, there is the opportunity to obtain answers to these questions and respond immediately. Where there is an intermediary involved, the firm has to rely on the intermediary to represent the firm during this stage because the customer interactions are with the

intermediary, not the firm. In the hand-held (“pocket PC” or “PDA”) market, the competition is so fierce that companies are constantly monitoring the retailer to ensure that their products and promotions are well displayed and that the salespeople are well informed about them. The personal digital assistant maker Palm sends its agents as mystery shoppers to retailers carrying their products. Microsoft, for example, gave a free Casio EM500 Pocket PC device to salespeople who completed a Pocket PC training.

In first-time experiences with a service provider, customers may want to obtain information from the provider; thus that interaction is required prior to the consumption of the product. In situations where prices and terms of sale are negotiated, quite often the case in services, there is a significant amount of interaction. In most cases of intangible-dominant products, there is some customer involvement at least in the specification of the needs of the customer so that the specific solution can be configured for each customer.

Every firm should explore the opportunities it has for customer information to help in its acquisition efforts. The total solution includes the firm’s contribution to the customer’s preconsumption activities. Rich Hanks, Marriott’s executive vice president of sales, recalls the early days of Marriott’s Web presence. He says they did not even know that they had to put reservations on the first page. The way to design Web pages is to think like the customer and ask what the customer would like to do on the Web.

Whatever prepurchase decision-making process the customer will be using should be used in Web site design. For example, at what stage of the consumption activity cycle should a Web site charge a visitor for a service? Some visitors balk when they are asked to pay up front for a service they haven’t used—they mightn’t want to pay member fees when they only want one transaction, for example.

The Consumption Stage

Firms that are not customer focused are focused on product and sales. They typically pay a great deal of attention to the sales and purchase process—the preconsumption stage, but not the consumption process. During the consumption stage, it is important to understand how the customer uses the product or service and what kinds of customer activities are associated with the value that your firm’s product provides. To truly understand customer value, the firm needs to dig deeper into the consumption activities of its customers. Who is involved in the use of the product? How do they use the product?

Does the customer have all of the information it needs on your firm’s product to fully benefit from its use? Will the customer want to interact with the firm during the consumption stage? Will customers need customer service assistance, and if so, what kinds of usage assistance would they need? What kinds of issues dictate the effectiveness of the solution from the perspective of a consumption process?

Understanding when, where, and how a product is used is often a powerful piece of information if used effectively. Consider the following examples of firms using the

context of the consumption activities as they relate to their products: Starbucks gives out free Frappuccino samples on a hot day at a busy square in Manhattan.

Unilever hands out free Lever 2000 handwipes at a food court in a shopping mall and body wash and deodorant to fitness class students at a Bally's Fitness Club. Schering-Plough provides blister treatment cushions to runners at a marathon. These firms are obtaining and using their knowledge of how their products are used at the point-of-use of the product. They are in a position to determine what customer education is necessary and what customer value improvement opportunities there may be.

Product-focused firms remain focused on the product and its sale and on not much after that. To these firms, most likely, a complaining customer is the cost of doing business and a necessary evil, and is frequently cast to the unwilling hands of a customer service person. Consider the example of the "easy to assemble yourself" products that come in a box with some assembly required by the consumer. The unsuspecting customer is frequently confronted by a confusing set of directions written by someone who doesn't need directions to assemble the product.

Procter & Gamble has been actively collecting first-hand information on how consumers use their packaged household products, just to understand how the customer uses the product—rather than depend on the pencil-and-paper survey method or focus group discussions.

Those methods are fine for demographics and psychographics information, but are fraught with misinformation since they rely on the accuracy of memory and communication by the consumer as well as the interpretation and visualization on the part of the firm's researcher.

In fact, P&G goes as far as to send ethnographer filmmakers who spend full days—from the time a family wakes up until bedtime—for several days, just to understand how the firm can create value for the lives of families—a way to look for new product opportunities. In the case of service-dominant products, since production and consumption are simultaneous, the consumption phase involves the firm's production activities as well.

There could be a significant degree of customer interaction and participation in the production of the solution. The customer is part of the production process, and the information regarding each interaction needs to be carefully documented and utilized to deliver customer-focused experiences.

Customer roles need to be scripted and customer performances in these roles need to be monitored and managed. This information about customer interactions is critical in improving the processes involved in service delivery. Consider what package delivery staff have to do at some of their destinations. "Please place boxes in barrel. If they (it) don't fit, put on top of barrel—Dogs will rip up if left on ground," is a set of instructions given to Land's End by a catalog customer for package delivery by a courier. Customer data must be collected, and the value creation and delivery system should be designed to obtain and use that information appropriately.

The Postconsumption Stage

Here, customer evaluations and their disposition to be loyal to your firm is the main feature of the customer's experience. When the product is predominantly a service product, the customer might be in a formal membership relationship with the service provider, such as in the case of banking or financial services, or enrolled in an educational programme, or a fitness club, or a contractual obligation, as in a B2B context.

At the end of each interaction in the case of service products, customers may assess their experience and determine their inclination toward the solution provider. In such cases, it would be important to collect customer reactions and impressions after each consumption experience so that the relationship is intact. With packaged goods, on the other hand, where there is no interaction during the use of the product, customer assessment of the provider is made during and after the use of the product.

What is the level of satisfaction with the features of your product and with the interactions they have had with your firm? They may be pointing out systematic failures in how you are creating and delivering customer solutions. Are there fail points in your value-creation processes that need more attention? It is possible to get some very critical process-improvement suggestions from the customer. How can the benefits to the customer be improved and costs to the customer reduced so that the net customer value is improved? Which aspects of your product are most and least useful for the customer?

This information would be useful in conducting a cost-benefit analysis of the service enhancements to your product. What is the value of each customer to your firm, by transaction and in the long-run? Can the value of the customer to the firm be increased? Are there opportunities to increase the role you are playing in meeting customer needs by providing a more complete solution either by adding products or adding features to the product? Are there ways to reduce the costs of serving the customer? Although strictly speaking not part of the consumption profile, customers may have valuable information on how well your frontline personnel are providing value to the customer. Customers can provide you with an assessment of how well your intermediaries and resellers are representing you. For example, travel agents who represent hotels, airlines, and other travel-related services might need more information, attention or encouragement to represent you appropriately. All things being equal, retailers have no incentive to sell a particular brand in a nonexclusive retail store.

As long as the customer purchases the item from their store, the retailer does not care which particular brand is purchased. Customers are the best judge of your suppliers and vendors as well. If there are aspects of your value-creation processes that are subcontracted out, customer feedback is critical in assessing whether these contracts are working as desired and whether there need to be any changes in how these processes are structured.

How will the customer want to convey feedback? Have you provided the avenues that customers are most likely to use to tell you what they think about the solution and

your performance? Are your touchpoints able to solicit, record, and report customer information? The next develops these issues around customer information management.

Understanding customer value is a prerequisite for being able to create and deliver superior customer solutions. Firms need to study customers' consumption profiles to understand their needs and what they seek in the best solution. The background profile of the customer is a useful context in which to analyze the information on the consumption activities of the customer. The consumption activity framework attempts to frame the information on the customer in the three stages of consumption activities. The types of information that would be required to help understand customer value.

Companies focus attention on attracting and acquiring customers so that data collection is generally geared toward the preconsumption phase. Existing customers' transaction data is used to guide attempts to generate more sales from them. When data on consumption and postconsumption activities are gathered, a great deal more can be done to inform the entire range of the firm's decisions and activities in creating and delivering the product.

Theoretical Perspectives of CRM and Marketing Mix

Since CRM is an organisation wide strategy, it is important that its business strategy comprises of specific target market that it will be focussing on for attracting them, developing long-term relations with them and then taking adequate measures to make them loyal to the company for long period. According to Kim, Zhao and Yang (2008), the essence of CRM theory has origination from three important notions of marketing management i.e. relationship marketing, customer orientation and database marketing. As the Information and Communication Technology (ICT) has enhanced, all three marketing views are merged together in the CRM model (Roberts, Liu & Hazard, 2005).

As the customers are exposed to various marketing activities from unlimited companies and reaching them by using traditional mass advertising mediums has become an outdated concept; the only way to gain access to the target market's attention is by making effective use of CRM activities (Buttle, 2008). Although in some cases, the companies have faced severe losses because they developed their strategy on the basis of wrong data but such mistakes can be avoided by ensuring that appropriate research methods are used for research on customers along with compatible analysis tools (Li, XU & Li, 2005).

There is no concrete definition available for understanding the concept of CRM as it has been defined by many researchers in different ways. For instance, Buttle (2008) defined the concept of CRM as an overall process used by a firm for creation and maintenance of customer relationships that are profitable by fulfilling the promise of delivering excellent customer value proposition and satisfaction. This definition has more emphasis on the marketing aspect that focuses on value creation and employee satisfaction.

On the other hand, Becker, Greve and Albers (2009) give a more technical perspective definition of CRM by stating that it is a strategy used by an organisation that relies on information technology to assist it in providing a detailed, genuine and integrated perspective of its customers which can help it in ensuring that all business processes and interaction with customers support it in maintaining and enhancing relationships that are equally favourable for both parties (customers and organisation).

In addition to these two specific perspectives of CRM, there is one more which is most commonly cited by the marketing management researchers i.e. integrated perspective of CRM that ensures that there is a good blend of technological and business perspectives so that all factors required for proper and effective implementation of CRM are adequately planned (Hutt & Speh, 2007; Palmiater et al., 2008).

Broadly speaking, there are two theoretical perspectives of CRM i.e. technical or technological perspective and business i.e. customer-centric perspective. From technical aspect, CRM is important both for operational and analytical purposes that implies that proper systems need to be implemented in the organisation so that they can provide proper foundations for analysis of different customer segments. While, business perspective of CRM emphasizes that relationship marketing should be integrated with marketing mix (product, price, place and promotion) so that a valuable outcome is achieved i.e. customer satisfaction, loyalty and value creation (Siems, 2010).

According to Buttle (2008) and Siems (2010), CRM is a result of an effective blend of both technological and business innovation; CRM is successful with all vital and crucial perspectives of individuals are compiled together and then taken into consideration when developing the marketing strategy. It implies that IT and marketing should be properly aligned within the organisations so that the CRM efforts designed for the customers will prove to be beneficial for the organisation. In order to make successful progression in the dynamic business environment, it is important that all organisational and strategic aspects are properly taken into consideration.

THE CUSTOMER-FOCUSED ANALYSIS

The analytical frame to understand customer value consists first of identifying the customer and understanding the customer's problem and solution needs. This leads to an understanding of what the solution does for the customer and everything associated with it.

The next issue is to focus on the options that the customer would consider appropriate in meeting the need and how the options compare with each other. Are there other options provided by other firms whose value-creating assets have a sustainable competitive advantage? This would dictate whether the firm should be in this business at all; if so, is there the potential for a sustainable competitive advantage? The kinds of questions that need to be asked by the customer-focused firm as it examines its business and how it can provide superior customer value for a sustainable competitive advantage.

The Key to a Sustainable Competitive Advantage

The core of any product is essentially a commodity. Competitive advantage comes from services as product enhancements made to the core. To compete on service, firms need to understand the opportunities and challenges presented by the special nature of services. Sustainable competitive advantage comes from an ability of the firm to compete through service.

A common misconception is to view services as being synonymous with customer service. “Services” are not limited to customer service. Customer service is only one of the services that enhance products. Managers who are product focused and not customer focused usually see services as meaning customer service. They see service as something that is done when a product fails or invoked to prevent it from failing. Others who see service as “freebies” that you toss in with the product are probably sales focused.

Firms with such a product or sales orientation actually do a disservice to the customer in the name of service. Their tendency is to offer a refund or return policy, which is often enough structured to favour the firm rather than the customer. These firms may offer a customer service toll-free telephone number, which is usually set up to be a frustrating encounter for the customer service personnel as well as the customer who may have been calling in for retribution.

Such is often the unfortunate consequence in firms that are not customer focused. In customer-focused firms, customer service is not just an add-on, a little something extra to keep the customer happy. Customer service is an integral part of the total product.

Service is not what you *do to the product*, it is what you *do for the customer*. The customer-focused firm looks at the core product as an incomplete solution for customers. These firms supplement the core product with services that help customize or otherwise enhance solutions for customers. Such product enhancements add value for the customer.

The Aramark employee being on location at Sears adds value to the core product of catering for Sears. It allows Aramark to be more customer focused by obtaining first-hand customer information and being able to deliver on it. By being on hand, Aramark can be immediately aware and responsive to the customers’ needs. Service-based product enhancements are an imperative for the customer-focused firm.

This establishes the frame of mind required for the customer-focused firm to be service oriented. You will see what the inherent characteristics of services are, and thus the challenges and opportunities you need to recognize when you incorporate services into the value you create and deliver to the customer.

The Service Orientation Imperative

The traditional view of services is to treat products dichotomously, in two categories—*either services or (physical) goods*. Sometimes the term *product* is even used interchangeably with packaged goods but not with service. Not only has this usage caused unnecessary confusion, but it has also encouraged the flawed approach that services and packaged goods are separate and mutually exclusive entities. Scholars

have gone as far as to suggest that “most product manufacturers and service providers alike are largely service operations.” They asserted that the role of services is critical for any organization in providing value in the form of “technological improvements, styling features, product image, and other attributes that only services can create.” The fact is that all products come with some services. As a matter of degree some products have more services than others and are therefore more intangible than others.

Picture a continuum ranging from products that are most tangible (and least intangible in proportion) at one extreme to products that are most intangible (and least tangible in proportion) at the other extreme. At one end of the continuum, services such as education, consulting, and financial services have very few physical goods that customers take title to. At the other end, packaged goods such as a bar of soap or table salt come with no apparent service unless, for example, the customer initiates a customer service phone call. In the middle of the continuum are products such as fast food restaurants and custom-made clothing that have an almost equal proportion, with no real predominance of tangibles or intangibles. In products that are predominantly intangible, where the customers don’t take title to anything physical, such as in banking services, the service provider might use tangibles such as documentation, statements, and billing. The value for the customer is in the information contained in them.

As a proportion of what the customer is getting in the total product, the predominant source of customer value is from the intangibles in the total product. For physical goods, services enhance the core product and provide opportunities for competitive advantage. Thus, any product has some proportion of services attached to it, and this part of the product has a special nature that needs to be handled differently. If all firms provide some proportion of service components as part of the total product, it behooves them to have an understanding of the nature of services.

Only with such an understanding can we truly get into the service-orientation frame of mind. Take for example, the table salt manufacturer, Morton’s. For this firm to look at itself as a packaged goods firm and therefore not concerned with services is a mistake. The fact that Morton’s makes the product available at the retail store through the appropriate distribution channels is a service to the customer.

Morton’s has essentially outsourced its distribution and retailing to channel intermediaries. To be truly customer focused, Morton’s needs to view all the value-added it provides the customer, over and above the product of the production process—the salt—as services it provides to the customer. Morton’s cannot manage its service components in the same way that it manages the production of its table salt. Most B2B manufacturing firms intuitively recognize the importance of the service component in enhancing its product. Caterpillar, the earth-moving equipment manufacturer, recognizes that prompt and reliable service is critical to its success and organizes the whole firm around customer locations. You need a service orientation to see such product enhancements as service dimensions that add value to the core product. Service orientation is

- A philosophy or frame of mind reflected in the firm's culture
- An attitude to serve the customer reflected in the firm's treatment of its customers, and
- A view of services as necessary enhancements to any core product to make a complete solution.

To provide complete and competitive solutions to the customer, one needs to understand and adopt the service orientation. The service-oriented frame of mind requires a grasp of the fundamental nature of services (whether as the product or a component of a product). Once the inherent characteristics of services are clear, it becomes apparent that their implications for the customer and the provider offer a number of opportunities and pose a variety of challenges.

As a preface to a discussion of these issues, it would be useful to note the evolution of interest in the concept of service. Prompted by the frustrations of practitioners in the service sector who were finding that marketing practices from the packaged goods world did not make sense for services, scholars began to get interested in the problem. In the late 1970s and early 1980s, for a number of reasons, the academic research community in business disciplines, particularly in marketing, operations, and human resources, began a serious intellectual debate as to whether products that were services, compared to products that were packaged goods, needed to be studied differently.

For example, could you study the marketing of hospitality services the same way as you would the marketing of toothpaste? Some scholars maintained that marketing is marketing regardless of *what* you are marketing. Either way, they argued, one had to go through the tasks of segmenting the market, positioning a product, and making product, pricing, distribution, or promotion decisions. Others argued that although that might be true, one would need to approach these tasks very differently; and they proceeded to offer the rationale for this argument. There was a great deal of interest in this effort, especially among those who recognized the tremendous growth of the services sector.

Around the same time there were environmental changes in the economy and in the competitive landscape. Services sectors such as airlines, telecommunications, and, later, banking and insurance were going through deregulation in the United States. Manufacturing was moving to cheaper labour markets in the Far East and in Latin America. Meanwhile, by the late 1980s in the United States, even professional services such as health care and legal services began to recognize the need to employ marketing practices.

Not surprisingly, even manufacturing firms were being forced to add service components to their product offerings. As these changes occurred and services were being established as an integral aspect of doing business, the United States had become a service economy. Ultimately, the debate over whether services were really different from physical products produced the rationale that the skeptics demanded. The evidence and essence of this argument epitomizes the service orientation.

Characteristics of all Services

There are certain fundamental characteristics that are inherent in all service products and in the service components of any product. Let us begin by defining service as *a deed, performance, or action*. Thus, by definition, services are intangible. The product that is a service or that component of the product that is a service cannot be seen, touched, or felt. As a deed, performance or action, a service is consumed as it is produced, such that the acts of production and consumption are inseparable. Thus, services are also perishable, in that they cannot be inventoried or produced and stored for later use. Nor can they be produced without some level of customer interaction.

Since services are produced and consumed in real time, they are inherently variable—from customer to customer, from provider to provider, and from time to time for the same customer and/or the same provider. These statements describe features that are fundamental and are inherent in products or components of products that are deeds, performances, or actions, and may sound very simplistic until you delve into the meanings and consequences of these inherent characteristics to the customer and to the provider.

It is generally accepted that services are different from physical goods along four fundamental characteristics labeled as intangibility, simultaneity or inseparability, perishability, and variability. These characteristics are conceptually inherent in all services or in the service component of any product. Although this framework is more useful as a pedagogical vehicle rather than a framework for research or practice, it is powerful in fully capturing the concept of service orientation and accomplishes the objective of placing the reader in the necessary frame of mind.

This mindset is grounded in the appreciation of the fundamental nature of services necessitating appropriate managerial decisions and actions. The fundamental character of services and the associated consequences may play out for the manager. A service orientation requires a thorough understanding of how these inherent characteristics of services are manifested for the customer and the manager.

Intangibility—Services

Services are performances. Services cannot be seen but they can be experienced. The product is a process. As a service provider, you cannot show your product as you could if you were the marketer of a packaged good. Yes, services are the result of value-creating activities, just as physical products are, and may employ tangibles or physical products in producing the service. However, the product being purchased is an experience and not a physical good. Customers cannot take ownership or title to a service. For example, hotels provide the service of overnight stay as their core product. The customer does not take title to the room that is being rented. The hotel provides the use of the room for the duration of the time that the customer has paid for. Similarly, customers don't take title to anything in air travel or in entertainment. When office copiers come with service, there is no ownership involved with the service component unlike with the copier itself. When your automobile comes with free service under

warranty, unlike the automobile itself there is no real ownership of the service component. Now, as a manager, you might say: “All this is well and good, but if it doesn’t change the way I manage the product, its production, or its marketing, whether it is a packaged good or service, why should I care? Services are intangible and service components in products are intangible—yes! But so what?” Let us examine this question from the customer’s point of view. For customers, one immediate consequence of the intangibility is increased perceived risk. When you cannot see the product or what you are going to get before the purchase, customers have to acknowledge a certain amount of risk they are taking. While there is perceived risk in the purchase of a packaged or physical good, you cannot return a vacation as you can a defective lawn mower.

Thus, you accept a certain amount of risk as unavoidable in the case of a service. When you book your vacation, do you really see the product? If you have previously been to the locations, you may have seen the facility, but your product was the experience. Complicating the perceived risk is the fact that the evaluation of services or the service component of the product is inherently subjective. Compared to packaged goods, customers find it harder to evaluate services before the purchase. In some cases, services are harder to evaluate even during and after their performances.

In the case of health care, for instance, you use several proxy elements, such as the cleanliness of the facility, the medical professional’s “bedside manner,” and the process you had to go through. What you are evaluating is a lot more than the core product, the medical treatment itself. Being intangible, services cannot be produced until you have purchased (whether you pay before, during, or after) the service.

Simultaneity—Services

The acts of production and consumption occur simultaneously in services. This is primarily because services are produced and consumed in real time. There is a great deal of interaction before, during, and/or after the service between provider and customer. Some sort of customer interaction is necessary even if customer physical presence is not. At the very least, customers have to specify their needs and their need situations. In most if not all cases, it can be argued that production and consumption cannot be temporally separated. (Thus, this characteristic is also termed “inseparability.”) A related complication for services is that in services, the provider is part of the product.

As a customer, the frontline personnel you interact with are a part of the product. In professional services, for instance, the lawyer is part of the (legal service) product, the doctor is part of the (medical care) product, the professor is part of the (education) product.

Comparing this to packaged goods: Do you have to interact with Procter & Gamble and the shop floor employee who made your particular tube of Crest toothpaste? You do interact with the retailer of the toothpaste, but remember that the retail store that makes the toothpaste available to you is a service. What you are consuming from the retailer as it is produced by the retailer is a service. In fact, you interact with the provider

of the service component of the packaged good. If you interacted with P&G, it was with customer service. Once again, let us confront the question: “So what?” To understand what difference it makes for the manager, the customer-focused firm must examine the consequences to the customer from the customer’s perspective. The customer has to interact with the provider at some stage or at all stages of the production process. The customer is in the service factory in the case of an amusement park. Sometimes the service factory comes to the customer, as in the case of the landscape contractor. Sometimes the interaction is at arm’s length, such as in the case of an online travel agent like Expedia.com. In each case, there is some interaction that the customer usually initiates. Thus, there is some effort on the part of the customer for the product to be produced.

The customer takes on a role in the production process. To perform the expected role, customers have to be educated and sometimes socialized into the process. For example, at a fast food restaurant, the customer needs to get familiar with the process of ordering and picking up the food. When you call your long distance phone company for a question on your bill, you need to have some information ready for the service to be performed. These days you have to be familiar with complex automated voice menus before you can get anything done over the telephone. Since consumption and production are simultaneous, the customer is consuming as the product is being produced. The product cannot be produced ahead of time and then consumed. This means that the product cannot be inventoried.

Perishability—Services

Since services cannot be produced and stored for later use, as physical products can, services are said to be perishable products. What actually perishes? In fact, what perishes is the productive capacity of the service, or more precisely, the opportunity to produce a product. A hairdresser’s time is wasted or unproductive when he or she is not serving a customer. The customer service personnel ready to handle customer enquiries is not producing a service unless there is a customer to serve. An empty airline seat perishes without a passenger in it on takeoff. The factors of production such as labour, facilities, equipment, and billable time are the value-creating assets for the service provider.

The opportunity to produce the product from these assets perishes without the adequate number of customers for which the capacity is designed. And the service provider needs to maintain a certain level of capacity that is not easily adjustable. Some services are more capacity-constrained than others. A hotel cannot reduce the number of rooms in its facility when there are not enough guests. A management consulting firm with fulltime employees would be hard pressed to release its staff when there are not enough clients to fill the capacity.

For the customer, service products need to be available and accessible when and where they are needed. When the productive capacity is sometimes not able to meet the demand, customers are likely to have to wait in queues or find another provider. Whether

it is on the phone for customer service, at the doctor's office, or in line for a ride in an amusement park, customers will have to get used to waiting. In some services, customers need to plan ahead of time and place reservations. That is how managers instinctively manage the utilization of capacity in the operation.

Conversely, when there is more productive capacity than there are customers to be served, service providers have to look for other customer segment opportunities for their value-creating assets. Service providers have to manage that balance between capacity and demand. They employ methods to anticipate and manage the pattern of demand and to manage the capacity accordingly.

Variability—Services

Service products as experiences vary from one experience to the next, from customer to customer, as well as for the same customer from one occasion to the next. In fact, this variability is compounded with differences among frontline personnel. When there are several steps in the service process where the customer interacts with several different personnel of the service provider, there could be variation from one interaction to another. In some cases, customers will prefer specific frontline personnel with whom they have become familiar and comfortable. Since services are produced and consumed in real time, it is clear that customers will likely see a great degree of variation in product quality.

Customers can receive a different experience each time, even at a standardized operation like McDonald's. Service managers attempt to deliver consistently high quality with frontline training and technology and to customize where possible and standardize where necessary. Customers expect customization even when it is not feasible. Managers have to balance the economics of standardization with the quality issues around customization.

Thus, the fundamental characteristics of services force their implications on the customer. The manager of services and products that involve a significant degree of tangibles are forced to orient themselves to these implications. The complexity of managerial situations as a consequence of these characteristics is manifested as opportunities and challenges. Consequently, the services manager must analyze these consequences, and be prepared to take some actions to address them.

3

Business Relationship in Marketing Management

TIPS AND TOOLS: BUSINESS RELATIONSHIPS

Respect is at the heart of building business relationships. It is the glue that holds together the functioning of teams, partnerships and managing relationships. (Up and down, peer-to-peer, internally and externally). Respecting the right to differ is a concept like apple pie and motherhood. We all agree with it but can we truly foster it?

The first step is to identify the specific areas of difference. Many people see things in terms of rights and wrongs. “My way” is right and therefore “other ways” are wrong. When a situation is viewed through this lens, a power struggle ensues. When, however, a situation can be seen through the lens of difference, and a position is simply a matter of opinion not fact, then cooperation and compromise is possible. Identifying and understanding differences allows people to shift their position to one of compromise and negotiation. The following steps are the roadmap to success:

- Respect leads to accepting a person for what he/she is.
- Accepting a person where they are, creates an environment of trust.
- Trust, leads to a willingness to be open to: new opportunities, new collaborations, new strategies, new ideas, new products.

Once you understand the above you can use the following list to avoid power struggles, which drain energy from your effectiveness. Here is our top 10 list for type of differences to look for.

1. *Communication Styles*. All people do not communicate in the same fashion. There are many inventories available to identify differing styles. Once you understand a person's style, this knowledge can lead to respect not conflict.
2. *Non-Verbal Communication*: All forms of communication must be considered. This form of communication is more covert, but not any less important. Non-verbal communication includes; body language, and tone. Non-verbal communication may differ from the verbal. With this additional understanding of what is really being communicated more effective collaboration is possible.
3. *Learning Styles*: People learn in different ways. When this concept is in the forefront of understanding then communications can be geared to various styles and will meet with greater success.
4. *Differing Values*: This concept can be a little tricky. While values need to be identified and respected, there are times when conflicting values can be so different that they cannot coexist on the same team. When mutually exclusive values are encountered, collaboration is not recommended.
5. *Boundaries*: We all have different space needs and boundary needs. (Boundaries are the limits you place on the behaviour of others around you.) The first step is to be aware of peoples' boundaries and then to use this understanding to approach them respectfully. This new behaviour often avoids conflict and strengthens relationships.
6. *The Self*. Self-respect is a vital and primary building block that supports the formation of relationships. By being aware of your own needs and styles you create a healthy foundation and the ensuing relationships are more solid. The remaining categories are variations on the theme of Cultural Differences. The need to understand, respect, and integrate diversity is a must in today's market.
7. *Company Culture*: Seasoned employees have come from different companies and each company has a culture. This must be identified and respected in order to insure successful integration into the current company. This concept is especially pertinent to mergers and acquisitions.
8. *Culture of the Country*: With the global nature of our business, employees often come from different countries, each with a different culture. In order to successfully integrate multicultural differences, these differences must be understood, articulated, and respected.
9. *Family Cultures*: The influence of our backgrounds is great. Often we ignore these differences because they "do not belong in the workplace". However the reality is that people cannot keep who they are out of the work environment. The key here is to recognize when the source of the conflict is based on someone's family/personal issues. This allows you to choose not to engage in a battle that is based on their family history.
10. *Individual vs Team*: Balancing the individuals needs with team needs is always an interesting dilemma. However, if this healthy balance is not reached,

problems are certain to follow. Taking the time to identify and then address both individual and team dynamics are at the core of this balancing act.

Business success is directly related to getting this right.

Business relationship management is a formal approach to understanding, defining, and supporting a broad spectrum of inter-business activities related to providing and consuming knowledge and services via networks, with an emphasis on the emergence of online networks as a primary medium through which business relationships are conducted.

Business relationship management (BRM) is distinct from, but related to, concepts such as Enterprise relationship management and Customer relationship management. It also exceeds the scope of the limited context of describing a liaison who aligns business interests with IT deliverables. BRM seeks to provide a complete and holistic model of business relationships and business relationship value over time, in order to make the various aspects of business relationships both explicit and measurable. A mature BRM model will ultimately support both:

- strategic business research and development efforts
- tools and techniques that implement BRM principles

BRM as a discipline seeks to enable all stakeholders to develop, evaluate, and leverage high-value relationships throughout the network.

Indicators and Drivers

The BRM concept is an outgrowth of observation and analysis of the transformational effects of certain features of the emerging network economy, including:

- advances in network scale, scope, and sophistication
- constant disruption as the ‘new normal’ business dynamic
- decentralization of knowledge and the devaluation of traditional IP and
- increased openness of networked knowledge and
- decline of command and control management

The impact of these trends on business relationships provides an opportunity to discover and align both principles and practice as the foundation of a distinct discipline.

Modelling Approach

The approach to the BRM modelling process is to identify and describe various aspects of business relationships in terms of:

- defined relationship types; each type having a specified purpose, associated roles, and a measurable outcome
- a set of processes that make up the business relationship lifecycles
- a set of principles that apply specifically to these lifecycle processes

Artifacts, Assets, and Products

Assets and products derived from the BRM model will eventually inform and support:

- a practice derived from applying BRM principles, analysing outcomes, and refining over multiple iterations
- tools and methodologies (platform) derived from successful practice that further support and optimize BRM as a discipline

BRM Relationship Types

The BRM model will identify and categorize business relationships according to type:

- each type has a discrete and clear purpose, characterized by a unique combination of roles, functions, and activities
- instances of each type can be identified, quantified, and analysed.

BRM Roles

The BRM model identifies two roles, provider and consumer; a given business by necessity participates in both roles.

BRM Lifecycles

The concept of business relationship lifecycle and builds on interest in charting the complexities of changing values of business relationships over time in contrast to simple transactional value.

BRM lifecycles include:

- a macro grow and sustain cycle, characterized by one-to-many and many-to-one relationships. Activities in this cycle are more or less continuous and overlapping (include marketing, customer/product support-maintenance, online community) and have indeterminate outcomes
- a micro engagement cycle, characterized by one-to-one, discrete or transactional, with discrete cycles and negotiated outcomes

BRM Principles

Measurement and Analysis The goals of BRM require that its concepts and principles be identifiable and measurable; that is to say, given the model, a person should be able to identify the Business Relationships that they are engaged in, and measure them (quantity, duration). The same holds for any aspect of BRM, such as type, role, or principle.

Purpose Every Business Relationship has a purpose that requires participation of multiple roles to accomplish. The purpose of a given Business Relationship is discrete and quantifiable.

Reputation and Trust The BRM model should attempt to model and quantify the related concepts of Reputation and Trust. Every relationship, and every interaction within the relationship, contributes to reputation. Reputation functions to mitigate risk and reduce friction within business processes. Concern for reputation incents good

behaviour. Absence of trust will cause a Business Relationship to fail. Trust increases efficiency and enables conflict resolution. The relationship between trust as a traditional core concept and in its emerging 'radical' form as a component of online community must be described.

Governance The BRM model needs to account for and align with models of corporate governance, including business ethics, legal constraints, and social norms as they apply to business relationships.

Boundaries The BRM model should define the boundaries of Business Relationships within the larger continuum of interpersonal relationships. In addition to legal and ethical (governance) issues, are there optimal levels of personal connection, and do they differ by type, role, or other attribute? The model should help define boundaries that optimize effectiveness while support good governance practices.

Exchange and Reciprocity The BRM model of exchange and reciprocity must extend traditional dimensions to account for not only financial exchange, but also time, money, knowledge, and reputation that are a key feature of business relationships.

Marketing Strategy Management

Marketing goals and action plans should address matters of product/service, price, distribution, communication, and the process of new product development.

Product/Service

Product/service strategy would be set to:

- Define the key characteristics of the product or service.
- Locate it within the organization's product/service hierarchy,
- Select the quality level,
- Outline product/service support programs. This information would be specified when an old product/service is to be changed or a new one, or several, added.

These characteristics of a firm's product/service are determined by finding the best fit between the organization's various internal factors and its external factors as they relate to product/service.

Thus a university college might introduce an evening programme to broaden its asset utilization and extend its instructional capabilities (internal factors) in the face of increased numbers of nontraditional students with heightened demand for education (external factors), to help implement a product (service) development action plan to reach a goal of increased revenue.

Price

Strategy regarding product/service price would be set to accomplish one or some combination of four fundamental things:

- Change in profitability,
- Change in sales level or growth rate,

- Change in net cash flow,
- Maintenance of present sales, profit, or cash flow level.

Marketing goals and action plans deal with price by specifying the planned-for impact on company performance (as measured by the income statement) desired of a strategy. The task of actually setting price to yield that impact is normally the responsibility of the firm's marketing director where marketing is decentralized.

In cases where a profit impact is expected, marketing goals can set a target return on assets, net cash flow, return on sales, or some other evaluative criterion that would have been determined to justify the higher-level strategy. In small sole proprietorships or partnerships, the targeted return might be a dollar amount required to cover the spending needs of the owner/manager.

Some managers prefer to have prices set so as to generate a certain targeted dollar amount of sales, rate of change of sales, or market share. Although sales are more immediately measurable than profit, their use as a focus can lead to earnings or cash flow slippage that go undetected in the short term. For example, a firm could allow progressively more liberal receivables policy and thus attract sales to meet a rigid sales growth or market share goal. Yet by increasing payables commitments, the firm could suddenly find itself placed on the cash basis by suppliers and unable to meet delivery requirements. Obviously sales and profitability would then be threatened.

Firms can also set a net cash flow target, which, when coupled with normal credit terms for an industry or geographical area, can dictate within narrow limits what price would be most appropriate. Here a strong need for cash might require a relatively low price. This would be the case if buyers were unwilling to pay a higher price on short credit terms and the seller needed cash inflow to meet required outflows.

Finally, a strategist may feel that prices should be set so that competitive attention is not drawn to the firm or that risk is minimized. This equilibrium or "status quo" maintenance goal could be effective for a firm with stable returns on sales, for example, which is trying to avoid competitive retaliation.

Distribution (Place)

As with other marketing variables, the details of distribution system structure and selection are the province of the marketing director in a decentralized firm. Yet the corporate strategist's input to distribution system design is critical in that it sets the limits for subsequent distribution decisions.

The primary element of distribution goals and action plans is a definition of planned-for coverage or exposure of products addressed at higher levels of strategy.

Intended product exposure is a function of:

- The extent to which the firm is integrated forward or backward,
- Whether the output of intermediate steps in the production process will be marketed or retained only as components,
- Desired coverage, usually in geographical terms, of the items marketed.

To illustrate, a fully integrated home microcomputer manufacturer could limit distribution to sales of computers, the final products, to consumers. In so doing the firm would have foregone potential sales of separate intermediate products such as electronic components, individual hardware units, and software.

In this case distribution decisions would be a function of how wide a market area the strategist plans to cover with the finished product. If, alternatively, business strategy called for marketing the output of each step in the production process, then distribution strategy would address the coverage of variables for components, hardware, and software. Each one could have different coverage requirements, depending upon the density in the market area of potential buyers for each product class.

Promotion

The strategist's primary concern with promotion, or, more generally, communication, is to provide guidance to the firm's marketing specialists so that product communication assumes a form consistent with overall strategy.

There are four types of communication methods:

- *Personal sales presentations:* Direct communication between sellers and potential buyers.
- *Sales promotion:* Displays, exhibitions, demonstrations, and trade shows to complement other communication techniques.
- *Mass advertising:* Communication with large aggregates of potential buyers simultaneously.
- *Public relations:* Free nonpersonal communication.

In a decentralized firm, the job of selecting a particular combination of communication methods is usually the responsibility of marketing specialists. To optimize congruence between communication methods and overall strategy, the strategist sets communication strategy in four areas to guide the specialist's decisions.

First, a set of quantitative communication goals specifies expectations of the programme ultimately designed. These goals are the planned-for results of the communication programme and are not necessarily the same as overall strategic goals.

Communication goals should be segment-specific such that the net effect of several communication efforts (say, one for each of several segments or markets served by the firm) is attainment of one overall growth rate in sales, market share, or profit. These goals should also clarify whether the purpose of communication is to educate, persuade, or remind.

Second, communication activities are aimed at either one or a combination of target market segments. A segment description is normally part of all marketing strategy subsets but has specific implications for communication specialists.

Third, while analyzing the firm's environmental circumstances, competitive position, and internal characteristics, strategic analysis (the process that would have led to the development of a new product or maintenance of an existing one) would have revealed

a selection of possible selling points for the product or product mix. A selling point is the collection of product or service attributes that constitute the primary message of the firm's communication programme; it is the information conveyed in the communication effort. Fourth, communication strategy should include the amount to be budgeted for the communication programme expressed in either dollars or percentage of sales or gross profit.

New Product Development

As products reach the decline stage of their life cycles, they must be replaced by new products in order for the firm to grow and prosper. Thus an integral part of a business strategy that stresses product development is a marketing strategy defining the way in which new product ideas will be generated. The product development process is summarized by Rabino and Moskowitz as four chronologically ordered stages as follows:

- *Formulation of product goals:* These may be thought of as the organization's requirements for new products; what must it "get out of" new product entries and therefore what are its purposes for generating new product ideas.
- Search, discovery, and evaluation of new product proposals. Procedures are developed and implemented to identify and screen new product ideas which may potentially heed product goals.
- *Product development and testing:* The number of new product ideas is reduced to the few tangible ones that have the highest chance of meeting goals and which fall within the company's strategic capability.
- *Market entry:* The commercialization phase is typically the province of the rest of the marketing function and requires expertise which resides there.

The rudiments of marketing strategy can be laid out by setting goals and action plans for each element above. For analysis of cases, students who formulate marketing strategy should follow the guidelines above for each element at a minimum.

Finance Strategy

The management of a firm's financial resources is intricately connected to the upper-level strategies of the firm. That enterprise-, corporate-, and business-level goals normally include explicit financial performance criteria attests to the fundamental strategic nature of higher-order financial matters. So too financial resources thread through all the operational components of an enterprise in a manner that either enhances or constrains their contribution to overall performance. As such financial concerns are both directive and supportive in a strategic context.

Finance strategy is generally concerned with the acquisition and allocation of financial resources for the purpose of achieving goals at an acceptable level of risk. Thus the setting of goals and action plans for finance can be viewed as a problem relating the sources and uses of capital that is constrained, at least in part, by stockholders' wealth goals. In this section financial goals and action plans are treated from capital acquisition

and allocation perspectives, though this distinction is only for expository purposes. Rarely are capital acquisition decisions made in isolation from those relating to how funds would be allocated, and vice versa. Indeed the familiar cost-of-capital notion has meaning in both regards.

On the matter of risk, we will find that it enters into both sources and uses problems. It is manifest primarily through the notions of financial leverage, operating leverage, liquidity, and working capital management. All are discussed in the present section.

Capital Allocation

Higher-level strategies normally involve certain current and fixed asset investments that represent short- and long-term applications or uses of funds. Specifications describing these investments are outlined in terms of capital budgeting techniques, cost-benefit analysis, and a cash budget, which serve:

- To determine the financial characteristics of strategic investments
- As evaluative criteria for monitoring the operation of the firm under the business-level strategy.

Of course, to determine the financial impact of strategic investments, a comprehensive financial analysis (explained earlier) of the firm is necessary to define its preimplementation financial structure.

All subsequent changes can then be evaluated according to their expected effect on this financial profile. Business-level strategy will necessitate selection from among various expenditure choices.

Finance goals and action plans are needed to establish the expected outcomes and methods to be followed in such evaluations.

Related decisions involve the relative amounts of capital diverted to dividends versus reinvestment in the firm (the dividend payout ratio or its opposite, the earning retention ratio).

Investment Project Categories

Investment projects can be classified as follows:

- *Cost reduction:* Expenditures to increase the efficiency of labour or equipment would fall into this category. They commonly would be part of a retrenchment strategy or one targeting increased profitability.
- *Maintenance:* These expenditures are for replacement of worn-out or damaged equipment or facilities where no strategic change is intended.
- *Market development or penetration:* Expenditures for action plans requiring expansion into new markets or increased penetration of existing markets are included here. They would be for advertising campaigns, market research, geographical expansion, and so on.
- *Product development:* When expenditures are for the production of new or modified products, they fall into this category.

- *Compliance*: Expenditures are often required by government regulations, labour contracts, or insurance terms.
- *Miscellaneous*: Projects that do not fall into the other five categories are classified as miscellaneous. Examples include office facilities and some employee benefit programs.

Authorization hierarchies: To evaluate investment alternatives, most managements establish expenditure authorization hierarchies by type of investment project, functional department, and/or division. Thus market development investments might have to be reviewed by the sales manager, the vice-president of marketing, a vice-presidential expenditure committee, the CEO, and ultimately the board of directors. A dollar limit is usually established for each level. An expenditure above that limit has to be forwarded to the next highest level for authorization until it is either approved or denied.

The magnitude of these limits and where they are applied depends upon the type of business, style of management, track records of individuals involved, and other factors, and should reflect the sensitivity of the firm's financial position involved, and other factors, and should reflect the sensitivity of the firm's financial position to losses. Authorization limits and the way they are administered become prime (though inconclusive) indicators of the type and degree of decentralization in an organization.

Project Selection Criteria

In all instances the capital allocation process becomes a budgetary matter therefore, we have the term "capital budgeting." But it is as much a process of selection as it is of submission.

Compliance and most miscellaneous projects, which usually involve no cash inflows, are evaluated by level of necessity and dollar amount. The other types of projects involve both cash inflows and outflows and can be evaluated by various measures of net return as well as size of outflow (or investment).

Most common among the various methods are the payback period, average rate of return, net present value, internal rate of return, and profitability index models. The model to be used to evaluate projects is specified by finance strategy along with the project selection criterion (or cutoff point) for approval.

Capital budgeting models allow the strategist to rank investment alternatives by profitability (or other bases). Establishing a cutoff point for selection from among the ranked alternatives is another strategic decision.

Two popular ways to determine the cutoff point are:

- To use the firm's cost of capital
- To compute other hurdle rates of return. Of course, some expenditures are simply necessary regardless of their return and would be selected accordingly.

Compliance investments, for example, often fall into this category.

Cost of Capital. If investments are made in projects with returns below the rate paid to obtain capital, the earnings available to common shareholders will be reduced

accordingly. The cost of capital for a firm is thus the rate of return on projects that is necessary to prevent changes in the earnings available to common shareholders and can be used as an evaluative criterion for selection from among strategic investment choices.

This definition does not imply that the concern is only with the cost of equity financing (which includes new common share issues as well as retained earnings). Debt and preferred stock are also sources of investment funds, both of which normally have different component costs from common equity sources taken alone. But the focus of cost of capital as an investment criterion is on the returns generated for common shareholders.

Establishing the firm's cost of capital is important to ensure that investments are not made with expected returns that are less than the amount the firm pays for capital. Thus the cost of capital can be used as a "hurdle" rate of return. This estimate is also used as the discount rate in computing net present value, internal rate of return, and the profitability index for projects.

Operating Leverage and Risk. All strategic investment decisions are going to involve some degree of risk. Risk entails not only the profitable versus unprofitable dichotomy, but also the variability in earnings or losses emanating from an investment project. One dimension of the risk-management question is captured in the concept of operating leverage.

Operating leverage is the degree of magnification of earnings or losses (expressed as cash flows or profits) set off by different levels of output. The magnification results from the variable cost versus fixed cost mix in an investment period. Generally the higher the level of fixed commitment in relation to variable costs, the greater is the leverage (and magnification). This, of course, is the central notion in the familiar break-even analysis, where concern is given not only to the break-even point, but also the levels of earnings or losses around it.

Operating leverage becomes a strategic issue because it affects such things as variability of anticipated sales, competitive strategy, and the degree to which the firm can absorb or tolerate variations in earnings.

The fact that differences exist across companies in their relative amounts of operating leverage may be largely a function of the industry in which each of them competes. The fashion apparel industry, for example, tends to display a good deal more demand volatility than does the tobacco industry.

The first, therefore, tends to be more labour (variable cost) intensive than the latter in its production processes (though there are other explanations for this difference as well). It is much more difficult to reduce fixed than variable commitments than in the short term to address temporary demand shortfalls.

Second, a firm's fixed versus variable cost mix is often a function of the competitive advantage it is trying to achieve. A firm choosing a technological leadership role would likely have comparably large fixed commitments to research and development.

This would raise its relative break-even point and magnify the levels of losses or earnings at other output levels. Or a firm trying to maintain a price leadership position might require automated (capital-intensive) production systems. Here lower total costs at higher output levels allow the competitive price advantage and magnify earnings above break-even volume. Below break-even volume, the reverse is true. Finally, the tolerance for, or ability to absorb, earnings fluctuations affects the operating leverage profile. A marginal firm, intolerant of losses, would probably make as few fixed commitments as possible. Though this might impair its upside earnings capability, the firm's primary concern would be with downside risk.

Managers are also concerned with the degree of operating leverage when confronted with vertical integration decisions, since they usually represent the conversion of variable costs to fixed costs. One reason for integrating vertically is to capture the margins realized by suppliers or downstream distributors.

But in the process, additional fixed costs are normally incurred that alter the degree of operating leverage the integrator experiences. Any resulting variations in earnings or loss potential must be consistent with overall financial performance goals.

If not, the new acquisition might operate at a loss (below break-even). Losses could be avoided by margin/cost trade-offs between integrated units (absorption), or additional fixed-cost commitments may be simply insignificant in the grand scheme of things. In any case the operating leverage profile of a firm and that of individual investments pose risk, as well as profitability, questions.

Capital Acquisition

The second aspect of financial goals and action plans is determining the sources of capital to be invested in assets needed to carry out a higher-level (usually business-level) strategy. Long-term sources will affect primarily the firm's debt/equity structure; short-term sources its liquidity position. But, as we shall see, they are interrelated.

Financial choices will be made to optimize the firm's overall financial profile while also maximizing the likelihood that a new set of higher-level strategies will be implemented as planned. Making these choices is a decision process fraught with trade-offs. Using equity to raise funds may improve debt/equity position, but will dilute ownership.

Use of short-term debt will preserve ownership but will threaten liquidity. Using internally generated funds will prevent interest expense increases, but may threaten dividend payout ability. Thus the strategist's primary concern is with setting limits or guidelines for key financial criteria within which a higher-level strategy's financial requirements must fit.

Considerations in the Capital Mix. Financing for strategic investments falls generally into two classes; short term and long term.

For both the strategist must select the optimal type of financing—optimal in terms of cash/return trade-offs, relative costs, and control as indicated by the firm's mission

and master strategy. For example, if stockholders through the board of directors were to oppose further dilution of holdings, the strategist probably would not consider equity financing, even if it was considered optimal for another reason.

Next the impact of the selected mix of financing sources is assessed on:

- The firm's liquidity position
- The firm's debt/equity structure.

In the process of selecting sources of funds and capital, managers have the opportunity to affect the firm's financial profile. They can take advantage of financial strengths such as strong liquidity or a relatively low debt-to-equity position. Conversely they can, within reasonable limits, strengthen financial weaknesses.

Weak liquidity can be at least partially ameliorated by generating cash through tightening credit collection policies, improving inventory control, or controlling operating expenses. These are largely working capital management matters.

Dividend Policy. In deciding between long- and short-term financing, the strategist must evaluate the firm's dividend policy. The proportions of earnings allocated to dividends and retained earnings can materially affect the firm's ability to meet debt repayment schedules with cash. Over-commitment to debt could necessitate reducing, or not increasing, dividend payments, and thus lessening cash flows to stockholders.

Dividend policy generally will be one of three major types: stable dollar amount per share, constant payout ratio, or low regular dividend plus extras. Which of these is appropriate for an individual firm is a function of a financial interpretation of shareholder goals, including expectations of returns and risk.

It is therefore a matter of highest-level concern, and normally is treated by the board of directors. Decisions regarding dividend policy also eventually affect the liquidity and debt structure of the firm, as well as stockholder relations.

Consequently, students should carefully enunciate the potential impact of proposed changes in dividend policy of companies they are analyzing in cases by explaining how they will alter the firm's liquidity position, debt structure, and stockholder relations.

Financial Leverage and Risk. In addition to dividend policy, the strategist will be particularly concerned with financial leverage. Not to be confused with operating leverage, financial leverage involves the use of debt in the firm's financial structure. Though it may be operationally defined and measured in a variety of ways, it essentially entails the use of debt to extend the earning power of funds committed by the firm's shareholders. When used properly financial leverage magnifies returns on committed funds.

Because of the nature of financial leverage, it carries within it not only the general types of risk associated with operating leverage, but also two others that have rather specific implications.

First, there is the risk of default—the inability to meet debt obligations as they come due. By definition, as financial leverage increases, cash flow requirements necessary to service additional debt increase as well. The risk of inadequate cash flow is, therefore,

a primary concern in strategic decisions regarding financial structure. This, of course, suggests that liquidity and leverage are intricately intertwined in decisions of that kind.

Second, the informed strategist not only must consider the risk of default and the involuntary actions that failure may lead to, but also the priority of claims that attend a given financial structure. In the case of liquidation, voluntary or involuntary, shareholders normally hold a claims position subordinate to that of debt holders. Thus increased leverage can have a deteriorating effect on the assets available for distribution to shareholders upon liquidation. Therefore, this component of risk enters financial structure decisions as well.

Cost of Capital. The cost of capital is of major importance in investment decisions (as a discount rate or hurdle rate of return), but it also has strategic importance in capital mix decisions. Since a firm's cost of capital represents the combined influence of all of its individual components, it can serve as a useful criterion for evaluating the capital structure itself.

That is, the lower the overall cost of capital, generally the more "optimal" is the capital structure for a given risk profile. In planning the capital mix, the finance strategist is concerned with minimizing the combined cost of funds so that the funding of future growth can be accomplished most economically. Thus if the addition of long-term debt to the capital structure ends up reducing the combined cost of capital (through a marked increase in the price of common stock, for example), then the increased-leverage decision can be partly justified on that basis. Similarly increases in common shares issued may have a disproportionately negative influence on the cost of debt. In these cases the cost-of-capital concept offers a useful framework for establishing capital mix objectives. Further, it forces the analyst to consider the interactive effects of different forms of financing, rather than simply examine the individual component costs of the various forms of debt and equity available.

Long-Term Financing Instruments

The major classes of long-term financing are common stock, preferred stock, various forms of debt, and convertible securities. Selection from among these choices is a function of the firm's dividend policy, leverage position, cost of capital, and earnings per share; target values for each of these, in turn, are a function of higher-level goals and strategy. The strategist can set financial goals for each of these risk/return variables so as to guide the selection of long-term financing instruments.

Leasing

Increasingly popular as a method of financing, leasing is loosely a form of leverage. Because of the debt characteristics of leasing, which normally extend beyond one year, it is included in our discussion of long-term sources of funds. One author refers to leases as "soft debt." The Internal Revenue Service normally allows an income tax deduction for the full amount of a lease (annualized, of course, by the payment schedule).

This amount is often greater than that resulting from an asset purchase where depreciation and related interest expenses are deductible. Leases may also prove a more expeditious method of obtaining assets than by an outright purchase, and may allow for greater flexibility in asset management and financial planning. The viability of leasing instead of purchasing an asset is largely a function of cash outflows and the cost of funds. Although there are several ways to analyse the lease-or-buy decision, the internal rate of return approach is straightforward and reasonably comprehensive. The internal rate of return of leasing is compared with the after-tax cost of debt to determine which has the lower cost.

Futures Markets

In the late 1970s and early 1980s, radical changes in the international currency system and in the way the Federal Reserve managed the U.S. money supply produced unprecedented volatility in interest rates and currency exchange rates. As market forces shook the foundations of global financial stability, businesses wrestled with heretofore unimagined challenges. Between 1980 and 1985, Caterpillar, the Peoria-based maker of heavy equipment, saw exchange-rate shifts give its main Japanese competitor a 40 percent price advantage. Meanwhile, even the soundest business borrowers faced soaring double-digit interest rates. Investors clamored for dollars as commodity prices collapsed, taking whole nations down into insolvency and ushering in the Third World debt crisis.

Stymied financial managers turned to Chicago, where the traditional agricultural futures markets had only recently invented techniques to cope with financial uncertainty. In 1972, the Chicago Mercantile Exchange established the International Monetary Market to trade the world's first futures contracts for currency. The world's first interest-rate futures contract was introduced shortly afterward, at the Chicago Board of Trade, in 1975. In 1982, futures contracts on the Standard and Poor's 500 index began to trade at the Chicago Mercantile Exchange. These radically new tools helped businesses manage in a volatile and unpredictable new world order. How? Futures are standardized contracts that commit parties to buy or sell goods of a specific quality at a specific price, for delivery at a specific point in the future. The concept of buying and selling for future delivery is not in itself new. In thirteenth- and fourteenth-century Europe, buyers contracted for wool purchases one to several years forward. Cistercian monasteries that produced the wool sold forward more than their own production, expecting to buy the remainder on the market (presumably at a lower price) to satisfy their obligation. In seventeenth-century Japan, merchants bought and sold rice for future delivery. And banks have long offered their customers the opportunity to buy and sell currencies forward, with both the bank and the customer contracting today and settling their obligation in the future. But the complex legal and financial arrangements that make the modern futures market possible are thoroughly modern.

In the nineteenth century, Chicago's trading pits offered an organized venue in which farmers and other suppliers of agricultural commodities, such as warehouse owners

and brokers, could remove the risk of price fluctuations from their business plans. The futures exchanges were private, member-owned organizations. Members bought “seats” on the exchange and enjoyed various trading rights. It may seem strange that markets originally established to trade agricultural commodity futures in the nineteenth century should become centers of trade for financial contracts in the twentieth. But the key to success as a trader is to understand the market; traders therefore consider themselves experts on market movements rather than authorities on minerals and crops. This is why financial futures were relatively easy to introduce to markets originally designed for agricultural commodity futures: one thing interest rates and corn have in common is a fast-changing market.

Although the underlying risks have changed, some important futures markets still operate much as they always have, with traders standing in a ring or a pit shouting buy and sell orders at each other, competing for each fraction of a cent. But electronic trading is rapidly changing how traders trade. Computer terminals linked to each other through electronic trading systems let traders access a virtual trading floor from anywhere in the world.

The need to raise capital to build these systems has led several big exchanges to go public, issuing stock to investors and operating as any public corporation providing a service—the service of a market. Exchanges compete with each other to attract traders by doing a better job of providing the benefits that traders expect from a fair market.

Take futures contracts, for example. They are not contracts directly between buyers and sellers of goods. The farmer who sells a futures contract and commits to deliver corn in six months does not make his commitment to a specific corn buyer, but rather, through a broker, to the clearinghouse of the futures exchange. The clearinghouse, another modern institution, stands between buyers and sellers and, in effect, guarantees that both buyers and sellers will receive what they have contracted for.

Thanks to the clearinghouse, the farmer does not have to be concerned about the financial stability of the buyer of the futures contract, nor does the buyer need to be concerned about the progress of any particular farmer’s crop. New information about changes in supply and demand causes the prices of futures contracts to fluctuate, sometimes moving them up and down many times in a trading day. For example, news of drought or blight that may reduce the corn harvest, cutting future supplies, causes corn futures contracts to rise in price. Similarly, news of a rise in interest rates or a presidential illness can cause stock-index futures prices to fall as investors react to the prospect of difficult or uncertain times ahead. Every day, the clearinghouse tallies up and matches all contracts bought or sold during the trading session. Parties holding contracts that have fallen in price during the trading session must pay the clearinghouse a sort of security deposit called “margin.” When the contracts are closed out, it is the clearinghouse that pays the parties whose contracts have gained in value. Futures trading is what economists call a zero-sum game, meaning that for every winner there is someone who loses an equal amount.

But in a fundamental economic sense, futures trading is positive sum. Both sides expect to gain, or they would not trade. Another way of saying this is that the loser may be perfectly happy to lose. That is because many businesses use futures markets as a form of insurance. A candy maker, for example, might buy sugar and cocoa futures contracts to lock in a price for some portion of its requirement for these important ingredients. The contracts are as good as physically buying the commodities and storing them. If prices rise, the futures contracts will also be more valuable. The company can choose to sell the contracts and pocket the cash, then buy the commodities from its usual suppliers at market prices, or else accept delivery of the ingredients from the seller of the contract and buy less on the market.

Either way, its cost of raw materials is lower than if it had not bought the contracts. The company has cushioned itself against a price risk and does not have to worry that its production and marketing strategy will be disrupted by a sudden price increase. But what if prices fall? In that case the company loses some money on its futures contracts. But the same price decrease that causes that loss also caused something good: the company pays less for its ingredients. Remember, the purpose of buying the futures contract was to protect against something bad happening—a price rise. The bad thing did not happen; prices fell instead. The loss on the futures contract is the cost of insurance, and the company is no worse off than a person who purchases fire insurance and then does not have a fire.

The biggest users of the futures markets rely on them for risk management. That is surely one reason why defaults are rare. But there is an additional security measure between the individual trader and the clearinghouse. Buyers and sellers of futures must do business through intermediaries who are exchange members. Instead of standing between two individual traders, therefore, the clearinghouse stands between two exchange member firms. Each firm monitors its own customers and makes a “margin call” when the customer’s losses make additional margin necessary. If the customer cannot pay the margin, the firm closes the account, sells off the positions, and may have to take a small loss. While firms pay attention to the credit of their customers, the clearinghouse pays attention to the credit of the firms. The clearinghouse needs to make good on a trade only if losses are so great that the exchange member firm itself fails. This happens occasionally when firms badly mismanage their risks or when a major financial crisis occurs.

Because futures contracts offer assurance of future prices and availability of goods, they provide stability in an unstable business environment. Futures have long been associated with agricultural commodities, especially grain and pork bellies, but they are now more likely to be used by bankers, airlines, and computer makers than by farmers—at least in North America and Europe. By the early 2000s, although commodities remained the mainstay of futures markets in Asia, in the developed countries of the West financial futures contracts had almost totally eclipsed commodities. The Chicago Mercantile Exchange claimed in 2004 that financial futures accounted for 99

percent of its business, and financial futures also accounted for the lion's share of business at the Chicago Board of Trade and at Euronext.liffe. In Japan, by contrast, commodity futures trading dwarfed financial futures. This does not mean that commodities were more important than finance in the Japanese economy, of course. Financial futures got a slow start in Japan because Japanese regulations discouraged them. Traders who wanted to trade such futures had to—and did—trade them elsewhere. Thus, the first futures on Japan's Nikkei stock index traded in Singapore, and the first yen futures traded in Chicago.

Obviously, the idea of hedging against an unstable financial environment has great appeal. Companies like Caterpillar, Microsoft, or Citibank can now protect themselves against currency shifts by buying and selling futures contracts or similar instruments. Investors use contracts on interest rates, BONDS, and stock indexes to protect against a decline in the value of their INVESTMENTS, just as farmers have long used futures to protect against a drop in the price of corn or beans.

Farmers who planted corn in the spring had no way of knowing what the price of their crop would be when they harvested in the fall. But a farmer who planted in the spring and sold a futures contract committed to deliver his grain in the fall for a definite price. Not only did he receive cash in the spring in return for his commitment, but he also received the contract price for his crop even if the market price subsequently fell because of an unexpected glut of corn. In exchange the farmer gave up the chance to get a higher price in the event of a drought or blight; he received the same fixed price for which he had contracted. In the latter case, the farmer would have netted more if he had not sold the future; however, most farmers prefer not to gamble on the corn market. Farming is risky enough, thanks to uneven rainfalls and unpredictable pests, without adding the risk of changes in market prices.

Farmers thus seek to lock in a value on their crop and are willing to pay a price for certainty. They give up the chance of very high prices in return for protection against abysmally low prices. This practice of removing risk from business plans is called hedging. As a rule of thumb, about half of the participants in the futures markets are hedgers who come to market to remove or reduce their risk.

For the market to function, however, it cannot consist only of hedgers seeking to lay off risk. There must be someone who comes to market in order to take on risk. These are the "speculators." Speculators come to market to take risk, and to make money doing it. Some speculators, against all odds, have become phenomenally wealthy by trading futures. Interestingly, even the wealthiest speculators often report having gone broke one or more times in their career. Because speculation offers the promise of astounding riches with little apparent effort, or the threat of devastating losses despite even the best efforts, it is often compared to casino gambling.

The difference between speculation in futures and casino gambling is that futures market speculation provides an important social good, namely liquidity. If it were not for the presence of speculators in the market, farmers, bankers, and business executives

would have no easy and economical way to eliminate the risk of volatile prices, interest rates, and exchange rates from their business plans.

Speculators, however, provide a ready and liquid market for these risks—at a price. Speculators who are willing to assume risks for a price make it possible for others to reduce their risks. Competition among speculators also makes hedging less expensive and ensures that the effect of all available information is swiftly calculated into the market price. Weather reports, actions of central banks, political developments, and anything else that can affect supply or demand in the future affect futures prices almost immediately. This is how the futures market performs its function of “price discovery.”

There seems to be no limit to the potential applications of futures market technology. The New York Mercantile Exchange (NYMEX) began to trade heating oil futures in 1978. The exchange later introduced crude oil, gasoline, and natural gas futures. Airlines, shipping companies, public transportation authorities, home-heating-oil delivery services, and major multinational oil and gas companies have all sought to hedge their price risk using these futures contracts. In 1990 the NYMEX traded more than thirty-five million energy futures and option contracts.

Meanwhile, international stock market investors have discovered that stock-index futures, besides being useful for hedging, also are an attractive alternative to actually buying stocks. Because a stock-index future moves in tandem with the prices of the underlying stocks, it gives the same return as owning stocks. Yet the stock-index future is cheaper to buy and may be exempt from certain taxes and charges to which stock ownership is subject. Some large institutional investors prefer to buy German stock-index futures rather than German stocks for this very reason.

Because stock-index futures are easier to trade than actual stocks, the futures prices often change before the underlying stock prices do. In the October 1987 crash, for example, prices of stock-index futures in Chicago fell before prices on the New York Stock Exchange collapsed, leading some observers to conclude that futures trading had somehow caused the stock market crash that year. In fact, investors who wanted to sell stocks could not sell quickly and efficiently on the New York Stock Exchange and therefore sold futures instead. The futures market performed its function of price discovery more rapidly than the stock market did.

Futures contracts have even been enlisted in the fight against air pollution and the effort to curb runaway health insurance costs. When the Environmental Protection Agency decided to allow a market for sulfur dioxide emission allowances under the 1990 amendments to the Clean Air Act, the Chicago Board of Trade developed a futures contract for trading what might be called air pollution futures. The reason? If futures markets provide price discovery and liquidity to the market in emission allowances, companies can decide on the basis of straightforward economics whether it makes sense to reduce their own emissions of sulfur dioxide and sell their emission allowance to others, or instead to sustain their current emission levels and purchase emission allowances from others.

Without a futures market it would be difficult to know whether a price offered or demanded for emissions allowances is high or low. But hedgers and speculators bidding in an open futures market will cause quick discovery of the true price, the equilibrium point at which buyers and sellers are both equally willing to transact. Similar reasoning has led to some decidedly unconventional applications of futures technology. The Iowa Electronic Market introduced political futures in 1988, and this market has generally beaten the pollsters at predicting not only the winner of the White House but also the winning margin. This makes sense because people are much more careful with information when they are betting money on it than when they are talking to a pollster. Economist Richard Roll showed that the orange juice futures market is a slightly better predictor of Florida temperatures than the National Weather Service.

The Market is an Economic Entity

In most cases, a market is characterized by a dynamic system of economic forces. The four most salient economic forces are supply, demand; competition, and government intervention. The terms *buyer's market* and *seller's market* describe different conditions of bargaining strength. We also use terms such as a "monopoly, oligopoly, and pure competition" to reflect the competitive situation in a particular market. Finally, the extent of personal freedom and government control produces free market systems, socialistic systems, and other systems of trade and commerce.

Placing these labels on markets allows the marketer to design strategies that match a particular economic situation. We know, for instance, that in a buyer's market, there is an abundance of product, prices are usually low, and customers dictate the terms of sale. Many firms find that they must make tremendous strategy adjustments when they sell their products in Third World markets. The interaction of these economic factors is what creates a market. There is always the pressure of competition as new firms enter and old ones exit. Advertising and selling pressure, price and counterprice, claim and counterclaim, service and extra service are all weapons of competitive pressure that marketers use to achieve and protect market positions. Market composition is constantly changing.

Types of Markets

Now that we have defined markets in a general sense, it is useful to discuss the characteristics of the primary types of markets:

- (1) consumer markets,
- (2) industrial markets,
- (3) institutional markets, and
- (4) reseller markets.

It should be noted that these categories are not always clear-cut. In some industries, a business may be in a different category altogether or may even encompass multiple categories. It is also possible that a product may be sold in all four markets. Consequently,

it is important to know as much as possible about how these markets differ so that appropriate marketing activities can be developed.

Consumer Markets

When we talk about consumer markets, we are including those individual and households who buy and consume goods and services for their own personal use. They are not interested in reselling the product or setting themselves up as a manufacturer. Considering the thousands of new products, services, and ideas being introduced each day and the increased capability of consumers to afford these products, the size, complexity, and future growth potential of the consumer market is staggering.

Industrial Markets

The industrial market consists of organizations and the people who work for them, those who buy products or services for use in their own businesses or to make other products. For example, a steel mill might purchase computer software, pencils, and flooring as part of the operation and maintenance of their business. Likewise, a refrigerator manufacturer might purchase sheets of steel, wiring, shelving, and so forth, as part of its final product. These purchases occur in the industrial market. There is substantial evidence that industrial markets function differently than do consumer markets and that the buying process in particular is different.

Institutional Markets

Another important market sector is made up of various types of profit and non-profit institutions, such as hospitals, schools, churches, and government agencies. Institutional markets differ from typical businesses in that they are not motivated primarily by profits or market share. Rather, institutions tend to satisfy somewhat esoteric, often intangible, needs. Also, whatever profits exist after all expenses are paid are normally put back into the institution.

Reseller Markets

All intermediaries that buy finished or semi-finished products and resell them for profit are part of the reseller market. This market includes approximately 383,000 wholesalers and 1,300,000 retailers that operate in the U.S. With the exception of products obtained directly from the producer, all products are sold through resellers. Since resellers operate under unique business characteristics, they must be approached carefully. Producers are always cognizant of the fact that successful marketing to resellers is just as important as successful marketing to consumers.

THE SELECTED STRATEGY of Business

Several structures have been proposed for testing the acceptability of a chosen strategy. They consist of lists of criteria that the goals and action plans should meet. They can be used as the elements on one axis of a matrix that has the strategy set choices arranged

on the other. Then each strategy can be scored on each criterion. The sum of criteria scores for each strategy can then be used to select the best one(s). In this way the criteria can be used in place of other measures of strategy acceptability in a modified rational model. The following strategy choice criteria have been synthesized from similar lists prepared by other authors.

- The selected strategy should be consistent with the
 - Organization's environment,
 - Internal capabilities and characteristics,
 - Available resources, and
 - Risk preferences
- The action plan choices should be aimed at clearly identified goals (objectives and targets) and should have a high chance of successfully reaching or guiding behaviour toward them.
- The selected strategy should have appropriate timing.
- The strategy choice should allow sufficient flexibility for adjustment to deal with competitors' responses and environmental changes.
- The organization's leadership should be committed to support of the chosen strategy.

Consistency Tests

Four consistency tests should be performed on the selected strategy.

Environmental Factors: The selected strategy should be consistent with the environmental factors identified during the environmental analysis. The selected strategy should address the major threats and opportunities, both present and future. After all, one of the major purposes of the strategy is to integrate the organization and the environment. By taking advantage of opportunities and either avoiding or overcoming threats, that integration can take place.

Internal Characteristics: The chosen strategy should be consistent with major internal characteristics of the organization, whose competencies and skills should be incorporated into the strategy so that they become emphasized; weaknesses should be addressed so that they can be corrected within an appropriate amount of time. Another internal characteristic is management capability. Selected strategy must be implementable by either present management or new management people. Also, the ways in which the new strategy relates to past strategy should be clear. There is a strong relationship between past strategy and new strategy in most firms. The ways in which the new one is expected to improve on the old should be understood.

Resource Availability. New strategy should be consistent with physical facilities and financial resource availability in the present and future. Future resource needs should be within the organization's capability and understood in detail. Pro forma financial statements constructed to show the financial impact on the organization of the new strategy will help to demonstrate the ability of the firm to produce the necessary resources.

Risk/Return Preference: The final consistency test involves making sure that the selected strategy meshes well with the risk/return preference of management and owners. Risk-takers will be inclined toward strategies that involve relatively high levels of risk with commensurate high possible payoffs. They tend to stress organizational strengths and environmental opportunities, operate with confidence and aggressiveness, and tackle challenges head on; innovation is typically preferred over imitation.

Alternatively risk-aversers prefer more defensive, conservative strategies. They will try to stay within present capabilities without entering into projects requiring new strengths or skills, will balk at uncertainty, and will tend to be followers rather than leaders in their markets. When Friendly Ice Cream Corporation, a family-style restaurant chain with several hundred retail outlets in the Northeast, went public in 1969, the Wall Street Journal described Curtis and Preston Blake, the company's cofounders, as using both belts and suspenders to hold up their pants.

Their risk-averting orientation included such features as the discounting of every payable since the company's inception, refusal to use long-term debt, and reliance on extensive test marketing of minor product additions.

Clarity of Goals

The selected action plans should be linked with clearly understood objectives and targets, especially those related to profit performance. It will be difficult to monitor performance when action plans are not tied to goals that are widely adopted and understood.

In addition to relating clearly to goals, the selected action plans should have a high chance of reaching them by minimizing the effectiveness of competitors' counterattacks. There are two considerations here. First, strategy should avoid direct confrontation with rivals in areas where they are strongest. Rivals will often respond with less conviction when they do not perceive a direct attack on one of their strengths.

The large amount of investment necessary to mount a successful challenge to competitors' strengths may actually prohibit such a move.

If it is done with too little investment, it can carry a higher chance of failure than would typically be true if the competitor were weaker on this attribute.

Second, attacking a competitor's weaknesses, a less risky alternative, may carry insufficient return to justify the offensive.

For example, a primary weakness of major automobile manufacturers is their inability to produce truly "one-of-a-kind" cars. Many attempts have been made world-wide to capitalize on this "weakness," but only a handful have realized any success.

Timing

The timing of the selected strategy should be appropriate in two important ways. First, the length of time that will be necessary to implement the strategy should be appropriate given the company's present resources or the time it will take to get them.

For a simple example, a firm's cash flow position can be deteriorating faster than its management's ability to retrench by collecting receivables, arranging a loan, or cutting expenses.

Second, the strategy must be timely in terms of environmental circumstances. When Chrysler decided during the early 1970s to try to strengthen its position in the large-car market, the oil embargo of 1974-1975 left it with a huge inventory of suddenly unpopular autos.

Flexibility

The selected strategy should allow sufficient maneuverability so that management can respond to competitors' reactions and minor environmental changes while still maintaining the integrity of the strategy. One way to build in flexibility is to develop several contingency strategies, each of which applies to a somewhat different set of likely environmental assumptions. Then if the environmental assumptions begin to come true, the appropriate modifications can be made, having already been analyzed and pondered for their effects and requirements.

The same sort of contingency strategy set can be developed around likely competitor reactions.

Management Commitment

The selected strategy should have the commitment of all levels of management. In some organizations top management's advocacy of a strategy will soon lead to its support. In others, however, factions for and against a strategy will develop. With such division present, successful implementation of the strategy becomes difficult. "Successful strategies require commitment, not just acceptance.

How can the commitment of individuals be developed? Staw explains that commitment to a course of action is a function of the extent to which the action (strategy) is perceived as satisfying three needs: the need to justify past decisions (retrospective rationality), the need for consistency, and the need for positive subjective expected utility (prospective rationality).

To generate maximum commitment, the selected strategy in some way should confirm the correctness of decisions already made. Presumably managers at each level of the organization will react or proact to overall strategy with their own respective strategies. The more their responses can be seen as justifications of their past decisions, the greater will be the chances that they will sense commitment to, rather than merely acceptance of, the selected overall strategy, as well as their role in it.

Then, there are both cultural and organizational norms for consistency that apply to strategy selection as well as other decisions. According to Staw,

Motivation to justify decisions can be seen as a function of responsibility for negative consequences as well as both internal and external demands for competence... Responsibility for negative consequences leads to a motivation to justify previous

decisions, if there is a need to demonstrate competence to oneself or others. In other words some degree of consistency between the past strategy and the selected one is important in developing commitment because the similar new one demonstrates the correctness of the past one. This may at least partially explain why it tends to be difficult to get all the key actors in an organization to dedicate themselves to a radically new strategy. It may also explain why some boards of directors seem to replace CEOs when they feel that a strategy change is necessary.

Finally, the higher the prospective rationality of the selection, the more commitment is facilitated. Prospective rationality is the product of the perceived probability of future outcomes and the perceived value of those outcomes. It is roughly equivalent to the expected value of the strategy. A manager who feels that the selected strategy has a high expected value will be more committed to it than one who feels the expected value is low.

Thus for commitment to develop, all participants should be convinced that the organization has the resources, skills, time, and other attributes necessary to reach goals successfully with the new action plans, which together constitute a new strategy.

Approaching the Business Market

For a particular product, marketing organizations might follow an undifferentiated, segmentation, or combination approach toward a market. These concepts are explained in the following sections.

The Undifferentiated Market

The undifferentiated approach occurs when the marketer ignores the apparent differences that exist within the market and uses a marketing strategy that is intended to appeal to as many people as possible. In essence, the market is viewed as a homogeneous aggregate. Admittedly, this assumption is risky, and there is always the chance that it will appeal to no one, or that the amount of waste in resources will be greater than the total gain in sales.

For certain types of widely consumed items, the undifferentiated market approach makes the most sense. One example was the campaign in which Dr. Pepper employed a catchy general-appeal Slogan, "Be A PEPPER!", that really said nothing specific about the product, yet spoke to a wide range of consumers. Often, this type of general appeal is supported by positive, emotional settings, and a great many rein-forcers at the point-of-purchase. Walk through any supermarket and you will observe hundreds of food products that are perceived as nearly identical by the consumer and are treated as such by the producer-especially knock-off or generic items.

Identifying products that have a universal appeal is only one of many criteria to be met if an undifferentiated approach is to work. The number of consumers exhibiting a need for the identified product must be large enough to generate satisfactory profits. A product such as milk would probably have universal appeal and a large market; something

like a set of dentures might not. However, adequate market size is not an absolute amount and must be evaluated for each product.

Two other considerations are important: the per unit profit margin and the amount of competition. Bread has a very low profit margin and many competitors, thus requiring a very large customer base. A product such as men's jockey shorts delivers a high profit but has few competitors.

Success with an undifferentiated market approach is also contingent on the abilities of the marketer to correctly identify potential customers and design an effective and competitive strategy. Since the values, attitudes, and behaviours of people are constantly changing, it is crucial to monitor these changes. Introduce numerous cultural differences, and an extremely complex situation emerges. There is also the possibility that an appeal that is pleasing to a great diversity of people may not then be strong or clear enough to be truly effective with any of these people.

Finally, the competitive situation might also promote an undifferentiated strategy. All would agree that Campbell's dominates the canned soup industry, and that there is little reason for them to engage in much differentiation. Clearly, for companies that have a very large share of the market undifferentiated IT' market coverage makes sense. For a company with small market share, it might be disastrous.

Product Differentiation

Most undifferentiated markets contain a high level of competition. How does a company compete when all the product offerings are basically the same and many companies are in fierce competition? The answer is to engage in a strategy referred to as *product differentiation*. It is an attempt to tangibly or intangibly distinguish a product from that of all competitors in the eyes of customers. Examples of tangible differences might be product features, performance, endurance, location, or support services, to name but a few. Chrysler once differentiated their product by offering a 7-year 170,000-mile warranty on new models. Pepsi has convinced many consumers to try their product because they assert that it really does taste better than Coke. Offering products at a lower price or at several different prices can be an important distinguishing characteristic, as demonstrated by Time watches.

Some products are in fact the same, and attempts to differentiate through tangible features would be either futile or easily copied. In such cases, an *image* of difference is created through intangible means that may have little to do with the product directly. Soft drink companies show you how much fun you can have by drinking their product. Beer companies suggest status, enjoyment, and masculinity. Snapple may not taste the best or have the fewest calories, but may have the funniest, most memorable commercials. There tends to be a heavy emphasis on the use of mass appeal means of promotion, such as advertising, when differentiated through intangibles.

There are certain risks in using product differentiation. First, a marketer who uses product differentiation must be careful not to eliminate mention of core appeals or

features that the consumer expects from the product. For example differentiating a brand of bread through its unique vitamin and mineral content is valid as long as you retain the core freshness feature in your ad. Second, highlighting features that are too different from the norm may prove ineffective. Finally, a product may be differentiated on a basis that is unimportant to the customer or difficult to understand. The automobile industry has learned to avoid technical copy in ads since most consumers don't understand it or don't care. However, there is a flip-side to product differentiation, an approach toward the market called market segmentation.

Relationship of Marketing and Business

Companies in developed countries and many businesses in developing countries aim to satisfy customer needs and build lasting relationships. The issue focuses on reliability and trust between customer and organisation. As a result of this customer focus, a whole new subject, customer relationship management is now studied in marketing courses. According to Jagdish N. Sheth and Rajendra Sisodia, the term 'relationship marketing' refers to long-term and mutually beneficial arrangements wherein both buyer and seller focus on value enhancement through the creation of more satisfying exchanges. This approach attempts to transcend the simple purchase exchange process with customers to make more meaningful and richer contacts by providing a more holistic, personalised purchase, and use or consumption experience to create stronger ties.

The new approaches to marketing such as experiential, permission, and one-to-one marketing can all be seen as means of creating stronger relationships with customers. The emphasis is on developing long-term bonds with customers by making them feel good about how the firm interacts or does business with them by giving them some kind of personal connection to the company.

Real relationship-marketing programme is much more than the use of database marketing to target customers more precisely. Its purpose is that each customer must feel she/he has received something in return for being a member of the partnership. Firms have found that Internet is an inexpensive, efficient and more productive means to extend a firm's customer services. Internet permits firms to ask consumers if they permit the company to send them targeted e-mail ads, promotions, or messages, before actually doing so. Some airlines, hotel chains, credit card businesses, and big retailers, etc., use relationship marketing techniques by awarding points to committed customers that can be used to obtain additional goods or services from the concerned company. To put it differently, relationship marketing is all about building trust between the company and its customers and keeping promises. These factors increasingly strengthen the customer dependence on the organisation, as a result of which the customer's confidence grows, while the company better understands the customer and her/his needs and wants. Ultimately, this helps in cementing the relationship and encourages cooperative problem solving. Relationship marketing is based on the principle that current customers are the

key to long-term business success. According to Frederick F. Reichheld, the importance of customer retention can be judged by observing some of the following benefits it provides:

- The average company loses 10 per cent of its customers each year.
- A decrease of 5 per cent in the customer defection rate can increase profits by 25 per cent to 85 per cent, depending on the industry.
- The customer profit rate tends to increase over the life of retained customer.
- Acquiring new customers can be five times more expensive than the costs involved in satisfying and retaining existing customers.

Jagdish N. Sheth and Atul Parvatiyar are also of the opinion that it is to a company's advantage to develop long-term relationships with current customers because it is easier and costs less to make an additional sale to an existing customer than to make a new sale to a new customer. Neighbourhood grocery shop owners frequently reassure their frequent customers that if they are not satisfied with a consumable product, they can return it, even after some use and get the full replacement. They practice relationship marketing based on conventional marketing wisdom obtaining in India.

Acquiring New Customers vs. Retaining Old Customers: The telecom paradigm is perceptibly changing. As the focus shifts from increasing the customer base to growing the share of revenue, mobile phone service providers are focusing on a model where customer retention becomes the key focus area.

In India, significant changes in the telecom scenario have influenced the strategy shift. To start with, we had two operators in every circle. Now six or even seven operators compete in the same service area.

Then, telecom costs have been consistently sliding, leading to the cheapest telecom rates in the world. All this has led to an explosion in subscriber numbers. But they also increased customer churn. Even acquisition costs per subscriber were going down (from between Rs. 5,000 and Rs 10,000 in the late 1990s, it is now about Rs 1,000 per customer).

But break-even on new customers still takes 18 to 24 months. Given these dynamics, it is more profitable to retain an existing customer than fighting for a new customer.

Today, non-portability of numbers in India acts as one of the biggest retention devices but this could be a temporary benefit. During the early stages of mobile telephony, customer retention typically meant providing basic customer services. But when new entrants were actively wooing our customers, we recognised the need to focus on customer retention.

We formed the Customer Asset Management (CAM) team, the business division parallel to our sales business unit. This team has a singleminded focus on retention activities with a direct say in all aspects of the business. We also started to focus on attracting the right quality of customers. Towards this, we fine-tuned our acquisition strategy. We are exploring alternative channels for selling. It is important for a service brand to create differentiation, which is an experiential sum of all its interactions with

the customer. The total experience is our ability to deliver advanced products first in the market, providing an impeccable network quality and rounding off the product experience with a memorable service experience every time the customer interacts with us.

According to Steve Schriver, research indicates that consumers are less loyal now than in the past due to the following reasons:

- Customers' financial problems reduce loyalty.
- Time scarcity (not enough time to be loyal).
- The abundance of choice.
- Availability of information.
- Customers ask, "What have you done for me lately?"
- Most products/services appear to be similar – nothing stands out.

These forces lead to consumer defections, complaints, cynicism, decreased affiliation, greater price sensitivity, and a tendency to carry on lawsuits.

The Major Differences between Selling Concept and Marketing Concept

1. The selling concept starts with the seller and its focus is on existing products, it being seller-oriented. The company believes in aggressive selling and other promotions. Customer value and satisfaction are no concern for the seller. The firm produces the products first and then figures out ways to sell and make profits. Different company departments operate without coordination.
2. Marketing orientation starts with the customer and the company strives to learn customer needs and wants, develops appropriate products or services to satisfy the customer. Business is viewed as a customer need satisfying activity. All departments coordinate their activities and the focus is on customer needs. Profits are an outcome of doing the job well by the company. It requires reliable companywide information system and maintains it. All departments are responsive to informational inputs. Everybody understands the critical role played by marketing, a fact visibly demonstrable when the head of marketing is part of top management.

Marketing Concept in Developing Countries

Marketing concept was accepted widely among companies in developed and some developing countries and continued to evolve and take on new meanings. Not long after this, criticism started about the nature of its social responsibility. The emphasis shifted to how marketing affected society as a whole in an age of depleting and increasingly scarce resources, environmental deterioration, etc.

It was good enough to produce what customers needed or wanted, and for achieving organisational objectives, but in certain cases the concept could be in conflict with customers' and society's best long-run interests. Societal marketing concept is a management philosophy that takes into account the welfare of society, the organisation,

and its customers. Adoption of this concept requires that marketing decisions be made in an ethical and socially responsible manner.

Companies must pay attention not only to the short-term needs of customers but also to their long-term well being. This includes, for instance, excess fat content in ready-to-eat foods, toxic wastes, and environmental issues. The need is to strike a balance between the interest of customers, the company itself, and the society in which operations are conducted.

Some responsible firms have started using recyclable packaging materials and products that do not harm the environment. Among the marketing tasks, demarketing is an approach that reflects the societal marketing philosophy. Many companies encounter several hurdles in adopting the marketing concept. For some firms, it is simply too difficult to understand the underlying philosophy and they fail to implement it.

Other companies face a conflict between short-term and long-term objectives and have no inclination to sacrifice short-term gains for the sake of customer satisfaction, simply because the customer is not the major priority of top management.

Business Sponsorship

The commitment and sponsorship of senior management is according to Kimball *et al.*, the most important criteria for assessment. This is because having strong management backing will help overcome shortcomings elsewhere in the project. But as Kimball *et al.* state: “even the most elegantly designed DW/BI system cannot overcome a lack of business [management] sponsorship”. It is very important that the management personnel who participate in the project have a vision and an idea of the benefits and drawbacks of implementing a BI system.

The best business sponsor should have organizational clout and should be well connected within the organization. It is ideal that the business sponsor is demanding but also able to be realistic and supportive if the implementation runs into delays or drawbacks. The management sponsor also needs to be able to assume accountability and to take responsibility for failures and setbacks on the project. It is imperative that there is support from multiple members of the management so the project will not fail if one person leaves the steering group.

However, having many managers that work together on the project can also mean that there are several different interests that attempt to pull the project in different directions. For instance if different departments want to put more emphasis on their usage of the implementation. This issue can be countered by an early and specific analysis of the different business areas that will benefit the most from the implementation. All stakeholders in project should participate in this analysis in order for them to feel ownership of the project and to find common ground between them.

Another management problem that should be encountered before start of implementation is if the Business sponsor is overly aggressive. If the management individual gets carried away by the possibilities of using BI and starts wanting the DW

or BI implementation to include several different sets of data that were not included in the original planning phase. However, since extra implementations of extra data will most likely add many months to the original plan. It is probably a good idea to make sure that the person from management is aware of his actions.

Implementation should be Driven by Clear Business Needs

Because of the close relationship with senior management, another critical thing that needs to be assessed before the project is implemented is whether or not there actually is a business need and whether there is a clear business benefit by doing the implementation. The needs and benefits of the implementation are sometimes driven by competition and the need to gain an advantage in the market. Another reason for a business-driven approach to implementation of BI is the acquisition of other organizations that enlarge the original organization it can sometimes be beneficial to implement DW or BI in order to create more oversight.

The amount and quality of the available data.

This ought to be the most important factor, since without good data – it does not really matter how good your management sponsorship or your business-driven motivation is. If you do not have the data, or the data does not have sufficient quality any BI implementation will fail. Before implementation it is a very good idea to do data profiling, this analysis will be able to describe the “content, consistency and structure [..]” of the data. This should be done as early as possible in the process and if the analysis shows that your data is lacking; it is a good idea to put the project on the shelf temporarily while the IT department figures out how to do proper data collection.

Other scholars have added more factors to the list than these three. In his thesis “Critical Success Factors of BI Implementation” Naveen Vodapalli does research on different factors that can impact the final BI product. He lists 7 crucial success factors for the implementation of a BI project, they are as follows:

1. Business-driven methodology and project management
2. Clear vision and planning
3. Committed management support & sponsorship
4. Data management and quality
5. Mapping solutions to user requirements
6. Performance considerations of the BI system
7. Robust and expandable framework.

User Aspect

Some considerations must be made in order to successfully integrate the usage of business intelligence systems in a company. Ultimately the BI system must be accepted and utilized by the users in order for it to add value to the organization. If the usability of the system is poor, the users may become frustrated and spend a considerable amount of time figuring out how to use the system or may not be able to really use the system.

If the system does not add value to the users' mission, they will simply not use it. In order to increase the user acceptance of a BI system, it may be advisable to consult the business users at an early stage of the DW/BI lifecycle such as for example at the requirements gathering phase. This can provide an insight into the business process and what the users need from the BI system. There are several methods for gathering this information such as e.g. questionnaires and interview sessions.

When gathering the requirements from the business users, the local IT department should also be consulted in order to determine to which degree it is possible to fulfil the business's needs based on the available data. Taking on a user-centred approach throughout the design and development stage may further increase the chance of rapid user adoption of the BI system.

Besides focusing on the user experience offered by the BI applications, it may also be possible to motivate the users to utilize the system by adding an element of competition. Kimball suggests implementing a function on the Business Intelligence portal website where reports on system usage can be found. By doing so, managers can see how well their departments are doing and compare themselves to others and this may spur them to encourage their staff to utilize the BI system even more.

In a 2007 article, H. J. Watson gives an example of how the competitive element can act as an incentive. Watson describes how a large call centre has implemented performance dashboards for all the call agents and that monthly incentive bonuses have been tied up to the performance metrics. Furthermore the agents can see how their own performance compares to the other team members. The implementation of this type of performance measurement and competition significantly improved the performance of the agents.

Other elements which may increase the success of BI can be by involving senior management in order to make BI a part of the organizational culture and also by providing the users with the necessary tools, training and support. By offering user training, more people may actually use the BI application. Providing user support is necessary in order to maintain the BI system and assist users who run into problems. User support can be incorporated in many ways, for example by creating a website. The website should contain great content and tools for finding the necessary information. Furthermore, helpdesk support can be used. The helpdesk can be manned by e.g. power users or the DW/BI project team.

Marketplace

There are a number of business intelligence vendors, often categorized into the remaining independent "pure-play" vendors and the consolidated "megavendors" which have entered the market through a recent trend of acquisitions in the BI industry.

Some companies adopting BI software decide to pick and choose from different product offerings (best-of-breed) rather than purchase one comprehensive integrated solution (full-service).

Industry-specific

Specific considerations for business intelligence systems have to be taken in some sectors such as governmental banking regulations. The information collected by banking institutions and analysed with BI software must be protected from some groups or individuals, while being fully available to other groups or individuals. Therefore BI solutions must be sensitive to those needs and be flexible enough to adapt to new regulations and changes to existing laws.

4

Business Process Management

The term Business Process Management (or BPM) refers to activities performed by businesses to optimize and adapt their processes.

Although it can be said that organizations have always been using BPM, a new impetus based on the advent of software tools (business process management systems or BPMS) which allow for the direct execution of the business processes without a costly and time intensive development of the required software. In addition, these tools can also monitor the execution of the business processes, providing managers of an organization with the means to analyze their performance and make changes to the original processes in real-time. Using a BPMS the modified process can then be merged into the current business process atmosphere.

Where Business Process Reengineering (popular in the 1990s) dealt with one-off changes to the organization, Business Process Management deals with the continuity and embedding of process orientation in the organization. Business Process Management has evolved as technology has caught up with management processes to the point that technology should no longer be the limiting factor in BPM.

The activities which constitute business process management can be grouped into three categories: design, execution and monitoring.

PROCESS DESIGN

This encompasses either the design or capture of existing processes. In addition the processes may be simulated in order to test them. The software support for these activities consists of graphical editors to document the processes and repositories to store the

process models. An emphasis on getting the design of the process right will logically lead to better results as the flow on effect of problems at the design stage logically affects a large number of parts in an integrated system.

Evolution of business processes requires a change to the process design to flow on into the live system. Integrating business process is also a current research area. Integration of software for process design to be used both for creating graphical representations of workflows and implementing and maintaining these workflows makes evolution of business processes less stressful, given that requirements are not as static as information systems.

PROCESS EXECUTION

The traditional way to achieve the automatic execution of processes is that an application is developed or purchased which executes the steps required. However, in practice, these applications only execute a portion of the overall process. Execution of a complete business process can also be achieved by using a patchwork of interfacing software with human intervention needed where applications are not able to automatically interface. In addition, certain process steps can only be accomplished with human intervention (for example, deciding on a major credit application). Due to the complexity that this approach engenders, changing a process is costly and an overview of the processes and their state is difficult to obtain.

As a response to these problems, the Business Process Management System (BPMS) category of software has evolved. BPMS allows the full business process (as developed in the process design activity) to be defined in a computer language which can be directly executed by the computer. The BPMS will either use services in connected applications to perform business operations (e.g. calculating a repayment plan for a loan) or will send messages to human workers requesting they perform certain tasks which necessitate a human attribute such as intuition as opposed to automated processes. As the process definition is directly executable, changes in the process can be (in comparison to the traditional approach of application development or maintenance) relatively quickly moved into operation. In order to work effectively a BPMS often requires that the underlying software is constructed according to the principles of a service-oriented architecture. Thus, it is often difficult to make a suite of existing legacy systems fit with a BPMS.

The commercial BPMS software market has focused on graphical process model development, rather than text-language based process models, as a means to reduce the complexity of model development. Visual programming using graphical metaphors has increased productivity in a number of areas of computing and is well accepted by users.

Business rules are a growing area of importance in BPMS as these rules provide governing behaviour to the BPMS, and a business rule engine can be used to drive process execution and resolution.

Process Monitoring

This monitoring encompasses the tracking of individual processes so that information on their state can be easily seen and the provision of statistics on the performance of one or more processes. An example of the tracking is being able to determine the state of a customer order (e.g. ordered arrived, awaiting delivery, invoice paid) so that problems in its operation can be identified and corrected. In addition, this information can be used to work with customers and suppliers to improve their connected processes. Examples of the statistics are the generation of measures on how quickly a customer order is processed, how many orders were processed in the last month etc.. These measures tend to fit into three categories: cycle time, defect rate and productivity.

Although such functions may be within the scope of current applications, the use of a BPMS is expected to ease the development of such reporting. Manufacturers of BPMSs will often offer process monitoring software as well as MIS and execution.

Business Process Management is an automated process to handle the complex business policy of any organisation. There are so many tools and programming languages to handle this process and customize the already existing tools, sometimes it's really a challenge to realize the complex business process of an organisation to automate.

The degree of monitoring depends on what information the business wants to evaluate and analyze and how business wants it to be monitored, in real-time or ad-hoc. Here, business activity monitoring (BAM) extend and expand the monitoring tools in BPMS. BAM will not only monitor a process but also monitor and analyze all processes in the business in real-time. BPM monitoring has been always ad-hoc/on-demand monitoring, and BAM compliments this feature with real-time monitoring, analysis and reporting.

Although the initial focus of BPM was on the automation of mechanistic business processes, this has since been extended to integrate human-driven processes in which human interaction takes place in series or parallel with the mechanistic processes. A common form is where individual steps in the business process which require human intuition or judgement to be performed are assigned to the appropriate members of an organization (as with workflow systems). More advanced forms are in supporting the complex interaction between human workers in performing a workgroup task. In the latter case an emerging class of BPM software known as the Human Interaction Management System is used to support and monitor these processes as well as to permit their ongoing redefinition at runtime.

BPMS can be used to understand organizations through expanded views that would not otherwise be available to organise and present. These views include the relationships of processes to each other which, when included in the process model, provide for advanced reporting and analysis that would not otherwise be available. BPM is regarded to be the crucial backbone of enterprise content management.

Not all activities in business can be modelled into business process management modelling. As activities in business varies from the simplest of acquiring stationeries to complex procurement process which includes cross-countries which dealt with various

legal laws and regulations. Some processes in a business are best to be kept as it is for not to add complexity might be occurs when bringin business process management. Too dynamic changes of rules in a business process will not get the most of business process management benefit as time will be wasted on adapating the busines process to the tools.

BPMS is more to a tools or platform which can be used to setup rules and define how business should be executed according to the rules. Thus, if both the rules and the business are too dynamics, it is pointless to implement business process management.

In practice, organizations often start with an objective where management have identified an area for improvement. A project team is tasked to perform Business Process Mapping and use of a common technique such as IDEF or BPMN to depict the processes as they exist before the intended changes. The team will progress to identify desired changes in work practices which will often be implemented by another team, using Kaizen or other approaches.

And to successfully implements the business process management, the initiative must be a top down initiatives.

Business Process

A business process is a set of linked activities that create value by transforming an input into a more valuable output. Both input and output can be artefacts and/or information and the transformation can be performed by human actors, machines, or both.

There are three types of business processes:

1. Management processes - the processes that govern the operation. Typical management processes include “Corporate Governance” and “Strategic Management”.
2. Operational processes - these processes create the primary value stream, they are part of the core business. Typical operational processes are Purchasing, Manufacturing, Marketing, and Sales.
3. Supporting processes - these support the core processes. Examples include Accounting, Recruitment, IT-support.

A business process can be decomposed into several sub-processes, which have their own attributes, but also contribute to achieving the goal of the super-process. The analysis of business processes typically includes the mapping of processes and sub-processes down to activity level.

Activities are parts of the business process that do not include any decision making and thus are not worth decomposing (although decomposition would be possible), such as “Answer the phone”, “produce an invoice”.

A business process is usually the result of a business process design or business process reengineering activity. Business process modeling is used to capture, document and reengineer business processes. To visualize a business process, one of the graphical notations can be used such as Business Process Modeling Notation.

The concept of processes is not new. Laying out inter-related activities in a sequence and creating a flow of work has been part of organization design for more than 300 years. One of the first to describe a process was Adam Smith (1776) in the famous example of an English pin factory. He described the production of a pin in the following way:

“One man draws out the wire, another straightens it, a third cuts it, a fourth points it, a fifth grinds it at the top for receiving the head: to make the head requires two or three distinct operations: to put it on is a particular business, to whiten the pins is another... and the important business of making a pin is, in this manner, divided into about eighteen distinct operations, which in some manufactories are all performed by distinct hands, though in others the same man will sometime perform two or three of them.”

Smith also first recognized how the organizational outcome could be increased through the use of advanced labour division. Previously, in a society where production was dominated by handcrafted goods, one man would perform all the activities required during the production process, while Smith described how work in a pin factory was divided into a set of simple tasks, which would be performed by specialized workers.

The result of labour division in Smith's example resulted in productivity increasing by 24,000 percent (sic!), i.e. that the same number of workers made 240 times as many pins as they had been producing before the introduction of labour division.

It is worth to notice that Smith did not advocate labour division at any price and per se. He observed and noted that, under certain conditions, several tasks could very well be integrated into one, which a single worker would then perform. However, Smith did not provide any guidance for criteria that could be used for finding the optimum level of task division or integration and the determination of the appropriate level took place through experimental design of the production process. This approach to integration could be considered as an implicit proposition of a process-oriented approach, but there is one aspect that constitutes a significant difference to the idea of business processes as it is perceived today.

The integration in accordance with the idea of Smith would take place only within the same functional domain and comprise activities that are in direct sequence in the manufacturing process, whereas today's process concept includes cross-functionality as an important characteristic. It is also interesting to note that while Smith is generally accepted as the first to discuss labour division and specialization, only the division of labour was widely adopted, while the integration of tasks into functional, or cross-functional, processes was not considered as an alternative option to increase performance and productivity.

Further Supporting Theories and Concepts

Frederick Winslow Taylor developed the concept of scientific management. The concept contains aspects on the division of labour being relevant to the theory and

practice around business processes. The business process related aspects of Taylor's scientific management concept are discussed in the article on Business Process Reengineering.

The Span of Control

The span of control is the number of sub-ordinates a supervisor manages within a structural organization. Introducing a business process concept has a considerable impact on the structural elements of the organization and thus also on the span of control. The implications are discussed in the Span of control article.

Large organizations that are not organized as markets need to be organized in smaller units - departments - which can be defined according to different principles. In the context of business processes, process and purpose departmentalization, as defined by Gulick and Urwick, are discussed in the departmentalization article.

DECISION MAKING IN BUSINESS AND MANAGEMENT

In general, business and management systems should be set up to allow decision making at the lowest possible level.

Several decision making models for business include:

- SWOT Analysis - Evaluation by the decision making individual or organization of Strengths, Weaknesses, Opportunities and Threats with respect to desired end state or objective.
- Analytic Hierarchy Process - procedure for multi-level goal hierarchy
- Buyer decision processes - transaction before, during, and after a purchase
- Complex systems - common behavioural and structural features that can be modelled
- Corporate finance:
 - The investment decision
 - The financing decision
 - The dividend decision
 - working capital management decisions
- Cost-benefit analysis - process of weighing the total expected costs vs. the total expected benefits
- Decision trees
 - Programme Evaluation and Review Technique (PERT)
 - critical path analysis
 - critical chain analysis
- Force field analysis - analyzing forces that either drive or hinder movement toward a goal
- Grid Analysis - analysis done by comparing the weighted averages of ranked criteria to options. A way of comparing both objective and subjective data.

- Kepner tregoe - A Management Consultancy firm specialising in rational Problem Solving and Decision Making processes
- Linear programming - optimization problems in which the objective function and the constraints are all linear
- Min-max criterion
- Model (economics)- theoretical construct of economic processes of variables and their relationships
- Monte Carlo method - class of computational algorithms for simulating systems
- Morphological analysis - all possible solutions to a multi-dimensional problem complex
- optimization
 - constrained optimization
- Paired Comparison Analysis - paired choice analysis
- Pareto Analysis - selection of a limited of number of tasks that produce significant overall effect
- Scenario analysis - process of analyzing possible future events
- Six Thinking Hats - symbolic process for parallel thinking
- Strategic planning process - applying the objectives, SWOTs, strategies, programmes process
- Ubiquitous command and control is a concept for dynamic decision making based on “agreement between an individual and the world”, and “agreements between individuals”

Decision-makers and Influencers

In the context of industrial goods marketing, there is much theory, and even more opinion, expressed about how the various ‘decision-makers’ and ‘influencers’ (those who can only influence, not decide, the final decision) interact. Decisions are frequently taken by groups, rather than individuals, and the official buyer often does not have authority to take the decision.

Miller & Heiman, for example, offered a more complex view of industrial buying decisions (particularly in the area of ‘complex sales’ of capital equipment). They see three levels of decision making:

‘Economic buying influence’ - the decision-maker who can authorize the necessary funds for purchase

‘User buying influences’ - the people in the buying company who will use the product and will specify what they want to purchase

‘Technical buying influence’ - the ‘experts’ (including, typically, the buying department) who can veto the purchase on technical grounds

Webster and Wind, in a similar vein, identify six roles within the ‘buying centre’:

‘Users’ - who will actually use the product or service

‘Influencers’ - particularly technical personnel

‘Deciders’ - the actual decision-makers

‘Approvers’ - who formally authorize the decision

‘Buyers’ - the department with formal authority

‘Gatekeepers’ - those who have the power to stop the sellers reaching other members of the ‘buying centre’

Some have said that true consensus involves “meeting everyone’s needs.” Consensus decision-making is intended to deemphasize the role of factions or parties and promote the expression of individual voices. The method also increases the likelihood of unforeseen or creative solutions by juxtaposing dissimilar ideas. Because it seeks to minimize objection, it is popular with voluntary organizations, wherein decisions are more likely to be carried out when they are most widely approved. Consensus methods are desirable when enforcement of the decision is unfeasible, such that every participant will be required to act on the decision independently.

Consensus decision-making is also found in groups where participants have different areas of expertise but are working toward a common goal. Examples of this include high technology project design teams which must integrate the opinions of people with different areas of expertise.

Minority views must be considered to a greater degree than in circumstances where a majority can take the action and enforce the decision without any further consultation with the minority voters. It is often thought that consensus can require more time and effort to achieve. Thus some groups may reserve consensus decision methods for particularly complex, risky or important decisions. However, there are many examples of groups who employ consensus decision-making in ways that enable them to both consider minority views and make decisions in a timely and efficient manner. Consensus decision making could result in group polarization, where team members make more extreme decisions compared to their prior individual positions. This could potentially have beneficial effects on team decisions (enhance commitment and conviction), or detrimental effects (escalate towards greater risk or greater conservative behaviours). Use of computer-mediated communication could further heighten the effects of group polarization.

Rather than simply list known alternatives, debate for a short time, vote, and then accept or reject by some percentage of majority (ex. over 50%, over 2/3), a consensus decision-making process involves identifying and addressing concerns, generating new alternatives, combining elements of multiple alternatives and checking that people understand a proposal or an argument.

This empowers minorities, those with objections that are hard to state quickly, and those who are less skilled in debate. Therefore, consensus decision-making can be seen as a form of grassroots democracy.

Egalitarian groups that seek to reduce the amount of power delegated to leaders, chairpersons or agenda setters often use consensus methods. Such methods can reduce the amount of harm or loss imposed on minorities (or individuals) by a majority.

Consensus methods may be appropriate when personal (or emotional) risk to members is high, trust is low, and time is available for a prolonged discussion. Consensus may be used to remedy patterns of decision-making based on habit, subservience or carelessness.

Alternatively, it can be argued that in a situation of abundant trust - in which each party assumes that any objections or reservations regarding a proposal are meaningful - consensus methods may not only be appropriate, but necessary.

Like any group decision-making, consensus decision-making can disempower those not present in the debating forum, as they cannot expect to have input on the new measures that are proposed (whereas they might have had the opportunity for input into the known alternatives prior to the debate). Accordingly, most systems of consensus decision-making place a premium on participation.

Three key issues tend to define a particular type of consensus decision-making:

1. Degree of agreement or unanimity required;
2. Timing of presentation including division of time among urgent versus important matters;
3. Follow-up to action including the monitoring that arises from dissent, and from claims of majority proponents whose preferred course of action is being taken over minority objections.

There is also the question of facilitation or process leadership, which is handled

A healthy consensus decision-making process usually encourages and outs dissent early, maximizing the chance of accommodating the views of all minorities. It also often assigns a role to the dissenter, e.g. the Vatican used to assign the role of *Promotor Fidei* to a specific priest who argued against beatification of a saint, to ensure the case 'against' remains well represented.

After the decision, the dissenting minority may have some role to play in monitoring the decision. In the Supreme Court of the United States, both the majority opinion and minority opinion are equally well documented, as the legal grounds for agreeing with either may exist in some court in the future.

Many groups consider unanimous decisions a sign of agreement, solidarity, and unity. However, there is evidence that unanimous decisions may be a sign of coercion, fear, undue persuasive power or eloquence, inability to comprehend alternatives, or plain impatience with the process of debate. (For example, elections in which 99% or 100% of the voters support the candidate are generally discredited.) When there are concerns about these aspects of unanimity, various alternatives can be pursued. These include the following:

- Unanimity minus one (or U-1), requires all delegates but one to support the decision. The individual dissenter cannot block the decision although they may be able to prolong debate (e.g. via a filibuster). The dissenter may be the ongoing monitor of the implications of the decision, and their opinion of the outcome of the decision may be solicited at some future time. Betting markets in particular rely on the input of such lone dissenters. A lone bettor against

the odds profits when his or her prediction of the outcomes proves to be better than that of the majority. This disciplines the market's odds.

- Unanimity minus two (or U-2), does not permit two individual delegates to block a decision, but tends to curtail debate with a lone dissenter more quickly. Dissenting pairs can present alternate views of what is wrong with the decision under consideration. By focusing on a pair of dissenters, and allocating less time to lone wolves or 'consensus thugs', a U-2 system tends to form stronger bonds among those who find themselves "alone on an island" with each other. Pairs of delegates can be empowered to find the common ground that will enable them to convince a third, decision-blocking, voter to join them. If the pair are unable to convince a third party to join them within a set time, their arguments are deemed to be unconvincing, immature or self-interested. If two people dissent against some common measure, it is more likely that the discussion between them can be extended to third parties easily, since it is already verbalized and illustrated. Western European court systems recognize this by strongly encouraging criminal defendants or civil plaintiffs to get an attorney's aid, so that their case can be fully heard out long before the decision.
- Unanimity minus three, (or U-3), and other such systems recognize the ability of three or more delegates to actively block a decision. However, there is controversy over whether a small group of dissenters, (e.g., militants or terrorists), is morally different from a large minority, (e.g., an opposition party with support of double-digit percentages of the population). Accordingly U-3 and lesser degrees of unanimity are usually lumped in with statistical measures of agreement, such as: 80%, mean plus one sigma, two-thirds, or greater than half (majority) levels of agreement. Such measures do not fit within the definition of consensus given at the beginning of this article.
- The IETF working group process has a tradition of "rough consensus", where there is no specific rule for "how much is enough", but it is left to the judgment of the working group chair. This makes it harder for a small number of disruptors to block a decision, but puts a lot of responsibility on the chair, and has frequently led to angry debates about whether rough consensus has in fact been correctly identified.

The quality of alternatives considered is, all else being equal, proportional to the amount of time spent gathering and comparing and combining them. The term deliberative democracy reflects the deliberation that underlies all good consensus decision-making. Ralph Nader and others have advocated deliberative measures to extend the time for "sober second thought."

A fictional example of deliberative democracy is the Entmoot from J. R. R. Tolkien's novel *The Lord of the Rings*. The Ents, who are large ancient living intelligent trees, spend days discussing the issue of whether to go to war, in their verbose and many-

syllabled language. This is an example of a decision for which the stakes were high, the individual risk also high, and coercive force difficult or lacking; therefore suited to consensus methods.

Timeliness of decisions is an important issue. In some cases, a wrong decision taken in time can be better than a good decision taken later. Key responsibilities of facilitators of any decision making process, but particularly in consensus decision-making, include:

- Establishing measures to place items on the agenda, or deny them time on the agenda.
- Setting deadlines for changes to the agenda (e.g. can the agenda itself be changed during the meeting?).
- Agenda forming and presentation of issues at the right time, when there is sufficient time for their debate.
- Ensuring that less urgent issues are excluded from the debate, but dealt with at another time.

To achieve a balance between urgency and importance, it is common to reserve enough time for matters that are not urgent, but are nevertheless important, (for e.g., the decision process itself, which takes care to maintain). Consensus decision processes tend to accelerate as rising trust over the course of the meeting, combined with fatigue, increase individual tolerance and the cost of dissent. Placing difficult agenda items first tends to speed a meeting, with the risk that important, but less complex decisions will not be achieved before adjournment.

Decisions about when to split up into working groups, how to handle agendas, how to deal with changes to agendas or working groups from the floor, etc., are affected by the allocation of the group's time to urgent versus important matters. These procedural matters are held to be crucial to the survival of a consensus decision process, along with issues of safety, fairness, and closure which arise from their application in practice.

Action, Monitoring and Follow-up

Action is the point of decision; without action, the decision is just talk. Military leaders from Alexander the Great to the present have emphasized that orders simply do not get carried out unless they are personally followed up by the commander. The same applies to group decisions, perhaps even more so.

One would not expect the opposing minority to do a good job of ensuring that a measure is carried out, but they can ensure that problems resulting from it are well-documented, and that inconveniences of its implementation are contained. However, they can also take steps to ensure that the inconvenience of implementation is maximized, so as to make the point that the measure was impractical and ill-advised from the beginning. A major issue in consensus decisions is whose view of the actual outcome to trust, and who to permit time to present their view.

Consensus decisions are especially vulnerable to sabotage of all kinds, so the assignment of action roles, monitoring (from the original majority and minority opinion

to some future time when the results of both sets of predictions can be debated), and other follow up (e.g. assessing support of the public for a party after it has taken and publicized a particular measure), is a key responsibility of consensus decision leaders.

Quaker-based Consensus

The model used by the Quakers is effective because it puts in place a simple, time-tested structure that moves a group towards consensus. The Quaker model has been well-received when employed in secular settings because it gives everyone a chance to speak while limiting potential disruptors (e.g., people who want unlimited airtime, or who have a particular axe to grind).

The following aspects of the Quaker model can be effectively applied in any consensus decision-making process:

- Multiple concerns and information are shared until the sense of the group is clear.
- Discussion involves active listening and sharing of information.
- Norms limit number of times one asks to speak to ensure that each speaker is fully heard.
- Norms limit repetition and long speeches.
- Norms include a short silence after every comment so deliberations are truly thoughtful.
- Ideas and solutions belong to the group; no names are recorded.
- Differences are resolved by discussion. The facilitator (“clerk” or “convenor” in the Quaker model) identifies areas of agreement and names disagreements to push discussion deeper.
- The facilitator articulates the sense of the discussion, asks if there are other concerns, and proposes a minute of the decision.
- The group as a whole is responsible for the decision, and the decision belongs to the group.
- The facilitator can discern if one who is not uniting with the decision is acting without concern for the group or in selfish interest.
- Dissenters’ perspectives are embraced.

Key components of Quaker-based consensus are: 1) that the guidance of Spirit is available to each participant who honestly seeks the truth, 2) belief in a common humanity, and, 3) the ability to decide together. The goal is “unity, not unanimity.” Ensuring that group members speak only once until others are heard encourages a diversity of thought. The facilitator is understood as serving the group rather than acting as person-in-charge. By articulating the emerging consensus, members can be clear on the decision, and, as their views have been taken into account, will be likely to support it.

Many intentional communities use consensus decision-making. In many cases, with cohousing groups, business must be transacted within time constraints. Thus efficiency

is important. If the group genuinely wants to make decisions by consensus, a method is needed that is both efficient and effective. An open discussion needs to be animated by a process that moves towards a timely, and sound, decision that is supported by all. Various techniques have been developed whereby this can be achieved.

In some groups, the cards are used in two ways; one for discussion and another for decisions:

A group member who wishes to speak, holds up a card:

- A green card means “I have something to say” or “I have a question.” When several group members hold up a green card, they are noted and placed in a “stack” of people waiting to speak. Each person speaks in turn, in a way that is similar to Quaker-based consensus.
- A yellow card means “I can clarify” or “I need clarification (on what was just said).”
- The red card is the process card. A red card, when raised, asks members to look at the process. For example, an individual who displays a red card might say: “Are we getting off track, here?” or “What is our objective in doing this?” or even “How about we take a break?” It gives all members an equal chance to be facilitator.

Following discussion, the facilitator articulates the proposal and calls for a show of cards:

- The green card means: “I agree.”
- The yellow card means: “I can live with it.” This is often referred to as “standing aside”
- The red card means: “I don’t agree, but am willing to work to find a better way, taking into account what has been said by all group members.” Thus holding up a red card does not block progress, it signifies that the person who displayed it will work with others on the matter in question and bring it back to a subsequent meeting. This tends to ensure that red cards are not used lightly.

In the Uniting Church of Australia, orange and blue cards are used to mean “I am warm toward this” or “I am cool toward this.” The use of orange and blue allows people who are colourblind, and cannot distinguish red and green, to participate in the discussion.

If groups agree to apply methods such as these, and all group members are willing to work at it, consensus decision-making can be both effective in meeting a group’s goals, and time-efficient.

A similar method has come to be used in other forums, such as W3C and other computer standards bodies. There, it is known as the Quaker poll.

In lieu of coloured cards, some consensus-based groups use a system of simple hand signals. While the nature, meaning and popularity of such signals changes from group to group, there is a common ‘vocabulary’:

- Twinkle: Wiggling of the fingers of one or both hands, with palms facing downward. Used by non-speakers to indicate agreement with the speaker. Also often used as a replacement of a raised hand to indicate a ‘yea’ vote to a proposal.
- Triangle: Forming of a triangle with the thumbs and index fingers of both hands. Used to indicate a point of order or procedure to the facilitator.
- Crossed arms: Forearms crossed with hands in fists. Used to indicate a strong disagreement with the speaker or to cast a ‘block’ vote to a proposal.

In the Internet Engineering Task Force (IETF), decisions are assumed to be taken by “rough consensus.” The IETF has studiously refrained from defining a mechanical method for verifying such consensus, apparently in the belief that any such codification will lead to attempts to “game the system.” Instead, a working group (WG) chair or BoF chair is supposed to “recognize it when I see it.”

One tradition in support of rough consensus is the tradition of humming rather than (countable) hand-raising; this allows a WG to quickly tell the difference between “one or two objectors” or a “sharply divided community”, without making it easy to slip into “majority rule”. However, hand-raising is also used, especially in larger meetings, but actual counting is frowned upon.

Much of the business of the IETF is carried out on mailing lists, where all parties can speak their view at all times; the social dynamics of mailing lists is worthy of a study in itself.

BUSINESS CONTINUITY PLANNING

Business Continuity Planning (BCP) is an interdisciplinary peer mentoring methodology used to create and validate an exercised logistical plan for how an organization will recover and restore partially or completely interrupted critical function(s) within a predetermined time after a disaster or extended disruption.

BCP may be a part of an organizational learning effort that helps reduce operational risk associated with lax information management controls. This process may be integrated with improving information security and corporate reputation risk management practices.

British Standards Institute is planning to release a new independent standard for BCP — BS 25999. The draft of standard had been put up for public comments and the final standard is expected in early 2007.

This standard would reduce the reliance on Information Security oriented standards which dealt with BCP marginally.

A completed BCP cycle results in a formal printed manual available for reference before, during, and after disruptions have occurred. Its purpose is to reduce adverse stakeholder impacts determined by both the disruption’s scope and duration. Measureable Business Impact Analysis (BIA) “zones” include civil, economic, natural, technical, secondary and subsequent.

Business Continuity Planning is not a new concept; plans for disasters, like Noah's Ark, are evidenced from the beginning of human history. Prior to January 1, 2000, governments anticipated computer failures, called the Y2k problem, in important public utility infrastructures like banking, power, telecommunication, health and financial industries.

Since 1983, regulatory agencies like the American Bankers Association and Banking Administration Institute (BAI) required their supporting members to exercise operational continuity practices (later supported by more formal BCP manuals) that protect the public interests. Newer regulations were often based on formalized standards defined under ISO/IEC 17799 or BS 7799.

Both regulatory and global business focus on BCP arguably waned after the problem-free Y2K rollover. This lax attitude unequivocally ended September 11th 2001, when simultaneous terrorist attacks devastated downtown New York City and changed the 'worst case scenario' paradigm for business continuity planning.

BCP methodology is scalable for an organization of any size and complexity. Even though the methodology has roots in regulated industries, any type of organization may create a BCP manual, and arguably every organization should have one in order to ensure the organization's longevity. Evidence that firms do not invest enough time and resources into BCP preparations are evident in disaster survival statistics. Fires permanently close 44% of the business affected. In the 1993 World Trade Center bombing, 150 businesses out of 350 affected failed to survive the event. Conversely, the firms affected by the Sept 11 attacks with well-developed and tested BCP manuals were back in business within days.

A BCP manual for a small organization may be simply a printed manual stored safely away from the primary work location, containing the names, addresses, and phone numbers for crisis management staff, general staff members, clients, and vendors along with the location of the offsite data backup storage media, copies of insurance contracts, and other critical materials necessary for organizational survival. At its most complex, a BCP manual may outline a secondary work site, technical requirements and readiness, regulatory reporting requirements, work recovery measures, the means to reestablish physical records, the means to establish a new supply chain, or the means to establish new production centers.

Firms should ensure that their BCP manual is realistic and easy to use during a crisis. As such, BCP sits along side crisis management and disaster recovery planning and is a part of an organization's overall risk management.

The development of a BCP manual has five main phases:

1. Analysis
2. Solution design
3. Implementation
4. Testing and organization acceptance
5. Maintenance

Much of the BCP material on the internet is sponsored by consultancies who offer fee-based services for BCP solution development, however basic tutorials are freely available on the internet for properly motivated organizations.

The analysis phase in the development of a BCP manual consists of an impact analysis, threat analysis, and impact scenarios with the resulting BCP plan requirement documentation. An impact analysis results in the differentiation between critical and non-critical organization functions. A function may be considered critical if the implications for stakeholders of damage to the organization resulting are regarded as unacceptable. Perceptions of the acceptability of disruption may be modified by the cost of establishing and maintaining appropriate business or technical recovery solutions. A function may also be considered critical if dictated by law. Next, the impact analysis results in the recovery requirements for each critical function. Recovery requirements consist of the following information:

- The time frame in which the critical function must be resumed after the disaster
- The business requirements for recovery of the critical function, and/or
- The technical requirements for recovery of the critical function

The organizations also banned face-to-face contact between opposing team members during business and non-business hours. With such a split, organizations increased their resiliency against the threat of government-ordered quarantine measures if one person in a team contracted or was exposed to the disease. Damage from flooding also has a unique characteristic. If an office environment is flooded with non-salinated and contamination-free water (e.g.m, in the event of a pipe burst), equipment can be thoroughly dried and may still be functional.

After defining potential threats, documenting the impact scenarios that form the basis of the business recovery plan is recommended. In general, planning for the most wide-reaching disaster or disturbance is preferable to planning for a smaller scale problem, as almost all smaller scale problems are partial elements of larger disasters. A typical impact scenario like 'Building Loss' will most likely encompass all critical business functions, and the worst potential outcome from any potential threat. A business continuity plan may also document additional impact scenarios if an organization has more than one building. Other more specific impact scenarios - for example a scenario for the temporary or permanent loss of a specific floor in a building - may also be documented.

After the completion of the analysis phase, the business and technical plan requirements are documented in order to commence the implementation phase. For an office-based, IT intensive business, the plan requirements may cover the following elements which may be classed as ICE (In Case of Emergency) Data:

- The numbers and types of desks, whether dedicated or shared, required outside of the primary business location in the secondary location
- The individuals involved in the recovery effort along with their contact and technical details

- The applications and application data required from the secondary location desks for critical business functions
- The manual workaround solutions
- The maximum outage allowed for the applications
- The peripheral requirements like printers, copier, fax machine, calculators, paper, pens etc.

Other business environments, such as production, distribution, warehousing etc will need to cover these elements, but are likely to have additional issues to manage following a disruptive event.

The goal of the solution design phase is to identify the most cost effective disaster recovery solution that meets two main requirements from the impact analysis stage. For IT applications, this is commonly expressed as:

1. The minimum application and application data requirements
2. The time frame in which the minimum application and application data must be available

Disaster recovery plans may also be required outside the IT applications domain, for example in preservation of information in hard copy format, or restoration of embedded technology in process plant. This BCP phase overlaps with Disaster recovery planning methodology. The solution phase determines:

- The crisis management command structure
- The location of a secondary work site (where necessary)
- Telecommunication architecture between primary and secondary work sites
- Data replication methodology between primary and secondary work sites
- The application and software required at the secondary work site, and
- The type of physical data requirements at the secondary work site.

The implementation phase, quite simply, is the execution of the design elements identified in the solution design phase. Work package testing may take place during the implementation of the solution, however; work package testing does not take the place of organizational testing.

The purpose of testing is to achieve organizational acceptance that the business continuity solution satisfies the organization's recovery requirements. Plans may fail to meet expectations due to insufficient or inaccurate recovery requirements, solution design flaws, or solution implementation errors. Testing may include:

- Crisis command team call-out testing
- Technical swing test from primary to secondary work locations
- Technical swing test from secondary to primary work locations
- Application test
- Business process test

At minimum, testing is generally conducted on a biannual or annual schedule. Problems identified in the initial testing phase may be rolled up into the maintenance phase and retested during the next test cycle.

Maintenance of a BCP manual is broken down into three periodic activities. The first activity is the confirmation of information in the manual. The second activity is the testing and verification of technical solutions established for recovery operations. The third activity is the testing and verification of documented organization recovery procedures. A biannual or annual maintenance cycle is typical.

All organizations change over time, therefore a BCP manual must change to stay relevant to the organization. Once data accuracy is verified, normally a call tree test is conducted to evaluate the notification plan's efficiency as well as the accuracy of the contact data. Some types of changes that should be identified and updated in the manual include:

- Staffing changes
- Staffing persona
- Changes to important clients and their contact details
- Changes to important vendors/suppliers and their contact details
- Departmental changes like new, closed or fundamentally changed departments.

BUSINESS AND INDUSTRY

All regions should seek to attract new businesses and industries to provide jobs for their citizens and revenues to their treasuries. In the modern times, all region are more interested in attracting 'clean industries' such as banking, catalogue and subscription services, and especially high-tech firms. All existing business should be retained and fostered their expansion. Business firm select potential sites in term of their business climate and regulatory environment, the caliber of the labour force, the availability of infrastructure benefits such as access to airport good roads and mass transportation, the quality of the school system and their types of training institution and quality of life. These firms also respond to recreation inducement and incidents such as tax concessions and tax referrals, inexpensive land and infrastructure subsidies, and subsidised training facilities. The region can maintain and strengthen its economic base in four ways:

- The region must retain its current businesses or at least the desirable one.
- The region must devise place and services to help existing businesses expand. When these businesses sell more products to more distant markets, they produce more income and jobs within the local economy. Training programmes could be sponsored to help managers and workers to improve their skills. Improve the transportation, communication, and energy infrastructure facilitates, bank loans to local businesses, and provides subsidised amenities tailored to specific business need.
- The region must make it easier for entrepreneurs to start up new businesses. The region must understand and foster the condition that attract and support local entrepreneurs. These include developing a strong small business agency to train and advice entrepreneurs, encourage local banks to make obtaining loans easier for starting up businesses, providing loans, starting equity landing,

bringing together venture capitalists and entrepreneurs, promoting resources path, helping secure government contracts, and using various incentive to aid business start ups.

- The region must aggressively attract outside companies on their factories to move to its location. An economic development agency or non-profit corporation should target, visit, and solicit outside companies to invest resources in their location.

The region should choose the best mix of the build up strategies. It must define the types and mix of industries to pursue. Avoid attracting polluting industries, sweatshop, industries, and industries that draw undesirable residents and visitors (such as gambling and prostitution). Border areas or district such as Uttarkashi, Chamoli, etc., should debate on whether to expect the benefits of low-cost labour or to seek markets with more advanced technologies and high paying jobs. Other region needs to decide whether they should build a diversified economy or one based on a few specified industries. Large towns and cities should build diversified economy industries and medium and small towns may thrive on one or few specialised small industries.

(iv) *Export Markets.* The ability of the region should be to produce goods and services that other places, people, and business firm are willing to purchase. Exports are the lifeblood of a region, whose natured resources are too limited to produce everything they need, nor its limited populations absorb all goods and services they can produce. The wealth of these regions depends on aggressively exporting products to other countries and thus using the export earnings to finance the import of raw materials and other goods that they require. The region will have to import as it needs automobile, computers, clothing and so on. Therefore, the regions must produce goods and services that can be exported. The region must encourage its local businesses to expand their sales beyond the local market into large domestic market as well as foreign markets. The region should manage to create strong brand names and images for the products and services it supplies, for example, Italy has image for fashion goods, Japan for consumers goods and electronics, Florida for oranges, Dehradun for basmati rice and leechies, Wisconsin for cheese, Kentucky bourbon and Idaho for potatoes. Once a region has established strong brand name for one particular product line, it may be able to transfer its positive image to other related product lines. Each village, district, town, city and region should project an image that may help manufacturer's ability to sell goods elsewhere. The region should diversify its industries and target market. In many cases, diversity may not be always an option.

Smaller regions have no choice but to focus on one particular market. Take example of Caribbean Islands. It focuses almost exclusively on tourism because they possess few other resources that can revive the appeal of their sun and sand. The national export agency can contribute in several ways in producing exports. The agency could offer subsidies to local businesses and insurance devices that reduce a company's risks. It can start training programmes and offer technical assistance to familiarise companies

with export procedures. It should enlist public relation firms to improve a community image in target export markets. Government export agencies should sponsor overseas trade shows for community's products, open foreign offices of local industries, and take local business executives on foreign trade missions to make contact, and solicit orders.

The main 4 strategies to attract visitors and residents, to build industrial base and increase exports, are:

Attractions

The region should have special features to satisfy the residents and attract outsiders. Attractions include, natural attraction such as mountain ranges, all-round pleasant weathers, remarkable legacy, such as historical buildings, exotic temples and statuary renowned edifices such as towers, buildings, beautiful parks, lakes and lake front, outdoor restaurants. Streams and waters ways to be used for tourism and recreations.

The region must search for new attractions and build crown jewels such as stadium, sport stadiums, super-dome. Highly dedicated and ethical people need to be advertised. The region requires suitable infrastructure, addition of attractions, raise the friendliness and skill of people and then broadcast its distinct image. The whole region in the Himalayan belt is poor in infrastructure and finance. It does not have sources to raise money to improve its infrastructure or build attractions. This is the reason that with limited funds, the region ends up working an image first, and encourages its people to be friendly. This approach leads to failure.

Infrastructure Development

Infrastructure is the real fundamental in the development of a region. Good transportation, low-cost energy, quality education, safely, no fear, safe drinking water, suitable building codes, provision of recreational space, good hotels and restaurants, are some of the infrastructural needs of the region.

Image Building

Have an advertising agency or public relation firms to identify, develop, and disseminate a strong positive image of the region. It does not require any investment in adding attraction or improving its infrastructure but only in 'communicating' something about its present features to others. Thus, it is the least expensive strategy. The cost and effectiveness of the image strategy depends on the region's current image and real attributes. Different areas of the region may find themselves in any one of the following six image situations:

Positive Image. Some areas of the regions are blessed with positive images. Badrinath, Kedarnath, Rishikesh, Haridwar, Mussorie, Nainital, etc., all conjure up positive images in most people's minds. Although each place has certain flaws and does not appeal to every one as a destination or place to live or a place for business, they all can be presented

positively to others. They do not require changing the image so much as amplifying it and delivering it to more target groups.

Weak Image. Some areas of this region are not well known because they are small, lack attraction, or do not advertise. To be more visible, these areas need to build some attraction and advertise them. There are some other places having attractive features but these restrain from advertising, not wishing to be overrun with tourists. These places want to limit the public awareness.

Negative Image. Areas stuck with negative images such as murder, vice, drugs, war-torn, poverty, etc., want to curb their image distribution. They should have less news attention, they should discover more hidden gain in their make-up that might provide a launching pad for a new image that covers up the old. For example, different districts of Kumaon and Garhwal want to be called as Uttarakhand/Uttaranchal because of its negative image—a cold, hilly, unfertile area, a losing population and business at no rapid rate. Yet, if the region advertises a new image but continues to be the place that gave rise to the old image, the image strategy will not succeed.

Mixed Image. There are many areas in the region having mixture of positive and negative elements. Many people want to visit Himalayas for its many attractions but some visitors fear its weak points. These places should emphasize the positive and avoid the negative in preparing their image campaigns.

Contradictory Image. People hold opposite views about some features of an area. Some people think of a safe tourist destination and others see it as a dangerous place, remembering the tourist murders some years ago, natural calamities, pollution, crime and similar negative factors.

Overly Attractive Image. Some areas are so attractive that if promoted further these may be spoiled. In such places the problems of traffic congestion, crowd, water pollution, and other costs of development could stem the tide of new residents moving to these places.

No growth movements, limiting the growth by refusing to extend water and sewer-lines to proposed new development. Negative image could be fabricated and disseminated to discourage visitors and fortune hunters by saying those words as-town people are unfriendly' or that the weather is bad'. Clever slogans should be invented to create good image.

A catchy phrase might capture attention, but it may not do the whole job of image development and promotion. Image must be valid and communicated in many ways through several channels if it is to succeed and take root. "World class museums", "friendly people", "great universities", "architectural Mecca", "India's Riviera", "My kind of town", "ad infinitum", etc., all have merits and truth, but it requires right choice and selection. Image building requires research into residents and outsiders, identifying true and untrue elements, strong and weak elements, inspirations and choices among contending pictures, elaborating the choice in a thousand ways. All this will help in truly expressing the consensual image by the residents, businesses and others.

DEVELOPMENT STRATEGIES FOR ECOTOURISM ACCOMMODATION

- Siting to maximise natural amenities in lieu of newly built amenities
- Maximum interface with the natural environment
- Downsizing the central facilities offset by operational phasing and efficiencies
- Facilities and activities that minimise the emphasis on individual accommodations
- Communal living options
- Services and facilities provided by local development planners
- Self-sufficiency of the occupant to minimise operational overheads and central facilities
- Use of low impact and low cost structures
- Use of indigenous building types that capture the local sense of place
- Use of prefabricated building types
- Operations to de-emphasise site requirements
- An emphasis on landscaping.

A delicate balance between rates and standards can be attained in which costs and, thus, rates can be lowered and the amenities reduced, while taking maximum advantage of the natural environment, providing a wide range of activities and taking the moral high ground of operating a responsible and environmentally sustainable facility. There are also fundamental infrastructure requirements that face all guest facilities no matter what scale they happen to be. Guests need to eat and drink and they also require, almost always, the consumption of packaged products. Support services include cleaning and maintenance and the management of all human, commercial and, sometimes, livestock waste.

Power and potable water demands are quite often difficult demands to meet. The former is often restricted by location, capacity and storage constraints. The latter is similarly affected by environmental collection, storage, purification and, sometimes, distribution constraints. Communications is, interestingly, most easily addressed given recent advances in technology.

However, this is paralleled by increased expectations on the part of guests. The greater the volume of people, the more sensitive and sophisticated management of these issues needs to be. Certain thresholds in the number of guests can require (under certain building codes or even sensible adherence to moral standards) the importation of sophisticated and expensive systems. For example, sewage treatment plants may be required for facilities of over, say, 100 beds.

The good news is that there is an array of exciting and alternative methods of addressing infrastructural issues. The bad news is that they are too often not as cost effective as traditional systems, especially at a large scale. It can be presumed that the majority of guests are likely to come from Westernised culture.

The daily services to which these people are accustomed are currently managed within their own technologically sophisticated cultural/industrial economies. Interestingly, this level of consumption is not sustainable on a global basis if it were to be applied to the world population. It is equally likely that this level of consumption will not be sustainable in many area; that are candidates for ecotourism at least in the traditional, unspoiled, naturalistic and undeveloped environment. Properties in these, locations therefore have the opportunity to convert this constraint into a genuine marketing tool by demonstrating to their visitors how comfortable they can be and, possibly, how much happier they can be with a well-managed and more sustainable, alternative lifestyle. In contrast to this, there is no inherent reason why an ecotourism operation cannot operate in a highly developed culture where the use of alternative and more sustainable services and utilities is not required. In these instances the property can act as an educational tool for the visiting guest, and also as a prototype for adjacent communities.

Construction means and methods also provide opportunities for utilising environmentally friendly systems. Quite often, the indigenous building systems have developed out of natural solutions using readily available materials. The benefits of considering building in the same manner as the existing culture are considerable: readily available first construction and maintenance skills, aesthetic consistency with the vernacular and culture, and the support and cooperation of the local community. It is also likely that in the very long term the materials used can be returned to the environment without generating pollution in the event that the facility is reinvented, relocated or abandoned. If local materials are not used then their factors can come into play. Prefabricated components can offer educational opportunities and technological advances for the local population. If designed properly they can be installed so that they may be removed in the future without damaging the environment. It is also possible that the finishes and furnishings can be procured from locally sustainable sources or from recycled products. These provide very powerful marketing opportunities for the operator. They will be able to demonstrate to their clients, to local authorities and the hospitality industry that its product is an asset to its community in all respects and that it sets an example for its guests to demonstrate a better way to living.

Applications of SAR in Small Hospitality Firms

The social action orientation has been explored as one conceptual and methodological approach for practitioners to adopt when conducting research and making interpretations. This has been contextualised within the given illustration of the phenomenon of the small hospitality firm and depth interviewing of its proprietor. Specifically, the relationship between the researcher and the fieldwork has been analysed making explicit and transparent the values and biases that may conspire to challenge validity and rigour. In this way, some of the criticisms and debates associated with this research methodology as applied to the field of hospitality have been addressed. Key conceptual and practical

methodological challenges have been identified and addressed and communicated through the use of an illustrative example. We must caution researchers about the need to be disciplined in the application of social interactionist methodology.

Practitioners should explicitly recognise the implications at the outset of: the researcher as the research tool interacting intensively with the actors and research site, and the consequent need to achieve an empathic neutrality; the actors as narrators of their own versions of stories of what they conceive to be the facts pertaining to their social worlds, with the researcher as a co-participant in the construction of the story; and finally the contexts in which actors are embedded and which define their social situations and as such require to be a necessary part of data collection and analysis. Lastly, it can be observed that the adoption and management of a social interactionist research methodology requires much from the researcher. It demands the surfacing of a full range of psychological and socially developed values and established ways of constructing and interpreting social life, publicly exposing the private person who is the professional researcher, and explicitly locating the researcher within the field of enquiry.

This information then requires to be assessed both in the early stages of research design, to understand the implications for objective, research and consequential neutralising methods, incorporated and policed continuously throughout the course of the research process. Only in this way will the power of social action theory to generate rich, and valid socially constructed knowledge be fully realized.

Introducing Concept of Small Hotels in Hospitality Sector

One of the very important suggestion in Himalayan tourism development is the concept of small hotels. It is proposed that such a course of action makes sense in terms of promoting local ownership and participation, creating the type of physical facility which blends with the local environment and reflects better local culture, offering a product for which there exists a growing demand and which would lead to more satisfactory sociological assimilation of tourism, it is suggested that these small hotels would act as the fabric for assuring a type of tourism to the region which would both endure and prosper. Generally, the viability of any small business these days tends to be doubled in the light of the belief that the economic future is locked in the hands of big business and large enterprises. It is argued that small business cannot exploit economics of scale, cannot harness the fruit of rapid technological advances, cannot sell aggressively enough in the market place, cannot command the confidence of lending institutions, cannot provide the management know-how in an ever competitive business climate and, in all, stand doomed in the face of the future. The fact is that the backbone of much great accomplishment has often been built on the drive, ingenuity, and imagination of the small man. In talking about small hotels in the Himalayan region, therefore, one needs to place the concept of individual and his entrepreneurial drive at the centre of any concept of development.

Most of the economists generally talk of unit of demand or units of labour instead of talking of people. When we are talking of small hotel concept we are basically talking of people — small people with constructive ideas and resolution. When we talk of investing in small hotels we must talk of investing in people than in buildings furniture and equipment although all these play an important role in the development of a place. This concept of small hotel—vision of excellent, small, owner-operated — is based on the concept of English Inns, or Austrian chalets or French auberges. These are very attractive units.

They not only indicate a means to move local ownership and participation in tourism but a facility likely to be more compatible with the physical and cultural environments of the Himalayan region, especially the small ones, while counter-balancing and even out numbering the larger, higher-priced international type of hotels. These norms are used by architects as well as for disciplined approach to planning.

The space norms listed are indeed for a tourism or resort complex having integrated services which includes a full range of accommodation, entertainment, recreational and support facilities. To determine the best composition of such a complex its population and number of visitors at any time needs to be established. Suppose the number of visitors is 50,000. Assuming 0.5 of a number of staff to each visitor, it will mean a workforce of one thousand.

These people will require housing, schools and other facilities including transportation. The visitors would require accommodation facilities such as hotels, apartments, chalets, or carvan and camping space or a combination of them all in different proportions. Accordingly, decide the number of restaurant in proportion to number of beds. Different types of entertainment facilities needed should also be estimated. This will be based on:

- What entertainment will be provided in various hotels?
- What would be the average age group of visitors?
- How many young families may visit?
- Is the complex an appeal to old people travelling without children?
- How many people are going to play volleyball and football?

Find out the average spending power of visitors and also the inclination of visitors to use restaurants and bars and based on this the number of self-catering apartments, super market and food shopping facilities. Based on the number of visitors at any one time decide the possibility of maintaining parks, zoological gardens, golf courses, and extensive and specialised areas. Make a comparison with similar tourism complexes and synthesised the results. This could be taken as a guideline and be treated with great caution. Each tourism centres would require specialised design solution. There may also be variation in operation policies and procedures as regards to foreign exchange, banking facilities, hair dressing, laundries, dry cleaning and beauty shops, and other shopping facilities. The universally applicable norms are invalidated because of the varied nationalities, age group, socio-economic back ground, expectation and uses of

tourism complex by the visitor. Tourism continues to be one of the world's major growth activities. Any economic development must be bought at some cost in those fields.

Tourism development in the central Himalayan region where there is almost total unemployment may be welcomed by most of its economic benefit, but it would in all likelihood affect the way of life of the local residents. It has become a fashion in certain quarters not only to challenge the net economic benefit of tourism but also to denigrate it, because of number of problems, social, physical, economic, which it may, or does cause. It is interesting that frequently the most vocal advocates of a *status quo* are not the local residents but others arguing on their behalf.

The country should take a conscious decision regarding the amount of alternative economic benefits it is prepared to bestow upon these hilly and mountainous regions. That must be its responsibility, if it is to deny its economic growth through tourism by maintaining the *status quo* in deference to the protests of the population of the country. The achievement of tourism in varying circumstances is rarely an accident of fate and is increasingly the result of a sensitive management of tourism, of matching and developing the physical limitations, the manpower limitations, the market, the populace and the entrepreneur.

Generic Strategies

For an organisation to obtain a sustainable competitive advantage Michael Porter suggested that they should follow either one of three generic strategies.³

Strategy 1: Cost Leadership

This strategy involves the organisation aiming to be the lowest cost producer within their industry. The organisation aims to drive cost down through all the elements of the production of the product from sourcing, to labour costs. The cost leader usually aims at a broad market, so sufficient sales can cover costs. Low cost producers include Easyjet airline, Ryan air, Asda and Walmart. Some organisation may aim to drive costs down but will not pass on these cost savings to their customers aiming for increased profits clearly because their brand can command a premium rate.

Strategy 2: Differentiation

To be different, is what organisations strive for. Having a competitive advantage which allows the company and its products ranges to stand out is crucial for their success. With a differentiation strategy the organisation aims to focus its effort on particular segments and charge for the added differentiated value.

If we look at Brompton folding cycles their compact design differentiates them from other folding bike companies. New concepts which allow for differentiation can be patented, however patents have a certain life span and organisation always face the danger that their idea that gives the competitive advantage will be copied in one form or another.

Strategy 3: Niche strategies

Here the organisation focuses its effort on one particular segment and becomes well known for providing products/services within the segment. They form a competitive advantage for this niche market and either succeed by being a low cost producer or differentiator within that particular segment. Examples include Roll Royce and Bentley.

Are you 'Stuck in the Middle'

The danger some organisation face is that they try to do all three and become what is known as stuck in the middle. They have no clear business strategy, be all to all consumers, which adds to their running costs causing a fall in sales and market share. 'Stuck in the middle' companies are usually subject to a takeover or merger.

Industry Analysis Model

Porter's five forces model is an excellent model to use to analyse a particular environment of an industry. So for example, if we were entering the PC industry, we would use Porter's model to help us find out about:

- Competitive Rivalry
- Power of suppliers
- Power of buyers
- Threats of substitutes
- Threat of new entrants.

The above five main factors are key factors that influence industry performance, hence, it is common sense and practical to find out about these factors before you enter the industry.

Competitive Rivalry

A starting point to analysing the industry is to look at competitive rivalry. If entry to an industry is easy then competitive rivalry will likely to be high. If it is easy for customers to move to substitute products for example from coke to water then again rivalry will be high. Generally competitive rivalry will be high if:

- There is little differentiation between the products sold between customers.
- Competitors are approximately the same size of each other.
- If the competitors all have similar strategies.
- It is costly to leave the industry hence, they fight to just stay in (exit barriers)

Power of Suppliers

Suppliers are also essential for the success of an organisation. Raw materials are needed to complete the finished product of the organisation. Suppliers do have power. This power comes from:

- If they are the only supplier or one of few suppliers who supply that particular raw material.

- If it costly for the organisation to move from one supplier to another (known also as switching cost)
- If there is no other substitute for their product.

Power of Buyers

Buyers or customers can exert influence and control over an industry in certain circumstances. This happens when:

- There is little differentiation over the product and substitutes can be found easily.
- Customers are sensitive to price.
- Switching to another product is not costly.

Threat of Substitutes

Are there alternative products that customers can purchase over your product that offer the same benefit for the same or less price? The threat of substitute is high when:

- Price of that substitute product falls.
- It is easy for consumers to switch from one substitute product to another.
- Buyers are willing to substitute.

Threat of New Entrant

The threat of a new organisation entering the industry is high when it is easy for an organisation to enter the industry *i.e.* entry barriers are low. An organisation will look at how loyal customers are to existing products, how quickly they can achieve economy of scales, would they have access to suppliers, would government legislation prevent them or encourage them to enter the industry. So to summaries porters five forces model is essential to carry to help you understand your industry in depth before you enter it.

Diffusion of Innovation

This extension of the product life cycle was developed by Everett M. Rogers in 1962 and simply looks who adopts products at the different stages of the life cycle. Rogers identified five types of purchasers as the product moves through its life cycle stage. He suggested:

- Innovator who make up 2.5per cent of all purchases of the product, purchase the product at the beginning of the life cycle. They are not afraid of trying new products that suit their lifestyle and will also pay a premium for that benefit.
- Early Adopters make up 13.5per cent of purchases, they are usually opinion leaders and naturally adopt products after the innovators. This group of purchasers are crucial because adoption by them means the product becomes acceptable, spurring on later purchasers.
- Early Majority make up 34per cent of purchases and have been spurred on by the early adopters. They wait to see if the product will be adopted by society and will purchase only when this has happened. They early majority usually have some status in society.

- Late Majority make up another 34per cent of sales and usually purchase the product at the late stages of majority within the life cycle.
- Laggards make up 16per cent of total sales and usually purchase the product near the end of its life. They are the 'wait and see' group. They wait to see if the product will get cheaper. Usually when they purchase the product a new version is already on the market. Some may call Laggards, bargain hunters!

Boston Consultancy Group (BCG Matrix)

This product portfolio matrix classifies product lines into four categories. The BCG models suggests that organisations should have a healthy balance of products within their range. The Boston Consultancy Group classified these products as following:

Question Mark/Problem Child

These are products with low market share but operate in high market growth rates. The company puts a lot of resources in this product in the hope that it will eventually increase market share and generate cash returns in the future.

Star

Stars have high market shares that operate in growing markets. The product at this stage should be generating positive returns for the company.

Cash Cow

Cash Cow are products at the mature stage of the lifecycle, they generate high amounts of cash for the company, but growth rate is slowing. There are chances that the product may slip into decline, appropriate marketing mix strategies should be employed to try to prevent this from happening.

INFORMATION MANAGEMENT CONCEPTS

Information Management and the organization design strategies being related to it, are a theoretical cornerstone of the business process concept.

In the early 1990s, US corporations, and subsequently companies all over the world, started to adopt the concept of reengineering in an attempt to re-achieve the competitiveness that they had lost during the previous decade. A key characteristic of BPR is the focus on business processes. Let us start our investigations with reviewing several business process definitions, as they are used in the reengineering literature. Davenport defines a (business) process as "a structured, measured set of activities designed to produce a specific output for a particular customer or market. It implies a strong emphasis on how work is done within an organization, in contrast to a product focus's emphasis on what. A process is thus a specific ordering of work activities across time and space, with a beginning and an end, and clearly defined inputs and outputs: a structure for action... Taking a process approach implies adopting the customer's point

of view. Processes are the structure by which an organization does what is necessary to produce value for its customers.” This definition contains certain characteristics a process must possess. These characteristics are achieved by a focus on the business logic of the process (how work is done), instead of taking a product perspective (what is done). Following Davenport’s definition of a process we can conclude that a process must have clearly defined boundaries, input and output, that it consists of smaller parts, activities, which are ordered in time and space, that there must be a receiver of the process outcome – a customer – and that the transformation taking place within the process must add customer value.

Hammer & Champy’s definition can be considered as a subset of Davenport’s. They define a process as “a collection of activities that takes one or more kinds of input and creates an output that is of value to the customer.” As we can note, Hammer & Champy have a more transformation oriented perception, and put less emphasis on the structural component–process boundaries and the order of activities in time and space.

Rummler & Brache use a definition that clearly encompasses a focus on the organization’s external customers, when stating that “a business process is a series of steps designed to produce a product or service. Most processes are cross-functional, spanning the ‘white space’ between the boxes on the organization chart. Some processes result in a product or service that is received by an organization’s external customer. We call these primary processes. Other processes produce products that are invisible to the external customer but essential to the effective management of the business. We call these support processes.”

The above definition distinguishes two types of processes, primary and support processes, depending on whether a process is directly involved in the creation of customer value, or concerned with the organization’s internal activities. In this sense, Rummler and Brache’s definition follows Porter’s value chain model, which also builds on a division of primary and secondary activities. According to Rummler and Brache, a typical characteristic of a successful process-based organization is the absence of secondary activities in the primary value flow that is created in the customer oriented primary processes. The characteristic of processes as spanning the white space on the organization chart indicates that processes are embedded in some form of organizational structure. Also, a process can be cross-functional, i.e. it ranges over several business functions.

Finally, let us consider the process definition of Johansson. They define a process as “a set of linked activities that take an input and transform it to create an output. Ideally, the transformation that occurs in the process should add value to the input and create an output that is more useful and effective to the recipient either upstream or downstream.”

This definition also emphasizes the constitution of links between activities and the transformation that takes place within the process. Johansson et.al. also include the upstream part of the value chain as a possible recipient of the process output. Summarizing the four definitions above, we can compile the following list of characteristics for a business process.

1. Definability: It must have clearly defined boundaries, input and output.
2. Order: It must consist of activities that are ordered according to their position in time and space.
3. Customer: There must be a recipient of the process' outcome, a customer.
4. Value-adding: The transformation taking place within the process must add value to the recipient, either upstream or downstream.
5. Embeddedness: A process can not exist in itself, it must be embedded in an organizational structure.
6. Cross-functionality: A process regularly can, but not necessarily must, span several functions.

Frequently, a process owner, i.e. a person being responsible for the performance and continuous improvement of the process, is also considered as a prerequisite.

Process Modeling

The term process model (usually business process model) is used in different contexts. Process models are concepts which can belong in the area of Process Engineering.

A description of what process models are is provided by Colette Rolland: "Processes of the same nature are classified together into a process model. Thus, a process model is a description of a process at the type level. Since the process model is at the type level, a process is an instantiation of it. The same process model is used repeatedly for the development of many applications and thus, has many instantiations. One possible use of a process model is to prescribe 'how things must/should/could be done' in contrast to the process itself which is really what happens. A process model is more or less a rough anticipation of what the process will look like. What the process shall be will be determined during actual system development."

Main Aims

- Descriptive
 - Traces what actually happens during a process
 - Takes the point of view of an external observer who looks at the way a process has been performed and determines the improvements that have to be made to make it perform more effectively or efficiently
- Prescriptive
 - Defines desired processes and how they should/could/might be performed
 - Lays down rules, guidelines, and behaviour patterns which, if followed, would lead to the desired process performance. They range from strict enforcement to flexible guidance.
- Explanatory
 - Provides explanations about the rationale of processes
 - Explores and evaluates several possible courses of action based on rational arguments

- Establishes an explicit link between processes and the requirements that they are to fulfill

“From a theoretical point of view, the Process Meta-Model explains which are the key concepts needed to describe what happens in the development process, on what, when it happens and why. From an operational point of view, the Process Meta-Model is aimed at providing guidance for method engineers and application developers.”

The activity of modeling a business process usually predicates a need to change processes or identify issues to be corrected. This transformation may or may not require IT involvement, although that is common driver for the need to model a business process. Change management programmes are desired to put the processes into practice. With advances in technology from larger platform vendors, the vision of BPM models becoming fully executable (and capable of round-trip engineering) is coming closer to reality every day.

Process Modeling addresses the process aspects an Enterprise Business Architecture, leading to an all encompassing Enterprise Architecture. The relationships of a business processes in the context of the rest of the enterprise systems, data, org structure, strategies etc. create greater capabilities in analyzing and planning a change. One real world example is in corporate mergers and acquisitions; understanding the processes in both companies in detail, allowing management to identify redundancies resulting in a smoother merger.

INTERNATIONAL TOURISM BUSINESS

The fundamental focus of this book has been the relationship between international business and development. This focus reflects the concern with development that permeates all aspects of the environment of the world's developing countries. The theme that permeates the book is that a principal, if not the principal, contributor to development is the international business activities of firms and individuals within the society.

This is not by any means to suggest that development relates only to international business activities. Clearly, the social, political, and economic characteristics of a country provide an important foundation upon which international business activities can build; and managers in developing countries need also to assist in the building of this foundation.

Indeed, one might argue that while social, political, and economic stability are necessary conditions for competitive success and development, the development of a range of internationally competitive industries is a sufficient condition for national competitiveness. Clearly, no country will find that all of its industries are competitive by international standards; but the more of such industries a country can boast, the more competitive the entire country is and the higher the level of development.

Yet managers in many developing countries have fundamental concerns, many of which have been identified throughout the book, about their ability to spawn internationally competitive industries. In examining the prospects for development via international business, it is useful to revisit some of these concerns, particularly in the

context of an examination of factors that lead to the creation of internationally competitive industries and firms.

CREATING COMPETITIVE INDUSTRIES

The traditional perspective on the factors that spawned competitive industries within countries placed the primary focus on a country's endowments of resources in the form of the factors of production of labour, land, and capital. The Heckscher—Ohlin extension to the Ricardian theory of comparative advantage focused on these resources as the critical components that identified the industries in which countries would have a comparative advantage; that is, these were the industries in which a country would be internationally competitive.

The discussion however, also pointed out that, increasingly, efforts to understand the industries in which a country would be competitive have meant adding to a natural resource explanation for the creation and expansion of competitive industries a broader group of variables. These variables have an important impact on the determination of which industries are likely to be competitive and over what period.

To a large extent, studies that found a role for factors other than a country's resource endowments in explaining the set of competitive industries in a country trace their intellectual origin to Vernon's product cycle study of 1966. That study found a role for home-country demand patterns in determining the industries in which a country would be competitive. It also introduced the notion of dynamism to studies of industry competitiveness; that is, a country does not inherit a set of competitive industries based on its resource endowments and then relax with the knowledge that it will always host these industries. Rather, competitive industries could be and often were created through timely innovations. These creations, however, can prove fickle; and these same industries are likely, at some point, to migrate to other countries.

Porter's study on the competitiveness of nations continued this tradition by indicating the factors likely to be important in determining the international competitiveness of a nation's industries and thus, by extension, the competitiveness of the nation. He identified a set of principal variables—factor conditions, demand conditions, firm strategy, structure and rivalry, and related and supporting industries—and a set of secondary variables—the role of government and the role of chance. In developing the variables that appeared to have the most significant impact on whether a country was able to spawn competitive industries and identifying which particular industries might be generated in particular countries, Porter identified the critical role of resource endowments (factor conditions) as embodied in classical trade theories. He also focused on the importance of home-country demand patterns as outlined in the work of Vernon (demand conditions).

To these two sets of characteristics, Porter added another two primary determinants of national competitiveness. In the tradition of classical economists with their emphasis on the importance of competition in generating efficient economic activity, Porter emphasized the importance of rivalry among firms.

He posited that a country was likely to be host to a competitive industry where competitive rivalry among the domestic participants in that industry was particularly intense. He suggested further that where an industry could draw upon the resources of other competitive industries that together formed a cluster, the industry and other related industries in that cluster of industries would be better able to compete internationally.

In addition to these four primary determinants of national competitiveness, Porter added two secondary determinants. He suggested that there was an important role for government but that this role was to influence the four primary determinants and that the role of government should not, of itself, be considered a determinant. Last, for completeness, Porter suggested that some countries were simply lucky in their development of competitive industries. Thus, he suggested a role for chance in determining national competitiveness.

COMPETITIVENESS IN DEVELOPING COUNTRIES

These studies that place significant emphasis on the nature of the home market and industry structure in creating competitive industries might be viewed, from the perspective of the world's developing countries, as providing hope while creating despair. They provide hope in the sense that they emphasize the notion that a country born with few competitive industries, which is the case in most developing countries, has the possibility of adding to its portfolio of such industries over time. At the same time, they exude despair because the conditions they delineate as important to the creation of competitive industries do not, in large part, exist in many developing countries.

These conditions typically involve firms honing their skills while they produce products particularly oriented to the needs of a home market comprised of sophisticated consumers. Once they have been able to satisfy these consumers, they are well positioned to extend their operations to segments of consumers with similar needs in other countries.

A related condition is that firms are able to hone their skills while producing products for large domestic markets. In producing for these large domestic markets, their expertise expands over time and with increases in the volume of goods produced. This gradually evolving expertise provides these first-mover firms with a competitive advantage over follower companies, including those from other countries.

For most developing countries, the notion of large markets comprised of sophisticated consumers demanding and willing to buy state-of-the-art or innovative products is a very alien condition. The markets of these countries tend to be small in terms of the number of consumers that can effectively demand products, that is, can add to an interest in a good the wherewithal to purchase that good. This is clearly true of small developing countries, but it is also true of some of the relatively large countries.

This is not to suggest that there are no exceptions to this general observation. The Brazilian company, Embraer, for example, was able to spearhead the development of a small-aircraft industry in Brazil in part because of the demand characteristics of the Brazilian environment. As a physically large country with a very rugged terrain that

had led to an underdeveloped surface transportation network, Brazil placed significant emphasis on the use of small aircraft. Early in Embraer's history, guaranteed purchases from the Brazilian military provided a market that allowed the company to hone its expertise in its home environment. Embraer went on to develop models that were successfully sold in the United States, but Embraer's experience was an exception rather than the rule. The Embraer route is not the route most developing countries have traveled in creating competitive industries.

For the majority of developing countries, competitive industries have arisen almost exclusively from the natural endowments of those countries, whether in terms of climatic conditions in industries such as agriculture or tourism, or low-cost factors of production, primarily labour, in industries such as textiles, footwear, electronic assembly, and data conversion.

Indeed, the developing countries have developed competitive industries in a manner very much in keeping with the implications of the Heckscher-Ohlin extension of comparative advantage trade theory and the industry migration effects of Vernon's product cycle theory. Even India's booming software industry fits a resourcebased, rather than a home-market based, notion of industry competitiveness with that country's plentiful supply of trained but low-cost software programmers.

Indeed, the developing countries are not concerned so much about how they develop competitive industries as long as they are, in fact, able to develop these industries. The history of national competitiveness has demonstrated quite clearly that countries can improve their competitiveness over time (and also that countries can lose their competitiveness over time as the example of Argentina, among others, demonstrates quite clearly).

The task then is for these countries to advance over time, adding additional competitive industries to their arsenals of competitive industries and upgrading the sources of competitive advantage upon which these industries rely.

In so doing, developing countries will be likely to go through stages. These stages take their starting point, however, with the development of competitive industries based upon the country's resource base, including the important resource of skilled labour. Porter's work addresses this issue of the stages countries are likely to go through in pursuit of the widest array of competitive industries based on increasingly more sustainable forms of competitive advantage.

As indicated Porter identifies four stages of national development through which countries may pass: factor driven, investment driven, innovation driven, and wealth driven. The factor-driven stage is one in which competitive firms and industries derive their competitive advantage from the country's endowments of resources.

Firms operating in such countries export primarily standardized products. This stage of national development corresponds to the initial stages of export marketing, the investment-driven stage have established a set of firms that are willing and able to invest aggressively in the development of modern, efficient facilities with the best

available process technology. Firms in the innovation-driven stage compete by creating new products and processes based on their resources of highly skilled and creative workers but also in response to the demands of highly sophisticated consumers.

Competitive industries in this stage would draw their competitive advantage from all the sources of competitive advantage identified by Porter and other analysts. Last, in the wealth-driven stage, a country's competitive industries draw their competitiveness from prior investments and innovation. Firms in such countries rest upon their first-mover advantages but have lost the urge or ability to innovate in new areas. This stage has the potential of leading countries to ultimate decline unless the movement in this direction is arrested and countries are able to return to the innovation-driven stage of national development.

Most developing countries operate at varying points in the factor-driven stage. A few have moved from the factor-driven stage to the investment-driven stage. Those countries that have moved (*e.g.*, Korea) gained the momentum for moving from their success in the factor-driven stage.

Korean companies, like the large conglomerate Daewoo, provide a firmbased example of how the entire Korean economy has moved from factordriven to investment-driven sources of competitive advantage, with a corresponding expansion in the types of activities in which the company engages. Daewoo began its international life as an exporter of textiles and garments.

In 1967, 100 percent of the company's exports comprised textile and garment exporters. By 1985, however, textile and garment exports constituted about 16 percent of total exports. By that time, Daewoo had become a well known producer of ships, automobiles, rolling stock, and machinery—and even an installer of telephone lines. In the early 1990s, Daewoo's car imports were not at the level of its local competitor, Hyundai; but the company was exporting cars, primarily to developing countries around the world.

The immediate task for most developing countries, then, is to become internationally competitive, based on the country's resources, including skilled labour, in an array of industries. Once that goal has been achieved, these countries can seek to move to more advanced stages, where competitiveness is based on more durable advantages than low-cost factors of production. These countries, particularly the smaller ones, might also be able to move immediately to niche markets in which they can produce specialty products that have a competitive position built not on low costs but on the existence of unique, differentiated products.

IMPEDIMENTS TO THE CREATION OF COMPETITIVE INDUSTRIES

In moving in the direction of expanding their portfolio of competitive industries, and indeed in preserving the competitiveness of existing industries that have done well internationally, developing countries contend that they face many impediments and that these impediments retard their development prospects.

ACCESS TO INTERNATIONAL MARKETS

In order for firms in developing countries to take advantage of their competitive abilities, they need to have unimpeded access to the markets of other countries. In today's world, companies will receive no such guarantees.

Here, it is important to note that developed countries have been largely unwilling to engage in the transition from one set of industries to another as the competitive imperatives within that industry change. Thus, an industry such as textiles in which firms in developing countries have a significant cost advantage relative to their counterparts in developed countries has seen the institutionalization of protection in order to shield producers in developed countries from their more cost-efficient counterparts elsewhere. Protectionism has been similarly rampant in agriculture sectors in the developed countries of North America, Europe, and Japan.

Developed countries have not been the only countries engaged in protectionist policies. Developing countries have also been extremely resistant to providing other developing countries with unimpeded access to their markets. The discussions have focused on the developed countries because of the significance of the developed country market. For developing countries that are poised to become a part of one of the major trading blocs that are being spawned in different parts of the world, the problem of markets made inaccessible by government policy should largely disappear. Very few developing countries, however, are thus poised. Mexico is the first developing country to have obtained a secure position in a trading bloc.

There may soon be similar opportunities for Chile and possibly Turkey prior to the end of the century. Other countries in Latin America and the Caribbean have indicated a desire for membership in NAFTA; and many Eastern European, Middle Eastern, and North African countries have been knocking on the door of the EU. It is hard to be as sanguine about the prospects for inclusion of these other countries, based on the dilemma of difference discussed.

Beyond awaiting a more liberal trade climate in which trade barriers are eliminated, developing countries can only find relief in the fact that the protectionism of most developed countries did not stall the export thrust of the NICs in the 1970s and 1980s. These countries found innovative solutions to the problems of protectionism.

There are, of course, significant implications to developing countries of the movement to a more liberal trade climate and to accession to major trading blocs. A more liberal trading climate and entry into major trading blocs that involve developed and developing countries is increasingly going to occur only on the basis of reciprocal trade concessions. Thus, developing countries will also be unable to protect their own industries, increasingly including their service industries.

TRENDS IN FOREIGN DIRECT INVESTMENT

Even where countries do not impose barriers to imports from developing countries, there is still a concern that firms from developing countries will find it difficult to gain

access to the markets of developed countries because they lack institutional linkages with those markets. One of the institutions that has been viewed as valuable in creating those linkages is the multinational firm.

These firms, so the argument goes, can help the exports of developing countries gain access to distribution channels in developed countries. In light of this benefit, there are those in developing countries who express concern at the reduction in the flows of foreign direct investment destined for developing countries.

It is indeed true that, apart from a blip in the late 1980s and early 1990s associated with privatization, the trend shows declining flows of foreign direct investment to developing countries. This does not, however, represent as strong an impediment to the creation of competitive firms as it might appear at first glance. Clearly, more foreign direct investment designed to use developing countries as an export platform would assist these countries in their bid to develop international competitive industries, particularly if the skills of the foreign investor can be captured throughout the wider economy.

The reality, however, is that the bulk of foreign direct investment in past years was not of that form. Rather, it was investment to serve domestic markets. In engaging in such investments, particularly where they were established behind high tariff walls, foreign investors were never major contributors to the international competitiveness of the countries that were their hosts. The loss of such investment does not, therefore, necessarily have a detrimental impact on national competitiveness.

What is true, on the other hand, is that developing countries in this new investment climate cannot look to foreign investors to provide the engine of growth for their economies. Virtually every developing country is wooing foreign investors. Thus, the demand for export-oriented foreign direct investment far exceeds the supply of this investment. Singapore, in particular, gained first-mover advantages by being the first developing country to attract export-oriented foreign investment. This country has reaped significant fruits from its boldness.

A boldness that, among other things, involved guaranteeing a return for investors on their commercial operations. Other developing countries will find it difficult to replicate that strategy.

THE NON-RESPONSIVENESS OF THE WORLD FINANCIAL COMMUNITY

Many in developing countries have bemoaned the lack of understanding of the world's financial community and its monetary systems. The lack of responsiveness of these institutions is viewed by many in the South to be an impediment to the development of the developing countries.

The efforts at creating a new international economic order came directly out of the view that the current world financial order was stacked against the developing countries.

The criticisms of the IMF, and increasingly of the WB with its structural adjustment policies, is another manifestation of the view that the world's major multilateral institutions are unconcerned about the plight of the developing countries.

The response of the multilateral institutions would be that they have actually assisted countries in embarking down the path of enhanced competitiveness with the structural reforms they have insisted upon as a condition of their loans and that, although these prescriptions may have had a bitter taste, their medicinal effects are now working, as evidenced by the extent to which many countries are now prescribing the same medicine for themselves outside of the context of loan programmes.

The experience of several Latin American countries, most notably Mexico, and even some countries in sub-Saharan Africa would be presented as evidence of the wisdom of eliminating budget deficits, reducing inflation, privatizing inefficient state industries, allowing local farmers to get market prices for their produce, and so forth. Ultimately, however, the multilateral agencies and the bilateral aid organizations also must be accountable to the countries that provide the funding or that own their shares.

In a competitive arena in which developing countries are pitted against developed countries, the developing countries can expect a degree of non-responsiveness at times. This was aptly demonstrated in the significant reductions in the U.S. Agency for International Development (AID) financing of investment-promotion activities in Central American countries after a television programme in the United States suggested that the agency was assisting developing countries in their efforts to lure U.S. investors to their countries.

The U.S. population asked why U.S. taxpayers should contribute to what may eventually be job losses within the United States. Developing countries might respond by saying that such an activity could well lead to enhanced productivity within the United States as U.S. workers make a transition towards jobs requiring greater skills. They would be likely, however, to encounter a non-responsive organization.

THE LIMITATIONS OF SOUTH-SOUTH ECONOMIC INTEGRATION

As the efforts to create an NIEO floundered, developing countries placed much hope on the possibilities of development via South—South economic integration. The individual markets of developing countries might be too small for efforts at self-sufficiency or the scale required for production for export markets, but the combined markets of several countries might allow for efficient production.

The limitations of these efforts became readily apparent, however, since neighbouring developing country economies basing their competitive activities on resource endowments have found that they have similar economies, whose products substitute for each other—this in contrast to the more appropriate base for economic integration efforts, that is, economies that produce a broad range of dissimilar products and are complementary to each other. Thus, the integration efforts of developing countries are unlikely to allow for self-sufficiency with any more effectiveness than the efforts of an

individual economy to seek such self-sufficiency. This is especially true of the groupings of particularly small countries such as that of the Caribbean countries of CARICOM.

THE LIMITATIONS OF NATIONAL GOVERNMENT POLICY

Managers of private firms in many developing countries would regard the most significant impediment to the country's attempts at national competitiveness to be inept government policy. There is, to begin with, a major controversy on the appropriate role for government in developing competitive industries within a country.

Porter argues for a supportive but unobtrusive role for government that involves creating the requisite infrastructure and enforcing competition while avoiding the temptation to engage in intrusive efforts at subsidizing particular industries. The work of strategic trade theorists, albeit in a limited number of special cases, sees the possibility of governments influencing which industries the country gains a competitive position in through subsidy and incentive policies that help firms gain a first-mover advantage relative to their rivals elsewhere.

For developing countries, there are two general areas of potential government involvement. The first involves creating a climate that is conducive to productive economic activity. This is largely ignored in studies of developed countries or of the more successful developing countries because this role is taken for granted. In concluding, for example, that the role of government was secondary, Porter based this conclusion on the situation that prevailed in the countries that he studied; but he studied the following ten countries: Denmark, Germany, Italy, Japan, Korea, Singapore, Sweden, Switzerland, the United Kingdom, and the United States.

For countries that have not reached the level of development of these ten countries, the role of government is likely to be much more fundamental. It seems reasonable, for example, to expect that a government will not allow inflation rates of 2,000 percent per annum. These expectations are not always met. Inflation rates at that level were seen in several Latin American countries during the 1980s. In such a situation, the role of government in solving the inflation problem is the most important factor in putting the country on a path that may lead to development. Many governments in developing countries enact policies that lend no economic, social, or political stability to the country. Stability of this type is a necessary prerequisite to the vibrant economic activity that is associated with the development of internationally competitive industries.

Once such stability is achieved, there still remain other roles for government. In pursuing these roles, governments should focus on activities that are socially beneficial but in which profits are not easily captured by a private firm. There are many critical areas of a society, from infrastructure to primary education, which are critical to a society's well-being but in which there would be underinvestment in the absence of collective investments managed by a central government.

Several of the export management-assistance programmes provide more specific examples of the types of assistance that a government might usefully provide in an

effort to develop competitive industries. The more controversial role for government surrounds its discriminating in favour of one industry over another in an effort to pick the industry that is most likely to be internationally competitive and provide support for that industry.

Here, the evidence is mixed. The Asian success stories as vindications of the appropriateness of an activist government policy. Others argue that there was less intervention in these cases than is generally believed and that many of the examples of intervention failed.

THE PROSPECTS FOR DEVELOPMENT

The prospects for development of the world's developing countries lie as much in the ability of public- and private-sector managers in these countries as they do anywhere else. This is not to say that the external environment is unimportant, but it is to say that the managerial challenge is to make the best use of one's resources given a particular set of environmental conditions.

Developing countries could bemoan the unattractiveness of the external environment unceasingly; but these moans will not change the environment, as the experiment with the NIEO demonstrated. In fact, they might not even be heard. A recurring theme of this book is that the development of developing countries is in the hands of the individuals that manage institutions in those countries.

Developing countries do, of course, have a fundamental choice. A developing country might suggest that it is too difficult to compete on international markets or that it does not believe that it is possible to develop a sufficiently wide array of internationally competitive firms to support the expectations of its population. The option such a country has is to retreat from the international marketplace and seek self-sufficiency or autarky.

Such a country would endeavor to satisfy the expectations of its population in that manner. To a large extent, this is a less risky strategy for a country to pursue. The country will remove itself from the vagaries of the international marketplace and from the "clutches" of the international monetary system. The larger the country, the more desirable such a strategy might become. In many respects, it is a strategy that India pursued for many years.

There are, however, obvious problems associated with this "low-risk" strategy. It is more viable for larger developing countries than for smaller developing countries. Such a strategy is also more viable for large countries that are already developed, but it is not a viable strategy for smaller developing countries.

Even India, the second largest developing country in terms of population, has moved away from this approach beginning in 1991 with the liberalization programme of the Rao regime. India's change in approach was as a result of the "low returns" associated with its "low-risk" strategy. India was simply developing far too slowly to accommodate the legitimate expectations of its citizenry.

The options for most developing countries, therefore, are few. Their success in creating competitive industries will rest on two interrelated managerial phenomena. The public-sector managers will have to manage the economy and society well, creating an economic and social environment that is stable and conducive and engaging in the provision of socially useful services that would be underprovided were the state not so engaged. The provision of these services and political, social, and economic stability should make the national environment conducive to the pursuit of international business opportunities.

Thereafter, the international competitiveness of the country will rest on the shoulders of entrepreneurs within these countries who are prepared to find opportunities and to pursue these opportunities relentlessly. These are not individuals who become complacent once they can provide an adequate standard of living for themselves. Rather, these entrepreneurs are desirous of doing as well as their counterparts in other countries of the world and are creative in their pursuit of opportunities.

This is a creativity that will increasingly have to be imbued to citizens of developing countries through educational systems, training programmes, and a general societal orientation. Some developing countries have gone far down the road to development through the pursuit of international business activities. Others can continue that trend but not by replication; rather, by innovation and creative application. Indeed, in today's competitive world, there may be no other route to development.

5

Business Management and Consumer Relationship System

Consumer Relationship Systems (CRS) are specialized Customer Relationship Management (CRM) software applications used to handle consumer products and services company's dealings with consumers and customers. Consumer Affairs and Customer Relations contact Centres within these organizations, that are typically Consumer Packaged Goods (CPG) companies providing consumers with packaged items, such as foods and beverages, household consumable products and durable goods, as well as travel services, e.g., passenger airlines and cruise ship lines.

The companies' trained contact Centre representatives handle in-bound contacts from anonymous consumers and customers, replying to inquiries and fulfilling responses. Representatives capture consumer contact information, issues, and verbatim feedback which is stored in the CRM and made available to company stakeholders such as marketing, product management and development, legal, public relations, etc., for input to product and service improvements. The CRS workflow processing and reporting enable issuing of early warning alerts to product problems in the marketplace (e.g., product recalls) and capture of current consumer sentiment ('voice of the customer'). The system has been used to effectively create best-practice actionable voice of the customer (VOC) processes.

The first such CRS was developed in the 1980s. In 1981 Michael Wilke and Robert Thornton founded Wilke/Thornton, Inc. in Columbus, Ohio, to develop new software application systems. By 1983 Wilke/Thornton was creating and implementing a specialized CRM application system for inbound consumer contact call Centres of CPG

companies, including Kimberly-Clark, Quaker Oats, and Yokohama Tire. This consumer/customer contact management system was designed to capture and record consumer response (inquiries, reactions, and related issues, such as how-to-use and where-to-buy items) to packaged products and services.

The Consumer Relationship System (CRS) established a niche category—the consumer relationship system—and, because Wilke/Thornton was the earliest developer, become the system became the *de facto* standard for the consumer packaged goods industry niche. Now hundreds of consumer packaged goods companies with global consumer response handling operations now use consumer relationship systems (Consumer Relationship CRM). Some 10,000 contact Centre representatives use these systems daily worldwide.

The CRS facilitate the processing of workflow by the representatives who receive the calls, letters, email, and online chat messages from consumers in many locations, across time zones, communicating in many languages, having different postal address formats, and a vast multitude of different product items and issues. These representatives assign item, issue, status and action codes to contacts and carryout the appropriate replies and fulfilment actions.

While the goal of these consumer response handling operations is to increase customer satisfaction, loyalty, and retention, the consumer relationship systems also collect consumer response for early detection of local market product problems and of consumer preference trends to provide detailed response data, including verbatim transcripts, for analysis and insight development reported internally to support product and service improvements. Many of the consumer contact Centre managers who use the CRS are members of the Society of Consumer Affairs Professionals International, a global organization that supports the aims and purposes of these customer care professionals.

Current consumer relationship systems integrate with telephone and call recording systems, with corporate enterprise systems for input and reporting. Consumer response flows from consumer products companies' branded Web sites directly into the response systems.

These systems are popular because they can deliver the 'voice of the consumer' that contributes to product quality improvement and corporate success. The CRS area available by traditional perpetual license and by online subscription service. In recent years Consumer Relationship CRM vendors, like Wilke/Thornton mentioned above, have begun adopting the software-as-a-service business delivery model (SaaS)SaaS which benefits users by reducing up-front capital costs and by being scalable to meet user needs. With the on-demand Web-based CRS subscription service, subscribers pay only for their usage of the system, like traditional utility services.

CUSTOMER EXPERIENCE

Customer experience (CX) is the sum of all experiences a customer has with a supplier of goods or services, over the duration of their relationship with that supplier. From

awareness, discovery, attraction, interaction, purchase, use, cultivation and advocacy. It can also be used to mean an individual experience over one transaction; the distinction is usually clear in context.

GROWING RECOGNITION

Analysts and commentators who write about customer experience (CX) and customer relationship management have increasingly recognized the importance of managing the customer's experience. Customers receive some kind of experience, ranging from positive to negative, during the course of buying goods and services. Thompson and Kolsky say that "an experience is defined as the sum total of conscious events. As such, a supplier cannot avoid creating an experience every time it interacts with a customer" (2004). Furthermore, it has been shown that a customer's perception of an organisation is built as a result of their interaction across multiple-channels, not through one channel, and that a positive customer experience can result in increased share of wallet and repeat business.

A company's ability to deliver an experience that sets it apart in the eyes of its customers serves to increase their spend with the company and, optimally, inspire loyalty to its brand. "Loyalty," says Jessica Debor, "is now driven primarily by a company's interaction with its customers and how well it delivers on their wants and needs." (2008)

To create a superior customer experience requires understanding the customer's point of view, say Don Peppers and Martha Rogers, Ph.D in *Rules to Break and Laws to Follow*. "What's it really like to be your customer? What is the day-in, day-out 'customer experience' your company is delivering? How does it feel to wait on hold on the phone? To open a package and not be certain how to follow the poorly translated instructions? To stand in line, be charged a fee, wait for a service call that was promised two hours ago, come back to an online shopping cart that's no longer there an hour later? Or what's it like to be remembered? To receive helpful suggestions? To get everything exactly as it was promised? To be confident that the answers you get are the best ones for you?"

In short, customer experience meaning a customer journey which makes the customer feel happy, satisfy, justify, with a sense of being respected, served and cared, according to his/her expectation or standard, start from first contact and through the whole relationship.

Emerging Business Requirement

With products becoming commoditized, price differentiation no longer sustainable and customers demanding more, companies – and communication service providers (wireline, wireless, broadband cable, satellite) in particular – are focusing on delivering superior customer experiences. A 2009 study of over 860 corporate executives revealed that companies that have increased their investment in customer experience management over the past three years report higher customer referral rates and customer satisfaction

(Strativity Group, 2009). This finding is also supported by research completed by software company Chordiant in 2008 into the customer experience management performance of large organisations across Europe. The research surveyed 450 large organisations to create a maturity model and the results showed that over $\frac{3}{4}$ of the organisations surveyed achieved level 3 (of 5) or less for CEM performance (5 being best possible result). The results also showed that performance in four key business areas (market share, retention, profitability, and customer satisfaction) was directly related to CEM performance.

The customer experience has emerged as the single most important aspect in achieving success for companies across all industries (Peppers and Rogers 2005). For example, Starbucks spent less than \$10MM on advertising from 1987 to 1998 yet added over 2,000 new stores to accommodate growing sales. Starbucks popularity is based on the experience that drove its customers to highly recommend their store to friends and family.

CONSUMER MARKET

The consumer market is composed of individuals who buy a specific good or service. Rarely does one product interest the entire population. This statement applies even to staples, such as sugar, flour, and salt. A small percentage of households do not eat these products, so even if a company did target the entire population, not everyone would be a potential consumer. The same statistical truth applies to cultural products. However, because of the extremely fragmented nature of the cultural sector, some distinctions are in order. For example, looking at this sector as a whole, it can be said that nearly 100% of the population consumes one type of cultural product or another. Indeed, in its broadest sense, the cultural sector encompasses everything from the performing arts to heritage, compact disks, movies, book and magazine publishing, and radio and television, with each of these disciplines appropriating a more or less important share of global demand.

In Canada, for example, statistics¹ show that 37.0% of families attend a performing arts event at least once a year: movies 62.2%, museums and art galleries 32.9%. In the United States the figures for cultural consumption are: classical music 15.6%, opera 4.7%, musicals 24.5%, plays 15.8%, ballet 5.8%, art museums 34.5%, and historical parks 46.9%.² In Australia³ the figures are: musical theatre 19.3%, classical music 7.7%, festivals 21.9%, concerts 23%, and museums 27.8%. Of course, within each of these sectors, consumers cluster just as to specific poles of interest.

This leads to sharper market segmentation. The consumer makes a discriminating choice among various cultural products to acquire or consume the type of product desired. The distribution of consumers just as to various market segments differs in both time and space. Markets undergo and reflect the influence of opinion leaders, trends, tastes, and societal characteristics.

Markets also vary from country to country just as to different social structures. Over the past 40 years, various surveys focusing on the sociodemographic profile of consumers

of cultural products have been carried out in nearly every European country as well as in Canada, the United States, Australia, and Japan.⁴ It is fascinating to note that, regardless of whether the surveys were conducted in the 1970s, 1980s, or 1990s, they all obtained the same attendance rates and the same sociodemographic profiles.

Differences in the measuring tools used can sometimes make it difficult to compare countries; nonetheless, these studies have consistently and systematically revealed strong polarization of audiences between high art and popular culture across all countries over the past four decades. They show, for example, that cultural products catering to high art attract educated consumers, whereas those catering to popular culture draw on all segments of the population, in accordance with the relative weight of each.

The proportion of university graduates making up Canadian audiences, for example, ranges between 50% and 70% for high art, compared with 10% to 25% for popular culture. By way of comparison, the overall percentage of university graduates in Canada is 25%. Similar results have been found in other countries, most notably in France⁵ but also in Russia, where university graduates make up 50% of performing arts audiences but only 7% of the general population. Other sociodemographic variables are also linked to attendance, including average income and type of occupation. It should be pointed out once again that this profile is based on averages. Less-educated individuals with lower income may be great consumers of culture, as is the case for students and those specialized or working in the cultural milieu.

Indeed, it is well known that, as a rule many people active in the arts are highly educated yet so ill paid that they struggle to stay above the poverty line. On the other hand, there are people with both very high salaries and very high educational levels who are not interested in the arts and gladly keep their distance. Four factors are known to influence an individual's penchant for complex cultural products: family values that encourage or discourage high art; the educational milieu and the value it places on high art; the fact of having attended performances or visited museums as a child; and amateur art practice.

A more detailed analysis of the typical cultural consumer's traits reveals other nuances based on the different disciplines. For example, dance audiences are relatively younger and even more female in composition than those of the other performing arts; similarly, more women than men read novels, although a larger proportion of men read daily newspapers. In the film sector, there are two very different segments of avid cinema-goers; one of these segments is dominated by a young clientele, while the other is made up of educated people. The majority of consumers in the film sector belong to one or the other of these two segments.

CONSUMER BOYCOTTS AND CERTIFICATION SCHEMES

Consumer markets also offer opportunities to punish and/or reward corporate behavior. Product boycotts and product certification schemes represent contrasting mechanisms used by civil society groups, occasionally with governmental involvement

or support, to influence MNE activities. Organized consumer boycotts usually target individual companies, either because the specific firm's actions are deemed particularly offensive or the company plays a prominent and influential role within an industry whose common practices generate opposition.

Boycott mechanisms do not work equally well in all situations. Boycotts enjoy greatest success when directed against recognizable consumer goods whose market position relies on brand-name image and reputation and where substitute products of satisfactory quality and price are readily available. In addition, the issue motivating the boycott must be conveyed in an easily understandable fashion that will evoke broad sympathy in the general consuming public. By contrast, companies that engage in minimal advertising and produce intermediate products for sale to other businesses are less vulnerable to a consumer boycott mechanism.

The use of consumer boycotts to protest MNE actions developed from the same general time period and set of issues that produced the capital market mechanisms. Anti-apartheid campaigns included product boycotts, including the adoption by many US state and city governments of selective procurement regulations that restricted purchases from companies maintaining investments in South Africa. The loss of large sales contracts to state and municipal agencies may have provided more measurable effective leverage against MNEs than stock divestment actions by activist pension funds. Another high-profile campaign urged a boycott of Nestlé's numerous consumer products to protest the corporation's methods of promoting its infant formula in developing countries.

Similar to shareholder activism, the potential effects of consumer boycotts often surpass the actual financial loss in terms of immediate sales. In order to reach the broad consuming public, boycott organizers generally seek maximum publicity and may organize demonstrations, marches or even engage in acts of civil disobedience to draw media attention to their cause. The short-term demand on management response time and potential for longer-term damage to a company's reputation can add significantly to overall boycott costs.

Opponents often assert that boycott campaigns unfairly single out one or a small number of companies to protest actions undertaken by many enterprises, including MNEs in countries where comparable consumer actions seldom occur. Sometimes boycott targets show only minimal or distant causal connections to wrong actions. Similar to secondary rather than primary boycotts, the targeted firm or product may simply be used as a means to exert leverage on a different offending actor.

For example, in 1990 a civil society group called Neighbour to Neighbour helped organize a boycott action against Folger's coffee, sold by Procter & Gamble. In this case, the boycott campaign stemmed from opposition to human rights violations by right-wing death squads in El Salvador, allegedly connected with that country's government. Although less than 2 percent of the beans in Folger's coffee reportedly came from El Salvador, those purchases represented an important share of the country's

coffee exports which in turn provided significant revenue to the government. To help publicize their cause, the boycotting groups sponsored a dramatic television advertisement attacking Folger's and showing blood running from an overturned coffee cup. The advertisement was characterized by a P&G spokesperson as "inaccurate, grossly misleading and offensive." The company responded with its own type of boycott action, suspending advertising on some television stations that aired the anti-Folger's commercial. US government officials offered clear statements supporting P&G's coffee bean purchases, calling the actions "in the best interest of the peace process and the people of El Salvador." The case illustrates how boycotts, even when motivated by laudable objectives, may become ethically problematic as causal and capability connections grow more distant between a targeted product or company and the offending actor and actions. Another case of a successful boycott describes a campaign organized by the Rainforest Action Network (RAN) against Scott Paper, aimed at stopping Scott's plans to use a rain forest concession on the Indonesian island of Irian Jaya to develop a eucalyptus plantation and sawmill to supply pulp for its various paper products.

An observer reports that, despite corporate efforts to work with local representatives to limit the project's environmental and social impact, "RAN convinced environmental groups from all over the world to boycott Scott products if the company did not withdraw from Irian Jaya. The campaign focused on a single thing: Scott's name, the company's most valuable, and most vulnerable, asset." The company announced its withdrawal from the project just before the boycott began, prompting RAN to take out newspaper advertisements "declaring victory" and "hailing the power of consumer boycotts."

Without necessarily disputing the impact of the boycott mechanism, some critics subsequently questioned the substance of the victory as a state-owned forestry company replaced Scott in the project and, not subject to similar consumer pressures, reportedly engaged in broad deforestation actions. This case points up the challenge of projecting a boycott's effects which may depend on when outcomes are measured and whether or not potential impacts on other boycott actions are considered.

Product certification schemes also depend on consumer choice to provide leverage for influencing corporate behavior. Contrasted with boycott mechanisms, certification schemes focus less on penalizing bad corporate conduct to induce change and more on rewarding good corporate operations by giving their products a market advantage over uncertified competitors. To be credible, groups using this mechanism must demonstrate that consumers are sufficiently aware and concerned about an issue to affect their purchasing decisions. In addition, consumers need enough knowledge and understanding about the certification process to recognize and favour certified products. These requirements place a premium on media coverage and the development of alliances and support networks among sympathetic civil society groups, particularly in major consumer market economies.

No clear consensus exists regarding either the breadth or the depth of probable consumer response to product certification schemes. Certainly participation will vary

depending on the nature of the issue, the location of the consumer market and the effectiveness of a particular campaign. Other important variables include the cost, quality and convenience differential in choosing certified over uncertified products.

Some polling data suggests that a core of committed individuals will act on certification criteria while a larger portion of the general public is open to considering corporate actions and reputation in their purchasing decisions. For example, a Mori survey in Great Britain defined 15 percent of the population as corporate responsibility activists, reporting that ethical considerations led 17 percent of adults to boycott a product and 14 percent to purchase a company's product during 2003. The survey also reported that 38 percent of the public stated corporate social responsibility was very important in making their purchases. The head of Mori's CSR research speculated that more individuals from this broader group might follow through with concrete actions if provided with more effective information.

The proliferation of product certification schemes touches many of the issues. A broad government-backed mechanism emerged to certify that international trade would be free of "conflict diamonds" associated with human rights violations in Africa. Exports of soccer balls and rugs from South Asia feature certification processes to assure the goods were not produced using child labour. "Green" labels tout the environment-friendly record of many products, from recycled paper or plastic products to energy-saving devices to "dolphin-safe" tuna. Remarkable variety exists in the types of issues addressed and certification measures employed. The constellation of certifying and supporting organizations can also mix public agencies, business organizations and civil society groups. Fair Trade initiatives represent a particular application of product certification schemes, usually but not exclusively applied to products based on agricultural commodities. The basic concept seeks to establish a dependable, long-term relationship with commodity growers in developing countries, offering them a higher price for their products by eliminating middlemen traders.

Many schemes also provide an additional premium to growers for using environmentally friendly methods and/or for community social development projects. The general approach reportedly stems from efforts begun in 1986 by the Max Havelaar Foundation in the Netherlands to respond to desires for development projects that emphasize trade rather than aid. Starting with coffee and expanding to honey, bananas, tea and orange juice, the Foundation supported Fair Trade products sold primarily in Europe.

During the 1990s fourteen other Fair Trade organizations were established, reaching over \$200 million in sales by the end of the decade, still largely concentrated in European markets. Some approaches expect consumers to pay a somewhat higher price for certified Fair Trade products while other efforts try to remain price-competitive, using cost savings in the distribution chain to redistribute profits towards developing country growers. An important extension of the Fair Trade mechanism to the US market occurred in 2000 when Starbucks announced the introduction of a blend of Fair Trade coffee certified by

the non-profit TransFair organization that encourages farmer co-operatives in developing countries to sell direct to coffee roasters or retailers. The breakthrough with Starbucks came after some of its coffee houses were vandalized during anti-globalization protests at a World Trade Organization meeting hosted in the company's hometown of Seattle, Washington. This initiative complemented Starbucks' broader social responsibility programmes and helped expand Fair Trade coverage in the United States beyond craft shops and a few grocery stores. Subsequent discussions between Starbucks and Oxfam also led to cooperation on a project to aid coffee growers in poverty-stricken areas of Ethiopia. The Rainforest Alliance, which promotes another certification scheme covering several products, has forged agreements with major coffee MNEs that could broaden the Fair Trade mechanism beyond the market for specialty coffees that represents only about 2 percent of supply.

Consumer Buying Behaviour

Possibly the most challenging concept in marketing deals with understanding why buyers do what they do (or don't do). But such knowledge is critical for marketers since having a strong understanding of buyer behaviour will help shed light on what is important to the customer and also suggest the important influences on customer decision-making. Using this information, marketers can create marketing programmes that they believe will be of interest to customers. As you might guess, factors affecting how customers make decisions are extremely complex. Buyer behaviour is deeply rooted in psychology with dashes of sociology thrown in just to make things more interesting. Since every person in the world is different, it is impossible to have simple rules that explain how buying decisions are made. But those who have spent many years analysing customer activity have presented us with useful "guidelines" in how someone decides whether or not to make a purchase. In fact, pick up any textbook that examines customer behaviour and each seems to approach it from a different angle. The perspective we take is to touch on just the basic concepts that appear to be commonly accepted as influencing customer behaviour.

Types of Consumer Purchase Decisions

Consumers are faced with purchase decisions nearly every day. But not all decisions are treated the same. Some decisions are more complex than others and thus require more effort by the consumer. Other decisions are fairly routine and require little effort. In general, consumers face four types of purchase decisions:

- *Minor New Purchase:* These purchases represent something new to a consumer but in the customer's mind is not a very important purchase in terms of need, money or other reason (*e.g.*, status within a group).
- *Minor Re-Purchase:* These are the most routine of all purchases and often the consumer returns to purchase the same product without giving much thought to other product options (*i.e.*, consumer is brand loyalty).

- *Major New Purchase*: These purchases are the most difficult of all purchases because the product being purchased is important to the consumer but the consumer has little or no previous experience making these decisions. The consumer's lack of confidence in making this type of decision often (but not always) requires the consumer to engage in an extensive decision-making process..
- *Major Re-Purchase*: These purchase decisions are also important to the consumer but the consumer feels confident in making these decisions since they have previous experience purchasing the product.

For marketers it is important to understand how consumers treat the purchase decisions they face. If a company is targeting customers who feel a purchase decision is difficult (*i.e.*, Major New Purchase), their marketing strategy may vary greatly from a company targeting customers who view the purchase decision as routine. In fact, the same company may face both situations at the same time; for some the product is new, while other customers see the purchase as routine. The implication of buying behaviour for marketers is that different buying situations require different marketing efforts.

Why Consumers Buy

Customers make purchases in order to satisfy needs. Some of these needs are basic and must be filled by everyone on the planet (*e.g.*, food, shelter) while others are not required for basic survival and vary depending on the person. It probably makes more sense to classify needs that are not a necessity as wants or desires. In fact, in many countries where the standard of living is very high, a large portion of the population's income is spent on wants and desires rather than on basic needs. In this tutorial when we mention the consumer we are referring to the actual buyer, the person spending the money. But it should also be pointed out that the one who does the buying is not necessarily the user of what is bought and that others may be involved in the buying decision in addition to the actual buyer.

While the purchasing process in the consumer market is not as complex as the business market, having multiple people involved in a purchase decision is not unusual. For example, in planning for a family vacation the mother may make the hotel reservations but others in the family may have input on the hotel choice. Similarly, a father may purchase snacks at the grocery store but his young child may be the one who selected it from the store shelf.

So understanding consumer purchase behaviour involves not only understanding how decisions are made but also understanding the dynamics that influence purchases.

What Influences Purchasing

As we discussed the decision-making process for consumers is anything but straight forward. There are many factors that can affect this process as a person works through the purchase decision. The number of potential influences on consumer behaviour is

limitless. However, marketers are well served to understand the KEY influences. By doing so they may be in a position to tailor their marketing efforts to take advantage of these influences in a way that will satisfy the consumer and the marketer (remember this is a key part of the definition of marketing). For the purposes of this tutorial we will break these influences down into three main categories: Internal, External and Marketing. However, those interested in learning more about customer buying activity may want to consult one or more consumer behaviour books where they will find additional methods for explaining consumer buying behaviour. For the most part the influences are not mutually exclusive. Instead, they are all interconnected and, as we will see, work together to form who we are and how we behave. For each of the influences that are discussed we will provide a basic description and also suggest its implication to marketers. Bear in mind we only provide a few marketing implications for each influence; clearly there are many more.

Internal Influences

We start our examination of the influences on consumer purchase decisions by first looking inside ourselves to see which are the most important internal factors that affect how we make choices.

Perceptual Filter

Perception is how we see ourselves and the world we live in. However, what ends up being stored inside us doesn't always get there in a direct manner. Often our mental makeup results from information that has been consciously or subconsciously filtered as we experience it, a process we refer to as a perceptual filter. To us this is our reality, though it does not mean it is an accurate reflection on what is real. Thus, perception is the way we filter stimuli (*e.g.*, someone talking to us, reading a newspaper story) and then make sense out of it.

Perception has several steps:

- *Exposure*: Sensing a stimuli (*e.g.*, seeing an ad)
- *Attention*: An effort to recognize the nature of a stimuli (*e.g.*, recognizing it is an ad)
- *Awareness*: Assigning meaning to a stimuli (*e.g.*, humorous ad for particular product)
- *Retention*: Adding the meaning to one's internal makeup (*i.e.*, product has fun ads)

How these steps are eventually carried out depends on a person's approach to learning. By learning we mean how someone changes what they know, which in turn may affect how they act.

There are many theories of learning, a discussion of which is beyond the scope of this tutorial, however, suffice to say that people are likely to learn in different ways. For instance, one person may be able to focus very strongly on a certain advertisement

and be able to retain the information after being exposed only one time while another person may need to be exposed to the same advertisement many times before he/she even recognizes what it is.

Consumers are also more likely to retain information if a person has a strong interest in the stimuli. If a person is in need of new car they are more likely to pay attention to a new advertisement for a car while someone who does not need a car may need to see the advertisement many times before they recognize the brand of automobile.

Continuous Consumer Panels

The process of obtaining information about the behaviour of consumers throughout a prolonged time period involves a research approach known as the continuous consumer panel. This is different from making a number of surveys at intervals in the sense that a relatively static group of consumers provides information about their individual behaviour on a continuing, day-to-day basis. Consumer panels are used for a variety of purposes, including the testing of new products, measurement of broadcast media audiences, and determining purchase behaviour.

The method of obtaining information is by a self-administering form which is usually referred to as a diary.

Consumers daily record all purchases made by family members, often supplemented by information about price, place of purchase, and so on. Reports are sent periodically to the research organization, where specific items of information are transferred to tabulating cards for sorting and analysis. Consumers are usually compensated in cash or premium merchandise for their cooperation.

As compared with store audits, purchase panels provide a wider range of data, including characteristics of consumers making or not making purchases of certain types or specific brands of products.

One of the main advantages is the ability to measure both gross and net changes in consumer purchases of a particular product during a time period. This can be illustrated as follows: During one six-month period, consumers purchased 1 million units of product X.

Purchases in the next period dropped to 800,000 units, indicating a *net* change of 200,000 units. If 200,000 of the 800,000 units were purchased by people who did not make any purchases during the first period, the *gross* change would be 400,000 units. Since the research organization has complete information on the socioeconomic characteristics of all households in the sample, elaborate analyses can be made of purchase diary information in relation to such characteristics.

Warranty Card Analysis

Store audit and consumer panel procedures are widely used in the case of convenience goods but have not been widely applied to shopping or specialty goods where sales are much more infrequent at the retail level or involve significant seasonal variations. To

determine the movement of such commodities to consumers, manufacturers of many forms of appliances make detailed statistical analyses of warranty cards. Such cards are usually given to the consumer at the time the product is delivered or installed, and must be filled out and mailed to the manufacturer in order to register the beginning of the warranty period. Customers must furnish their name and address, model and serial number of the unit, place of purchase, date of delivery or installation, and, often, other information of marketing significance.

In the Automatic Blanket and Fan Department of the General Electric Company, for example, about 1 million returned warranty cards are processed annually. A postal-size card is used, which is designed with holes around the edges that can be notched for machine sorting.

The card is so designed that the consumer can provide a variety of information merely by placing check-marks in boxes and by filling in certain data, such as name, address, and date and place of purchase. From the flow of these cards, the department can accurately estimate its sales at the retail level for current periods, determine the average store-shelf life of products, and ascertain other consumer information, such as sex of buyer, reason for purchase (own use, gift, etc.), and advertising media that prompted the sale.

By periodically checking the total production of a given model during a long time period, and later comparing this with the total number of warranty cards eventually returned, and how many at different intervals after purchase, the department establishes formulas which enable it to estimate sales on a current basis, depending upon the number of warranty cards returned during a given week or month.

Through this type of analysis, the manufacturer knows the rate of consumer sales from week to week and can judge whether consumer sales are up to expectations and, consequently, whether to maintain production at expected levels or to increase or curtail manufacturing activity, revise prices, or enter into different types of promotional activity.

Obtaining Marketing Information from the Consumer

It often happens that the marketing information needed to solve a particular problem cannot be obtained from published sources, cannot be developed from analyses of a firm's internal records, and cannot be supplied by agencies in the channel of distribution. In such cases it is often necessary to resort to surveys of consumer opinion. Various applications of the findings of consumer research, in connection with the study of consumer motivation. Little attention was given, however, to the complexity of planning and administering a comprehensive consumer survey.

An operational chart indicating the sequence of activities in a well planned consumer investigation is provided. Such an investigation begins with a statement of the marketing organization's problem, which may be of the form, "What can we do to increase the share of the market now enjoyed by our frozen orange juice?"

Through discussions with the client, the research organization attempts to obtain pertinent data on the product, its position in the market, and the client's aims and philosophy of doing business. This is ordinarily supplemented by information from available research studies on related problems and a study of the position of competitive products in the markets.

After a review of such information, research personnel develops ideas or hunches by observations of their own behaviour or attitudes in relation to the problem at hand, perhaps by inquiring why they do or do not like or use orange juice or the particular client's brand of orange juice. On the basis of such hunches, information is obtained about other people's behaviour or motivations.

This may be done by conducting long and detailed interviews with a variety of consumers to ascertain their feelings, by using various kinds of direct or projective techniques developed in psychology or psychiatry to test consumer reactions to ideas relevant to the investigation, or by employing some form of statistically sound surveys to ascertain the relative significance of different buying motives.

From the information gleaned from such preliminary study, the researchers can proceed to develop the experimental design for a complete investigation of the problem. This usually involves the formulation of some hypotheses, of the following illustrative character: "Consumers would like to buy frozen orange juice in larger cans." It is then necessary to determine just what types of analyses are required in order to confirm or refute such hypotheses, to determine interviewing and sampling procedures, and to formulate the pattern of tabulations for the data to be collected.

At this point, the research organization is ready to undertake a field survey. A questionnaire is developed and usually pretested on a small group of consumers to determine whether the wording is clear and whether the questions are understood by respondents as intended by the research objectives.

Decisions must be made about the type of sample to be surveyed, including such matters as the number of respondents, kind of respondents (*e.g.*, only housewives), how the sample is to be distributed geographically, and when consumers are to be reached (season of year, day of week, time of day). Interviewers must then be obtained and instructed in their work. When the questionnaires are completed by the interviewing staff, they are edited for legibility and meaning and the responses are grouped into categories for coding and tabulation.

When tabulations are completed, researchers analyse the data to ascertain their meaning in relation to the hypotheses. After interpretation of the results, specific conclusions are formulated in terms of various courses of action that might be taken by the client. Recommendations are statements of the course of action that the research organization thinks the client should take and the results that are to be expected if such courses of action are followed. From the foregoing, it is apparent that consumer research is a complicated undertaking. It is not the mere collection and analysis of facts, but it involves also the attempt to predict the results of a recommended course of action.

Business Markets Compare to Consumer Markets

For marketers, the selling environment of business markets present uniquely different circumstances when compared to selling to consumers. At the beginning of this tutorial we saw two ways in which consumer and business markets differ: 1) business markets are more likely to be price driven than brand driven, and 2) demand in business markets tends to be more volatile than consumer markets.

However, the two markets are dissimilar in other ways requiring marketers to take a different approach when selling to business customers than to consumers. These differences include:

- How Decisions Are Made
- Existence of Experienced Purchasers
- Time Needed to Make Buying Decision
- Size of Purchases
- Number of Buyers
- Type of Promotional Effort Needed to Reach Buyer

A further discussion of each of these differences is presented below:

Types of Business Purchase Decisions

While it would appear business customers face the same four purchase situations faced by consumers (Minor New Purchase, Minor Re-Purchase, Major New Purchase, Major Re-Purchase), the nature of the business market noted above has led many marketing academics to group business purchase situations into only three categories. The reason is that the idea of a minor order may not hold as well in the business market, where buyers tend to place larger orders and where suppliers' marketing efforts are directed towards the most profitable buyers.

- *Straight Re-Purchase*: These purchase situations involve routine ordering. In most cases buyers simply reorder the same products or services that were previously purchased. In fact, many larger companies have programmed re-purchases into an automated ordering system that initiates electronic orders when inventory falls below a certain pre-determined level. For the supplier benefiting from the re-purchase this situation is ideal since the purchaser is not looking to evaluate other products. For competitors who are not getting the order it may require extensive marketing efforts to persuade the buyer to consider other product or service options.
- *Modified Re-Purchase*: These purchases occur when products or services previously considered a straight re-purchase are for some reason now under a re-evaluation process. There are many reasons why a product is moved to the status of a modified re-purchase. Some of these reasons include: end of purchase contract period, change in who is involved in making the purchase, supplier is removed from an approved suppliers list, mandate from top level of organization to re-evaluate all purchasing, or strong marketing effort by

competitors. In this circumstance the incumbent supplier faces the same challenges they may have faced when they initially convinced the buyer to make the purchase. For competitors the door is now open and they must work hard to make sure their message is heard by those in charge of the purchase decision.

- *New Task Purchase*: As the name suggests, these purchases are ones the buyer has never or rarely made before. In some ways new task purchases can be considered as either minor or major depending on the total cost or overall importance of the purchase.

In either case the buyer will spend considerably more time evaluating alternatives. For example, if faced with a major new task purchase, which often involves complex items, such as computer systems, buildings, robotic assembly lines, etc., the purchase cycle from first recognizing the need to placement of the order may be months or even years. The business market we now look at how purchasing decisions are made. Business purchasing follows the same five-step buying process faced by consumers:

- Need Recognition
- Search:
- Evaluate Options
- Purchase
- After-Purchase Evaluation.

While the steps are the same as consumer purchasing, the activities occurring within each step are quite different as we discuss below.

Need Recognition

In a business environment needs arise from just about anywhere within the organization. The Buying Centre concept shows that Initiators are the first organizational members to recognize a need. In most situations the Initiator is also the User or Buyer. Users are inclined to identify the need for new solutions (*i.e.*, new products) while Buyers are more likely to identify the need to re-purchase products.

But marketers should also understand that more companies are replacing human involvement in re-purchase decisions with automated methods, thus making it more challenging for competitors to replace currently purchased products.

In straight re-purchase situations, whether there is human intervention or not, the purchasing process often jumps from Need Recognition to Purchase and little search activity is performed.

As part of this step, a specifications document may be generated that lays out the requirements of the product or service to be purchased. Several members of the Buying Centre may be involved in creation of the specifications.

For the marketer, establishing close contact with those who draw up the specifications may help position the marketer's product for inclusion in the search phase.

Search

The search for alternatives to consider as potential solutions to recognized needs is one of the most significant differences between consumer and business purchasing. Much of this has to do with an organization's motive to reduce costs. While a consumer will probably not search hard to save two cents a gallon on gas, a company that has a large fleet of cars or trucks certainly will. In fact, this step in the purchase process is where professional buyers make their mark.

The primary intention of their search efforts is to identify multiple suppliers who meet product specifications and then, through a screening process, offer a selected group the opportunity to present their products to members of the Buying Centre.

Although in some industries, such as chemicals, online marketplaces and auction sites offer buyers another option for selecting suppliers that may not include supplier presentations.

For suppliers, the key to this step of the purchase process is to make sure they are included within the search activities of the Buyer or others in the Buying Centre.

In some instances this may require that a supplier work to be included within an approved suppliers list. In the case of online marketplaces and auction sites, suppliers should work to be included within relevant sites.

Evaluate Option

Once the search has produced options, members of the Buying Centre may then choose among the alternatives. In more advanced purchase situations, members of the Buying Centre may evaluate each option using a checklist of features and benefits sought by the buyer.

Each feature/benefit is assigned a weight that corresponds to its importance to the purchase decision.

In many cases, especially when dealing with Government and Not-For-Profit markets, suppliers must submit bids with the lowest bidder often being awarded the order, assuming products or services meet specifications.

Purchase

To actually place the order may require the completion of paperwork (or electronic documents) such as a purchase order. Acquiring the necessary approvals can delay the order for an extended period of time. And for very large purchases, such as buildings or large equipment, financing options may need to be explored.

After-Purchase Evaluation

After the order is received the purchasing company may spend time reviewing the results of the purchase. This may involve the Buyer discussing product performance issues with Users. If the product is well received it may end up moving to a straight re-purchase status thus eliminating much of the evaluation process on future purchases.

Buying Differences

Buying Centre Decisions

In the consumer market a very large percentage of purchase decisions are made by a single person. As we discussed in the Consumer Buying Behaviour tutorial, there are situations in which multiple people may be involved in a consumer purchase decision, such as a child influencing a parent to choose a certain brand of cereal or a husband and wife deciding together to buy a house, but most of the time purchases are individual decisions. The business market is significantly different. While single person purchasing is not unusual, especially within a small company, a significant percentage of business buying, especially within larger organizations, requires the input of many.

In the marketing literature those associated with the purchase decision are known to be part of a Buying Centre, which consists of individuals within an organization that perform one or more of the following roles:

- *Buyer*: Responsible for dealing with suppliers and placing orders
- *Decider*: Has the power to make the final purchase decision
- *Influencer*: Has the ability to affect what is ordered such as setting order specifications
- *User*: Those who will actually use the product when it is received
- *Initiator*: Any Buying Centre member who is the first to determine that a need exists
- *Gatekeeper*: Anyone who controls access to other Buying Centre members

For marketers confronting a Buying Centre it is important to first identify who plays what role. Once identified the marketer must address the needs of each member, which may differ significantly. For instance, the Decider, who may be the company president wants to make sure the purchase will not negatively affect the company's bottom line while the Buyer wants to be assured the product will be delivered on time. Thus, the way each Buying Centre member is approached and marketed to requires careful planning in order to address the unique needs of each member.

Experienced Purchasers

As noted in the discussion of the Buying Centre, organizations often employ purchasing agents or professional buyers whose job is to negotiate the best deals for their company. Unlike consumers, who often lack information when making purchase decisions, professional buyers are generally as knowledgeable about the product and the industry as the marketer who is selling to them.

Decision Making Time

Depending on the product, business purchase decisions can drag on for an extensive period. Unlike consumer markets where impulse purchasing is rampant, the number of people involved in business purchase decisions results in decisions taking weeks, months or even years.

Size of Purchases

For products that are regularly used and frequently purchased, businesses will often buy a larger volume at one time compared to consumer purchases. Because of this business purchasers often demand price breaks for higher order levels.

Type of Promotions

Companies who primarily target consumers often use mass advertising methods to reach an often widely dispersed market. For business-to-business marketers the size of individual orders, along with a smaller number of buyers, makes person-to-person contact by sales representatives a more effective means of promotion.

Business Valuation

Business valuation is a process and a set of procedures used to determine the economic value of an owner's interest in a business. Business valuation is often used to estimate the selling price of a business, resolve disputes related to estate and gift taxation, divorce litigation, allocate business purchase price among the business assets, and many other business and legal disputes.

Fair Market Value

"Fair market value" is defined as the price, expressed in terms of cash equivalents, at which property would change hands between a hypothetical willing and able buyer and a hypothetical willing and able seller, acting at arms length in an open and unrestricted market, when neither is under compulsion to buy or sell and when both have reasonable knowledge of the relevant facts.

The fair market value standard incorporates certain assumptions, including the assumptions that the hypothetical purchaser is reasonably prudent and rational but is not motivated by any synergistic or strategic influences; that the business will continue as a going concern and not be liquidated; that the hypothetical transaction will be conducted in cash or equivalents; and that the parties are willing and able to consummate the transaction.

These assumptions might not, and probably do not, reflect the actual conditions of the market in which the subject business might be sold. However, these conditions are assumed because they yield a uniform standard of value, after applying generally-accepted valuation techniques, which allows meaningful comparison between businesses which are similarly situated.

Elements of Business Valuation Economic Conditions

A business valuation report generally begins with a description of national, regional and local economic conditions existing as of the valuation date, as well as the conditions of the industry in which the subject business operates. A common source of economic information for the first section of the business valuation report is the Federal Reserve

Board's Beige Book, published quarterly by the Federal Reserve Bank. State governments and industry associations often publish useful statistics describing regional and industry conditions.

The financial statement analysis generally follows a description of the subject company. One of the first techniques that a business valuation professional applies is called "normalization" of the subject company's financial statements. Normalizing the company's financial statements permits the valuation expert to compare the subject company to other businesses in the same geographic area and industry, and to discover trends affecting the company over time. By comparing a company's financial statements in different time periods, the valuation expert can view growth or decline in revenues or expenses, increases or decreases in assets or liabilities, or other financial trends within the subject company.

Valuation professionals also review the subject company's financial ratios, such as the current ratio, quick ratio, and other liquidity ratios; collection ratios; and other measures of a company's financial performance.

Normalization of Financial Statements

The most common normalization adjustments fall into the following four categories:

1. *Comparability Adjustments.* The valuator may adjust the subject company's financial statements to facilitate a comparison between the subject company and other businesses in the same industry or geographic location. These adjustments are intended to eliminate differences between the way that published industry data is presented and the way that the subject company's data is presented in its financial statements.
2. *Non-operating Adjustments.* It is reasonable to assume that if a business were sold in a hypothetical sales transaction (which is the underlying premise of the fair market value standard), the seller would retain any assets which were not related to the production of earnings or price those non-operating assets separately. For this reason, non-operating assets (such as excess cash) are usually eliminated from the balance sheet.
3. *Non-recurring Adjustments.* The subject company's financial statements may be affected by events that are not expected to recur, such as the purchase or sale of assets, a lawsuit, or an unusually large revenue or expense. These non-recurring items are adjusted so that the financial statements will better reflect the management's expectations of future performance.
4. *Discretionary Adjustments.* The owners of private companies may be paid at variance from the market level of compensation that similar executives in the industry might command. In order to determine fair market value, the owner's compensation, benefits, perquisites and distributions must be adjusted to industry standards. Similarly, the rent paid by the subject business for the use of property owned by the company's owners individually may be scrutinized.

Income, Asset and Market Approaches

Three different approaches are commonly used in business valuation: the income approach, the asset-based approach, and the market approach. Within each of these approaches, there are various techniques for determining the fair market value of a business. Generally, the income approaches determine value by calculating the net present value of the benefit stream generated by the business; the asset-based approaches determine value by adding the sum of the parts of the business; and the market approaches determine value by comparing the subject company to other companies in the same industry, of the same size, and/or within the same region. In determining which of these approaches to use, the valuation professional must exercise discretion. Each technique has advantages and drawbacks, which must be considered when applying those techniques to a particular subject company. Most treatises and court decisions encourage the valuator to consider more than one technique, which must be reconciled with each other to arrive at a value conclusion. A measure of common sense and a good grasp of mathematics is helpful.

Income Approaches

The income approaches determine fair market value by multiplying the benefit stream generated by the subject company times a discount or capitalization rate. The discount or capitalization rate converts the stream of benefits into present value. There are several different income approaches, including capitalization of earnings or cash flows, discounted future cash flows ("DCF"), and the excess earnings method (which is a hybrid of asset and income approaches). Most of the income approaches consider the subject company's historical financial data; only the DCF method requires the subject company to provide projected financial data. Most of the income approaches look to the company's adjusted historical financial data for a single period; only DCF requires data for multiple future periods.

The discount or capitalization rate must be matched to the type of benefit stream to which it is applied. The result of a value calculation under the income approach is generally the fair market value of a controlling, marketable interest in the subject company, since the entire benefit stream of the subject company is most often valued, and the capitalization and discount rates are derived from statistics concerning public companies.

Discount or Capitalization Rates

A discount or capitalization rate is used to determine the present value of the expected returns of a business. The discount rate and capitalization rate are closely related to each other, but distinguishable. Generally speaking, the discount rate or capitalization rate may be defined as the yield necessary to attract investors to a particular investment, given the risks associated with that investment. The discount rate is applied only to discounted cash flow (DCF) valuations, which are based on projected business data over multiple periods of time.

In DCF valuations, a series of projected cash flows is divided by the discount rate to derive the present value of the discounted cash flows.

The sum of the discounted cash flows is added to a terminal value, which represents the present value of business cash flows into perpetuity. The sum of the discounted cash flows and the terminal value is the value of the business. On the other hand, a capitalization rate is applied in methods of business valuation that are based on historical business data for a single period of time.

The after-tax net cash flow capitalization rate is equal to the discount rate minus the long-term sustainable growth rate. The after-tax net cash flow of a business is divided by the capitalization rate to derive the present value. Capitalization rates may be modified so that they may be applied to after-tax net income or pre-tax cash flows or income. There are several different methods of determining the appropriate discount rates. The discount rate is composed of two elements:

- (1) the risk-free rate, which is the return that an investor would expect from a secure, practically risk-free investment, such as a government bond; plus
- (2) a risk premium that compensates an investor for the relative level of risk associated with a particular investment in excess of the risk-free rate. Most importantly, the selected discount or capitalization rate must be consistent with stream of benefits to which it is to be applied.

Build-Up Method

The Build-Up Method is a widely-recognized method of determining the after-tax net cash flow discount rate, which in turn yields the capitalization rate. The figures used in the Build-Up Method are derived from various sources. This method is called a "build-up" method because it is the sum of risks associated with various classes of assets. It is based on the principle that investors would require a greater return on classes of assets that are more risky. The first element of an Build-Up capitalization rate is the risk-free rate, which is the rate of return for long-term government bonds. Investors who buy large-cap equity stocks, which are inherently more risky than long-term government bonds, require a greater return, so the next element of the Build-Up method is the equity risk premium.

In determining a company's value, the long-horizon equity risk premium is used because the Company's life is assumed to be infinite. The sum of the risk-free rate and the equity risk premium yields the long-term average market rate of return on large public company stocks. Similarly, investors who invest in small cap stocks, which are riskier than blue-chip stocks, require a greater return, called the "size premium." Size premium data is generally available from two sources: Ibbotson & Associates' Stocks, Bonds, Bills & Inflation and Duff & Phelps' Risk Premium Report.

By adding the first three elements of a Build-Up discount rate, we can determine the rate of return that investors would require on their investments in small public company stocks. These three elements of the Build-Up discount rate are known collectively as

the "systematic risks." In addition to systematic risks, the discount rate must include "unsystematic risks," which fall into two categories. One of those categories is the "industry risk premium." Ibbotson's yearbooks contain empirical data to quantify the risks associated with various industries, grouped by SIC industry code. The other category of unsystematic risk is referred to as "specific company risk." Historically, no published data has been available to quantify specific company risks. However as of late 2006, new research has been able to quantify, or isolate, this risk for publicly-traded stocks through the use of Total Beta calculations.

P. Butler and K. Pinkerton have outlined a procedure using a modified capital asset pricing model (CAPM) to calculate the company specific risk premium. The model uses an equality between the standard CAPM which relies on the total beta on one side of the equation; and the firm's beta, size premium and company specific risk premium on the other. The equality is then solved for the company specific risk premium as the only unknown.

It is important to understand why this capitalization rate for small, privately-held companies is significantly higher than the return that an investor might expect to receive from other common types of investments, such as money market accounts, mutual funds, or even real estate. Those investments involve substantially lower levels of risk than an investment in a closely-held company. Depository accounts are insured by the federal government (up to certain limits); mutual funds are composed of publicly-traded stocks, for which risk can be substantially minimized through portfolio diversification; and real estate almost invariably appreciates in value of long time horizons.

Closely-held companies, on the other hand, frequently fail for a variety of reasons too numerous to name. Examples of the risk can be witnessed in the storefronts on every Main Street in America. There are no federal guarantees. The risk of investing in a private company cannot be reduced through diversification, and most businesses do not own the type of hard assets that can ensure capital appreciation over time. This is why investors demand a much higher return on their investment in closely-held businesses; such investments are inherently much more risky.

Capital Asset Pricing Model ("CAP-M")

The Capital Asset Pricing model is another method of determining the appropriate discount rate in business valuations. The CAP-M method originated from the Nobel Prize winning studies of Harry Markowitz, James Tobin and William Sharpe.

Like the Ibbotson Build-Up method, the CAP-M method derives the discount rate by adding a risk premium to the risk-free rate. In this instance, however, the risk premium is derived by multiplying the equity risk premium times "beta," which is a measure of stock price volatility.

Beta is published by various sources (including Ibbotson Associates, which was used in this valuation) for particular industries and companies. Beta is associated with the systematic risks of an investment.

One of the criticisms of the CAP-M method is that beta is derived from the volatility of prices of publicly-traded companies, which are likely to differ from private companies in their capital structures, diversification of products and markets, access to credit markets, size, management depth, and many other respects. Where private companies can be shown to be sufficiently similar to public companies, however, the CAP-M model may be appropriate.

Weighted Average Cost of Capital ("WACC")

The weighted average cost of capital is the third major approach to determining a discount rate.

The WACC method determines the subject company's actual cost of capital by calculating the weighted average of the company's cost of debt and cost of equity. The WACC capitalization rate must be applied to the subject company's net cash flow to invested equity.

One of the problems with this method is that the valuator may elect to calculate WACC according to the subject company's existing capital structure, the average industry capital structure, or the optimal capital structure. Such discretion detracts from the objectivity of this approach, in the minds of some critics.

Once the capitalization or discount rate is determined, it must be applied to an appropriate benefit streams: pretax cash flow, aftertax cash flow, pretax net income, after tax net income, excess earnings, projected cash flow, etc. The result of this formula is the indicated value before discounts. Before moving on to calculate discounts, however, the valuation professional must consider the indicated value under the asset and market approaches.

Asset Based Approaches

The value of asset based analysis a business is equal to the sum of its parts. That is the theory underlying the asset based approaches to business valuation. The asset approach to business valuation is based on the principle of substitution: no rational investor will pay more for the business assets than the cost of procuring assets of similar economic utility. In contrast to the income based approaches, which require the valuation professional to make subjective judgments about capitalization or discount rates, the adjusted net book value method is relatively objective. Pursuant to accounting convention, most assets are reported on the books of the subject company at their acquisition value, net of depreciation where applicable. These values must be adjusted to fair market value wherever possible.

The value of a company's intangible assets, such as goodwill, is generally impossible to determine apart from the company's overall enterprise value. For this reason, the asset based approach is not the most probative method of determining the value of going business concerns. In these cases, the asset based approach yields a result that is probably lesser than the fair market value of the business.

In considering an asset-based approach, the valuation professional must consider whether the shareholder whose interest is being valued would have any authority to access the value of the assets directly. Shareholders own shares in a corporation, but not its assets, which are owned by the corporation. A controlling shareholder may have the authority to direct the corporation to sell all or part of the assets it owns and to distribute the proceeds to the shareholder(s).

The non-controlling shareholder, however, lacks this authority and cannot access the value of the assets. As a result, the value of a corporation's assets is rarely the most relevant indicator of value to a shareholder who cannot avail himself of that value. Adjusted net book value may be the most relevant standard of value where liquidation is imminent or ongoing; where a company's earnings or cash flow are nominal, negative or worth less than its assets; or where net book value is standard in the industry in which the company operates. None of these situations applies to the Company which is the subject of this valuation report.

However, the adjusted net book value may be used as a "sanity check" when compared to other methods of valuation, such as the income and market approaches.

Market Approaches

The market approach to business valuation is rooted in the economic principle of competition: that in a free market the supply and demand forces will drive the price of business assets to a certain equilibrium. Buyers would not pay more for the business, and the sellers will not accept less, than the price of a comparable business enterprise. It is similar in many respects to the "comparable sales" method that is commonly used in real estate appraisal.

The market price of the stocks of publicly traded companies engaged in the same or a similar line of business, whose shares are actively traded in a free and open market, can be a valid indicator of value when the transactions in which stocks are traded are sufficiently similar to permit meaningful comparison.

The difficulty lies in identifying public companies that are sufficiently comparable to the subject company for this purpose. Also, as for a private company, the equity is less liquid (in other words its stocks are less easy to buy or sell) than for a public company, its value is considered to be slightly lower than such a market-based valuation would give.

Guideline Public Company Method

The Guideline Public Company method entails a comparison of the subject company to publicly-traded companies. The comparison is generally based on published data regarding the public companies' stock price and earnings, sales, or revenues, which is expressed as a fraction known as a "multiple."

If the guideline public companies are sufficiently similar to each other and the subject company to permit a meaningful comparison, then their multiples should be nearly

equal. The public companies identified for comparison purposes should be similar to the subject company in terms of industry, product lines, market, growth, and risk.

In another variation of this method, the valuator may determine market multiples by reviewing published data regarding actual transactions involving either minority or controlling interests in either publicly traded or closely held companies. In judging whether a reasonable basis for comparison exists, the valuator must consider:

- (1) the similarity of qualitative and quantitative investment and investor characteristics;
- (2) the extent to which reliable data is known about the transactions in which interests in the guideline companies were bought and sold; and
- (3) whether or not the price paid for the guideline companies was in an arms-length transaction, or a forced or distressed sale.

To identify guideline companies that might be comparable to the Company that is the subject of this valuation report, we reviewed data provided by the Centre for Economic and Industry Research, a service affiliated with the National Association of Certified Valuation Analysts. The data was compiled by BIZCOMPS and Multex, two widely-used providers of data.

Discounts and Premiums

The valuation approaches yield the fair market value of the Company as a whole. In valuing a minority, non-controlling interest in a business, however, the valuation professional must consider the applicability of discounts that affect such interests. Discussions of discounts and premiums frequently begin with a review of the "levels of value." There are three common levels of value: controlling interest, marketable minority, and non-marketable minority. The intermediate level, marketable minority interest, is lesser than the controlling interest level and higher than the non-marketable minority interest level. The marketable minority interest level represents the perceived value of equity interests that are freely traded without any restrictions.

These interests are generally traded on the New York Stock Exchange, AMEX, NASDAQ, and other exchanges where there is a ready market for equity securities. These values represent a minority interest in the subject companies—small blocks of stock that represent less than 50% of the company's equity, and usually much less than 50%.

Controlling interest level is the value that an investor would be willing to pay to acquire more than 50% of a company's stock, thereby gaining the attendant prerogatives of control. Some of the prerogatives of control include: electing directors, hiring and firing the company's management and determining their compensation; declaring dividends and distributions, determining the company's strategy and line of business, and acquiring, selling or liquidating the business. This level of value generally contains a control premium over the intermediate level of value, which typically ranges from 25% to 50%. An additional premium may be paid by strategic investors who are motivated by synergistic motives.

Non-marketable, minority level is the lowest level on the chart, representing the level at which non-controlling equity interests in private companies are generally valued or traded.

This level of value is discounted because no ready market exists in which to purchase or sell interests. Private companies are less "liquid" than publicly-traded companies, and transactions in private companies take longer and are more uncertain.

Between the intermediate and lowest levels of the chart, there are restricted shares of publicly-traded companies. Despite a growing inclination of the IRS and Tax Courts to challenge valuation discounts, Shannon Pratt suggested in a scholarly presentation recently that valuation discounts are actually increasing as the differences between public and private companies is widening. Publicly-traded stocks have grown more liquid in the past decade due to rapid electronic trading, reduced commissions, and governmental deregulation. These developments have not improved the liquidity of interests in private companies, however. Valuation discounts are multiplicative, so they must be considered in order. Control premiums and their inverse, minority interest discounts, are considered before marketability discounts are applied.

Discount for Lack of Control

The first discount that must be considered is the discount for lack of control, which in this instance is also a minority interest discount. Minority interest discounts are the inverse of control premiums, to which the following mathematical relationship exists: $MID = 1 - [1 / (1 + CP)]$ The most common source of data regarding control premiums is the Control Premium Study, published annually by Mergerstat since 1972. Mergerstat compiles data regarding publicly announced mergers, acquisitions and divestitures involving 10% or more of the equity interests in public companies, where the purchase price is \$1 million or more and at least one of the parties to the transaction is a U.S. entity. Mergerstat defines the "control premium" as the percentage difference between the acquisition price and the share price of the freely-traded public shares five days prior to the announcement of the M&A transaction. While it is not without valid criticism, Mergerstat control premium data (and the minority interest discount derived therefrom) is widely accepted within the valuation profession.?

Customer Experience Management

The goal of customer experience management (CEM) is to move customers from satisfied to loyal and then from loyal to advocate. Traditionally, managing the customer relationship has been the domain of Customer Relationship Management (CRM). However, CRM strategies and solutions are designed to focus on product, price and enterprise process, with minimal or no focus on customer need and desire. The result is a sharp mismatch between the organisation's approach to customer expectations and what customers actually want, resulting in the failure of many CRM implementations.

Where CRM is enterprise-focused and designed to manage customers for maximum efficiency, CEM is a strategy that focuses the operations and processes of a business around the needs of the individual customer.

Companies are focusing on the importance of the experience and, as Jeananne Rae notes, realizing that “building great consumer experiences is a complex enterprise, involving strategy, integration of technology, orchestrating business models, brand management and CEO commitment.” (2006)

According to Bernd Schmitt, “the term ‘Customer Experience Management’ represents the discipline, methodology and/or process used to comprehensively manage a customer’s cross-channel exposure, interaction and transaction with a company, product, brand or service.”

Customer experience solutions provide strategies, process models, and information technology to design, manage and optimize the end-to-end customer experience process.

Customer Value

Customer value is what the customer thinks he or she is getting in return for what the customer has to part with, reflecting an implicit comparison akin to “give and receive.” It has been described as the quotient of quality over price.

Understanding the customer is about understanding customer value. Customer value is a complex concept and measuring it is complicated. But in the exercise of trying to understand customer value, the manager benefits from a better understanding of the customer and of the opportunities for a superior solution. Here are some characteristics of customer value that any manager should examine in an analysis of the firm and its activities: Customer value

- Is what the customer believes that a product or service provides in a certain use situation.
- Is an implicit comparison between what the customer receives from the provider and what the customer provides in time, effort, and money. The frame of reference is not just the price tag on the product, but also the ease and convenience in the acquisition and use of the product and the whole interactive experience the customer has with the firm.
- Is the customer’s rather than the provider’s perspective. It has to do with customer perceptions of the product and the firm, and not the provider’s perspective of what the firm is delivering.
- Is dynamic, in that it can change over time before, during, and after the purchase, use, over repeated use of the product, and during all the various stages in the relationship with the providing firm.
- Can vary over different use situations. Your automobile may provide less or more value in transporting a group of kids to the ballpark compared to taking the spouse to the boss’s house for a party.

- Can be shaped by attitudes, opinions, and behaviours of others, such as friends, family, media, the providing firm, and other competitors in the industry as well as in substitute industries.
- Determines customer satisfaction and the likelihood of brand or firm loyalty. This cause-effect relationship could be affected by comparisons with competitors and other substitutes.
- Is hard to measure and keep track of. Customers may find it hard to articulate all the different dimensions of customer value and firms may find it a rather onerous task to keep track of all the manifestations of customer value.

Your Value to the Customer

In order to determine what business a firm is in, therefore, the fundamental and imperative exercise is to understand customer value. Let us begin the analysis with the question, what exactly does customer value consist of? It is not easy to determine what the customer is getting as value from a product or service. To understand customer value, you really need to get into the customer's way of thinking about products. In a recent *Harvard Business Review* article, Chase and Dasu urge the use of behavioural science to get into the head of the customer, to understand their total experience with the product or service. Only then can you grasp all the components of customer value. Examining the components and determinants of customer value is a critical step in the analysis. It requires analysis of the benefits as well as costs to the customer. The benefits seen are evident in the perceptions of the product performance. Perceptions of product performance are framed in the context of customer expectations. The expectations are shaped by past experience with the product and by messages about the product received from a variety of sources such as friends and family as well as from the marketer.

From an analytical perspective, product performance comes from functional (core) benefits and supplemental benefits. Functional benefits arise from the core attributes of the product. For instance, you buy a set of golf clubs. How the golf clubs affect your game is a core and functional benefit, as in the primary benefit from the product. The prestige of the brand image, the product return policy, and other customer service features would translate into supplemental benefits. Every customer value analysis requires that we identify and examine core and supplemental benefits.

Similarly, we need to identify the costs to the customer—both monetary and non-monetary costs. Monetary costs include costs incurred in the acquisition, use, and disposition of the solution. Non-monetary costs could include the time and effort in acquiring and benefiting from the solution and the opportunity costs where the product failed. Tom Wright, Buy.com's vice president of operations called his company's old way of handling returns "almost embarrassing." To return a product that a customer bought from Buy.com, the customer had to telephone Buy.com to generate a return authorization, which led to a shipping label from the package delivery firm (UPS) to be mailed to the customer, who then used that label to send the product back to Buy.com.

It was weeks before the customer got credit for the product return! Imagine the non-monetary cost of aggravation to that customer. Many firms that focus on acquiring customers do not retain customers because of their shallow understanding of customer value. Customer value includes interactions with the firm before, during, and after the consumption of the product. Smart firms are focusing on the whole customer and defining their business in terms of market spaces. The market space is the actual set of customer solutions defined by the consumption activities to which the firm caters.

In recognizing that customer value is dynamic, we need to place this analysis in the context of different use situations and how they are changed over time by various influences. Customers' concepts of what to expect from a provider change with each consumption experience. They learn from their own experiences with the product as well as vicariously from others. Competitor offerings and marketing messages continually shape their expectations. Therefore, implicit in the assessments made by the customer is a comparison with expectations based on the alternative—that is, the competition. Customer value analyses can be performed at a qualitative level and with some difficulty can be quantified as well.

Data-driven representations of monetary worth of what a firm does for a customer are what Anderson and Narus called “customer value models.” Such models are useful in assessing the customer value of your product and comparing it with the competition to determine whether you are providing superior customer value or not. The next fundamental question is, Can you provide this superior customer value at a sustainable profit by commanding revenues to cover costs and profits?

Mutual Value of Customer and Firm

Just as the customer value analysis requires an examination of the benefits versus the costs, the firm makes a similar analysis to determine its profit potential. In providing the customer value, what does the firm get in return? How do the monetary and nonmonetary benefits from the customer compare with what it cost the firm to provide that solution to that customer? Can we sustain these profits in the long term? A firm creates value for itself by creating value for the customer. In many ways, the value of a firm is reflected in the profits it provides its investors and the value of the customer to the firm is reflected in the profits that the customer provides the firm. The greater the values of the customer to the firm, the greater are the profits.

This means that the surplus from the revenues after costs is greater if you can attract and retain profitable customers in the long run. Part IV in this book covers the valuation of the customer by the firm. Firms can attract and retain customers if they can provide superior value. It could boil down to, can we command a premium on our solution? If you can, it turns out that the margins are not in the commoditized part of the product, it is in the services provided by the firm. The margins increase when you are able to extend your role in the customer's space. This may come in the form of “cross-selling” or “up-selling.” It may be the case that the total solution provides such value to the

customer that the customer is better off with you than with the competition. As the firm gets more valuable to the customer, the customer gets more valuable to the firm. The value from a customer is derived not only from purchases. Customers can become advocates for the firm, the benefits of which are frequently less understood. The value of the customer in terms of purchases and referrals over the lifetime of the customer should be an imperative calculation for firms who are focused on the customer. It appears that in the final analysis, it is the customer-focused firm that can provide a complete solution through a service orientation that succeeds in providing superior customer value and in return enjoys sustainable profits. So, how is it that a firm is able to provide superior customer value? What gives them a sustainable competitive advantage, such that the firm has sustainable profits?

CUSTOMER VALUE OPPORTUNITIES

An understanding of the role that the firm's product plays in the customer's value chain could open up value-creating opportunities. A customer-focused firm has a detailed picture of the customer's consumption domain. When a firm views value consumption activities, it can see if there are other value creating opportunities that it can leverage from its assets. The watchmaker Swatch, for example, offers wrist watches with the technology that allows them to function as electronic passes at ski resorts in Switzerland or for public transportation in Finland.

Wrist gadgets can now serve not only the function of telling time, but also making phone calls, playing music and videos, browsing the Internet, or sending email. This example defies categorization of product. What is the product? It is a wallet or a pocketbook, as well as a telephone, a personal stereo, a personal VCR, and an Internet communications device! The exercise of determining what revenue opportunities Swatch's value-creating assets would offer forces a complete redefinition of the product.

The (product) solution is conceived to take advantage of opportunities to meet the needs in the customer's life with the assets that the firm has. Swatch has found a way to provide value to a recreational activity—skiing—and a functional activity—public transportation. It is contributing to the “customer access” components of the ski resort's and public transportation's product. By enabling customer access, information technology provides a whole range of supplementary benefits to a variety of products.

Contrast this with the example of a firm that does not understand the value of complementary product components and the customer's value chain. A customer came out of a movie theater in Kendall Square, Cambridge, and experienced a 40-minute ordeal trying to leave the theater's parking lot. She spent 30 minutes standing in line in frigid weather to pay the \$2.50 parking fee and a further 15 minutes to exit the parking lot. When complaining to the management of the movie theater, she asked if she could pay the parking fee as she bought the movie ticket. She was told that the parking lot was owned by a different company and the theater would not take responsibility for the customer's bad experience at the parking lot.

In contrast, the airline SAS has been known to provide an annual dinner to taxicab drivers in Stockholm because the SAS management wants the drivers to treat passengers on the way to and from the airport with professional courtesy and respect. Clearly, firms that are customer-focused conceive their product differently from other firms, because of their intimate knowledge of the customer's consumption activities.

Information about the customer's consumption cycle, therefore, is a key prerequisite to exploring the opportunities that might be tapped. An understanding of how the customer actually benefits from the solution and the information of how, when, where, and with whom the customer consumes the product should provide some interesting revelations of what the firm is doing and can be doing in the composition of the total product solution for customers.

Thus, Procter & Gamble sends its researchers to homes to observe how people actually use laundry detergent. When Samsung was trying to break into the microwave business in the late 1970s and early 1980s, their design engineers observed homemakers shopping for microwaves at the retail store. You can stay ahead of the curve by offering value through supplementary product that your customer information tells you customers will be willing to pay for. Even if the value-producing feature or activity cannot be priced separately, you may be able to command a premium for your superior customer value. Being customer-focused is critical in identifying opportunities for establishing superiority in customer value.

Conceiving and Designing

All decisions about the product and, therefore, the value-creating activities of the firm are based on an understanding of the value-consumption activities of its customers. What are the decisions and what are the issues to be considered in determining the total product by a firm? The three major decisions constituting the product strategy are: the product concept, the operations design, and the value creation and delivery process. The *product concept* defines the customer to be served and what value is to be provided. The *operations design* defines the productive assets of the firm required to create and deliver that value for that customer.

Together, the product concept and the operations design define the scope and configuration of the productive assets that can be leveraged to produce the specific customer value that maximizes profits to the firm. The *value creation and delivery process* executes the product concept with the operations design. In developing the product strategy, the firm makes a fundamental decision in answering the question of how the product will be positioned among all potential solutions to the customer's need.

This positioning question poses an asset- and market-based decision that comprises two perspectives.

- The *market-based perspective* looks outward at the market and asks what customer needs can be most profitably served by the firm.

- The *asset-based perspective* looks inward, at the firm's assets, and asks what assets of the firm can be most profitably leveraged by the firm.

The market-based perspective drives the product concept and the asset-based perspective drives the operations design. Thus, the initial step in developing product strategy involves two critical analyses. The product concept requires analyses of the various segments in the marketplace, while the operations design requires analyses of the firm's productive factors. These two sets of analyses are essential to determining what value-creating activities the firm should engage in to generate the maximum revenue from its assets.

The Market-Based Perspective

A market analysis to determine what would be the most profitable segment mix for a configuration of the productive assets of the firm is the foundation for product strategy. First you need to identify the segments and the solutions that are currently available to the segments. The target market selection or the selected market segments to be served can be based on the profitability and size of each segment that the firm's assets are best positioned to serve.

Here, a formal comparison of all the current solutions from the customer's perspective is necessary. Based on this analysis, the firm is able to determine what it can provide better than the alternative available to the appropriate target market, thus framing the firm's competitive advantage. Only after such customer needs analysis is it possible to specify what would be the desired customer value in the product offering. The intended customer value in the product offering can now be translated into a detailed picture of the product concept—what the core and supplementary product ought to be.

Remember that the customer value also reflects the customer's implicit assessment of the firm's solution compared to competitive offerings and, indeed, all solutions that are available to customers in the segment. To ensure that the product concept can effectively be superior customer value, the core product should combine the imperatives that have become commodities in the product category with the appropriate features in the supplementary product to reflect superiority in customer value. Thus, the product concept embodies the product differentiation and the superiority in customer value.

The Asset-Based Perspective

The operations design decision rests on how best the assets of the firm can be most profitably leveraged and follows a sequence of questions that pertain to the productive assets and capabilities of the firm and how they should be deployed: What people, facilities, equipment assets are needed to create and deliver the product? Which employees' skills and knowledge would be needed? When and where would specific human capital be needed and for how much time? Similar questions are asked about the facilities and equipment of the firm. Of course, when the asset or resource is not available within the firm, it seeks suppliers or outsources that part of the value creation.

Ultimately, the question is what competitive advantage the firm is capable of and how the assets needed should be configured.

Value Creation and Delivery Process

The process decisions are about determining the specific activities of the value creation and delivery. The process of making the product and delivering it to the customer must be detailed. The value creation and delivery activities required are set in a specific sequence. The firm must deliberate on the structure, content, and process of creating and delivering the product to the customer.

No product differentiation from supplementary product can be seen in isolation. If the total benefits from the product are not worth the costs that the customer incurs in acquiring and using the product, the product is likely to fail.

The more carefully the firm designs the process with the customer in mind, the more likely the process ensures ease, convenience and quality for the customer. Thus, the customer-focused firm designs the creation and delivery process with the customer's perception of benefits and costs in the value consumption process.

Ensuring Customer-focused Value Creation

Firms must also recognize that since customer value is dynamic, they need to continually monitor and improve this customer value. Ignorance of the need to innovate to sustain competitive advantage is a common mistake committed by the complacent firm. The argument is sometimes made that the firm's priority of customer focus minimizes the attention to innovation. Customer focus and innovation are not contradictory, an either/or strategic decision. Indeed, to be customer-focused would mean that the firm is continually looking for new ways and solutions to meet customer needs—and to be aware that customer needs evolve as well.

Visualize what the firm needs to do to ensure that it is creating and delivering customer-focused value that can be sustained. To sustain superiority in customer value the firm must ensure that management continually assess its market and its assets to ensure that the choice of customer and the value being created and delivered by the firm maximizes the profit goals of the firm.

How well is the customer value in the product concept translated to the operations design and the value creation and delivery process? Is the superiority in customer value being executed. The answer lies in the customer's judgment. Customer-focused firms will let the customer decide whether the firm's value creation and delivery is customer-focused.

Continual customer satisfaction assessment information needs to be available for the customer-focused firm to improve by changing the product concept, the operations design, and the value creation and delivery process, or to continually reassess whether its assets and capabilities are being leveraged to realize the maximum profit potential. To ensure customer-focused value creation and delivery, firms must assess customers'

perceptions of the benefits they receive as well as the costs incurred by them. As an ongoing assessment of customer value, firms must continually assess customer needs and customer satisfaction. As customer needs change, the value bundle needs to be reviewed in terms of its product concept, operations design and delivery. An assessment of customer satisfaction presents an opportunity to improve customer value. The smart firm will continually monitor customer satisfaction to understand what customers perceive as the benefits they are getting from product compared to the costs that they incur.

Based on customer satisfaction, does the value bundle need to be modified and redesigned? Are the assets and capabilities of the firm being leveraged for maximum sustainable profits? If the expected customer value cannot be delivered with the existing value-creating assets, then the firm has two choices. Either it acquires or outsources the required value-creating assets and capabilities, or it determines that the target market decision needs revisiting. These questions are posed as a frame for a customer-focused analysis of the value creation and delivery of the firm.

Managing Customer Interactions

The process of delivering value is a tricky and detail-rich exercise; it requires careful planning, using techniques such as blueprinting to visualize the entire customer experience. From the customer perspective, some service encounters are critical incidents requiring more attention than others. All service encounters must be staged for a customer-focused experience just as in the production of theater.

Why does Kimberly-Clark manage the discount retailer Costco's inventory of its diapers? The firm has a salesperson live near the Costco headquarters, and a data analyst responsible for overseeing stock at 155 Costco stores in the western United States. Similarly, Procter & Gamble stations 250 people near Wal-mart's headquarters in Bentonville, Arkansas. Large retailers are asking suppliers to more actively manage the movement of products from factory to retail store shelves. P&G estimates that stock-outs amount to 11 percent of an average retailer's annual sales.

When firms like Kimberly-Clark pay more attention to how its immediate customers—the retailers—create value to their customers, they demonstrate that they are being customer focused. In fact, the Kimberly-Clark salesperson passed on information on how customers place packages in their shopping cart that played into package design for diapers. Wayne Sanders, chairman and CEO of Kimberly-Clark, attributes this change to the information age.

Prior to the industrial revolution, a service orientation and the individual-to-individual interaction was the predominant mode of competitiveness. Assembly-line production distanced the firm from the customer due to the sheer number of customers and the physical distance between the customers and the firm brought about by the wonders of modern transportation. Manufacturing goods became the engine of individual and collective (national) economic growth.

Mechanization far outpaced services and replaced producer-customer interaction, relying instead on intermediary institutions to provide a specialized set of competencies that the producing firm lacked. Businesses lost sight of the customer. Now, information technology has brought this full circle, back to the customer.

We call it the information age because what has changed in our time is that new technology has revolutionized the way information is handled. Another equally significant revolution is the change in the customer's domain. Customers not only have access to more information on products and service offerings, they also have the ability to interact with the providers of products and services in ways not previously possible. Providers can also present enhancements to customer experiences from the functionalities presented by technology. Service providers must, however, also manage customer participation when they utilize technology.

When firms take advantage of online marketplaces, it might be necessary to make changes in organizational structure so that value creation and delivery processes are adjusted to the addition of the online delivery. Two key technologies underlie this information age technology phenomenon: the Internet and wireless communications. What customer access to these technologies has done is to bring customer interactions to a new level and to the front and centre in how a firm deals with the customer. These interactions are essentially service encounters with the customer.

Much has been said about the service encounter—customer interactions with the firm. In a way, all customer relationship management (CRM) solutions are basically technology support to ensure that the firm maximizes returns from customers by enabling customer-focused interactions. The service encounter is truly “where the rubber hits the road”—where the prospects of customer loyalty are materialized or lost. It is where promises made in advertising are honored or reneged on, and where expectations of customers are disappointed or met. It is where all the assets of the firm need to be brought to bear.

Service encounters with the customers are also laden with the challenges of a product that is produced and consumed in real time, where failures are bound to happen. When the firm designs the value creation process with the customer in mind, it will be prepared for all predictable eventualities. When the service fails, smart firms have smart processes, that recover and learn from the failure. They have service recovery and knowledge management processes in place. As firms compete more and more on services, the management of the customer interaction becomes critical to ensure superiority in customer value. As the core product is a commodity, and most facilitating services approach the commodity state, the competitiveness comes from how the customer is treated by the firm at each and every encounter. This discusses a method for designing the value delivery process with special attention paid to the service encounter and the critical incidents in the value creation and delivery process. A framework for designing the service encounter based on the theatrical metaphor is offered as a way to examine the customer focus of value creation and delivery.

The Ingredients of Customer Interactions

Analyzing customer interactions can be very rewarding. Amazon constantly tracks the reasons for every customer contact. It has made numerous changes to its value creation and delivery process based on customer input. The customer service function at Amazon is considered a research lab for ways to improve the Amazon customer experience. We can turn to the unique characteristics of services to obtain a clear understanding of what is involved in a customer interaction. Something intangible is always exchanged in the interaction (intangibility). Without a customer, there is no interaction and the separation of production and consumption is irrelevant (inseparability).

To conduct the interaction, the firm has the resources and infrastructure in place that “perish” when not utilized (perishability). Each interaction is unique (variability). From these characteristics, emerge situations that are challenges and opportunities typical to the service firm.

We need to keep these in mind as we design the process of creating and delivering customer value. At the most general level, all customer interactions occur in a certain place (or space), at a certain time, for a certain duration, between certain entities, in a certain manner for a certain purpose.

Consider these as ingredients in a customer interaction and categorize them into elements of structure, content, and process. When the customer interaction is mapped onto the consumption activity cycle, the objective of the interaction becomes the driving force behind the design of the interaction in terms of its structure, content, and process.

- *Structure* relates to who or what entities are involved in the interaction.
- *Content* relates to the subject, the task, and its significance in the interaction.
- *Process* relates to the sequence of steps in the interaction.

The primary decisions that would configure the structure of the interaction involve the nature of the interaction—what entity should represent the firm, should the interaction be face-to-face or not, what technology can be utilized, where should it occur, and so forth.

As a complementary question about the customer: What entities from the customer’s domain are involved in the interaction? Similarly, decisions determining the content of the interaction should centre around the task and include what information should be required in the interaction, what should transpire between the parties, and what value should be created and consumed in the interaction.

Decisions about process would include a script of the interaction and the roles of both parties in the interaction. Any of these decisions must be based on the information that the firm has about the customer’s consumption cycle and on preferences regarding these dimensions of the interaction. For example, technology may provide the firm with scale economies, but the customer may want to disengage from the script and interact with a person instead. Ultimately, the important question is what value is being created in the interaction.

THE VALUE CREATION AND DELIVERY PROCESS

As, the execution of the product concept as the delivery of the product involves a process, a sequence of activities. Therefore, designing the product must necessarily include a design of the delivery process. Lynn Shostack proposed a technique called “blueprinting” to detail the process design in the delivery of services. The service blueprint is a map or flowchart as a visual representation of the process of service delivery.

Essentially, the blueprint design is diagramed in three steps. In the first step, all types of customer interactions with the firm are listed. Next, these interactions are arranged in sequence of occurrence. In the final step, processes within the firm that are required to create and provide each customer interaction are mapped. How and what information, materials, facilities and equipment, and people are processed must be included in the service blueprint.

The customer-focused blueprint is one that is designed with the customer in mind. With the activities in the customer’s consumption cycle in mind, processes within the firm need to be designed in such a way that the desired value added in the solution is reflected at each and every encounter with the customer. Commerce Bancorp, for example, encourages its employees to make suggestions in streamlining the service delivery process. Commerce Bancorp employees receive a fifty-dollar reward for finding something about a process that does not contribute to customer value and instead is an impediment to serving the customer; the bank immediately adjusts its operations.

Even as a simple representation of the value creation and delivery process, the service blueprint has a variety of important strategic, analytical, and diagnostic uses. In designing the delivery of the product, it can be used to determine the uniqueness of the service process. When compared with competitive blueprints, where and at which points in the process the firm derives its competitive advantage and superiority in customer value become evident. Thus, the service blueprint can be used in a strategic analysis of the differentiating features and benefits of the service delivered by the firm. Only with such comparative analysis of the service blueprint is it possible to ensure that the value creation and delivery processes are commensurate with the superior customer value planned in the product concept and operations design.

The service blueprint has two major dimensions that characterize the nature and scope of the service delivery process: complexity and divergence. The complexity dimension reflects the number of steps or activities in the process. A highly complex service process has a great variety of activities during the series of customer interactions. Some of these activities occur in the front stage and some in the back stage, away from the customer’s view.

A so-called line of visibility determines what the customer sees or does not see. The customer-focused firm will need to examine everything that the customer sees and experiences to determine whether the service delivery at the service encounter is contributing to or detracting from customer value.

The divergence dimension reflects the degree of flexibility at each customer interaction. The greater the divergence, the greater the customization built into the service—the greater the number of options the customer is given to choose from at each interaction. Therefore, supplementary product benefits such as customization must be mapped into the service delivery process.

Complexity and divergence decisions will determine the position of the firm's offering compared to competitive offerings. Competitive blueprints can be compared to determine how competitive value bundles differ from each other. It becomes clear that the positioning of each competitive offering is reflected in the service blueprints.

The patient experience is very carefully orchestrated to support the entire concept of the "Shouldice Method." The surgical procedure itself is probably the least sophisticated element of the whole process. The recovery process is more important than the surgery. Every step in the blueprint is designed for a speedy recovery and an overall "enjoyable" experience—despite the anxiety and pain of the surgery. The method is known for a very low recurrence rate and high customer satisfaction. The hospital even has patient reunion parties each year that are sometimes attended by as many as a thousand former patients.

For this service, its critical steps are not in the surgical procedure but in the recovery process and the total customer experience. All customer interactions depicted in the blueprint are not of equal importance in terms of criticality toward customer value—some are more important to the customer than others. It is imperative that the firm employ its knowledge of customer expectations so that the critical interactions are highlighted for priority when allocating resources of the firm.

This is the primary application of the blueprint technique. Jan Carlson, CEO of the SAS airline, popularized the notion of the "moment of truth" in services.

While each customer interaction is a moment of truth, those product features and customer encounters with the firm that are considered critical to the satisfaction of the customer are considered *critical incidents*. The critical incident technique has been applied in the managing of services to understand what can make or break the customer's experience. The method was initially developed for the U.S. Air Force in simulations to help in cockpit design and pilot training.

A simple question to the customer soliciting a verbal description of what is stocked and well displayed and that the floor salespeople are presenting the product to the customer in the way Handspring had instructed them to do. Microsoft hands out a free Casio pocketPC to every sales rep who completes its training. These examples show an awareness that customer interactions at these intermediaries are failpoints and need to be monitored.

Critical incidents help in assigning the appropriate level of resources within the firm. Thus, the service blueprint is useful from a quality control perspective. Customer evaluations of a firm's service can be linked to specific customer encounters in the blueprints and all processes directly affecting or affected by the critical incidents must

be monitored for quality. Customer-focused quality control efforts can be focused on critical variables that can be controlled. Service recovery procedures must be designed into the process at these points.

Interactive technologies provided by the information age revolution are now an integral part of the design of the value creation and delivery process. These technologies work through the three primary productive components of customer value—the people, the infrastructure in facilities and equipment, and processes and systems of value creation and delivery.

Consider all the ways in which the customer can interact with a firm. Each touch-point can be made by the converging technologies of today. For example, in some interactions the location of either buyer or seller becomes irrelevant.

Customers can interact by wireless or wired means, which can be by voice, video, or text, initiated by either party; they are constantly getting cheaper and better in features and functionality. The basic difficulty with any of this newer interactive technology is that the objective and role of the technology can be lost sight of and the technology itself become the focus. The final measure is whether the technology is contributing toward sustainable profits for the firm by improving customer value.

The benefits of interactive technology come in the form of efficiency and efficacy. Efficiency is reflected in increasing productivity and efficacy is reflected in improved customer value. Both of these outcomes contribute to the bottom line of the firm. For a firm competing on service, interactive technology is critical to sustain profits because of what it can do to customer value.

Maximize the return from interactive technologies by deploying it at the critical points; prioritized by its customer value-creating power. For example, a common source of dissatisfaction and irritation to the customer is the length of waiting time before being served. Any point in the process where there is likely to be a wait is a potential critical incident requiring the firm's express attention. If there are interactive technologies that can be used to effectively manage the customer in these situations, customer value is not threatened.

The Problem of Waiting Time

All the service components in the total product, being susceptible to the inherent characteristic of being produced and consumed in real time, force customers to the experience of "wait." As, demand and supply need to be matched as closely as possible. To avoid idle capacity, services adopt the queuing (and scheduling) approach to processing customers, resulting in a certain amount of wait before the process begins. In multi-stage processes, which many services are, in-process waits are common as well. The problem of course is that no one wants to wait.

Customers will wait for a certain amount of time that is reasonable to them as per their expectations. What is reasonable is a very subjective judgment, of course—one that requires analysis of the factors that determine the perception of waits.

Maister's work on the psychological cause and effects of wait suggests a way to reduce the negative consequences where wait is a given.

- Preprocess waits feel longer than in-process waits. Allow the customer to begin the process by completing the first step in the value delivery process.
- Unoccupied waits feel longer. Keep the customer in wait occupied with activities, preferably related to the product or service.
- Uncertain waits feel longer. Keep the customer informed about how long the expected wait is to likely to be.
- Unexplained waits feel longer. Keep the customer informed about why they are having to wait.
- Inequitable waits feel longer. Serve customer based on priority, determined by what is considered just in the ambient society.
- Value of the service. Ensure that the customer value you are providing is clearly superior to any alternative.

The most important common thread through all of these suggestions is that they all have to do with managing the customer perceptions. The firm is better placed if the customer perceptions can be influenced favourably by managing customer role and expectations in the value creation and delivery.

The Customer-focused Firm

To varying degrees, customers play a role in the production of products and not just in the consumption. Firms that realize this have paid serious attention to how the customer fits in the organization. In services, the role of the customer is abundantly evident. Customers engage in a coproduction role. In services or in the service component of the product, customers are coproducers in self-service configurations.

All services as we saw earlier involve some kind of customer participation, as in the case of providing required information to the tax preparer, for example. Even when placing the order with the provider, the customer is essentially contributing to the production of the product by providing input into product specifications.

When the customer is interacting with the firm and this interaction has some relevance to the production of the product, by definition we have the customer engaging in coproducing the product. Service firms instinctively manage the role of the customers in their participation in the service.

Restaurants have menus, professors have syllabi, airlines have their method of emplaning passengers according to a certain priority, etc. Sometimes managing customer roles may be in the form of a complementary service. For example, Universal is experimenting with a calming zone adjunct to its roller-coaster rides, for people who need help with coaster-phobia before they get on the ride.

UPS and other package delivery firms instinctively accommodate special customer requests as to where their packages should be deposited if the customer is not at the location of delivery. It is a matter of perspective. If we take the notion of value creation

a step further, we could argue that even in the case of packaged goods, the value hasn't really been created to the customer until the customer actually begins to use the product.

Value creation and value consumption are both inextricably interwoven into a continuous and overlapping set of activities. This is an important issue in a service orientation. In the case of services, customer interaction is a given. And the firm must include the customer in the design of its operations.

The customer-focused firm by always keeping the customer in central view manages the role of the customer in the value creation and the value consumption activities. For example, providing excellent product assembly instructions improves the value created for the customer in an "easy to assemble yourself" product.

Conversely, even with a well-engineered product, poor instructions reduce customer value. Recent product innovation studies have shown that some firms are equipping customers with the tools to design and develop their own products, ranging from minor modifications to major new innovations. PTC (formerly Parametric Technology) is a world leader in computer-assisted-design (CAD) technology, whose software solutions bring suppliers and customers together so that a client can use the software during product development to virtually interface with upstream and downstream players.

Ultimately, anything that the firm can do to manage the customer's role in the value creation as well as value consumption process is an imperative for the customer-focused firm. As mentioned earlier, Procter & Gamble is recruiting families to allow a team of their ethnographer-filmmakers to observe their daily routines to get a better sense for how their customers use household products.

The actual use situation says a lot about how a product should be designed. It would also be a way to learn how the customers should be instructed in the appropriate use of the product. How does a firm take a systematic approach to managing the customer? First, the firm identifies all the activities that the customer enacts in the value creation as well as value consumption blueprint. Next, the firm scripts the role for the customer at each activity. Firms then have to determine how best to communicate and educate the customer in playing the appropriate role. Customers' performance of their roles will depend on their ability and inclination to perform those roles. The consumer's ability will depend on consumption skills that the customer's past experience may have provided.

The customer's inclination will depend on the personal characteristics of the customer. Familiarity with the service and service provider could affect the ability and the inclination of the customer in the role performance. In the case of services and the service components of a product, customer role is managed by the service provider. The service provider's production skills and motivation could affect the way in which the service provider manages the customer's role.

The service provider's familiarity with the segment and the specific customer will influence the service provider's skills and motivation in managing the customer's role performance. The service provider's production skills are reflected in its operations

and customer interaction skills. The personal characteristics of the service provider can affect the service provider's motivation. When designing the service delivery process, it is important that the firm incorporate these factors on the customer's role performance.

Staging the Customer Interaction

The essence of customer-focused design of the value delivery process is in the design of the customer interactions that make up the blueprint. Customer interactions have gone by various names in research on services—service encounters and moments of truth, for example.

Designing the customer interaction requires analysis and decisions regarding three of the structural dimensions of the value delivery process: the process itself, the participants, and the physical facilities and equipment. Customer roles have to be defined so that customer participation can be designed into the delivery process as appropriate. One useful framework that has utility in managing customer interactions is to view service encounters metaphorically as “drama.” When firms and customers interact, firms try to put on the best performance—like theater. The firm's *actors* perform their roles for the *audience*, the customer. In any service, there are actors and audiences involved in producing *performances* in a *setting*.

For example, restaurant customers are audiences with hosts and waitstaff as actors in the physical setting of the restaurant. Just as in theatrical production, there is a stage (the dining area) and a backstage (the kitchen); there are acts (welcome and seating, appetizers, main course, and dessert), scripts (menu and specials), props (menu card and table setting), and costumes.

Each element is carefully choreographed to produce the intended impression on the audience. Any service provider can examine each of these elements and determine the exact impression that would be appropriate for each customer segment. The “drive-thru” or take-out type of fast-food restaurant confronts different impression management challenges compared to the sit-down type of restaurant.

Different types of services would require a different combination of these theatrical elements for the desired impression. Services rendered at arm's length over the telephone or by mail, such as in investment brokerage services or credit card services, would see these elements differently from the face-to-face setting of hotels or airlines.

Internet “clicks” retailers would find a different set of issues compared to the “bricks” retailers. Hybrid retailers have to approach the issues differently for the two different settings. In some cases, the performance is shared by a number of customers, as in a restaurant or a hotel or airline where customers share many aspects of the firm's productive factors—employees, facilities, and equipment.

The setting dictates a shared product, and some aspects of the setting are visible (onstage) to the customer and some are invisible (backstage). Performers or actors (frontline employees) utilize scripts, costumes, and props in their performances. Every feature or theatrical element is carefully choreographed for the intended impression.

Therefore, just as in theater, managers can focus on impression management for customer-focused business activities. World-class service firms like Disney employ a service orientation profile (personality and skills) in their hiring; they call their employees the cast and carefully train them in both operations and customer interaction skills. Disney's "guests" are treated in a customer-focused manner evident in the culture, in the way the cast is empowered and motivated to provide customer-focused performances.

What is the type of setting where the customer value is delivered? There could be no interaction necessary with the value provider at certain phases in the consumption cycle, and there could be phases of physical, face-to-face interaction, or electronics-mediated interactions. At each interaction, the value provider must determine the line of visibility between onstage and backstage, what is or should be visible to the customer.

What is the process and duration of the various steps in the interaction, and what kinds of orientation must there be for the participants? What is the customer role in each setting, and are there other customers in shared experience? Ultimately, all of the theatrical elements need to be carefully directed and choreographed to provide the appropriate impression. *Servicescape* is a term that refers to the immediate physical and social environments containing a service experience, transaction, or event.

The servicescape plays a number of different roles such as packaging the value bundle, facilitating the value delivery activities, socializing the employee and the customer, and differentiating the product. Managers must understand which servicescape elements can be controlled for the desired behaviours from both employees and customers. The process of delivering the product must be analyzed, using techniques such as blueprinting and choreographing impressions on the customer. What is the role of each process in the value creation and delivery as seen by a firm with a customer focus? What should the structure and content of the process include by way of design?

What are the critical points in the process for its meeting customer needs and preferences? The firm should have in place metrics and customer-determined benchmarks that will trigger recovery procedures, anticipating that the firm will sometimes fail the customer. A boutique hotel set in the heart of downtown will win the race for new and repeat business with the help of customer-relationship management. Beating the competition is not an easy task in the highly competitive world. The Hotel Customer service always has been king at the room property known for unique amenities.

Using the theatrical metaphor, any impression that the actor, the audience, the setting, or the performance imparts must be examined and managed by the firm. The focus is on the effect each customer interaction or service encounter has on customer value from the customer's point of view. Customer-focused firms design the value creation and delivery process with the customer in mind.

Delivering Superior Customer Value

What characterizes firms that can provide *superior* customer value? To answer this question, we have ample evidence from research on such firms. Every firm in any

industry provides some customer value. The firm that provides superior customer value is the one that has a sustainable competitive advantage. Firms compete with each other on differentiable aspects of the total solution. If we can conceptualize that every product has parts that are commodities and parts that differentiate it from others, superior value is in the augmented product, not in the conceptual core.

For example, all airlines provide transportation from point A to point B. But the total solution includes aspects other than the physical transportation of the person itself, such as amenities on the airplane. A firm must seek opportunities to differentiate itself from the competition in ways that are meaningful and relevant to the customer. How do firms find opportunities to differentiate themselves in a way that it is sustainable?

Consider how CDW creates superior customer value. CDW is the leading B2B e-commerce firm selling technology equipment to small and medium-sized firms. Wall Street analysts claim that the firm uses a “clicks and people” strategy. Supposedly, their competitive advantage is superior customer service and lower customer acquisition costs. The firm’s Web site is tailored to each specific customer as a “custom extranet.” How are they able to sustain this competitive advantage? Their own chief financial officer, Harry Harczak, notes that retaining people is key. In his experience, the productivity difference between an employee who has been at the firm six months versus one there three years is a factor of six. CDW values employee commitment.

What are the generalizable characteristics of firms that create superior customer value? A team of Harvard Business School researchers set out to discover exactly this and concluded that successful firms such as BancOne, Intuit, Southwest Airlines, ServiceMaster, USAA, Taco Bell, and MCI made employees and customers paramount. These researchers modeled the findings from their case studies into a framework they called “the service profit chain.” Their cases provided data to establish powerful relationships between profitability, customer loyalty, and employee satisfaction, loyalty, and productivity. Evident in the whole model is the focus on the customer and the service orientation of satisfied employees, and the implications on investors and other stakeholders of the firm.

As firms focus on customer needs and become service oriented to deliver satisfaction, there are favourable ripple effects throughout the firm. Consistent delivery of customer satisfaction persuades customers to be loyal because perceived risk in buying a product from that firm is substantially reduced. When providers of solutions to customer needs are able to consistently deliver expected value, customers are more likely to be consistently satisfied. By way of their continued patronage, they become more valuable to the firm. When customers are loyal to the provider by choice, it is also in their best interest to support the provider because the prosperity and longevity of the provider is beneficial to the customer. Similarly, with regard to employees, research has shown that when employee satisfaction is high employees are more likely to be loyal to the company. When employee loyalty is high, employees are likely to be more productive and to be providing quality products and service.

Neither employees nor customers are likely to be loyal unless their expectations are met and they are satisfied. Therefore, customer satisfaction and employee satisfaction are inherently tied to each other, in that, when employees are loyal to the firm, they provide superior performances driving customer loyalty. When employees are productive and customer loyalty is high, the firm is successful and can command a premium.

With increased profitability and growth prospects, investors are attracted to the firm, which in turn makes more resources available to the firm. With more resources available to the firm, capital is available to continuously improve value-creating assets (people and processes) and to produce consistently superior customer value in its products and service. This sequence of events, presented as the “loyalty circle”, contributes to profitability and growth and requires that people and processes are aligned to deliver superior customer value. Delivering superior value should be a relentless endeavor for the firm.

6

E-Business Strategy Management

At Pricewater house Coopers, we have identified four evolutionary stages for adopting an e-business strategy relevant for all industries, including higher education: presence, integration, transformation, and convergence.

ORGANIZATIONAL AND MANAGEMENT CHANGE IN THE E-BUSINESS ERA

The commercialization of the Internet has given rise to a range of new business concepts, and the popular imagination has been captured by the rise and fall of Internet start-ups - the dotcoms. This was particularly the case where the companies involved demonstrated new business models and offered customers novel value propositions.

The great 'e-Pioneers' are certainly worthy of attention and analysis. All businesses can learn much from their birth pangs and their experiences of the early days of the Internet era. But for most companies, online operations are not matters of innovation from scratch, but of organizational change and adaptation - even corporate transformation. As Kalakota and Robinson note. 'In the e-business world, companies must anticipate the need for transformation and be ready to re-examine their organisations to the core' (1999:8).

Quite apart from the dotcom saga, the Internet continues to have an enormous impact on established organizations. It is affecting how they operate and how they do business; it provides new opportunities for businesses of all sizes and has created a new sales channel. The ever-increasing scope of e-business change. Furthermore, even such radical restructuring cannot be regarded as just a one-off activity. As Butler *et al.* (1999) state,

the network technologies that support this are built on silicon - i.e. *sand* - and 'as the sand shifts so does an e-business'. In other words, companies have to be prepared to reorganize and restructure themselves continuously. For this reason, understanding how to manage change effectively becomes essential.

As Stroud notes, 'The benefits that the Internet is expected to deliver will not be realised unless a company adapts its organisational structure and methods to meet the radical new ways of working that this new technology makes possible'.

It is worth noting, however, that some companies have embraced the need for change perhaps *too* enthusiastically. One manager of a software company remarked, 'We start to get worried if change is not taking place every week even; the question is, will we get left behind?'

We must change something. But often it's change for change's sake' (private conversation). At the other end of the scale, some companies remain reluctant to grapple with the opportunities offered by the Internet. In a piece of research conducted by Jupiter Communications in 2000, only 24 per cent of the US CEOs surveyed actually viewed their Web initiatives as an integrated part of their core business.

The US experience, according to Cohan, is that companies generally fall into two broad camps with their e-Initiatives: being 'self-reinventing' in order to maintain market leadership, or else 'change-avoiding' by persevering with existing ways of doing business. As the Jupiter study implies, the self-reinventors are still in the minority, but these companies, according to Cohan, have the following characteristics:

- They believe it is better to attack their existing business models than allow competitors to do so.
- They are led by CEOs who are very concerned about keeping competitors from gaining access to their customers.
- Their CEOs have a financial incentive to reinvent the company in order to sustain rapid profit growth.
- Their CEOs are personally open to learning more about e-Commerce if that is what is necessary to maintain the strategic initiative in the industry.

Similarly, Siegel recommends that in developing e-Business strategies, self-reinventors spend time sharpening the 'big questions'. These include:

- Which business areas are we open to exploring, and which are we going to avoid?
- Which parts of our business are going online fastest?
- What changes do we expect from competitors?
- Which start-ups are going to put us out of business?
- Which of our competitors would make good partners?

These questions suggest a radical or transformational view of e-Business-related change, rather than an incremental one. This has major implications so far as the process of change management is concerned, as well as the likely successes and difficulties it will involve.

BARRIERS TO CHANGE

It is worth reporting here the recent findings of Rosabeth Moss Kanter, who undertook a survey of 785 companies to investigate the barriers to e-Business change.

The results are listed below in overall descending order of importance from 1 (most important) to 17 (least important).

Bear in mind that companies more than 20 years old face fewer marketplace and technology barriers than younger ones do, but they face many more internal barriers - from decision-making uncertainty to divisional rivalries.

- The unit does not have staff with adequate technical or Web-specific skills.
- Customers and key markets do not want to change their behaviour.
- There are more important projects that require existing resources and time.
- Technology and tools are inadequate, unavailable or unreliable.
- It is hard to find the right partners to work with.
- Suppliers are not co-operative or not ready for e-Business.
- Employees are not comfortable with change.
- Leaders are not sure where to begin: they do not understand how to make the right choices.
- Top executives do not personally use computers and are not personally familiar with the Internet.
- Rivalries or conflicts between internal divisions get in the way.
- It is hard to find the capital for new investment.
- Managers fear a loss of status or privileged positions.
- Employees fear loss of jobs, or unions and employee groups fear loss of membership.
- Government rules and regulations get in the way.
- The company is successful as it is: leaders see no need for change.
- The company had a bad previous experience with new technology.
- It is a waste of time or money: it is not relevant to the business.

It is evident that there are a number of difficulties in implementing the intellectual, cultural and structural shifts necessary to succeed in a much more interactive business environment that requires a diverse range of skills. Drobik notes that 'organisations need to wake up to the complications of being an e-business', but he claims that one of the biggest mistakes organisations make when implementing an e-business strategy is that they 'completely redesign the business in order to become an e-business'. In other words, organisations cannot simply 'switch' to e-business. He explains that success depends on 'mix management' - a mix in which traditional and e-business models coexist, which supports the central theme of this book.

A FRAMEWORK FOR IMPLEMENTING CHANGE

If we bear the above discussion in mind, the implementation of a change project such as the development of a new online sales channel can be summarized as follows:

- Definition and initiation phase
- Clarify goals:
 - What should the project achieve?
 - What are the priorities?
- Identify risks and constraints:
 - What resources and time are available?
 - What might go wrong?
- Work out project assumptions.
- Build the project team.
- Planning phase:
 - What needs to be done?
 - What are the tasks that make up the project?
 - What are the task-dependencies and critical paths?
 - When must they be done?
 - What are the deadlines ?
 - When should we start/finish?
 - How should they be done?
 - With what equipment/techniques?
 - By which people/organizations?
 - What budgets should be allocated?
 - What responsibilities should be assigned?
- Execution and control phase:
 - Get started with a bang:
 - Build team spirit.
 - Symbolize the start.
 - Communicate the vision.
 - Set up the organization:
 - Establish lines of authority and responsibility.
 - Set up communication channels.
 - Clarify guidelines and procedures.
 - Keep things on schedule:
 - Monitor whether tasks are on time.
 - Solve problems or assign more resources.
 - Co-ordinate changes with other activities.
- Closing phase:
 - Decide on the formal end of the project.
 - Symbolize the ending.
 - Disband the team.
 - Undertake evaluation.
 - Establish review mechanisms.
 - Ensure that learning is shared and passed on.

PRESENCE

The first step to doing business on the Internet is to establish a presence there. Often called “electronic brochureware,” this presence usually describes your institution’s basic programs, courses, and services, and gives contact information.

Examples include on-line descriptions of purchasing procedures, on-line catalogues of campus information, and on-line syllabi and course information. At this stage, risks are small, and so are the likely bottom-line benefits. Nonetheless, this is an essential stage for experimenting, learning, and building commitment. Virtually all colleges and universities have reached this first stage because it is relatively simple to create and maintain a read-only file of programs, courses, and faculty for interested parties.

INTEGRATION

In the integration stage, an institution connects with its wider network of suppliers and students by extending its reach beyond institutional walls. At this stage, your institution will enable business functions through the Web—for example, by allowing students to register for courses on-line. In addition, you will use business-tobusiness links with procurement vendors, the Department of Education (for financial aid eligibility verification), funding agencies, research subcontractors, benefit administration vendors, and financial institutions.

Opportunities exist at this stage to realise efficiency and revolutionize customer service. However, challenges exist to integrate Web-based applications with legacy administrative information systems, provide prompt customer service, compete with nimble new entrants, and allocate resources to significant IT investments. Also, tax, legal, risk management, and audit issues loom larger as you begin to conduct real business on-line.

Typically in this stage, colleges and universities do the following:

- Begin offering on-line courses. The institution will experiment with technology-enabled and-mediated courses to test and improve processes for the development and delivery of on-line courses. The objectives will be to generate additional revenues, stay ahead of competitors, and gain feedback in an operational setting to test assumptions and help refine new process, organization, and technology designs prior to full-scale implementation.
- Provide on-line student services. Students will be able to go on-line to apply for admissions and financial aid, register for courses, monitor progress, check financial status and pay bills, select housing options, and e-mail faculty. Many institutions use packaged applications such as Campus Pipeline, MyBytes.com, or vendorprovided ERP system enhancements.
- Provide on-line alumni and development services. Webbased applications enable on-line pledge processing, payment processing (with an instantaneous e-mail receipt for acknowledgements), record updating, event registration and reply, and membership sign-up and renewal.

- Transform the procurement cycle. On-line market sites will dominate procurement, streamlining request-for-proposal processes and ordering and payment procedures. Procurement processes will be radically shortened, thereby reducing costs amid plentiful choices and more and better services. For a majority of purchases, staff and faculty will order directly from a Web-based market site that is integrated with the administrative system of the institution and the vendor. Information regarding established contracts—products, prices, usage, and so forth—will be immediately accessible and verifiable.
- Develop intricate links throughout the entire research administration process. Research-intensive colleges and universities will seamlessly share information with principal investigators, funding agencies, corporations (funding research and establishing technology transfer arrangements), clinical trial sites, subcontractors, and other constituents. This process will reduce costs, shorten cycle time, improve service, and become a required core competency for competing for federal and industry research dollars.

TRANSFORMATION

Process specialization and disaggregation of the value chain drive the transformation stage. With the e-business infrastructure in place, executives can focus on the job of delineating their core and noncore competencies.

E-business allows institutions to unbundle operations more easily, retaining only those components of the value chain where a competitive advantage exists. An institution in the industry transformation stage will outsource many of its noncore activities. Opportunities exist for your institution to identify and invest in activities that truly add value, exploit process excellence by selling to others, rebundle products and services, and create new entry barriers by developing superior knowledge of customer needs and wants. However, challenges exist since margins are squeezed and new entrants increase competition. And identifying and partnering with the best vendors may be impeded ultimately if the best vendors form exclusive arrangements with other institutions, leaving some institutions to choose among less-than-optimal partners. It is expected that at this stage, colleges and universities will do the following:

- Form strategic partnerships with vendors to complement expertise and resources. Although some institutions will develop and provide on-line services themselves, most institutions will select a partner for on-line procurement, student services, research administration, advancement, and distance learning. This disaggregation of the value chain will be met with some controversy and resistance on the part of various stakeholders, but the results—reduced costs, improved services, and heightened focus on core competencies—will prove beneficial to the higher education industry generally and to individual colleges and universities specifically. Narrowing margins and increasing competition will force even reluctant institutions to outsource many noncore processes.

- Develop a core competency in technology-mediated delivery of education. In many instances, distance education courses and programs will be developed and delivered by a separate organization (perhaps a for-profit entity in the form of a university.com subsidiary such as New York University, Columbia University, and the University of Nebraska have already done), freed from the confines of the traditional institution but supporting the institution-wide mission. Asynchronous options will allow students, not colleges, to determine the convenient time, place, and pace for education, ideal for lifelong learning. Students will be able to choose modules from a variety of providers, thereby enhancing consumer choice but intensifying competition.

CONVERGENCE

The fourth and final stage, convergence is about more than just the much-heralded coming together of consumer electronics, information technology, telecommunications, and e-business. Convergence leads to the blurring of market boundaries. For example, colleges and universities will soon be competing with training providers, publishers, software vendors, and entertainment providers as these industries converge into the learning industry.

Certainly opportunities exist to enter new markets with no baggage, exploit process skills (for example, superior customer skills), and exploit strong brand name, but challenges exist on how to maintain entry barriers for core businesses (that is, teaching and research) and where to focus the brand name. Colleges and universities will find themselves competing across industries and geography against the University of Phoenix, UNEXT.com, Harcourt Direct Learning, the Open University, and even the likes of Thomson Learning, Asymetrix, Microsoft U, and a multitude of accredited corporate universities.

E-BUSINESS STRATEGY

E-business strategy means more than just determining target markets and developing business plans describing the return on investment. It is a comprehensive view of your institution's e-business goals, expected outcomes, rationale, branding, marketing, and launch strategy.

The following sample diagnostic questions assess readiness:

- Do you have an electronic business strategy?
- Do key stakeholders buy in to the plan?
- Have you clearly defined the goal of your e-business strategy?
- Do you have a robust implementation plan for this strategy, including key milestones?
- Have you created a feedback loop and a time at which you will review the results and reevaluate the strategy? (Market conditions may change and may negate your strategy.)

- Have you developed strategic alliances or partnerships with any vendors for Web-based applications?
- Have you determined the return on investment of your strategy? Have you defined success and set clear milestones to gauge progress and considered your exit strategy should market conditions change?
- Have you developed your funding plan? Do you have a plan to recoup your initial investment?
- Have you developed your strategy based on information from current and prospective users? Are you building sites that meet their needs?
- Have you developed a brand for your institution and a corresponding process to maintain, protect, and strengthen this key asset?
- Have you developed a promotional campaign for your Web strategy?
- Have you adequately identified the downside risks? Do you have a plan to address them?

ORGANIZATION AND CAPABILITIES

E-business is far more than putting up a Web site and creating on-line processes. Each unit that implements e-business requires dramatic change. Often referred to as e-engineering, e-business means that organization structures change, new positions are created, roles and responsibilities are altered dramatically, and new ventures are launched. For many institutions, requisite skills are in short supply, and outsourcing arrangements are used to accelerate the transition to a new way of doing business.

The following sample diagnostic questions assess readiness:

- Do you have clearly identified business leaders and administrators responsible for e-business?
- Are the appropriate people in the organization responsible for electronic commerce?
- Have you appointed Web designers responsible for the appearance of your Internet applications?
- Have you communicated e-business roles and responsibilities across the entire institution?
- Can you be as entrepreneurial as you need to be?
- Can you move rapidly enough to achieve your goals within your stated time line?
- Have you appointed Web architects whose roles are to turn business requirements into a system design, capabilities for on-line transaction processing (for students, principle investigators, alumni, and vendors), and related services?
- Does the organization have access to appropriately qualified resources?
- Do you have a plan to retrain staff?
- Have you rethought your human resources performance and reward systems?

DELIVERY AND OPERATIONS

The IT support area in your organization will go through its own transformation as it supports your e-business initiatives. And not only will the roles of your IT professionals change, but new organizations will need to be developed to take on new quasi-IT tasks, such as converting content to on-line formats.

This area includes the following topics: backup and continuity planning, development of new content, content management, managing service providers, preventing systems failure, systems maintenance, Web site development and implementation, database administration, interfaces and messaging, network management, and service management. The following sample diagnostic questions assess readiness:

- Have you put in place a process for creation, publication, evaluation, and quality assurance of all Web content on an ongoing basis?
- Have you defined a uniform set of Web design principles for use across the institution that have been communicated to all schools, divisions, and departments and are used by all Web applications?
- Has your institution put in place backup systems that automatically allow access to your Web site should the primary system fail?

PROCESSES

E-business means e-engineering your processes. You cannot simply put your existing forms on-line. To take full advantage of the promise of Web-enabling existing processes, the underlying process must be completely rethought and dramatically changed. Linkages among existing systems need to be developed, support desks need to be implemented, upgrades need to be planned and executed, and controls need to be in place. The following sample diagnostic questions assess readiness:

- If you plan to offer full programs (degree or nondegree) over the Internet, do you have the supporting processes in place?
- Has your institution developed Web-based applications to provide enabled services and transactions over the Internet (for example, on-line applications, on-line registration, and on-line alumni pledges)? If so, have you developed the plan to change the process?
- Have you linked your new processes to your existing systems? Do these Internet-based applications feed data directly into your core administration (for example, student, financials, human resources, research, or advancement) without manual intervention?
- Do you have on-line links with suppliers for functions such as ordering goods and services, remitting payment, and submission of proposals or quotes?
- Do you use off-line methods to promote your Web site?
- Do you offer a customer help line that is available twenty-four hours a day, seven days a week, to assist customers with technical problems encountered while using your Web-based applications?

SYSTEMS AND TECHNOLOGY

E-business depends on adequate systems and technology infrastructure to support your objectives. The systems and technology area includes backend systems, front-end systems, middleware, and transaction processing, as well as an overarching IT strategic plan to update capabilities continually to meet your e-business requirements.

The following sample diagnostic questions assess readiness:

- Does your institution use accepted Internet standards for both internal and external systems?
- Have you assessed the current suitability of IT technical resources for e-business?
- Has your institution implemented automatic systems to check the consistency and quality of Web sites?
- Are the technologies being used to support e-commerce suitable and scalable?
- Are the current electronic delivery channels appropriate based on user preferences?
- Is the organization able to respond to and capitalize on rapid changes in underlying technologies and delivery channels?
- Are the e-commerce services implemented to minimize additional investment and duplicated business logic?

PERFORMANCE MANAGEMENT

You will need to establish and monitor tailored criteria by which to judge e-business effectiveness and to manage and improve your e-business initiatives. These should be linked to institutional objectives and priorities. Measures can be strategic (for example, student satisfaction, impact on learning outcomes, impact on research productivity), financial (for example, revenues generated, impact on process costs), or transactional (for example, Web site availability, user profile and usage).

The following sample diagnostic questions assess readiness:

- Have you already considered how you will monitor the success of your Internet-based services and functionality (for example, improved services, increased enrollments, reduced costs, reduced queues or cycle time for registration and other transactions, increased revenues)?
- Do you have a plan to collect and analyse information and data regularly (for example, feedback from students and business partners, press coverage, traffic, matching of achievements with original objectives of the Web site, improved communication with all stakeholders, and image)?
- From a user perspective, is the e-commerce service providing satisfactory service levels?
- Are service levels and usage monitored on a regular basis?
- Does the organization have in place a means to monitor and report on key performance indicators and the realization of business benefits?

SECURITY

E-business exposes your campus to new security risks: cybercrime, loss of data, and privacy concerns. Identifying and addressing security risks can mitigate these concerns and instill confidence for all of your campus constituents.

The following sample diagnostic questions assess readiness:

- Has your institution appointed a security officer responsible for e-business security?
- Have you established a set of security standards that have been communicated institution-wide?
- Have you implemented some form of authentication (for example, log-on IDs and passwords) to control access to sensitive areas of your Web site?
- Have you created controls (for example, firewalls) to protect the underlying network infrastructure and Internet connections?
- Have e-commerce projects adequately considered and addressed the implementation of security that is appropriate for the e-commerce solution?
- Has the organization taken reasonable steps to minimize the potential for a security breach?
- Have you implemented confidentiality and process integrity controls over your e-business application?

TAX AND LEGAL

Tax and legal issues related to e-business abound. Involving your legal department and soliciting the advice of tax consultants is an important part of planning for e-business. Failure to do so can result in unfortunate and unforeseen circumstances, even stopping a strategy in its tracks.

The following sample diagnostic questions assess readiness:

- If your organization generates any revenue from sales over the Internet, have these revenue sources been reviewed for exposure to unrelated business income tax (UBIT)?
- If your organization receives fees for providing any type of services over the Internet (such as Internet access, e-mail, or search services), have these activities been reviewed for exposure to UBIT?
- If your organization has any publications that appear on-line that include any type of advertising (such as advertisements, placards, running banners, and so forth), have these activities been reviewed for potential exposure to UBIT?
- If your organization's Web site has a chat room where users can participate in electronic discussions, are discussions monitored for content that could jeopardize your tax-exempt status, such as the endorsement of political candidates?
- Does the e-commerce system keep adequate legal and audit trails to support e-commerce transactions?

- Has a policy on intellectual property been developed that stipulates ownership of content and revenue sharing procedures?

HOW TO USE THIS DIAGNOSTIC TOOL

To use this diagnostic tool effectively, your institution must undertake the following activities:

- Answer questions honestly by involving relevant constituents
- Identify gaps in e-business readiness (based on questions to which the answers are no)
- Determine the root causes of the identified deficiencies
- Develop a plan and timetable to address deficiencies based on institution-wide objectives and internal capabilities

Achieving the promises of e-business requires successful navigation of a multitude of challenges. The pervasiveness of these challenges necessitates an institution-wide approach to assessing e-business readiness, identifying deficiencies, developing a strategic plan, and proceeding with implementation.

STRATEGIES FOR THE FUTURE

These opportunities presented by e-business preclude the option of waiting for the technologies to mature and the implications to become discernible and lucid. The rising popularity of the Internet, increasingly demanding customers and unrelenting expectations for expedited services, continuing cost constraints, and emerging opportunities for new revenues will compel colleges and universities to adopt an e-business strategy.

Institutions with a carefully constructed plan that considers institution-wide implications will substantially benefit from this transition. Others will be left to struggle and fret over why, where, how, and when to move into e-business, placing them at a competitive disadvantage for students, research grants, and contributions, in addition to hampering efforts to increase the effectiveness and efficiency of administrative processes.

To navigate the stages of an e-business strategy successfully, institutions must do more than just enable on-line transactions over the Web. Assessing your institution's readiness or developing a strategic plan for e-business must include an examination of a multitude of capabilities, not just an evaluation of the campus Web site. The multifaceted challenges that must be confronted to succeed in e-business span the entire institution, necessitating close coordination and dependencies among disparate organizational entities. This is the true challenge of doing e-business.

At Pricewaterhouse Coopers, we have identified eight areas in which preparedness is vital to exploit the opportunities presented by e-business:

- E-business strategy
- Organization and capabilities

- Delivery and operations
- Processes
- Systems and technology
- Performance management
- Security
- Tax and legal

In each of the eight areas, you will need to assess your institution's preparedness, identify gaps, and develop plans to optimize your institution's readiness and improve its ability to provide Internet-enabled services. Assessment of these categories can serve as an initial gauge of your institution's e-business readiness. In essence, such a diagnosis determines where your institution is deficient in its preparedness. Armed with this information, your institution will be sufficiently well informed to develop a strategic plan for e-business and a corresponding implementation plan, significantly improving the likelihood of success in the increasingly complex and competitive world of e-business.

LESSONS LEARNED

In developing this strategic plan for e-business, your institution should leverage its own experience and that of others in the higher education industry. Other industries such as financial services and retail companies (for example, e-Trade, Dell, Schwab, and Amazon. com) offer insights on the development and deployment of successful e-business strategies. Based on our experiences, we have identified five key lessons learned that higher education institutions should incorporate into their strategic planning process:

- Link e-business objectives to critical business issues. Your rationale for e-business should be aligned with your institutional mission, strategies, and priorities. Simply put, "e-business" will become all business. If your institution's strategic objectives are to raise academic quality, reduce costs, increase student quality, or improve student service, e-business initiatives should be undertaken in support of those institution-wide strategic objectives.
- Focus on e-business as a business-driven project. E-business is more than a technology initiative; its impact will be pervasive and should be viewed as a mission-critical undertaking. Brand issues are paramount. Accordingly, the project sponsorship for an e-business project should emanate from the president, provost, or executive vice president's office to ensure that sufficient importance and institution-wide perspective are embedded in this endeavor.
- Acknowledge that culture and change are more complicated than the technology. Once you have determined your e-business objectives (aligned as appropriate with your institution's strategic objectives) and designed the undertaking as a business-driven project, developing an effective change management plan is the next critical activity. Instituting the technology—the infrastructure, applications, or interfaces— is relatively straightforward, although resource intensive.

Processes, policies, and organization will likely undergo a transformation. To do so effectively requires a formal change management plan replete with frequent communication of key messages to a variety of constituents.

- Do not treat e-business as just a way to communicate with customers; it will change the way you operate. If you view e-business as simply an interface, you will miss transformation opportunities. E-business is more than just enabling on-line transactions. It will lead to the substitution of network-based technologies and processes for physical locations, manual processes, or other expediting functions that necessitate human attention or increase costs but do not add actual value. These technologies transform an institution by altering customer service models, enabling personalization of services, providing services at any time, and establishing new relationships with suppliers and other key constituents.
- Ensure that business units take ownership, but make sure that central leadership, coordination, and development are also priorities. In colleges and universities, it is likely that the admissions office has initiated discussion with on-line admissions application vendors, the registrar has spoken with Campus Pipeline or a similar vendor, the directors of purchasing and accounts payable are intrigued by Commerce One's solution, and the advancement office is considering Harris On-line. Although initiative at the business unit level is necessary, unmanaged activities will ultimately distract institutional focus and resources. These individual process-specific decisions must be made only after carefully considering institution-wide objectives and priorities.

THE ELECTRONIC INFORMATION ENVIRONMENT

The electronic information environment is an increasingly complex territory in which valuable resources can be found, but it is foreign to our usual senses. Many of the familiar problems and processes are found here but take a different form. What is our identity? What can we do here? How do we find resources? How do we traverse the environment with safety? How do we account for what we use? Do we share a common reference for time or place?

The foundation of the electronic information environment is the complex of interconnected networks (including our campus networks) known as the global Internet. Accessible from desktops both within our campuses and via the Internet are an ever growing variety of databases, information servers, vendors doing business via e-commerce, computational servers, and a panoply of applications programs from e-mail to collaborative systems based on interactive virtual reality. E-commerce is developing rapidly in many forms and will enable reliable transaction of institutional business as well as new opportunities for individuals.

Our helpers in traveling the information environment are client software and programs that interact with other electronic entities by means of well-defined

protocols. Just as in the analogue world, these protocols provide for successful interoperation among widely differing entities. The World Wide Web is an excellent example of this concept: the same set of complex text, graphics, audio, and video can be found and viewed on almost any modern computer regardless of what kind of computer might hold them.

One significant advantage of this layered approach to complex systems is that individual pieces of the environment can be built or replaced without affecting the rest of the infrastructure. Another advantage is that end-user platforms can be tailored to different user communities and application needs. This layered approach must guide us in the development of essential information environment support services.

Passports: The Authentication Service. The fundamental support service that will empower the network citizen is a universal, distributed, reliable, and robust digital credential system. Just as travelers must carry their passport when entering a different country, network citizens should carry a recognized credential when entering the electronic information environment. This credential, which can be validated by any service encountered, will ensure the authentic identity of the individual holding it.

Passports are recognized as authoritative around the world because the issuing authority is recognized by international treaty. So too should the network credential be recognized as authoritative so that network citizens can visit various sites and resources without having to resort to site-specific identification. Instead of an international treaty, there must be agreements among cooperating administrative domains to trust each other's credentials. Such agreements are based on understanding the methodology and management of the process for issuing the credentials.

The concept of a digital credential that refers to a single electronic identity is powerful because it can enable easy access to resources for the traveler. The credential itself may not carry much information about the individual, much as the traditional passport carries not much more than a picture, an address, and a passport number. However, that passport number can be the key to determining additional attributes about the holder. In an analogous way, the digital credential should have an identifier (e-ID) that is unique to the credential holder and can be used as a key to discovering further identity information.

Relying on a single credential is fraught with the potential for abuse if it is mishandled. Since e-IDs will let travelers into many places, they must be issued only with strong assurance that individuals are who they claim to be. Once the e-ID is issued, the holder must recognize that it is an extension of his or her personal identity, protect it carefully, and never lend it to another person.

Even with reliable credentials, it will be desirable in many cases for an individual to have several e-IDs to be used for different purposes. All individuals and their organizations must consider the potential impact of a compromise of the security of any e-ID. For example, the manager of an administrative computing system might have an e-ID that carries with it special privileges.

That e-ID should be used sparingly and only in conjunction with that system so that compromise of the more powerful e-ID would have consequences of a more limited scope and could be dealt with more readily. The system manager would use a less powerful e-ID when doing routine work, such as checking e-mail or writing reports.

An e-ID represents an assertion on the part of a registration authority that a known individual or entity is represented by that e-ID. If the registration authority is well designed and reliable, then services in cooperating administrative domains, or realms, can be comfortable accepting those externally registered e-IDs.

Thus, in the general case, the e-ID must indicate not only the individual but also the registration authority that issued the e-ID. Ultimately this concept could be extended to commercial registration authorities so that, for example, high school students registered with a local electronic notary might be able to use their own credential's e-IDs in submitting electronic applications for admission to a college or university.

Once a campus has a robust digital credential issuance and authentication service in place with reliable operational support, all of the important campus server applications should be adapted to use this system.

Parts of this process could take a long time since many applications are vendor supported and vendors are not yet responding to this broader vision. Until there is a well-established generalized authentication service, each server or application has little choice but to implement its own idiosyncratic method of authentication, and the network citizen must deal individually with each one encountered.

TICKETS AND PASSES: ATTRIBUTE AND ELIGIBILITY DATABASES

Eligibility, as distinct from authentication (which warrants the identity of a particular user), is an equally important support service in the electronic information environment. Eligibility helps define what network citizens may do or that to which they may gain access.

It may be based on a person's e-ID or on any set of attributes associated with that e-ID, such as the person's affiliation with or within the institution, role, or current status. Often it is desirable to separate authentication service from eligibility and attribute functions, and it may be desirable to support them on different servers.

Eligibility does not necessarily imply authorization. The network citizen may be eligible to gain access to a resource, but at the time access is requested, the service might be oversubscribed or otherwise unavailable. For example, holding an airplane ticket may not result in authorization to board that flight.

Authorization is a function of the service or application based on specific business rules. These rules might take into account a variety of factors in addition to the individual's identity, such as time of day, location of the individual, or the availability of resources. In the historical model of mainframe computing, authentication (often referred to as access control) and authorization were often closely linked. Authorization usually was determined by loose association of attributes with the user account identifier

(for example, “root” or “user, group, and other” in Unix systems) or by tables of authorized users. Since each system kept its own set of authorization data, management of these data in a consistent way across a large number of servers and client platforms was problematic, although a number of projects attempted to address aspects of this dilemma. Little thought was given to generalized information environment management mechanisms until the number of different systems and services began to grow dramatically.

Today we need generalized and scalable network-based mechanisms not only for authentication but also for eligibility and attribute information. As an example of how this might be provided, suppose the network citizen requests access to a restricted database. The database server can simply query a specified attribute server, supplying the network citizen’s e-ID, and receive information on the roles, affiliations, or other attributes defined for that individual. The database server then can apply a prescribed set of business rules to determine whether that particular network citizen is to be allowed access to the restricted data.

Suppose the network citizen’s affiliation with the institution is “full professor and dean of the college.” This might imply eligibility to view college budgetary data and approve spending plans and personnel actions, as well as to gain access to academic records and information.

The same person might also be appointed to a multicampus task force on student diversity and because of that affiliation be eligible to retrieve sensitive student ethnicity and gender data. A database server that returned roles and affiliations for any given institutional e-ID would make management of this type of generalized eligibility much easier. Such eligibility or affiliation data might be useful in transactions external to the institution as well. Appropriate individuals in any department could be given authority to submit electronic data interchange (EDI) purchase orders over the network, for example. A different set of individuals could have authority to approve payment of EDI-based invoices electronically. Workflow systems could identify individuals who need to be informed of such transactions for possible post-transaction audit.

Whereas administration of an attribute service should be hierarchical and coordinated centrally, responsibility for actual eligibility data with respect to any given service should be distributed to conform with campus management structure. This is primarily an administrative rather than a technical issue.

Suffice it to say that developing and managing a database service that combines all important attributes, roles, and affiliations and allows them to be managed by the office of record would provide important generality while maintaining the institution’s established administrative structure.

WHO’S THERE? THE DEMOGRAPHICS DATABASE SERVICE

One particularly vexing problem is the maintenance of accurate personal data, such as home address, campus office address, or preferred e-mail address. Today there are far too many different databases wherein the same data are entered, usually by different

individuals, from separate forms that must be filled out repetitively by the person who actually “owns” the information. For example, in many cases the same individual is both a student and an employee, which means that the same personal data often are maintained by entirely separate offices. Clearly it would be desirable to have a single comprehensive database of record that would hold information about all members of the campus community and in which personal data could be maintained by the relevant individual or appropriately designated staff.

With strong authentication and a well-designed attribute service, it would be possible to build such a demographics database system. It might well be combined with a basic eligibility service so that a single database system supports both. Fields within a record would have associated rules for access or updating.

All institutional applications that require use of personal data would use this comprehensive demographics database by either periodic downloading or indirect relational reference. In particular, on-line directory services for locating campus community members would use this authoritative database as their data source. Campus network citizens could be responsible for maintaining all of their own personal data and also could check on the completeness or accuracy of other attribute data, such as payroll title or salary, status toward a degree, or the parameters of their employee benefits.

MAPS AND GUIDEBOOKS: DIRECTORY SERVICES

Information services and resources abound on campuses and beyond. The community of users changes and moves about, and the topology of the network changes periodically. How does a network citizen find anyone else or any particular service or information?

The Domain Name Service was the first widespread directory service in support of the information environment. Other common directories exist today, such as directories of people and searchable databases of information resources. Many more kinds of maps and guidebooks are needed to serve the new and complex information resources we are deploying.

For example, the network citizen might want to find an on-line copy of Van Gogh’s *Child with Orange* and the nearest colour printer that she or he is eligible to use and that is capable of high-resolution, large-format printing. New resource location services must support more complex data and search strategies.

A well-managed set of directory servers and search engines for information objects will help the network citizen discover resources and navigate easily throughout the electronic information environment.

SAFE PASSAGE: ENCRYPTION AND DIGITAL SIGNATURES

Authentication and access control alone are not sufficient to guarantee safe passage throughout the electronic information environment. Passwords can be guessed or stolen, data can be monitored in transit, and identities sometimes can be forged. The strongest defence against these challenges involves the use of modern encryption

methods to ensure privacy of data transmission and create the digital equivalent of a pen-and-ink signature. Our networks are truly open systems, which is one of their strengths as well as a source of many vulnerabilities. Any transmission might be intercepted, and any data received might be questionable. Attacking computers on the Internet has become a rampant obsession among certain curious and occasionally antisocial groups.

Fortunately, modern encryption technology offers potential solutions for most of these concerns. Encryption of data while in transit can protect privacy as well as the confidentiality and integrity of data. The technology required to implement data encryption has become commonplace and should be considered for all administrative or other institutional business applications.

Encryption alone may not guarantee authenticity, however. We need the equivalent of a seal or at least a recognized signature associated with the contents of the document.

A digital signature must be some set of data that cannot be forged and that binds the contents of a digital document to a specific individual, role, or other entity. It must be something that only the signing entity could have created and must be verifiable by anyone in the electronic information environment.

Standards now exist for creating this type of digital signature using public key cryptography (PKC). Clearly digital signatures of this sort would enable a wide variety of institutional business to be transacted over the network with at least as reliable verification and auditability as we have now with paper forms and manual signatures.

A public key infrastructure (PKI) is critical to enabling the use of encryption and digital signatures. Fundamental to the PKI is a unique pair of very large prime numbers, generated for each credential holder, that are keys used for encryption and decryption of information. Software on the network citizen's workstation generates this pair of encryption keys and gives one of them (the "public" key) to the PKI certificate authority (CA).

The other key (the "private" key) is closely guarded by the network citizen. The CA stores the public key in a directory along with the PKI certificate. Upon request, the CA or directory server provides any registered user's public key to any application that needs it.

In addition to support of the local community, a CA must have a way to find other trusted CAs on other campuses or anywhere else in the electronic information environment. This ability is part of an overall PKI and may be implemented in a number of different ways.

The basis for trusting a traditional signature is either direct knowledge or the ability to look it up in an archive maintained by a trusted authority, such as a bank. In the digital world, trust must be established through preestablished contracts based on mutual understanding of business practices, the basis for registering individuals with the CA, and the viability of the cooperating CAs.

The resulting so-called web of trust must be scalable to millions of users in thousands of locations. This can be achieved through a hierarchical model wherein a community-based CA registers subordinate CAs after verifying their viability.

A consortium of college and university campuses, for example, could operate such a certificate authority and the associated services on behalf of its members. This CA in turn could register under national and international CAs to allow fully general and trustworthy access to verifiable public key directory servers anywhere in the world. A campus PKI with its root certificate authority also could register subordinate CAs for departments, the library, or special-purpose requirements.

Until and unless encryption mechanisms and support services are in use, no one should send anything of value or of a sensitive nature, such as a credit card number, over the data network.

SHARING LIMITED RESOURCES: LICENSE SERVERS

The network citizen is now equipped with the basic tools for verifying identity, invoking authority, and concluding transactions safely. These capabilities enable easy and appropriate access to a wide variety of resources within our electronic information environment.

Unfortunately, not all of those resources are without significant cost to the institution. A traditional library might hold five copies of a popular book or journal. Ideally this would be enough to meet the peak demand at any one time for this resource. It would not be economical to purchase one copy for every registered patron, yet we often provide software and other resources in this cost-inefficient way.

It is quite possible for software or other digital resources to be purchased by subscription, much like printed documents today. The cost of such a subscription would be based at least in part on the size of the simultaneous user community. For example, a physics department might purchase a subscription for twenty simultaneous “users” of a virtual physics laboratory software package.

During laboratory classes, the students make use of the software on computers located in the facility. In the evening, when doing homework, up to twenty students could make use of the same “subscription” to run the software on their own personal computer.

One way to enable this type of sharing of expensive resources is a network-based license server (NLS). The NLS serves as a clearinghouse to ensure conformance with the terms of the institution’s subscription. An early implementation of the NLS concept was available with the Apollo domain computers. Macintosh and PC versions of license servers offer similar capabilities.

Standardizing on an openly available NLS technology would enable publishers to develop products that could fit readily into our electronic information environment. A single NLS could moderate access to a wide variety of licensed resources, including databases and documents as well as software.

PAYING THE BILLS: AUTOMATED DEBIT THAND UNIFIED INVOICING

Much of the electronic information environment today is accessible without direct cost to the network citizen. However, as the real costs become significant, the campus may need to find efficient ways at least to account for the usage of expensive resources and possibly allocate some of the acquisition and support costs toward the end users. A building block that could help achieve this is an efficient network accounting server. Ultimately every member of the campus community, as defined in the campus's demographics database and corresponding eligibility servers, could have one or more "virtual accounts."

Transactions for services would be posted to a designated network accounting server using encrypted data flows. A wide variety of network citizen services, from print-on-demand syllabi to lunches and storehouse items, could be accounted for in this way.

The network citizen should expect a single statement each month describing all services used and any costs incurred anywhere within the institution. This might include transactions with external partners as well. Eventually this monthly accounting could result in an automated debit against an external financial service, much like debit cards are used today.

WHAT TIME IS IT? THE NETWORK TIME SERVER

It may not seem obvious but many of the services we are developing need to have a common frame of reference for time. Billing information, for example, must show accurately the date and approximate time of the transaction. Network management information often needs time stamps to be accurate to within a few milliseconds. Electronic postmark or notary services must have an auditable date and time guaranteed to be within a known degree of accuracy. Thus, an important element in the set of enabling services within our information environment is the network time server. Technologies in support of network time services exist today and are deployed on most campuses. However, not all of these are synchronized with each other or with a universal time standard, such as the National Institute of Standards and Technology broadcast standard time service. Even where synchronized network time servers exist, not all essential end systems can take advantage of them yet.

Campus information technology managers must understand the importance of this element of distributed systems and take appropriate steps to ensure integration of this service. Our network citizens may wish to set their own "electronic watch" from this service as well. Most modern workstations can be configured with automatic utilities to accomplish this.

E-COMMERCE SYSTEMS

The buying and selling of products and services over the Internet is termed 'online trading'. Online trading or e-Commerce is important to businesses because it provides

a flexible source of trading with customers, and with business partners. To enable online trading, companies need to combine existing computerized transaction processing systems and information systems with Internet and Web technology. Existing computerized systems, databases, and Internet and Web technology are the basic components of online trading and form the architecture of e-Commerce systems. Computer system architecture consists of hardware and software components that are configured in terms of the needs of organizations.

Companies connect computers to a LAN, WAN and the Internet, using TCP/ IP, based on client-server architecture, to share computer software, printers or scanners. Basic Internet tools such as e-mail, browsers, search engines and protocols such as file transfer protocol (FTP) and Telnet are combined to form the system architecture for e-Commerce.

The systems architecture for a company will depend on its trading activities. A retail company will have a different architecture from a manufacturing company or a service company. As a company changes and evolves its mission or objectives, its e-Commerce system architecture will need to change too. Alternatively, the stimulus to change may come from competitors who use the most modern e-Commerce technology.

INTERNET, E-COMMERCE SYSTEMS AND INFORMATION SYSTEMS

Some of the terms used to describe a company's involvement with the Internet are that it has 'an online presence' or it has 'a Web site'. Such terms hide the complex IT and IS that form the infrastructure that underpin e-Commerce systems.

An information system is the application of a computer to capture and process data to provide information for managers and executives for the purposes of decision making and management. A company will normally have various information systems, such as an airline reservation system or an inventory control system. These systems will be linked to a corporate database that stores relevant data, like product or customer details. A company's Web site is connected to such information systems and databases to provide the essential product or service information for customer and employee use.

Companies' existing client-server technology and its IS/IT infrastructure is connected to the Internet to form part of an e-Commerce architecture. The e-Commerce architecture is based on a company's business model, consisting of the basic logic of what it wants to produce or sell, how it will market it, how it defines its customers and other fundamental business issues. IT is combined with Internet technology to enable a company to personalize its service to a customer.

DATABASES

A computer database consists of records on specific items of interest, for example customers' contact details or the products they have bought. It is a collection of data that can be queried for specific purposes such as targeting a particular customer for

certain products. Databases are used to market products and services. This is termed *database marketing*. Databases are used to store data on the purchasing habits of customers and enable a company to develop a tailored relationship with its customers.

The data are then processed to provide tailored information on individual customers' preferences that are then sent information about products or services relevant to their current buying habits. Data-mining techniques are used to reprocess existing data in databases to extract previously unrealized information of potential commercial use.

E-COMMERCE SYSTEMS AND THE CUSTOMER

e-Commerce systems that interface with the customer need to be pragmatic. The selection and evaluation of Internet technology need to be appropriate to both the company's needs and the customer's ability to use the system. A good business model will assume that the customer has little interest in technology and avoid the technology trap. *Avoiding the technology trap.*

It is not user-friendly to use over-complex Internet and Web technology in e-Commerce systems. The technology needs to be appropriate to prevent prolonging the time it takes for customers' commands to be executed by the system.

WEB SITE EVALUATION SOFTWARE

It is possible to measure the popularity of a company's Web site using evaluation software that generates log files. Such log files record the number of visitors to the site or page impressions. They record which parts of the Web site are most popular, the times of the day people visit, record which search engines are being used by visitors and how long they spend on the site, known as the 'stickiness' of the site. These log files can subsequently be used to evaluate the performance of the site from a business perspective and the information can be used to make it easier for customers to make transactions.

INTERNET SERVICE PROVIDERS

A company wanting to trade over the Internet has to agree a contract with an Internet service provider (ISP). ISPs provide communication and hosting services for individuals and companies wanting to access the Internet. ISPs provide access to the Internet and enable Internet commerce by connecting individuals and companies to the Internet.

There are thousands of ISPs that a company can choose from, all of them providing domain name services and electronic mail. The two most popular ISPs are UUNET Technologies and AT&T World Net. Other organizations, like a bank with mainframe computers, may also act as an ISP.

ISPs also provide hosting services for Web sites by installing and operating the server computers and software for a company. The computers and software are located at the ISP's site. Transaction services such as payment systems or order capture and fulfilment are also provided by ISPs.

EXAMPLE OF E-COMMERCE ARCHITECTURE

The important considerations for designing e-Commerce architecture are the customer, the company, the company's existing information systems and how payment will be made. For example, a company with a Web site that includes an order form would need a Web server that can provide a catalogue, whose details would be retrieved from a catalogue database, and order form.

It would need to interface with an existing database to collect and record the order details entered by the customer. The payment might be transacted with a credit card whose details would be captured on the order form utilizing standard security features available on the Web.

This example shows that an e-Commerce system is composed of existing information systems, databases and Internet technology. Other sophisticated e-Commerce architectures are possible for companies that need distributed transaction processing. For example, the Open Buying Consortium (OBI) has proposed a system architecture consisting of six fundamental system components split into buy-side, the customer and sell-side activities. These components are: Browse, Request, Approve, Fill, Receive and Pay.

E-COMMERCE SECURITY TECHNOLOGY

The success of e-Commerce depends on the security of data like personal details and credit card numbers transmitted over the Internet. The domain name system Internet protocol that makes IP addresses readable by humans is insecure. Security measures need to be taken in e-Commerce systems to prevent compromising the systems. Some of these measures include building firewalls, incorporating cryptography and authentication, and using secure connections.

FIREWALL

A firewall is hardware and software that are used to secure a private computer network system from uninvited intruders. A firewall is used to control whether a client is permitted to connect to the private network it protects.

CRYPTOGRAPHY

Cryptography is a science that provides secure communication over vulnerable channels. Cryptography is fundamental to the success of the Internet and e-Commerce. Governments regulate cryptographic technology because of its importance to national security.

In cryptography a message, like a credit card number, is encrypted using a key and the encrypted message is transmitted. The receiver uses the key to decrypt the message and convert it back to its original form.

The basic elements of a cryptographic system are algorithms, protocols and key management. An example of key management is the secret-key encryption algorithms. These algorithms are 'secret' because only the receiver and sender know the secret key.

Cryptography is used to provide secure transmission of data over the Internet. Private data like credit card details or digital signatures are encrypted and then transmitted over the Internet.

Cryptography can keep a message secret and act as a gateway for identifying senders and receivers. It provides the secure electronic transaction technology for credit card transactions on the Internet.

AUTHENTICATION

Authentication procedures are used to establish the identity of an individual or another computer system. Authentication procedures can be hardware-or software-based. Authentication procedures make use of personal items of knowledge or possession such as secret names or birth dates. Good authentication systems make use of two-factor authentication, such as a place name and memorable date known to the user. Some banking systems make use of three-factor authentication before allowing customers to make online account transfers.

SECURE SOCKET LAYER

The secure socket layer (SSL) is a layer of security between the application and the transport protocol. The purpose of SSL is to enable secure and reliable data transmission and communication over the Internet. The SSL provides private connection, making use of encryption and secret-key cryptography.

Authentication in SSL is achieved using public-key cryptography, which consists of a private key that is never made public chosen by one participant in the data exchange, and a public key chosen by the other participant in the exchange. Either key may be used for encryption.

Reliability of data transmission is achieved by using secure hash functions like SHA or MD5. Secure hash functions check the integrity of a message. SSL is commonly used in e-Commerce systems.

E-COMMERCE CONTRACTS

Virtually all commercial transactions are undertaken in the setting of a legally binding contract. Indeed, without the presence of such a contract the parties would generally be unwilling to perform their obligations (such as the delivery of goods, the performance of a service or the payment of money) under the transaction.

Contracts provide certainty as to the obligations of each party and, more importantly, a guarantee of the right to sue the non-performing party for breach. The law of contract dates back centuries, and has equal application to an ecommerce transaction as an offline contract. But the nature of an e-commerce transaction gives rise to some special problems that do not arise offline:

- Formation of the contract — for each party to have confidence that the performance of its obligations will have legal effect, it is of vital importance

that the contract has actually been formed at the time of that performance. In the offline world the existence of a contract can be evidenced in many ways — such as a signature on a printed order form or a note of a conversation — that are not available in the online world.

- Incorporation of contractual terms — commercial transactions take place under a set of contractual rules. Usually these rules are set out in written form and will apply to the contract by virtue of being ‘incorporated’ within it. In the offline world terms are included in a contract by agreement. There is a considerable body of caselaw that describes how and why such terms will be incorporated. That caselaw may not, and indeed in some cases cannot, apply to online transactions.
- Non face-to-face transactions — e-commerce transactions, by their definition, take place electronically. The advantage of this is that the parties do not need to be in each other’s presence at the time of formation of the contract. One disadvantage of this is that the law treats differently those contracts that are entered into between a business and a consumer ‘at a distance’ — the e-business must comply with a set of rules that do not generally apply to its offline competitors.

FORMATION OF A CONTRACT

It is generally well-known that a legally binding contract will arise where there is an offer to do something that is met by an unconditional acceptance of that offer. By way of example, where X offers to pay £250 for the delivery of a case of champagne to her home and Y agrees to perform that task for that sum of money, a contract is formed. To complicate matters, the law distinguishes an *offer* from an ‘invitation to treat’. An *invitation to treat* is something that might appear to be an offer, but in fact is not. An example is the display of goods in a shop window or on the shelf of a supermarket. It has long been decided that such displays are not offers and that therefore they cannot be ‘accepted’. This is the rule that prevents a customer from being able to force a shopkeeper to sell goods to him at the displayed price, even where that price is clearly erroneous.

Whilst in the offline world it is easy to determine when a particular communication is an offer or an invitation to treat, such a distinction is unclear in a virtual transaction. Argos recently felt the effect of this when it mistakenly advertised televisions on its website with a price tag of £2.99 instead of £299. When several people placed orders for the televisions Argos realised its mistake and refused to supply the televisions at the price advertised.

One ‘purchaser’ sued the company for failure to deliver on the contract that she said had been created. The case was settled before it reached trial so we do not know what the judge would have decided. Although we can speculate that, in English law at least, a website is probably an invitation to treat as opposed to an offer, it would be wise for e-businesses to make clear the status of pricing and other information on their sites.

INCORPORATION OF TERMS

Of central importance to the e-commerce transaction are the terms and conditions on which the contract is based and by which it is governed. An e-business will always wish to trade on those terms that are favourable to it.

For example, the business may wish to state that it is not to be held liable for late delivery of goods, or that its total liability for defective goods is to be limited to a certain monetary figure.

In most cases this will be done by the insertion of terms and conditions on the website and by making some reference to them during the contracting process. By completing the transaction the customers will effectively be binding themselves to those terms and conditions. For the reasons mentioned above it is important for the terms and conditions of trade to form part of the contract.

Without them we must rely on the 'default position' provided by the law and this is rarely ideal for a seller. The difficulty with e-commerce transactions is incorporating the terms into the contract is rarely a straightforward matter.

There are various techniques, such as those listed below:

- Click-through with acceptance — here the customer is required to click on a button which says, 'I accept' or similar. This is the best position for the e-commerce business because the acceptance by the customer is clear and traceable. However, there is a perception that customers may be 'put off' by the need for this formality.
- Click-through without acceptance — the customer is required to scroll through the conditions but there is no acceptance button. Here there will be, at the very least, implied acceptance by the customer if they continue with the transaction after having scrolled through the terms and conditions.
- Reference with link — here the customer is referred to terms and conditions of trade but not forced to scroll through them. However, there is a link that will take the customer to the terms should they wish to see them. This is not ideal but may amount to 'incorporation by reference' under English law — this has not yet been tested by the courts in the context of online transactions.
- Reference without link — there is a reference to terms and conditions of trade but they do not appear on the site. Again this is an attempt at incorporation by reference. It is the least satisfactory method and is unlikely to have the desired effect in an e-commerce transaction as there is no reason why the terms and conditions could not appear somewhere on the website.

The legal formalities for online trading are expected to grow. The European Union, for example, has recently proposed several new laws which will govern e-commerce in the future. With this in mind, businesses would be wise to adopt a policy of requiring those persons they contract with online to click an 'acceptance button' to demonstrate their assent to the terms and conditions displayed on the website.

UNFAIR TERMS

E-businesses must be aware that since 1999 certain terms in their contracts with consumers will be void, i.e. unenforceable and of no legal effect. The Unfair Terms in Consumer Contracts Regulations 1999 (S.I. 1999 No. 2083) apply, by definition, only to B2C contracts. For the purpose of the Regulations a 'consumer' is a person acting privately and not in the course of business. In contracts with such persons any unfair term is void. An 'unfair' term is one which, 'contrary to the requirements of good faith, causes a significant imbalance in the consumer's rights under the contract, to the detriment of the consumer'.

Examples of terms that would be regarded as unfair under the Regulations include:

- Allowing the business to change the characteristics of goods or services offered without recourse to the consumer; and
- Allowing the business to terminate the contract without reasonable notice of such termination being given to the consumer.

THE DISTANCE SELLING REGULATIONS

A consumer who purchases goods or services from an e-commerce business is protected to a greater degree than a business purchaser is. It is important therefore, at an early stage, to determine whether the e-business will engage in B2B or B2C transactions.

In many cases of course the e-business will wish to trade with both businesses and individual customers. Where the e-business anticipates that part of its customer base will be individual consumers, the so-called 'Distance Selling Regulations' become relevant.

The Consumer Protection (Distance Selling) Regulations 2000 came into force on 31 October 2000. They apply to contracts between a business and a consumer that are not 'face-to-face' e.g. contracts concluded by way of coupons in newspapers, 'teleshopping', and of course the Internet. The Regulations impose two main obligations on suppliers of goods or services.

The first is to provide certain information to the consumer. The second is to furnish the consumer with a 'cooling off' period of seven working days during which the consumer is able to return the goods to the e-business for a full refund. It is interesting to note that a recent survey of all 235 UK websites listed on Yahoo!, offering goods in the publishing, music and computer hardware sectors, found that 92% of the sites gave incomplete or incorrect advice on the right to withdraw. About half contained key contractual information that was not clear or prominent.

Most of those companies would be shocked to be informed that after each online sale has taken place the customer could contact the business at any time within three months and request the business to collect the goods from them. The e-business would then be required to refund the purchase price to the customer, whether or not it decided to collect the goods.

THE INFORMATION REQUIREMENTS

In most cases the ‘information requirements’ in the Distance Selling Regulations can be satisfied by posting the appropriate information online. Consumers must be provided with the information shown in the box below in a clear and comprehensible manner.

The consumer must also be informed of any intention by the supplier to provide substitute goods if the goods ordered are not available, and of the fact that the supplier will meet costs of return of such substitute goods by the consumer to the supplier in the event of cancellation.

THE COOLING-OFF PERIOD

The requirement of a ‘cooling-off’ period for distance contracts puts e-commerce businesses at a disadvantage when compared with their offline competitors. For a consumer to be legally entitled to return goods purchased in the offline world (for example in a shop) for a full refund, they must prove that there is some defect in the goods or that the goods are not of satisfactory quality. The Regulations however allow an online purchaser to return goods within seven working days for a full refund, without obliging the purchaser to furnish any reason for doing so.

As far as the cooling off period is concerned, consumers must be given a period of seven working days, from the day after *receipt* of the goods, in which to change their mind. During that period the consumer has the right to return the goods to the e-commerce business for a full refund. Crucially, if consumers are not informed of their right to cancel in this way, then the time period during which they have the right to cancel increases automatically to three months plus seven working days. Businesses should therefore be aware that their failure to inform consumers of the cooling-off period will effectively extend their potential liability to refund the purchase price by three months.

EXCLUDED CONTRACTS

The requirement to provide consumers with the above information, and to give a cooling-off period, does not apply to the following contracts:

- For the sale or other disposition of an interest in land except for a rental agreement
- For the construction of a building
- For financial services
- Contracts concluded by means of an automated vending machine
- Contracts concluded with a telecommunications operator by use of a public payphone
- Contracts concluded at an auction.

It should be remembered that the Distance Selling Regulations apply to contracts with consumers, but not to contracts with corporate and business customers. The information above must be stated clearly and concisely on the website — this may

mean some changes to existing sites. Additionally, the cooling-off period does not apply to bespoke or tailor-made products. Any attempt to exclude the operation of the Regulations will have no legal effect.

WEBSITE LINKING AGREEMENTS

To date operators of websites have provided links from their own sites to those of third parties with little thought for the legal consequences. Several legal actions in recent months have shown that this carefree attitude to linking is not good business practice. In one case, involving the website of a Scottish newspaper, an e-business was sued for providing a link to a page within the site of the newspaper.

This practice, known as deep linking, was challenged on the basis that it allowed users access to the site without being required to travel via the homepage — it was the homepage on which revenue-generating advertising appeared. In a case by Stepstone, the recruitment site, an injunction was obtained in early 2001 that forced OFiR, a Danish media company, to remove links to Stepstone's site. Recently a view has emerged that a link from one website to another could infringe the database right in the linked-to site.

In any event, it seems that there is an emerging right for e-commerce businesses to control how users experience their sites, and a growing willingness by the courts to recognise such a right. E-commerce businesses should therefore consider, in appropriate circumstances, putting in place a written contract that sets out the obligations of the parties to a linking agreement.

The contract should deal with the following issues:

- The link — consideration should be given as to how the link should be constructed, any technical requirements and where on the relevant web page the link should appear. If deep linking is to be allowed then the requirements and specifications for this should be set out. The contract should set out those circumstances in which the parties are able to sever the link.
- Intellectual property — even where a copy of part of the site is not made when the link is used (this would raise copyright issues), there may be use of the linked site's trade mark on the link itself. A licence to use all relevant Intellectual Property Rights should appear in the contract.
- Commission — sometimes the motivation for providing a link will be in receiving revenue as a result of users travelling to a third party site via the link. The commission arrangements should be clear in their terms — will commission be paid for example merely upon the site visit by a user or must the user first purchase goods from the site? There should be appropriate provisions for monitoring traffic such that commission can be verified and charged.
- Data protection — if there is to be a sharing of customer information between the linked sites then it must be clear that each site is to obtain the data protection consent of its customers for that transfer to be able to take place

- Database right — the contract should make it clear that the links envisaged by the agreement will not constitute infringement of the database right.

PRACTICES IN E-COMMERCE

Strong measurement practices form one of the cornerstones of good systems, particularly in e-commerce. Performance measures for e-commerce must overcome the uncertainty and unique dynamics associated with the Internet and must be more frequently adjusted in response to real-time information.

With these considerations, no company should simply extend its existing performance measures to an e-commerce venture. Still, long-term cost differentials must be balanced with other financial and nonfinancial measures and leading and lagging indicators that are particularly useful for successful e-commerce implementations.

The information systems of the 1990s gave CEOs a new method of accessing, analyzing, and reporting on the accountability of their organization. The systems developed during this time of advancement in information technology helped to create a more streamlined capability for centralized accountability. The variety of data made available to a company at that time ranged from corporate-level results to the small-scale measurements of performance that enabled management to recognize advantages and potential problems in real-time. E-Commerce transforms these capabilities.

Like the root system of a massive tree, IT accountability systems helped management reach and observe every aspect of their business. With the addition of e-commerce to a pre-existing IT accountability system, companies can simplify access to previously collected information for those within the company and for external stakeholders, including partners, customers, and investors. New information could be created and both financial and nonfinancial measures could be integrated into the decision-making process.

The information could also be easily and quickly aggregated and disaggregated to facilitate various decisions. Managers could now measure inputs, processes, outputs, and outcomes in ways never before possible. Cisco's new systems permit outsiders to view on its Web site not only its general business plan but also the company's performance statistics at any given moment.

Seamlessness between internal IT systems and e-commerce gives Cisco the ability to provide such information with relatively little effort. This transparency between internal and external systems also helped Cisco endure many of the pitfalls associated with the technology bust by expanding the role of e-commerce to replace human positions throughout the company.

But e-commerce can be used for more than simply replacing employees. Instead, the information made available through a well-developed e-commerce initiative can empower employees at every level of business. Improved measurement is a key component. Management receives information in a timely manner, which lets it act on up-to-date measures of performance, while lower-level employees can access

information at any time and take the initiative based on that information, with or without direct managerial direction. Among the most important aspects of e-commerce as it applies to system management and measurement is maintaining consistency across all company lines. A company implementing a new e-commerce solution should ensure consistency among accounting systems, information technology systems, and e-commerce systems and related measures. However, the implementation of an e-commerce solution also necessitates working to ensure compatibility between the systems of business partners using unified e-commerce solutions.

The uniquely advantageous relationship between Dell and its suppliers would not be possible without seamless internal and external systems that enable a free flow of information and measures between companies. E-commerce can facilitate consistency of information and measurements by cascading information throughout the organization and then externally to other stakeholders.

In addition to measuring the performance of the business, e-commerce brings added importance to measuring the value and functionality of operations. Most e-commerce strategies will have a strong operational component, including cost savings from value chain management and cuts in labour costs for the online channel. Operational measures should be tracked by some dedicated resource and balanced between financial and nonfinancial assessments of operational performance. This analysis can lead to a better understanding of the payoffs of investment in e-commerce initiatives.

CUSTOMER RELATIONSHIPS

Under traditional business models, it may be sufficient to offer customer service during normal business hours, either at physical locations or over the phone. E-commerce dramatically changes those expectations both in terms of company strategy and the customer's perspective.

Near-universal and constant customer service availability is expected for almost any viable e-commerce strategy. Companies must re-examine their customer service practices and make numerous key decisions in moving toward universal availability. Two of the main considerations are the distribution of response tasks between human and automated systems and the operating hours for human responses. Each of these include trade-offs among speed, cost, convenience, and efficiency. Most e-commerce ventures have developed some FAQ (frequently asked questions) function on their Web sites. This function may consist of rudimentary inquiries only or a highly sophisticated taxonomy of nearly every conceivable question. The nature of the offering and the Web site dictates how sophisticated the FAQs should be, but no company can exhaust the list of possible questions.

The challenge then becomes how to provide service to customers who are dissatisfied with the FAQs. A company may choose to provide immediate or delayed email support to customers or may offer a phone line for further inquiries. The company must weigh the value of instant response and satisfaction to the customer against the added costs

associated with phone banks or with rapid and 24/7 email response. Some pure-play companies like Half.com chose to keep the process entirely online and not offer phone service. For traditional companies, however, this strategy is more difficult, as it can inundate the traditional business phone lines with Internet inquiries. Delta Airlines, on the other hand, was able to reduce its phone volume and increase its status among elite customers by moving reservation information online while simultaneously implementing a wireless initiative.

Delta first identified such a programme as “nice to have” but not a necessity, but the company quickly recognized the appeal of wireless capabilities to its elite customers by providing quick access to vast amounts of information. Implementing this programme was not only a cost-saving move, but also a successful effort to appeal to customers who desired this level of functionality.

For companies that do provide phone service in addition to their FAQs and Internet support, a decision must be made on availability. Limiting phone support to normal business hours reduces some of the value added associated with the Web site. On the other hand, labour costs may not justify 24/7 phone service for industries that offer commodity goods. More technical industries, B2B companies, and companies with customized and personalized Internet-related offerings should carefully consider offering a 24/7 service.

Another aspect of customer service practices is the development and implementation of policies on shipping, delivery, and returns.

In particular, companies that use physical branches as part of a bricks-and-clicks strategy must not neglect proper training on the traditional commerce side necessary to facilitate e-commerce developments and service. Customer service representatives in physical branches must be thoroughly familiar with the Web site, its function, and its policies.

While e-commerce requires changes and enhancement to customer service policies, it also affords most companies excellent opportunities to refine marketing strategies, selling practices, pricing, and Web site design by observing customer behaviour.

Physical branches have more limited opportunities to collect customer data, particularly data from sites where customers can impart complaints or grievances.

When customers shop online, however, their every mouse click is potentially revealing and useful for future improvements in e-commerce service. Although these methods require substantial analysis, companies can draw strong implications and direction about customer behaviour from this data. Unused search results may indicate a problem with the search engine.

Aborted purchases may indicate that the checkout procedure is unclear or too time-consuming. Consistent nonpurchase of a product may indicate that more precise information is needed to inspire consumer confidence. Corporations must be willing and able to redesign their Web sites and refine customer processes based on the gathered information as well as direct feedback from the customers. Since convenience

is a prime source of competitive advantage, problems with customer service systems must be addressed immediately. Although shutting down the Web site is undesirable, important changes should be made by closing the site for a few hours in nonpeak time and by warning the customers in advance of this downtime.

Thus, to effectively manage and enhance customer service attributes,

- Companies with an Internet presence should provide any information that a customer might need while online.
- Corporate Web sites should incorporate some form of direct contact mechanism, whether it is as simple as a service phone number or as advanced as online chat capabilities.
- Companies should ensure that the Web site easily connects to any other aspect of the company service that a customer might need information about, ranging from traditional brick-and-mortar locations to shipping policies.

MEASURING E-COMMERCE

Measuring the value of electronically mediated business has become an important activity in its own right. Fraught with difficulty, it is one which has to date produced wide divergences in terms of predictions, many of them prepared by those with a material interest in promoting e-Commerce and e-Business. It is also one where the danger of double counting is most frequently encountered. One source of data is the University of Texas at Austin, where Barua *et al.* identify four levels of the 'Internet economy'.

- *Layer 1: The Internet infrastructure layer.* This includes trade in products and services that provide for the electronic infrastructure. It encompasses Internet backbone providers (e.g. Nortel Networks), Internet service providers (e.g. AOL), networking hardware and software (e.g. Cisco), PC and server manufacturers (e.g. Dell), security vendors (e.g. Norton) and fibre optic manufacturers (e.g. Corning).
- *Layer 2: The Internet applications layer.* This includes products and services that build upon the infrastructure layer and make it technologically feasible to undertake business activities online. Categories include all software applications such as browser and server software (e.g. Netscape, Microsoft), multimedia (e.g. Macromedia), Web building (e.g. Adobe), search engines (e.g. Google), databases (e.g. Oracle), on-line training (e.g. Assymetrix, ilearn.to) and consultancy (e.g. Scient).
- *Layer 3: The Internet intermediary layer.* Internet intermediaries seek to increase the efficiency of electronic markets by facilitating the meeting of buyers and sellers and their interaction. Categories include Web portals (e.g. Yahoo), brokerages (e.g. Schwab), content aggregators (e.g. ZDNet), market makers (e.g. IFX) and online advertising brokers (e.g. Doubleclick).
- *Layer 4: The Internet commerce layer.* This layer concentrates on Web-based commerce transactions. It includes the new 'e-tailers' (e.g. Amazon.com),

manufacturers (e.g. Dell), fee/subscription-based providers (e.g. Forrester) and online entertainment (e.g. AOL Time Warner) and professional services (e.g. KPMG).

This is a useful approach to measuring the Internet economy. The difficulty is untangling what is attributable to the 'new economy' and what is attributable to the 'old economy'. In fact, this example is as problematic as trying to separate out manufacturing from services: a common mistake among politicians and journalists.

There is also the problem of double counting. In national income accounting, each successive stage of production adds value to the previous stage. For example, coal is mined and then sold to make steel. Steel is made from the combination of coal, iron ore and lime. Steel is used in the production of, say, beams for buildings, which are manufactured and then sold to construction companies to be used in buildings which are then sold or leased to clients. At each stage in the production value is added.

The value of the coal, iron ore and lime is added to the net increase in value of the steel, what it is sold at less the cost of the material inputs. The value of the steel beams less the cost of the steel inputs is then added and finally the value of the buildings less the cost of the steel beams is added to produce final national income made up of the value added at each production stage. This method avoids double counting and it is this kind of approach that should be used in measuring the value of the Internet economy, notwithstanding the general problem of disentangling conventional economic transactions from those associated with the Internet. Although the taxonomy is a useful way to think about measuring the 'Internet economy', the necessary corrective. It shows that the contribution of B2B and B2C to national income was very small in 1999, just before the peak of the so-called productivity miracle in the United States.

The significant slowdown from the end of 2000 and subsequent recession in the United States, the fall-out from dot-bomb phenomena and events after 11 September 2001 show that the brave new world of the virtual economy was as susceptible to the business cycle and political shocks as the so-called old economy. In the words of Public Enemy, the US rap band, 'Don't believe the hype.'

DRIVERS AND BARRIERS FOR E-COMMERCE

TAKE-UP

The principal driver for the take up of e-Commerce is economic. If we accept what corporate forecasters such as Forrester and IDC predict, then more than 80 per cent of the growth of electronically mediated trade in the period 1999-2004 will be via B2B e-Commerce.

At root, this take-up is driven by transaction costs. As an example, banks feel that the cost of processing a financial transaction via the Web can be as little as 1 per cent of that performed at a branch using traditional paper methods. So once fixed costs such as equipment and telecommunication lines are found, the marginal cost of servicing transactions on the Web can be very low.

For a relatively small outlay, companies and individuals can hook up to the Web and access sites that are dispersed across the globe.

This fact has contributed to an explosion of infrastructural and service provision on the Internet and prompted many commentators to enthuse about the potential it holds for the traditional economics of location. Frances Cairncross (1998), for example, asserts that the communications revolution removes geographical boundaries to trade. 'No longer will location be key to most business decisions. Companies will locate any screen-based activity anywhere on the Earth, wherever they can find the best bargain of skills and productivity.'

However, though the Internet can facilitate market growth for individual companies, commentators point to more complex factors at work in terms of location. Pratt cites New York's 'Silicon Alley' as a cluster of software developers that could locate in a disaggregated manner if they wished but choose to retain close physical proximity.

Whatever the reasons for this and the nature of the particular business function, it suggests that commentators such as Cairncross are ignoring the potential value of social interaction and informal face-to-face networks that clustering might imply. In the case of the City of London, Europe's largest financial centre, large international financial institutions, law and accounting firms and business services providers seek to locate in close proximity.

The underlying logic is associated with external versions of economies of scale and scope. That is, the ability to explore large and different transactions in the same place. Other key factors are the ability to easily recruit specialist labour, access to informational and transport infrastructure and, perhaps more important, the development and sustaining of a powerful innovation environment in which new financial products are developed. Richard Sennett, the American sociologist, has pointed out that in an apparently global era, the leading international economic and business activities are still crowding into the world's major cities. Whatever the claims made for an imagined virtual future, place still matters to business and society.

The cost of computing power has declined over the past thirty years to such an extent that claims are made that the power of the multi-million-dollar mainframes supporting the Apollo mission to the moon at the end of the 1960s can now be contained within a desktop computer costing less than \$1,000.

The precipitous increase in the power of 'microchips' has followed a pattern first predicted by Gordon Moore, a co-founder of Intel, in 1965. 'Moore's law' reckoned that the power of chips would double at intervals of every eighteen months to two years. The effect has been that, in relative terms, the cost of ICT is now so low and its power so great that companies have little financial reason to avoid taking up Web-mediated business if they so wish.

Once installed, all that a user needs is an account with an Internet service provider (ISP). At the height of the dotcom boom, there were hundreds of ISPs on the UK market offering access to the Internet, and pricing reflected their relative quality of service.

GLOBALIZATION AND COMPETITION

Globalization has engendered as much debate about the new economy. For some, it represents a cleavage with the past. For others, the hype does not measure up to the reality and is merely a different version of the past, this difference being due almost entirely to the evolution of information and communications technology (ICT) and the subsequent speeding up of economic transactions.

Leaving aside the influences that pervade under the notion of 'global culture', economic globalization can be defined in the following way:

- The development of and access to markets, the organization of production, corporate decision making and consumer strategies on a global scale.
- Capital markets operating through electronic media twenty-four hours a day.
- The development of transnational corporations (TNCs) in which there is significant foreign ownership and whose board of directors has a large proportion of foreign members.

The reality is a little more mundane. The world appears to be made up of three large economic blocs, the Americas, Europe and East Asia, each accounting for around a third of the world's income, and the United States, Germany and Japan being the largest constituent national economies. If one looks at a mapping of Internet traffic, its volume and frequency tend to mirror telephone and airline traffic, the largest amounts being between the three largest economic blocs. Large parts of Asia, Africa, Latin America and Eastern Europe are bypassed. For these regions of the world, the 'digital divide' is more appropriate than the 'digital revolution'. It also suggests that the world's economy is characterized more by regionalism than by globalization.

What has afforded a more global perspective is the manner in which ICT developments, deregulation and liberalization have opened new markets and productions sites around the world. The general level of production costs has been lowered, and increased international take-overs and mergers by large corporations have generated large economies of scale and scope.

As a result, there has been a tendency towards the over-supply of goods, partly rendering a low inflationary environment and a much more intensively competitive environment. In such an environment, new modes of market access with the possibility of lower transaction costs, such as the Internet, have been beneficial to firms' international strategic position, at least in the short term.

The key issue for international firms' strategies is still the development of new business models arising from the development of technology rather than market change being driven by the technology itself. Like the proclamations of the new economy, globalization is long on promise and short on delivery.

POLITICAL IMPERATIVES

The political imperatives that both drive and arise from the prospect of the Internet economy are relatively easy to understand. Political cycles and the longevity of

politicians' careers tend to rest on achieving economic growth and full employment. Any prospect of short-cutting the achievement of these twin goals, for example by the evolution of the new or Internet economy, is often greeted with quasi-religious fervour. By also embracing the ideology of globalization the political elites can escape blame for any of the local social costs, whilst taking credit for the creation of local benefits in the form of inward investment, employment creation, innovation generation and so on.

Added to these aspects is the development of e-Government in which many of the public administration's operations could be transferred to online media.

In the United Kingdom, the government has set up the Office of the e-Envoy to encourage and develop e-Government activities. In the United States, the federal government's Office of Commerce has undertaken similar activities. In the European Union, politicians and business proponents have been arguing for the speeding up of further telecoms liberalization so that high-speed Internet access is provided directly to small and medium-size enterprises (SMEs) and individual subscribers.

An EU summit held at Lisbon in March 2000 created an over-ambitious timetable when Member States demanded that incumbent telcos should allow access to rival service providers from 1 January 2001. Incumbent telcos have been laggard in this. At the same summit, the UK Prime Minister, Tony Blair, boasted of the United Kingdom becoming the leading knowledge economy in the European Union by the end of the decade.

Apart from these examples, governments in general in the advanced economies account for about 40 per cent of national income. They are large purchasers of private goods and services, invest heavily in infrastructure and information systems and employ large numbers of people. They also initiate and underwrite big technology research and innovation programmes and projects under the rubric of building and sustaining the knowledge economy. Therefore, the political imperative driving the Internet economy is both concrete and abstract.

BARRIERS

Physically, before users can begin to address linking up to access the Internet via an internet service provider they must have a telephone line (or some other kind of communications link). In many economies, telecoms provision has increased significantly as the result of deregulatory policies that have seen competition introduced into telecom markets. Once physical connectivity is possible, you can begin to exchange electronic communications across a global network by virtue of an account with an ISP. Initial ISP hook-ups provided speeds of data transfer of nine kilobits per second (kbps) - or 9k - but successive jumps via 14k and 28k generations have seen the establishment of a 56k standard.

Computers work at a digital granularity with all messages and their modes of communication (text, audio, still and moving images) being decomposed into streams of noughts and ones. The telephone system though was originally designed for voice.

So, for data transfer to take place, computers were obliged to communicate via the network using sound. Thus the 56k modem converts a digital signal from the computer (composed of noughts and ones) into an analogue signal - sound - for delivery along the telephone system as a stream of sounds of two discrete pitches. The fact that further modem standards have not been developed is indicative of the apparent physical limit of 'acoustic coupling'.

While the demands of asynchronous communications such as e-mail, on-line chat and simple Web pages can be accommodated satisfactorily within 56k, such data transfer rates are not sufficient for synchronous communications such as video-conferencing or 'video on demand'. Thus wholly digital transfer technologies such as ISDN (128k) and ADSL (from 500k) have come into focus and are seen as the means of opening up multimedia - and hence e-Commerce - delivery to domestic premises and small firms. Such bandwidth had only been available to large companies using leased lines before this.

Though deregulation of telecoms markets had seen the development of digital communications in trunk networks, their extension to the 'last mile' of telecom networks (i.e. from local exchange to domestic or small firm premises) occurred only in the late 1990s. For competition to prevail, two physical developments must occur. At the exchange the physical unbundling of copper wires is required. This 'unbundling the local loop' allows digital equipment to be hooked up to individual lines by alternative telecom providers. At the domestic or small firm premises, the installation of a digital adaptor is required. However, political imperative has not led to the desired opening up of the local loop market, with ex-monopolist telcos such as BT and France Télécom failing to act with the speed the regulators envisaged. As a result, high-speed services are not as prevalent as proponents of e-Commerce desired.

With 20:20 hindsight, it seems clear that incumbent telcos would not vote for reductions in their revenue streams with gusto. In the United States, however, where unbundling began in the mid-1990s, the liberalized telephony and data services regime was to allow regional telcos to enter long-distance markets and permit long-distance telcos to enter the local loop market, so long as access could be gained to individual subscribers by any service provider. Purton (2001) observes that while US service providers were allowed to enter each other's markets in exchange for giving up exclusive service provision in their own markets, in the European market there had been no such *quid quo pro*.

Further comparison of US v. European markets shows that in the United States, subscribers pay a flat fee to their telecoms provider for line rental. After paying this fixed cost, there are no further charges for calls using local exchanges. In Europe, on the other hand, local market practice saw the establishment of per-minute charging on local networks from the 1960s onwards.

There is an impact on Internet use of 'unmetering' and 'metering'. Metering inhibits Internet use owing to the ongoing financial penalty of maintaining a presence on a line.

An unmetered approach promotes potential Internet use owing to a user's indifference to the quantity of time spent maintaining a presence on a line - at least in financial terms.

TECHNICAL PROBLEMS

The Internet protocol IPv4 was not designed either to handle very large numbers of unique addresses or the different levels of 'Quality of Service' (QoS) that different forms of media and hence e-Commerce require.

The Internet has become a victim of its own success, and it is assumed that all IPv4 addresses will be exhausted by the 2005-11 period (Pouffary 2001) if predictions about the total number of devices that will be attached become true. This includes extra fixed links such as printers, cookers and fridges and mobile links including 3G phones, vehicles, ships and planes.

Whereas businesses with the necessary resources can avoid traffic problems on the public switched telephone network by leasing telecom lines to guarantee QoS levels, the Internet works on a 'one size fits all' approach. Mathy *et al.* (2000) note that it was originally designed primarily to move files between computers.

For this there were no strict time requirements - termed *elastic* - and a 'best effort service' was adequate for the task of delivering e-mail and Web pages. However, applications such as video-conferencing are much more demanding and require on-demand, guaranteed and immediate delivery of data packets.

These have *inelastic* service requirements, and imply a more complex set of service quality attributes than IPv4 can offer. IPv6 has been designed, however, to allow service discrimination, and data packets are forwarded depending on their prioritization.

E-COMMERCE POLICY

There are bodies at international, regional and national levels that seek to promote the take-up of e-Commerce. The principal international bodies come under the auspices of the United Nations and include the World Trade Organization (WTO), the World Intellectual Property Organization (WIPO) and the United Nations Committee for International Trade and Law (UNCITRAL).

This latter body has drawn up the UNCITRAL Model Law for Electronic Commerce that supports the commercial use of international contracts in e-Commerce, and offers technical advice to governments on this.

The Model Law creates rules and norms validating the practice of electronic commerce, seeks to make electronic documents and signatures legal and supports the admission of electronic evidence into court proceedings and arbitration. At a European level, the European Union has drawn up a number of directives that aim to provide a legal framework for e-Commerce within the European Union. The member countries are obliged to follow these directives by creating new legislation in order to harmonize the legislative framework across the single market.

These directives include:

- *The Electronic Signatures Directive.* This defines the requirements for electronic signatures and their certification in order to ensure a minimum level of security in e-Commerce dealings. The United Kingdom passed the Electronic Communications Act in 2000 that amended in the region of 300 laws so that any reference to documents, writing and signatures would now include their electronic equivalents. However, to get this Act through Parliament, the UK government was obliged to remove controversial provisions on encryption keys. Public Key Cryptography has both public and private keys that allow the encryption and decryption of data and is seen as critical in the provision of secure e-Commerce transactions.
- *The Conditional Access Services Directive.* This aims to safeguard against the unauthorized use of conditional access services, and to make illegal, for example, technology that allows decryption of satellite television services when no contract exists with a service provider.
- *The Data Protection Directive.* This seeks to harmonize the rights of individuals and the obligations placed on organizations with regard to the use of 'personal data' gathered in e-Commerce activities. Additionally a prohibition was created on the export of such data to organizations in countries without similar provision. A potential problem that would have seen much of the trade between the European Union and the United States being deemed illegal was averted by use of a 'Safe Harbor Agreement' which sought to bring some level of accommodation in data protection terms between the two bodies. The United States places greater emphasis on the 'freedom of information' in its legislative framework and this comes into conflict with a European focus on the right of an individual to relative privacy. The United Kingdom's 1998 Data Protection Act updated the 1984 Act of the same name in line with this.
- *The Misleading Advertising Directive.* This seeks to prohibit the use of advertising on EU Web sites that is either misleading or likely to mislead consumers.
- *The Distance Selling Directive.* This seeks to protect those buying products or services on the Internet within the European Union, and to provide seven day 'cooling off periods' during which consumers may choose to withdraw from agreed transactions. The directive does not apply to financial services or a number of product types and services such as auctions or short-life products. In October 2000 this directive was mirrored in the United Kingdom when the Consumer Protection (Distance Selling) Regulations Act was brought into force.

7

Employment Relations and Performance Management

MANAGING EMPLOYEE PERFORMANCE – THE CYCLE

Overseeing performance and providing feedback is not an isolated event, focused in a performance assessment or evaluation. It is an ongoing process that takes place throughout the year. The Performance management process is a cycle, with discussions varying year-to-year based on changing objectives.

The cycle includes Planning, Checking-In, and Assessment.

- To begin the planning process, you and your employee review overall expectations, which includes collaborating on the development of performance objectives. Individual development goals are also updated. You then develop a performance plan that directs the employee's efforts toward achieving specific results to support organizational excellence and employee success.
- Goals and objectives are discussed throughout the year, during check-in meetings. This provides a framework to ensure employees achieve results through coaching and mutual feedback.
- At the end of the performance period, you assess the employee's performance against expected objectives, as well as the means used and behaviours demonstrated in achieving those objectives. Together, you establish new objectives for the next performance period.

PHASE I: PLANNING

Performance Expectations = Results + Actions & Behaviours

- Results are often measured through the use of *objectives* and *standards*
- Actions and Behaviours can be measured through the use of *performance dimensions*.

Written, verifiable mutually understood performance expectations:

- Serve as an objective basis for communicating about performance
- Enable the employee to differentiate between acceptable and unacceptable results
- Increase job satisfaction because employees know when tasks are performed well
- Inform new employees of your expectations about job performance
- Encourage an open and trusting relationship with employees

PERFORMANCE EXPECTATIONS = RESULTS + ACTIONS & BEHAVIOURS

To perform well, employees need to know what is expected of them. The starting point is an *up-to-date job description* that describes the essential functions, tasks, and responsibilities of the job. It also outlines the general areas of knowledge and skills required of the employee an employee to be successful in the job.

Performance expectations go beyond the job description. When you think about high quality on-the-job performance, you are really thinking about a range of expected job outcomes, such as

- What goods and services should the job produce?
- What impact should the work have on the organization?
- How do you expect the employee to act with clients, colleagues, and supervisors?
- What are the organizational values the employee must demonstrate?
- What are the processes, methods, or means the employee is expected to use?

In discussing performance expectations an employee should understand why the job exists, where it fits in the organization, and how the job's responsibilities link to organization and department objectives. The range of performance expectations can be broad but can generally be broken into two categories:

- *Results*: (The goods and services produced by an employee often measured by *objectives* or *standards*)
- *Actions & Behaviours*: (The methods and means used to make a product and the behaviours and values demonstrated during the process. Actions and Behaviours can be measured through *performance dimensions*.)

Performance expectations serve as a foundation for communicating about performance throughout the year. They also serve as the basis for assessing employee performance. When you and an employee set clear expectations about the results that must be achieved and the methods or approaches needed to achieve them, you establish a path for success.

S.M.A.R.T. Performance Objectives and Standards

Performance objectives and standards are two of the most common methods to define expected results. Both objectives and standards are most useful when, in addition to being written down and verifiable, they are:

- Specific
- Measurable
- Attainable
- Reasonable
- Timely

Specific – Objectives and standards should let employees know exactly which actions and results they are expected to accomplish.

Measurable – Whenever possible, objectives and standards should be based on quantitative measures such as direct counts, percentages, and ratios..

Attainable – The objective or standard should be achievable, but challenging.

Reasonable – An employee should be able to meet expected results with the resources available.

Timely – Results should be delivered within a time period that meets the department and organization's needs.

Objectives and standards identify baselines for measuring performance results. From performance objectives and standards, supervisors can provide specific feedback describing the gap between expected and actual performance.

EMPLOYEE RELATIONSHIPS IN A RECESSION

While it sounds good to build and maintain positive relationships with employees, priorities often get shifted during an economic downturn—and relationships with employees may suffer. “For the majority of leaders, their leadership performance is suffering right now,” Murphy says.

Some business owners are slacking simply because they can get away with it, as employees are just happy to have a job at the moment, Murphy says. Some others are dealing with such high personal stress levels that they are neglecting to give feedback or provide coaching and training. “They’re so stressed and frazzled that they’re forgetting some of the basics of leading a company,” Murphy says.

But the recession won’t last forever and those companies that survive recessions are the ones that continue to focus on developing high performers and keeping people engaged, Murphy says. “The best way to win in a recession is to keep employees’ chins up.”

Murphy’s research shows about 70 percent of companies that make positive progress during a recession will continue those gains after the recession is over.

The organizations that suffer during a recession “often maintain that suffering for a great deal of time after the recession is over,” he says, frequently due to increased turnover rates when the job market improves. “A recession shakes things up in the

marketplace and offers an opportunity to take market share. What if you're the one company that's able to motivate employees and keep them going while your competitors' employees are frozen in fear? This is your chance to win."

BRIDGE THE BOSS-EMPLOYEE GAP

Keep your company afloat through the recession—and ensure that employees will stick around when times get better—with some of the following strategies:

1. Nix double standards. Don't expect employees to follow your instructions if you don't follow the same instructions yourself. "You can't just sit back and not have the same standard for yourself as you have for your employees," Weatherwax says.
2. Share the work. Nothing widens the gap between employer and employee like doling out the "dirty work," such as asking employees to do something unethical or simply to work an unreasonable number of hours. To earn employees' respect, business owners, "should never ask an employee to do something that they would not be willing to do themselves," Darby says.
3. Make them laugh. Humour is proven to reduce stress and take the edge off of a tense conversation. "As the boss, you can set the tempo or the mood for the business day," Weatherwax says. "If you can have fun with your employees and joke with them, they'll have more fun and they'll joke with the customers too."
4. Enforce consequences. Whether it's rewarding good work or holding employees accountable for mistakes, enforcing consistent consequences helps workers know what to expect. "Sometimes in tough times we overlook bad behaviour and don't recognize the good work being done by high performers," Murphy says.

EMPLOYMENT CONTRACT

AUSTRALIA

In Australia there is the controversial Australian Workplace Agreement (Australian workplace agreements (AWAs) were formalised individual agreements negotiated by the boss and employee. Employers could offer "take it or leave it" AWAs as a condition of employment.

They were registered by the employment advocate and did not require a dispute resolution procedure. These agreements such as performance evaluations, operate only at the federal level. AWAs were individual written agreements on terms and conditions of employment between an employer and employee in Australia, under the *Workplace Relations Act 1996*. An AWA could override employment conditions in state or territory laws except for occupational health and safety, workers' compensation or training arrangements.

An AWA was required to meet only the most minimal Australian Fair Pay and Conditions Standard. Agreements were not required to include effective dispute resolution procedure, and could not include prohibited content. Agreements were for a maximum of five years; approved, promoted and registered by the Workplace Authority; operate to the exclusion of any award; and prohibit industrial action regarding details in the agreement for the life of the agreement. The introduction of the Australian Workplace Agreements was a controversial industrial relations issue in Australia.

During a Senate Estimates hearing on 29 May 2006, Peter McIlwain, Head of the Office of the Employment Advocate (OEA) detailed that from a sample of 4 per cent, or 250, of the total 6,263 AWAs lodged during April 2006 after WorkChoices was introduced, that: 100% of AWAs removed at least one protected Award condition; 64% of AWAs have removed annual leave loadings; 63% of AWAs have stripped out penalty rates; 52% of AWAs have cut out shift loadings; 40% of AWAs have dropped gazetted public holidays; and 16% of AWAs, have slashed all award conditions and only the Government's five minimum conditions are satisfied.). In March 2008 a bill was passed in the Austons for workers to be transferred from AWAs into intermediate agreements

CANADA

In the Canadian province of Ontario, formal complaints can be brought to the Ministry of Labour (Ontario) (The Ministry of Labour is responsible for labour issues in the Canadian province of Ontario. The Ministry of Labour and its agencies are responsible for employment equity and rights, occupational health and safety, and labour relations.. The ministry's three programme responsibilities are delivered from a head office in Toronto and 19 offices organized around four regions, centred in Ottawa, Hamilton, Sudbury and Toronto. As well, the ministry oversees the work of eight specialized agencies. The current Minister of Labour is Charles Sousa.). In the province of Quebec, grievances can be filed with the Commission des normes du travail.

PAKISTAN

Pakistan has Contract Labour, Minimum Wage and Provident Funds Acts. Contract labour in Pakistan must be paid minimum wage and certain facilities are to be provided to labour. However, a lot of work has yet to be done to fully implement the Acts.

INDIA

India has Contract Labour, Minimum Wage and Provident Funds Acts. Contract labour in India must be paid minimum wage and certain facilities are to be provided to labour. However, a lot of work has yet to be done to fully implement the Act.

PHILIPPINES

In the Philippines, private employment is regulated under the Labour Code of the Philippines (The Labour Code of the Philippines stands as the law governing employment

practices and labour relations in the Philippines. It was enacted on Labour day of 1974 by President Ferdinand Marcos, in the exercise of his then extant legislative powers.) by the Department of Labour and Employment. (The Philippines' Department of Labour and Employment (Filipino: *Kagawaran ng Paggawa at Empleyo*) (commonly abbreviated to "DOLE") is the executive department of the Philippine Government mandated to formulate policies, implement programmes and services, and serve as the policy-coordinating arm of the Executive Branch in the field of labour and employment. It is tasked with the enforcement of the provisions of the Labour Code.)

UNITED STATES

In the United States, the standard employment relationship is considered to be at-will, meaning that the employer and employee are both free to terminate the employment at any time and for any cause, or for no cause at all. However, if a termination of employment (Termination of employment is the end of an employee's duration with an employer. Depending on the case, the decision may be made by the employee, the employer, or mutually agreed upon by both.) by the employer is deemed unjust by the employee, there can be legal recourse to challenge such a termination. Unjust termination may include termination due to discrimination (Discrimination is the cognitive and sensory capacity or ability to see fine distinctions and perceive differences between objects, subjects, concepts and patterns, or possess exceptional development of the senses. Used in this way to identify exceptional discernment since the 17th century, the term began to be used as an expression of derogatory racial prejudice in the 1830s from Thomas D. Rice's performances as "Jim Crow").

Since the American Civil War the term 'discrimination' generally evolved in American English usage as an understanding of prejudicial treatment of an individual based solely on their race, later generalized as membership in a certain socially undesirable group or social category. Discernment has remained in British English as a term denoting elite status in perception and insight, often attributed to success in investment finance, or anyone with admirable choice in style, often high society leaders.

Discriminatory laws such as redlining exist in many countries. In some places, controversial attempts such as racial quotas have been used to redress negative effects of discrimination.) because of an individual's race, national origin, sex or gender, pregnancy, age, physical or mental disability, religion, or military status. Additional protections apply in some states, for instance in California unjust termination reasons include marital status, ancestry, sexual orientation or medical condition. Despite whatever agreement an employer makes with an employee for the employee's wages, an employee is entitled to certain minimum wages set by the federal government (A federal government is the common government of a federation. The structure of federal governments varies from institution to institution. Based on a broad definition of a basic federal political system, there are two or more levels of government that exist within an established territory and govern through common institutions with overlapping or shared powers as prescribed by a constitution.

Central government or union government is the government at the level of the sovereign state. Usual responsibilities of this level of government are maintaining national security and exercising international diplomacy, including the right to sign binding treaties. Basically, the central government has the power to make laws for the whole country, unlike the situation with local governments.

Central government-within this structure are the government ministries and departments and agencies to which the ministers of government are assigned. Central government also works alongside agencies to help with tax collection.). The states may set their own minimum wage that is higher than the federal government's to ensure a higher standard of living (Standard of living is generally measured by standards such as real (*i.e.* inflation adjusted) income per person and poverty rate. Other measures such as access and quality of health care, income growth inequality and educational standards are also used. Examples are access to certain goods (such as number of refrigerators per 1000 people), or measures of health such as life expectancy. It is the ease by which people living in a time or place are able to satisfy their needs and/or wants.

The idea of a 'standard' may be contrasted with the quality of life, which takes into account not only the material standard of living, but also other more intangible aspects that make up human life, such as leisure, safety, cultural resources, social life, physical health, environmental quality issues etc. More complex means of measuring well-being must be employed to make such judgments, and these are very often political, thus controversial. Even between two nations or societies that have similar material standards of living, quality of life factors may in fact make one of these places more attractive to a given individual or group.

However, there can be problems even with just using numerical averages to compare material standards of living, as opposed to, for instance, a Pareto index (a measure of the breadth of income or wealth distribution). Standards of living are perhaps inherently subjective. As an example, countries with a very small, very rich upper class and a very large, very poor lower class may have a high mean level of income, even though the majority of people have a low "standard of living". This mirrors the problem of poverty measurement, which also tends towards the relative. This illustrates how distribution of income can disguise the actual standard of living.

Likewise Country A, a perfectly socialist country with a planned economy with very low average per capita income would receive a higher score for having lower income inequality than Country B with a higher income inequality, even if the bottom of Country B's population distribution had a higher per capita income than Country A. Real examples of this include former East Germany compared to former West Germany or North Korea compared to South Korea. In each case, the socialist country has a low income discrepancy (and therefore would score high in that regard), but lower per capita incomes than a large majority of their neighbouring counterpart.

This can be avoided by using the measure of income at various percentiles of the population rather than a highly relative and controversial overall income inequality

measure.) or living wage for their residents. Under the Equal Pay Act of 1963 (The Equal Pay Act of 1963 is a United States federal law amending the Fair Labour Standards Act, aimed at abolishing wage disparity based on sex. It was signed into law on June 10, 1963 by John F. Kennedy as part of his New Frontier Programme.

In passing the bill, Congress denounces sex discrimination for the following reasons:

- It depresses wages and living standards for employees necessary for their health and efficiency;
- it prevents the maximum utilization of the available labour resources
- it tends to cause labour disputes, thereby burdening, affecting, and obstructing commerce;
- it burdens commerce and the free flow of goods in commerce; and
- it constitutes an unfair method of competition.

The law provides (in part) that: No employer having employees subject to any provisions of this section [section 206 of title 29 of the United States Code] shall discriminate, within any establishment in which such employees are employed, between employees on the basis of sex by paying wages to employees in such establishment at a rate less than the rate at which he pays wages to employees of the opposite sex in such establishment for equal work on jobs, the performance of which requires equal skill, effort, and responsibility, and which are performed under similar working conditions, except where such payment is made pursuant to

- A seniority system;
- A merit system;
- A system which measures earnings by quantity or quality of production; or
- A differential based on any other factor other than sex) an employer may not give different wages based on sex alone.

Employees are often contrasted with independent contractors (An independent contractor is a person, business, or corporation that provides goods or services to another entity under terms specified in a contract or within a verbal and physical agreement. Unlike an employee, an independent contractor does not work regularly for an employer but works as and when required, during which time he or she may be subject to the Law of Agency. Independent contractors are usually paid on a freelance basis. Contractors often work through a franchise, which they themselves own, or may work through an umbrella company.

In the United States, any company or organization engaged in a trade or business that pays more than \$600 to an independent contractor in one year is required to report this to the Internal Revenue Service (IRS) as well as to the contractor, using Form 1099-MISC. This form is merely a report of monies paid; independent contractors do not have income taxes withheld from their pay as regular employees do.), especially when there is dispute as to the worker's entitlement to have matching taxes paid, workers compensation (Workers' compensation (colloquially known as workers' comp in North America and compo in Australia) is a form of insurance that provides wage replacement

and medical benefits for employees who are injured in the course of employment, in exchange for mandatory relinquishment of the employee's right to sue his or her employer for the tort of negligence.

The tradeoff between assured, limited coverage and lack of recourse outside the worker compensation system is known as "the compensation bargain." While plans differ between jurisdictions, provision can be made for weekly payments in place of wages (functioning in this case as a form of disability insurance), compensation for economic loss (past and future), reimbursement or payment of medical and like expenses (functioning in this case as a form of health insurance), and benefits payable to the dependents of workers killed during employment (functioning in this case as a form of life insurance).

General damages for pain and suffering, and punitive damages for employer negligence, are generally not available in worker compensation plans, and negligence is generally not an issue in the case.

These laws were first enacted in Europe and Oceania, with the United States following shortly thereafter.), and unemployment insurance (Unemployment benefits are payments made by the state or other authorized bodies to unemployed people. Benefits may be based on a compulsory para-governmental insurance system. Depending on the jurisdiction and the status of the person, those sums may be small, covering only basic needs (thus a form of basic welfare), or may compensate the lost time proportionally to the previous earned salary. They often are part of a larger social security scheme. Unemployment benefits are generally given only to those registering as unemployed, and often on conditions ensuring that they seek work and do not currently have a job.

In some countries, a significant proportion of unemployment benefits are distributed by trade/labour unions, an arrangement known as the Ghent system.) benefits. However, in September 2009, the court case of *Brown v. J. Kaz, Inc.* ruled that independent contractors are regarded as employees for the purpose of discrimination laws (The Civil Rights Act of 1964 was a landmark piece of legislation in the United States that outlawed major forms of discrimination against blacks and women, including racial segregation.

It ended unequal application of voter registration requirements and racial segregation in schools, at the workplace and by facilities that served the general public ("public accommodations"). Powers given to enforce the act were initially weak, but were supplemented during later years. Congress asserted its authority to legislate under several different parts of the United States Constitution, principally its power to regulate interstate commerce under Article One (section 8), its duty to guarantee all citizens equal protection of the laws under the Fourteenth Amendment and its duty to protect voting rights under the Fifteenth Amendment.) if they work for the employer on a regular basis, and said employer directs the time, place, and manner of employment.

In non-union work environments, in the United States, unjust termination complaints can be brought to the United States Department of Labour.

Trade Unions in the United States

In unionized work environments in particular, employees who are receiving discipline, up to and including termination of employment can ask for assistance by their shop steward to advocate on behalf of the employee. If an informal negotiation between the shop steward and the company does not resolve the issue, the shop steward may file a grievance, which can result in a resolution within the company, or mediation (Mediation, as used in law, is a form of alternative dispute resolution (ADR), is a way of resolving disputes between two or more parties. A third party, the mediator, assists the parties to negotiate their own settlement (facilitative mediation). In some cases, mediators may express a view on what might be a fair or reasonable settlement, generally where all the parties agree that the mediator may do so (evaluative mediation).

Mediation has a structure, timetable and dynamics that “ordinary” negotiation lacks. The process is private and confidential. The presence of a mediator is the key distinguishing feature of the process. There may be no obligation to go to mediation, but in some cases, any settlement agreement signed by the parties to a dispute will be binding on them.

Mediators use various techniques to open, or improve, dialogue between disputants, aiming to help the parties reach an agreement (with concrete effects) on the disputed matter. Much depends on the mediator’s skill and training. The mediator must be wholly impartial. Disputants may use mediation in a variety of disputes, such as commercial, legal, diplomatic, workplace, community and family matters. A third-party representative may contract and mediate between (say) unions and corporations.

When a workers’ union goes on strike, a dispute takes place, the parties may agree to a third party to settle a contract or agreement between the union and the corporation.) or arbitration (Arbitration, a form of alternative dispute resolution (ADR), is a legal technique for the resolution of disputes outside the courts, where the parties to a dispute refer it to one or more persons (the “arbitrators”, “arbiters” or “arbitral tribunal”), by whose decision (the “award”) they agree to be bound.

It is a settlement technique in which a third party reviews the case and imposes a decision that is legally binding for both sides. Other forms of ADR include mediation (a form of settlement negotiation facilitated by a neutral third party) and non-binding resolution by experts. Arbitration is often used for the resolution of commercial disputes, particularly in the context of international commercial transactions. The use of arbitration is also frequently employed in consumer and employment matters, where arbitration may be mandated by the terms of employment or commercial contracts. Arbitration can be either voluntary or mandatory (although mandatory arbitration can only come from a statute or from a contract that is *voluntarily* entered into, where the parties agree to hold all disputes to arbitration, without knowing, specifically, what disputes will ever occur) and can be either binding or non-binding. Non-binding arbitration is, on the surface, similar to mediation. However, the principal distinction is that whereas a

mediator will try to help the parties find a middle ground on which to compromise, the (non-binding) arbitrator remains totally removed from the settlement process and will only give a determination of liability and, if appropriate, an indication of the quantum of damages payable.

Arbitration is a proceeding in which a dispute is resolved by an impartial adjudicator whose decision the parties to the dispute have agreed, or legislation has decreed, will be final and binding.

Arbitration is not the same as:

- Judicial proceedings, although in some jurisdictions, court proceedings are sometimes referred as arbitrations
- Alternative dispute resolution (or ADR)
- Expert determination
- Mediation), which are typically funded equally both by the union and the company.

SWEDEN

According to Swedish law there are three types of employment.

- The employer hires a person for a test period of max 6 months. The employment can be ended at any time without giving any reason. This type of employment can be offered only once per employer and employee. Usually a time limited or normal employment is offered after a test employment.
- Time limited employment. The employer hires a person for a specified time. Usually they are extended for a new period.
- Normal employment, which has no time limit (except for retirement etc.).

There are no laws about minimum salary in Sweden. Instead there are agreements between employer organisations and trade unions about minimum salaries, and other employment conditions.

In the US, employment law and, in particular, unionized employees terminating employment varies among companies, unions, and states. Some states have right to work vs. employment at will and therefore, ending employment can change from state to state. Secondly, different companies have different rules and processes for ending employment. In certain companies and industries they take the 3-step process: written warning, second written, final written and then termination. In addition, different unions have different steps for ending employment. Something that doesn't change is the stewards and unions protecting their employees with regards to violations of policies. In most all cases, union and stewards will protect their employees even if they feel the employee violated the policy ending to termination.

PERFORMANCE OBJECTIVES MANAGEMENT

A performance objective is a future state of achievement that helps the organization succeed and create value. It is a direct link between the work an employee does and the

department and organization's overall objectives and mission. As the organization's needs change and direction shifts, so will an employee's performance objectives.

- Performance objectives express mutually understood agreements for results that an employee is expected to produce *during the performance assessment period*.
- Performance objectives are not separate from an employee's job, but part of the job.
- Performance objectives are "ends" towards which you and your employee direct effort and focus resources.

For these reasons it is best not to dictate objectives, but set them through discussion, negotiation, compromise, and agreement.

While much has been written about differences between objectives, targets, and goals, there are no real differences. There are some authors who may make a distinction based on scale and time, but for our purposes the term "objective" will be used.

Why Set Objectives

Objectives force you and the employee to think of planning for results, not just planning activities. Identifying objectives encourages you and the employee to continually look for ways to improve overall department effectiveness and efficiency, and link individual and departmental operations and results to the overall planning and mission of the organization. Objectives set through a collaborative process between the employee, supervisor, and department elicit commitment.

Expressing Performance Objectives

It helps to set objectives using the following format:

Examples of Performance Objectives:

- Implement update of on-line graduate application programme by October 1, 200x
- Reduce telephone expenses by 15% within the first half of the fiscal year.
- Identify three new funding sources by the end of FY 200x, and ensure that all grant requests are written, reviewed, and submitted to the granting agency/foundation by the respective deadlines.

The following questions may help generate ideas for performance objectives. Based on departmental/unit objectives:

- What can this employee do to improve the overall effectiveness of the work unit?
- Has the employee suggested programme or process changes that help us meet our objectives and can be completed during the appraisal period?
- What needs to be done to improve the quality of our service? What refinements can we make to our operations? What needs to be introduced or eliminated?
- What are we ready to do now that we could not do last year (due to increased resources, system modifications, changed priorities, updated skills, etc.)?

- What skills, processes, products must be updated to meet client (student, faculty, staff, community) demand?

Considerations When Developing Objectives

You and the employee should develop objectives together whenever possible.

- Set short-term goals with a long-term view. Objectives are generally set for periods of a year or less, which may sacrifice long-term gain to generate results in the short-term.
- Identify critical issues and possible obstacles
- Do not underestimate resource needs.
- Build in flexibility. Regular status update and check-in meetings make it much easier to identify problems or shifts in unit priorities and change course.

Performance Standards

Standards describe the conditions that must exist before the performance can be rated satisfactory. Performance standards are approved expressions of the

- Performance threshold(s),
- Requirement(s), or
- Expectation(s)

Employees must meet to be assessed at particular levels of performance.

A standard focuses on task completion. It is specifically tied to duties/responsibilities.

A performance standard should:

- Be realistic, in other words, attainable by any qualified, competent, and fully trained person who has the authority and resources to achieve the desired result
- Be “exceedable.” Employees should know that they can and should exceed expectations. Standards should not be used as an excuse to maintain the status quo if change is needed.
- Describe the conditions that exist when performance meets expectations
- Be expressed in terms of quantity, quality, time, cost, effect, manner of performance, or method of doing
- Be measurable, with specified method(s) of gathering performance data and measuring performance against standards

Expressing Standards

The terms for expressing performance standards are outlined below:

- *Quantity*: Specifies how much work must be completed within a certain period of time, e.g., enters 30 enrollments per day.
- *Quality*: Describes how well the work must be accomplished. Specifies accuracy, precision, appearance, or effectiveness, e.g., 95% of documents submitted are accepted without revision.
- *Timeliness*: Answers the questions: By when, how soon, or within what period, e.g., all work orders completed within five working days of receipt.

- *Effective Use of Resources*: used when performance can be assessed in terms of utilization of resources: money saved, waste reduced, etc., e.g., the computer handbook project will be completed with only internal resources.
- *Effects of Effort*: addresses the ultimate effect to be obtained; expands statements of effectiveness by using phrases such as: so that, in order to, or as shown by, e.g., establish inventory levels for storeroom so that supplies are maintained 100% of the time.
- *Manner of Performance*: describes conditions in which an individual's personal behaviour has an effect on performance, e.g., assists other employees in the work unit in accomplishing assignments.
- *Method of Performing Assignments*: describes requirements; used when only the officially-prescribed policy, procedure, or rule for accomplishing the work is acceptable, e.g., 100A Forms are completed in accordance with established office procedures.

Create Standards for Key Areas of Responsibility

Write performance standards for each key area of responsibility on the employee's job description. Focus on tasks that have the greatest importance; *it is not necessary to write standards for every task.*

Standards are usually established when an assignment is made, and should be reviewed if the employee's job description is updated. Whenever possible, have employees participate in developing standards. The discussion of standards should include the criteria for achieving satisfactory performance and the proof of performance.

In departments where more than one person does the same task or function, standards may be written for the parts of the jobs that are the same and applied to all positions doing that task. Changes in performance standards may require notice for represented employees. CUE, for example requires notice. In addition, there are contracts that cover specialized professions, such as Nurses and Police, that have their own standard-setting and evaluation processes. Refer to the appropriate labour contract and contact Employee Relations when setting standards.

Identifying Actions and Behaviours for Success - Performance Dimensions

In addition to objectives and standards (which focus on end results) it is important to consider other aspects of performance. As discussed earlier, *Performance Expectations = Results + Actions & Behaviours.*

Understanding the actions and behaviours that employees can use to perform the job is often as important to success as end results. Behaviour is the day-to-day activity in which people engage to produce results and relates closely to the process side of work.

Focusing on the way people go about their work is based on the belief that doing things correctly will lead to positive organizational results. However, many actions and

behaviours are not easy to measure. For this reason, managers and employees should discuss difficult to quantify aspects of performance in terms that are

- Specific,
- Observable,
- Job-related, and
- Behavioural.

When described in this way, behaviours and actions can be grouped into *performance* dimensions that can be used to assess job performance.

For example, if success in meeting an objective such as “updating an on-line graduate application programme” requires strong interpersonal skills, then the employee should know that s/he will have to build solid relationships, collaborate, and incorporate ideas and suggestions made by colleagues. Performance will be assessed on how well behaviours associated with the dimension, interpersonal skills, are demonstrated in reaching the objective.

Characteristics of Performance Dimensions

Performance dimensions are defined based on the job and the work itself. In creating a performance dimension you start with the job and state the range of behaviours employees must exhibit to successfully meet or exceed job expectations. These behaviours are then grouped into broad categories that we are calling “dimensions.” Performance dimensions help answer the question: “How does someone act and/or behave when s/he does the job well?”

Since dimensions are broad categories, a specific dimension generally applies to any employee working in a given job. It is also possible for departments and units and even entire organizations to have dimensions that apply to any employee who works in the group.

In addition to strong interpersonal skills, other examples of performance dimensions include:

- Customer Service Orientation
- Teamwork
- Effective Communication
- Valuing Diversity
- Analysis and Problem-Solving
- Decision-Making and Results Orientation
- Adaptability
- Fostering a Safe and Secure Environment

This list is by no means exhaustive. Each organization should agree on the definitions used for a dimension and the job or job groups to which a dimension will be applied. It is common, for example, to have a series of dimensions that apply to all supervisors and/or managers in an organization.

The definition and validation of dimensions is a key objective of the Staff Infrastructure Steering Committee (SISC) Performance Management Working Group.

Expressing Performance Dimensions

For dimensions to be an effective means of measuring performance, they must have two characteristics:

- Have a clear general definition, and
- Have well-defined levels of performance at each point along a rating scale.

This definition of Teamwork is one example of a performance dimension definition.

The Teamwork Dimension describes how employees build alliances to solve problems and achieve objectives, work cooperatively and respectfully with co-workers, use diplomacy and tact when interacting with others, diffuse tension, help manage conflict, collaborate, foster collegial and cooperative attitudes, relate well to all kinds of people regardless of level inside or outside of organization, and contribute to the overall success of their work units and departments by sharing knowledge and information.

Teamwork is then defined for each point along a rating scale.

5: Exceptional

4: Exceeds Expectations

3: Successfully Meets Expectations

2: Needs Improvement

1: Unsatisfactory

- Consistently leads colleagues to inspired cooperation and teamwork in support of unit goals. Is viewed as a role model.
- Actively seeks and gives respectful and constructive feedback among colleagues, improves own actions in response, and encourages others to do the same.
- Works effectively within and across organizational boundaries to achieve common goals
- Consistently develops opportunities for self and colleagues to improve working relationships and work outcomes. Fosters cooperative and collegial attitudes.
- Goes out of their way to understand others' problems/anxieties. Coaches others who have difficulty building rapport.
- Consistently offers alternatives to build consensus and supports others offering workable alternatives.
- Often exhibits positive behaviour and promotes, supports, and influences cooperation among others while demonstrating consideration for others.
- Frequently gives and seeks respectful and constructive feedback among co-workers and superiors to improve morale.
- Frequently enhances working relationships to improve departmental and cross-dept. accomplishments.
- Supports workable alternatives that help move the group forward or suggests alternatives.
- Establishes and maintains respectful, cooperative and productive work relationships with co-workers, team members, supervisors and other members of the community.

- Contributes fully towards team or departmental goals.
- Values the input and know-how of other team members; helps co-workers learn and develop, assisting when needed.
- Is open to and seeks out feedback, suggestions, and constructive criticism.
- Uses diplomacy and tact to comfortably diffuse high-tension situations.
- Provides and/or supports alternative viewpoints in a way that stimulates discussion.
- Sometimes exhibits behaviour detrimental to the morale and/or accomplishments of the workgroup.
- Has difficulty cooperating with others to achieve the assigned goals.
- Creates barriers, but when pushed may provide alternatives.
- Displays behaviours and actions that are inconsistent with expected workplace courtesy, respect and individual consideration.
- Frequently behaves in manners detrimental to coworkers
- Does not cooperate with others to achieve assigned goals.
- Consistently creates barriers to work in progress, without providing workable alternatives

Performance Dimensions and Competencies – There is a Difference

Performance dimensions focus on the actions that need to be taken by anyone doing that job to get the work done. As discussed above, performance dimensions are groupings of behaviours/actions and are defined based on the requirements and expectations of the job.

In contrast, a competency is a cluster of knowledge, skills and abilities that describes a general trait that an employee has or should have to perform a job. While competencies relate to the individual, performance dimensions relate to the job.

For example, a performance dimension for a Budget Analyst's position may be to "Prepare budget documents and reports." It will then be useful to measure how well an employee holding the job:

- "Presents information in a clear, concise manner that illustrates budget issues that need to be resolved",
- "Produces timely budget documents and reports that are tailored to each customer's needs. and,
- Frequently uses graphics and other aids to summarize and synthesize data.

If the person holding the position is a highly competent communicator and knowledgeable about the budget process, then there is an overlap between the performance dimension "Prepare budget documents and reports" and the employee's "communication" and "technical knowledge" competencies.

Since competencies focus on an employee's traits they are useful in hiring and development. Performance dimensions, which focus on the job, are useful for performance management and assessment.

Finalizing Performance Expectations

A written summary of your discussions during the planning process serves as a record of your mutually understood expectations. Putting expected results (objectives and standards) and expected actions/behaviours (performance dimensions) in writing is useful when

- Allocating resources,
- Discussing budgets, and
- Prioritizing programmes.

Mutually developed written expectations also help focus feedback and minimize ambiguity when it is time to assess results.

Verify Expectations

Performance expectations should be verifiable. Early in the performance management cycle, you, with input from the employee, should identify how and where evidence about the employee's performance will be gathered.

Measurable (quantitative) expectations are the easiest ones to verify. Frequently, however, expectations cannot be put into measurable terms easily or accurately. At this point, consider developing qualitative expectations, which can generally be made verifiable by spelling out the criteria to be fulfilled, behaviours to be demonstrated, and/or target dates to be met.

Specifying how performance expectations will be verified at the time the responsibility is assigned helps employees keep track of their progress and makes check-in meetings and performance status updates much more focused and efficient.

There are many ways to verify performance; some of the most common are:

- Specific work products (tangible evidence that can be reviewed without the employee being present)
- Reports and records, such as attendance, safety, inventory, financial records, etc.
- Checklists that can be completed by a client or supervisor listing specific, observable criteria that need to be met in order for an expectation to be considered complete. Criteria usually require a "yes" or "no" answer, such as: "implement a new programme by [x] date."
- Direct observation
- Rating scales that define, as precisely as possible, behaviours at different levels of performance (behaviourally anchored rating scales).
- Commendations or constructive or critical comments received about the employee's work

Creating Development Goals

Managers and employees should work together to create development plans as part of the annual performance management process. The plan can focus on skills aimed at job mastery or combine job mastery with professional development skills.

- Job mastery skills are those that are necessary to successfully perform one's job.
- Professional development skills are the skills and knowledge that go beyond the scope of the employee's job description, although they may indirectly improve job performance.

Development plans commonly include classes, but can also include elements such as cross-training and special project participation.

GLOBALIZATION AND EMPLOYMENT RELATIONS

The balance of economic efficiency and social equity is the ultimate debate in the field of employment relations. By meeting the needs of the employer; generating profits to establish and maintain economic efficiency; whilst maintaining a balance with the employee and creating social equity that benefits the worker so that he/she can fund and enjoy healthy living; proves to be a continuous revolving issue in westernized societies. Globalization has effected these issues by creating certain economic factors that disallow or allow various employment issues.

Economist Edward Lee (1996) studies the effects of globalization and summarizes the four major points of concern that affect employment relations:

- International competition, from the newly industrialized countries (The category of newly industrialized country (NIC) is a socioeconomic classification applied to several countries around the world by political scientists and economists.

NICs are countries whose economies have not yet reached First World status but have, in a macroeconomic sense, outpaced their developing counterparts.

Another characterization of NICs is that of nations undergoing rapid economic growth (usually export-oriented). Incipient or ongoing industrialization is an important indicator of a NIC. In many NICs, social upheaval can occur as primarily rural, or agricultural, populations migrate to the cities, where the growth of manufacturing concerns and factories can draw many thousands of laborers.

NICs usually share some other common features, including:

- Increased social freedoms and civil rights.
- Strong political leaders.
- A switch from agricultural to industrial economies, especially in the manufacturing sector.
- An increasingly open-market economy, allowing free trade with other nations in the world.
- Large national corporations operating in several continents.
- Strong capital investment from foreign countries.
- Political leadership in their area of influence.
- Lowered poverty rates.

NICs often receive support from international organizations such as the WTO and other internal support bodies. However, as environmental, labour and social standards

tend to be significantly weaker in NICs, many fair trade supporters have advocated standards for importing their products and criticized the outsourcing of jobs to NICs.), will cause unemployment growth and increased wage disparity for unskilled workers in industrialized countries. Imports from low-wage countries exert pressure on the manufacturing sector in industrialized countries and foreign direct investment (FDI) is attracted away from the industrialized nations, towards low-waged countries.

- Economic liberalization will result in unemployment and wage inequality in developing countries. This happens as job losses in un-competitive industries outstrip job opportunities in new industries.
- Workers will be forced to accept worsening wages and conditions, as a global labour market results in a “race to the bottom”. Increased international competition creates a pressure to reduce the wages and conditions of workers.
- Globalization reduces the autonomy of the nation state. Capital is increasingly mobile and the ability of the state to regulate economic activity is reduced.

What also results from Lee’s (1996) findings is that in industrialized countries an average of almost 70 per cent of workers are employed in the service sector, most of which consists of non-tradable activities. As a result, workers are forced to become more skilled and develop sought after trades, or find other means of survival. Ultimately this is a result of changes and trends of employment, an evolving workforce, and globalization that is represented by a more skilled and increasing highly diverse labour force, that are growing in non standard forms of employment.

CULTURE AND SOCIAL CONSIDERATIONS

THE DEPRESSION ERA

The Depression placed great emphasis on work when it was so scarce that to not work literally meant to starve. Families were separated as men went looking for work wherever it could be found, whatever it was, no matter how menial. Life expectancy in the 1930s was also not as long as the current (2008) expectancies, so the option for a family to “move back in with parents” wasn’t worthwhile, as parents either weren’t alive, or didn’t have the investment environment to have had a “nest egg” to depend on.

WORLD WAR II

World War II dramatically flipped the supply and demand of both work and labour. Manufacturing of war supplies created plenty of work, but the absence of men due to recruitment opened the floodgates for labour demand that would be met by women and those who could not enlist and fight.

POST WORLD WAR II

In the post-World War II period, the workplace had changed as women who had reported for work during the war to replace the men who had gone overseas to fight

remained in the workplace to a significant extent. While the demand for manufacturing wasn't as high once the war ended, the new optimism and new social phenomena including urban sprawl created new demands for supply that would create new jobs in road-building, real estate development, etc. Work remained high in social value.

BABYBOOM COMPETITION

As the baby boomers started working in the 1970s, the oil crisis and economic lag slowed their engagement in consumerism. As the 1980s dawned, the largest generation were now in their peak employment years, peaking in terms of income, and were now fully engaged in buying, whether homes, vehicles, or investments for the future.

The sheer number of people in the workforce during this period created heightened competition for work, so that businesses and government bodies could be increasingly selective and demanding, and workers would do more and more to get and keep jobs. As such, commitment to work became sacrificial, as having a good job and the social status it provided became all-consuming for many. This was the era marked most significantly by the standard introduction of “what do you do?”

BABY BUST AND ECHO

The baby bust generation, or Generation X (Generation X, commonly abbreviated to Gen X, is the generation born after the Western post–World War II baby boom ended. While there is no universally agreed upon time frame, the term generally includes people born in the 1960s and the '70s up through the early '80s, usually no later than 1981 or 1982. The term had also been used in different times and places for various different subcultures or countercultures since the 1950s), is the smallest of the last 50 years. As baby boomers retire, there are not as many workers to replace them, so employers have had to become more accommodating to attract the best employees. Terms like “work life balance”, “telecommuting”, “working from home” and “flexible benefits” have been developed to offer more attractive options for a generation that has more choice.

WORKING POOR

Employment is no guarantee of escaping poverty (Poverty is the state of one who lacks a certain amount of material possessions or money. Absolute poverty or destitution refers to being unable to afford basic human needs, which commonly includes clean and fresh water, nutrition, health care, education, clothing and shelter. About 1.7 billion people are estimated to live in absolute poverty today. Relative poverty refers to lacking a usual or socially acceptable level of resources or income as compared with others within a society or country.

For most of history poverty had been mostly accepted as inevitable as traditional modes of production were insufficient to give an entire population a comfortable standard of living. After the industrial revolution, mass production in factories made wealth increasingly more inexpensive and accessible. Of more importance is the modernization

of agriculture, such as fertilizers, in order to provide enough yield to feed the population. Additionally, this is called the core of the antipoverty effort as three quarters of the poor today are farmers. The supply of basic needs can be restricted by constraints on government services such as corruption, debt and loan conditionalities and the brain drain of health care and educational professionals. Strategies of increasing income to make basic needs more affordable typically include welfare, accommodating business regulations and providing financial services.

Today, poverty reduction is a major goal and issue for many international organizations such as the United Nations and the World Bank.), the International Labour Organisation (ILO) (The International Labour Organization (ILO) is a specialized agency of the United Nations that deals with labour issues pertaining to international labour standards. Its headquarters are in Geneva, Switzerland. Its secretariat—the people who are employed by it throughout the world—is known as the International Labour Office.

The organization received the Nobel Peace Prize in 1969.) estimates that as many as 40% of workers as poor, not earning enough to keep their families above the \$2 a day poverty line (The poverty threshold, or poverty line, is the minimum level of income deemed necessary to achieve an adequate standard of living in a given country. In practice, like the definition of poverty, the official or common understanding of the poverty line is significantly higher in developed countries than in developing countries.

The common international poverty line has in the past been roughly \$1 a day. In 2008, the World Bank came out with a revised figure of \$1.25 at 2005 purchasing-power parity (PPP). Determining the poverty line is usually done by finding the total cost of all the essential resources that an average human adult consumes in one year. This approach is needs-based in that an assessment is made of the minimum expenditure needed to maintain a tolerable life. This was the original basis of the poverty line in the United States, whose calculation was simplified to be based solely on the cost of food and is updated each year. The largest of these expenses is typically the rent required to live in an apartment, so historically, economists have paid particular attention to the real estate market and housing prices as a strong poverty line affecter.

Individual factors are often used to account for various circumstances, such as whether one is a parent, elderly, a child, married, etc. The poverty threshold may be adjusted each year.

The poverty threshold is useful as an economic tool with which to measure such people and consider socioeconomic reforms such as welfare and unemployment insurance to reduce poverty.). For instance, in India most of the chronically poor are wage earners in formal employment, because their jobs are insecure and low paid and offer no chance to accumulate wealth to avoid risks. This problems appears to be caused by the decreasing likelihood of a simultaneous growth in employment opportunities and in labour productivity. According to the UNRISD (The United Nations Research Institute for Social Development (UNRISD) is “an autonomous United Nations agency that carries out research on the social dimensions of contemporary problems affecting

development". The Institute was established in 1963. Over the years, UNRISD research has been guided by two core values: that every human being has a right to a decent livelihood and that all people should be allowed to participate on equal terms in decisions that affect their lives. The challenge for research is not only to reinforce and help operationalize these values, but also to expose the extent to which they are ignored.

For more than 40 years, UNRISD has engaged exclusively in research on social development and remains the only United Nations organization that does so. The Institute is an autonomous organization within the United Nations system. It is associated with no single specialized agency, it is restricted to no narrow field of concern, and its work is not bound by the bureaucratic or political constraints that frequently characterize many intergovernmental agencies.

UNRISD is an unusually open space for research and dialogue. This provides both an opportunity and an obligation to question prevailing mindsets within the development community and to encourage new thinking. The Institute conducts rigorous comparative research in collaboration with scholars and activists, primarily in the developing world, whose ideas are not sufficiently reflected in current debates. Strong ties to the global research community combined with proximity to the UN system are the comparative advantages of the Institute and help it to carry out policy-relevant research on issues of social development.), increasing labour productivity appears to have a negative impact on job creation: in the 1960s, a 1% increase in output per worker was associated with a reduction in employment growth of 0.07%, by the first decade of this century the same productivity increase implies reduced employment growth by 0.54%.

Both increased employment opportunities and increased labour productivity (as long as it also translates into higher wages) are needed to tackle poverty. Increases in employment without increases in productivity leads to a rise in the number of "working poor", which is why some experts are now promoting the creation of "quality" and not "quantity" in labour market policies. This approach does highlight how higher productivity has helped reduce poverty in East Asia, but the negative impact is beginning to show. In Viet Nam, for example, employment growth has slowed while productivity growth has continued. Furthermore, productivity increases do not always lead to increased wages, as can be seen in the US, where the gap between productivity and wages has been rising since the 1980s.

Researchers at the Overseas Development Institute (The Overseas Development Institute (ODI) is one of the leading independent think tanks on international development and humanitarian issues. Based in London, its mission is "to inspire and inform policy and practice which lead to the reduction of poverty, the alleviation of suffering and the achievement of sustainable livelihoods in developing countries." It does this by "locking together high-quality applied research, practical policy advice, and policy-focused dissemination and debate."

ODI began life in small premises in Regent's Park, central London, and operated a library devoted to international development issues as well as performing consultancy

work and contracts with the Department for International Development (then known as the Overseas Development Agency) of the UK government. Since then it has moved several times, and is currently on Westminster Bridge Road. Unlike its counterpart, the Institute of Development Studies (IDS) at Sussex University, it does not engage in teaching. The current Director is Dr Alison Evans, formerly of the IDS.

In July 2007, ODI was named 'Think Tank of the Year 2007' by Public Affairs News magazine. It was previously named 'Think-tank to Watch' in the Prospect (magazine) 'Think-tank of the Year' awards, 2005. It celebrated its 50th Anniversary in 2010, with guests including former ODI Fellow and current UK Business Secretary, Vince Cable. ODI has published many books, papers and briefings, and two leading academic journals, *Development Policy Review* and *Disasters*.

It has had a Partnership Programme Arrangement with the UK's Department for International Development (DFID) since 2004) argue that there are differences across economic sectors in creating employment that reduces poverty. 24 instances of growth were examined, in which 18 reduced poverty. This study showed that other sectors were just as important in reducing unemployment, as manufacturing (Manufacturing is the use of machines, tools and labour to produce goods for use or sale. The term may refer to a range of human activity, from handicraft to high tech, but is most commonly applied to industrial production, in which raw materials are transformed into finished goods on a large scale. Such finished goods may be used for manufacturing other, more complex products, such as aircraft, household appliances or automobiles, or sold to wholesalers, who in turn sell them to retailers, who then sell them to end users—the "consumers").

Manufacturing takes turns under all types of economic systems. In a free market economy, manufacturing is usually directed towards the mass production of products for sale to consumers at a profit.

In a collectivist economy, manufacturing is more frequently directed by the state to supply a centrally planned economy. In free market economies, manufacturing occurs under some degree of government regulation.

Modern manufacturing includes all intermediate processes required for the production and integration of a product's components. Some industries, such as semiconductor and steel manufacturers use the term *fabrication* instead.

The manufacturing sector is closely connected with engineering and industrial design. Examples of major manufacturers in the North America include General Motors Corporation, General Electric, and Pfizer. Examples in Europe include Volkswagen Group, Siemens, and Michelin. Examples in Asia include Toyota, Samsung, and Bridgestone.). The services sector is most effective at translating productivity growth into employment growth. Agriculture (Agriculture is the cultivation of animals, plants, fungi and other life forms for food, fibre, and other products used to sustain life. Agriculture was the key implement in the rise of sedentary human civilization, whereby farming of domesticated species created food surpluses that nurtured the development

of civilization. The study of agriculture is known as agricultural science. Agriculture is also observed in certain species of ant and termite, but generally speaking refers to human activities.

The history of agriculture dates back thousands of years, and its development has been driven and defined by greatly different climates, cultures, and technologies. However, all farming generally relies on techniques to expand and maintain the lands suitable for raising domesticated species. For plants, this usually requires some form of irrigation, although there are methods of dryland farming; pastoral herding on rangeland is still the most common means of raising livestock. In the developed world, industrial agriculture based on large-scale monoculture has become the dominant system of modern farming, although there is growing support for sustainable agriculture (*e.g.* permaculture or organic agriculture).

Modern agronomy, plant breeding, pesticides and fertilizers, and technological improvements have sharply increased yields from cultivation, but at the same time have caused widespread ecological damage and negative human health effects. Selective breeding and modern practices in animal husbandry such as intensive pig farming have similarly increased the output of meat, but have raised concerns about animal cruelty and the health effects of the antibiotics, growth hormones, and other chemicals commonly used in industrial meat production.

The major agricultural products can be broadly grouped into foods, fibres, fuels, and raw materials. In the 21st century, plants have been used to grow biofuels, biopharmaceuticals, bioplastics, and pharmaceuticals. Specific foods include cereals, vegetables, fruits, and meat. Fibres include cotton, wool, hemp, silk and flax.

Raw materials include lumber and bamboo. Other useful materials are produced by plants, such as resins. Biofuels include methane from biomass, ethanol, and biodiesel. Cut flowers, nursery plants, tropical fish and birds for the pet trade are some of the ornamental products. In 2007, one third of the world's workers were employed in agriculture. The services sector has overtaken agriculture as the economic sector employing the most people worldwide. Despite the size of its workforce, agricultural production accounts for less than five per cent of the gross world product (an aggregate of all gross domestic products.) provides a safety net for jobs and economic buffer when other sectors are struggling.

CONCEPTUAL FRAMEWORK OF EMPLOYMENT RELATIONS

The principal groups identifiable in the system and which constitutes the structure of an industrial relations system are as follows:

The Actors in a System: The actors are: (a) hierarchy of managers and their representatives in supervision, (b) a hierarchy of workers (non-managerial) and any spokesmen, and (c) specialised governmental agencies (and specialised private agencies

created by the first two actors) concerned with workers, enterprises, and their relationships. These first two hierarchies are directly related to each other in that the managers have responsibilities at varying levels to issue instructions (manage), and the workers at each corresponding level have the duty to follow such instructions. The hierarchy of managers need have no relationship to the ownership of the capital assets of the workplace, the managers may be public or private or a mixture in varying proportions.

The formal hierarchy of workers may be organised into several competing or complementary organisations, such as, works councils, unions, and parties. The specialised government agencies as actors may have functions in some industrial relations systems so broad and decisive as to override the hierarchies of managers and workers on almost all matters. In other industrial relations systems, the role of the specialised governmental agencies, at least for many purposes, may be minor or constricted.

The Contexts of a System: In an industrial relations system, the contexts or the determinants are of greater importance. The significant aspects of the environment in which the actors interact are the technological characteristics of the workplace and work community, the market or budgetary constraints that impinge on the actors, and the locus and distribution of power in the larger society. The technological features of the workplace have a very far-reaching consequence for an industrial relations system influencing the form of management and employee organisation, the problems posed for supervision, many of the features of the required labour force and the potentialities of public regulation. For instance, the mining industry has a different technological context as compared to the manufacturing industry.

Their place of work, the methods of work, and the mode of living, have profound influence on evolving a particular pattern of industrial relations system. The mining communities have frequently been isolated from important urban areas and create special problems in human relations. Historically, this raises a range of questions concerning housing, community services and welfare activities which are frequently beyond the rules of workplace in many other sectors. Apart from the characteristics of the workplace, the development of technology also affects industrial relations by way of not only disturbing the existing employment patterns, but also by determining the size of the workforce employed. The market or budgetary constraints are a second feature of the environmental context, which is fundamental to an industrial relations system. These constraints often operate, in the first instance, directly upon the managerial hierarchy, but they necessarily condition all the actors in a particular system. The context may be a market for the output of the enterprise or a budgetary limitation or some combination of the two. The product market may vary in the degree and character of competition through the full spectrum from pure competition, monopolistic competition, oligopoly and monopoly. These constraints are no less operative in socialist than in capitalist countries. The relevant market or budgetary constraints may be local, national, or international, depending on the industrial relations system.

The locus and distribution of power in the larger society, of which the particular industrial relations complex is a sub-system, is a third analytical feature of the environmental context. The relative distribution of power among the actors in the larger society tends to a degree to be reflected within the industrial relations system. At this juncture, the concern is not with the distribution of power within the industrial relations system, but also outside the system. The function of one of the actors in the industrial relations system, the specialised governmental agencies, is likely to be particularly influenced by the distribution of power in the larger society.

The Ideology of an Industrial Relations System: The ideology is a philosophy or a systematised body of beliefs and sentiments held by the actors. An important element that completes the analytical system of industrial relations is the ideology or a set of ideas and beliefs commonly held by the actors that helps to bind or to integrate the system together as an entity. Each industrial relations system contains its ideology or shared understandings. The ideology defines the role and place of each actor and the ideas, which each actor holds towards the place and function of the others in the system. Each of the actors in an industrial relations system may be said to have its own ideology. An industrial relations system requires that these ideologies be sufficiently compatible and consistent so as to permit a common set of ideas and an acceptable role for each actor.

The Establishment of Rules: The actors in a given context establish rules for the workplace and the work community, including those governing contracts among the actors in an industrial relations system. This network or web of rules consists of procedures for establishing rules, the substantive rules, and procedures for deciding their application to particular situations. The establishment of these procedures and rules is the centre of attention in an industrial relations system. Thus, the establishment and administration of these rules is the major concern or output of the industrial relations system. The actors who set the web of rules interact in the context of an industrial relations system taken as a whole. These rules are broadly grouped into three categories: (i) rules governing compensation in all its forms; (ii) the duties and performance expected from workers, including rules of discipline for failure to achieve these standards; and (iii) rules defining the rights and duties of workers. The rules change in response to change in the contexts and relative status of the actors. The actors who set the rules may be workers and their unions representing one category; employers, managers and their associations constituting a second category; and government in the third category consisting of civil servants concerned with the administration of labour matters.

Activity: Choose an industry with which you are familiar and use Dunlop's framework to describe the industrial relations system that exists there.

The Oxford Approach

According to this approach, the industrial relations system is a study of institutions of job regulations and the stress is on the substantive and procedural rules as in Dunlop's

model. Flanders, the exponent of this approach, considers every business enterprise as a social system of production and distribution, which has a structured pattern of Conceptual Framework of relationships. The “institution of job regulation” is categorised by him as internal and Employment Relations external – the former being an internal part of the industrial relations system such as code of work rules, wage structure, internal procedure of joint consultation, and grievance procedure. He views trade unions as an external organisation and excludes collective agreements from the sphere of internal regulation. According to him, collective bargaining is central to the industrial relations system.

The “Oxford Approach” can be expressed in the form of an equation:

$$r = f(b) \text{ or } r = f(c)$$

where, r = the rules governing industrial relations

b = collective bargaining

c = conflict resolved through collective bargaining.

The “Oxford Approach” can be criticised on the ground that it is too narrow to provide a comprehensive framework for analysing industrial relations problems. It overemphasises the significance of the political process of collective bargaining and gives insufficient weight to the role of the deeper influences in the determination of rules.

Institutional and power factors are viewed as of paramount importance, while variables such as technology, market, status of the parties, and ideology, are not given any prominence. This narrowness of approach constitutes a severe limitation.

The Industrial Sociology Approach

G. Margerison, an industrial sociologist, holds the view that the core of industrial relations is the nature and development of the conflict itself. Margerison argued that conflict is the basic concept that should form the basis of the study of industrial relations. The author criticised the prevalent approach to industrial relations, which was more concerned with studying the resolution of industrial conflict than its generation; with the consequences of industrial disputes than on their causes. According to this school of thought, there are two major conceptual levels of industrial relations. One is the intra-plant level where situational factors, such as job content, work task and technology, and interaction factors produce three types of conflict – distributive, structural, and human relations.

These conflicts are being resolved through collective bargaining, structural analysis of the socio-technical systems and man-management analysis respectively. The second level is outside the firm and, in the main, concerns with the conflict not resolved at the intraorganisational level.

However, this approach rejects the special emphasis given to rule determination by the “systems and Oxford models”. In its place, it suggests a method of enquiry, which attempts to develop sociological models of conflicts.

The Action Theory Approach

Like the systems model, the action theory approach takes the collective regulation of industrial labour as its focal point. The actors operate within a framework, which can at best be described as a coalition relationship. The actors, it is claimed, agree in principle to cooperate in the resolution of the conflict, their cooperation taking the form of bargaining. Thus, the action theory analysis of industrial relations focuses primarily on bargaining as a mechanism for the resolution of conflicts. Whereas the systems model of industrial relations constitutes a more or less comprehensive approach, it is hardly possible to speak of one uniform action theory concept.

The Marxist Approach

The class conflict analysis of industrial relations derives its impetus from Marxist social thinking and interpretation. Marxism is essentially a method of social enquiry into the power relationships of society and a way of interpreting social reality. The application of Marxian theory as it relates to industrial relations derives indirectly from later Marxist scholars rather than directly from the works of Marx himself. Industrial relations, according to Marxists, are in the first instance, market-relations. To Marxists, industrial relations are essentially politicized and part of the class struggle.

For Marxists industrial and employee relations can only be understood as part of a broader analysis of capitalist society in particular the social relations of production and the dynamics of capital accumulation. As Marx himself put it, “the mode of production in material life determines the general character of the social, political and spiritual process of life.”

The Marxist approach is primarily oriented towards the historical development of the power relationship between capital and labour. It is also characterised by the struggle of these classes to consolidate and strengthen their respective positions with a view to exerting greater influence on each other. In this approach, industrial relations is equated with a power-struggle. The price payable for labour is determined by a confrontation between conflicting interests. The capitalist ownership of the enterprise endeavours to purchase labour at the lowest possible price in order to maximise their profits. The lower the price paid by the owner of the means of production for the labour he employs, the greater is his profit. The Marxist analysis of industrial relations, however, is not a comprehensive approach as it only takes into account the relations between capital and labour. It is rather, a general theory of society and of social change, which has implications for the analysis of industrial relations within what Marxists would describe as capitalist societies.

The Pluralist Approach

Pluralism is a major theory in labour-management relations, which has many powerful advocates. The focus is on the resolution of conflict rather than its generation, or, in the words of the pluralist, on ‘the institutions of job regulation.’ Kerr is one of the important

exponents of pluralism. According to him, the social environment is an important factor in industrial conflicts. The isolated masses of workers are more strike-prone as compared to dispersed groups. When industrial jobs become more pleasant and employees' get more integrated into the wider society, strikes will become less frequent. Ross and Hartman's cross national comparison of strikes postulates the declining incidents of strikes as societies industrialise and develop appropriate institutional framework. They claim that there has been a decline in strike activity all over the world in spite of an increase in union membership. The theories on pluralism were evolved in the mid-sixties and early seventies when England witnessed a dramatic resurgence of industrial conflicts.

However, the recent theories of pluralism emanate from British scholars, and in particular from Flanders and Fox. According to Flanders, conflict is inherent in the industrial system. He highlighted the need for a formal system of collective bargaining as a method of conflict resolution.

Fox distinguishes between two distinct aspects of relationship between workers and management. The first is the market relationship, which concerns with the terms and conditions on which labour is hired. This relationship is essentially economic in character and based on contracts executed between the parties. The second aspect relates to the management's dealing with labour, the nature of their interaction, negotiations between the union and management, distribution of power in the organisation, and participation of the union in joint decision-making. The major critics Conceptual Framework of the pluralist approach are the Marxists according to whom exploitation and slavery Employment Relations will continue unabated in the institutional structure of pluralism. The only difference is that in such a social structure, the worker will be deemed to be a better-paid wage slave.

Weber's Social Action Approach

The social action approach of Weber has laid considerable importance to the question of control in the context of increasing rationalisation and bureaucratisation. Closely related to Weber's concern related to control in organisations was his concern with "power of control and dispersal".

Thus a trade union in the Weber's scheme of things has both economic purposes as well as the goal of involvement in political and power struggles. Some of the major orientations in the Weberian approach have been to analyse the impact of techno-economic and politico-organisational changes on trade union structure and processes, to analyse the subjective interpretation of workers' approaches to trade unionism and finally to analyse the power of various components of the industrial relations environment – government, employers, trade unions and political parties. Thus the Weberian approach gives the theoretical and operational importance to "control" as well as to the power struggle to control work organisations – a power struggle in which all the actors in the industrial relations drama are caught up.

The Human Relations Approach

In the words of Keith Davies, human relations are “the integration of people into a work situation that motivates them to work together productively, cooperatively and with economic, psychological and social satisfactions.” According to him, the goals of human relations are: (a) to get people to produce, (b) to cooperate through mutuality of interest, and (c) to gain satisfaction from their relationships. The human relations school founded by Elton Mayo and later propagated by Roethlisberger, Whitehead, W.F. Whyte, and Homans offers a coherent view of the nature of industrial conflict and harmony.

The human relations approach highlights certain policies and techniques to improve employee morale, efficiency and job satisfaction. It encourages the small work group to exercise considerable control over its environment and in the process helps to remove a major irritant in labour-management relations. But there was reaction against the excessive claims of this school of thought in the sixties. Some of its views were criticised by Marxists, pluralists, and others on the ground that it encouraged dependency and discouraged individual development, and ignored the importance of technology and culture in industry.

Taking a balanced view, however, it must be admitted that the human relations school has thrown a lot of light on certain aspects such as communication, management development, acceptance of workplace as a social system, group dynamics, and participation in management.

The Gandhian Approach

Gandhiji can be called one of the greatest labour leaders of modern India. His approach to labour problems was completely new and refreshingly human. He held definite views regarding fixation and regulation of wages, organisation and functions of trade unions, necessity and desirability of collective bargaining, use and abuse of strikes, labour indiscipline, workers participation in management, conditions of work and living, and duties of workers. The Ahmedabad Textile Labour Association, a unique and successful experiment in Gandhian trade unionism, implemented many of his ideas. Gandhiji had immense faith in the goodness of man and he believed that many of the evils of the modern world have been brought about by wrong systems and not by wrong individuals. He insisted on recognising each individual worker as a human being. He believed in non-violent communism, going so far as to say that “if communism comes without any violence, it would be welcome.” Gandhiji laid down certain conditions for a successful strike.

These are: (a) the cause of the strike must be just and there should be no strike without a grievance; (b) there should be no violence; and (c) non-strikers or “blacklegs” should never be molested. He was not against strikes but pleaded that they should be the last weapon in the armoury of industrial workers and hence should not be resorted to unless all peaceful and constitutional methods of negotiations, conciliation and arbitration are exhausted.

His concept of trusteeship is a significant contribution in the sphere of industrial relations. According to him, employers should not regard themselves as sole owners of mills and factories of which they may be the legal owners. They should regard themselves only as trustees, or co-owners. He also appealed to the workers to behave as trustees, not to regard the mill and machinery as belonging to the exploiting agents but to regard them as their own, protect them and put to the best use they can. In short, the theory of trusteeship is based on the view that all forms of property and human accomplishments are gifts of nature and as such, they belong not to any one individual but to society. Thus, the trusteeship system is totally different from other contemporary labour relations systems. It aimed at achieving economic equality and the material advancement of the “have-nots” in a capitalist society by non-violent means.

Gandhiji realised that relations between labour and management can either be a powerful stimulus to economic and social progress or an important factor in economic and social stagnation. According to him, industrial peace was an essential condition not only for the growth and development of the industry itself, but also in a great measure, for the improvement in the conditions of work and wages. At the same time, he not only endorsed the workers’ right to adopt the method of collective bargaining but also actively supported it. He advocated voluntary arbitration and mutual settlement of disputes. He also pleaded for perfect understanding between capital and labour, mutual respect, recognition of equality, and strong labour organisation as the essential factors for happy and constructive industrial relations. For him, means and ends are equally important.

Human Resource Management Approach

The term, human resource management (HRM) has become increasingly used in the literature of personnel/industrial relations. The term has been applied to a diverse range of management strategies and, indeed, sometimes used simply as a more modern, and therefore more acceptable, term for personnel or industrial relations management. Some of the components of HRM are: (i) human resource organisation; (ii) human resource planning; (iii) human resource systems; (iv) human resource development; (v) human resource relationships; (vi) human resource utilisation; (vii) human resource accounting; and (viii) human resource audit. This approach emphasises individualism and the direct relationship between management and its employees. Quite clearly, therefore, it questions the collective regulation basis of traditional industrial relations.

Models/Theories

The subject of industrial relations has undergone several changes because of vital contributions made by a number of disciplines. In developing theoretical models of industrial relations, it becomes necessary to appreciate the contributions made by various social scientists. Such models can be used for analysing concrete situations and to build a systematic and comprehensive theory of industrial relations. The different perspectives and theories enable us to understand industrial relations institutions, structures, processes

and behaviour of individuals. The practitioners of industrial relations consider theory as the opposite of practice. Nevertheless, any systematic practice implies some theory.

Basically, there are two main stands in theorising industrial relations. One group (externalists) lays emphasis on external factors like state of technology, methods of production, supply and demand in the product market and in the labour market, legal-political relationships, and so on. The environmental theorists have been primarily economists and to a smaller extent, lawyers, political scientists, and sociologists. They lay emphasis on the nexus between broad environmental changes and employer-employee relations. The in-plant theories of internalists have their origin in the “human relations school” propounded by Elton Mayo and others. These theorists stress on employee motivation, attitude and morale, styles of supervision, and forms of management leadership.

A.W.J. Craig presented the input-output model of industrial relations system in the late 1960s. In his model, the actors and the context are similar to those of Dunlop’s model. The main component of Craig’s model are: (a) the inputs or the goals, and the values and power of the actors; (b) mechanism for the conversion of inputs into outputs; (c) the outputs of the system are the financial, psychological and social rewards for the workers. The output is in the form of the rules, which govern matters such as pay, working conditions, and hours of work. One of the major objectives of theorising industrial relations is to help the practitioners to understand what is taking place and causes for the same. Industrial relations theory might be useful to practitioners if it could help them in three respects: first, to understand the present industrial relations situation; second, to forecast trends and to predict what will happen under specific given conditions; and third, to help the practitioners to bring about certain desired changes and to avoid certain other changes in the present or in the future state of industrial relations.

One of the most difficult attempts in industrial relations is to build up a theory and to generalise on its activity, which is highly dynamic. A host of factors, both internal and external, and conflict generating as well as conflict resolving factors, influence the shape of industrial relations activity. The industrial relations system in an organisation works in the context of pressures, tensions and conflicts, and is mainly related to power politics, economic, cultural and other differences. An inter-mix of such dynamic factors, and key institutional variables, is necessary in theorising industrial relations.

Bibliography

- Allington, R.L., What really matters for struggling readers: *Designing research-based programs*. 2001.
- Anderson, R.C. and P. Freebody, *Vocabulary knowledge, in Comprehension and teaching*, J.T. Guthrie, Editor. 2001.
- Austin, A.E., *Preparing the Next Generation of Faculty: Graduate School as Socialization to the Academic Career*. 2001.
- Babbie, E.: *The practice of social research*. Thomas Higher Education: Belmont, California.
- Chall, J.S., *Readability: An appraisal of research and application*. Bureau of Educational Research, 2008.
- Dale, E. and J. ORourke, *The living word vocabulary*. 2001,
- Denis Mcquail: *Mcquails Mass Communication Theory*, Sage Pub, 2010.
- Denis McQuail: *McQuails Mass Communication Theory*, SAGE Publications, 2005.
- Effective Business Communication* : V.M. Dandekar, Mangalam Publishers, 2012.
- Ferguson Publishing: *Communication Skills*, Infobase Publishing, 2009.
- Fountas, I.C. and G.S. Pinnell, *Matching books to readers: Using leveled books in guided reading*, K-3. 1999.
- Harris, R.A., A do-it yourself usability kit. *Journal of Technical Writing and Communication*, 2001.
- Howard Boone Jacobson: *Cosmo Dictionary of Mass Communication*, Cosmo Pub, 2000.
- Ingram, P. *The World Wide Web : Computers and Geosciences*, 2005.
- Interdisciplinary Studies Courses Descriptions*. 2000,

- J.V. Vilanilam: *Communication and Mass Communication in India*, B R Pub, 2004.
- J.V. Vilanilam: *Mass Communication in India : A Sociological Perspective*, Sage, 2005.
- James Curran, Michael Gurevitch, Janet Woollacott: *Mass communication and society, the University of California*, 2003.
- Janis Fischer CHAN: *Communication Skills for Managers: EBook Edition*, 2002.
- Keval J. Kumar: *Mass Communication in India* (4th Edition), Jaico Publishing House, 2000.
- Klare, G.R., *Readability, in Handbook of reading research*, P.D. Pearson, Editor. 2004, Longman: New York.
- Klare, G.R., *The formative years, in Readability: Its past, present, and future*, 2003.
- LaFollette, M.C., Editorial: *An Accelerated Rate of Change “Popularized” Science*. Science Communication, 2007.
- MacDonald, D.G.J., Editorial: *Energy and Technology in the 21st Century*. 2000, IIASA.
- Mary Ellen Guffey, Dana Loewy: *Essentials of Business Communication*, Cengage Learning, 2012.
- Newman, Amy, and Scott Ober. *Business Communication: In Person, In Print, Online*. 8th ed. Mason: South-Western, 2013.
- Nissani, M., Ten Cheers for Interdisciplinarity: *The Case for Interdisciplinary Knowledge and Research*. Social Science Journal, 2007.
- Noelle-Neumann, E.: *The spiral of silence: a theory of public opinion*. *Journal of Communication*, 2004
- Nyquist, J.D., et al., *On the Road to Becoming a Professor: The Graduate Student Experience*, in Change. 2001.
- Ralph E. Hanson: *Mass Communication: Living in a Media World*, SAGE, 2013.
- Sandra Cleary: *Communication: A Hands-on Approach*, Juta and Company Ltd, 2008.
- Stanley Baran: *Introduction to Mass Communication: Media Literacy and Culture* McGraw-Hill Education, 2013.
- What Every Engineer Should Know About Business Communication* : Wang, Taylor and Francis, 2011.

Index

A

Abundance 6
Accomplished 6, 13
Assumptions 19

B

Barriers 160
Behavioralist 14
Bureaucracy 12, 17, 18
Bureaucratic 13, 17

C

Call Centre 121
Catering 147
Cognitive 265
Collaboration 274
Collective Bargaining 279, 281, 283
Contingencies 20, 21
Controversial 263, 265, 266, 267

D

Database Right 240, 241
Decisional 4, 6, 7, 8

- Delegation 8
- Design Principles 219
- Digital Signatures 228, 229, 235
- Discrepancy 266

E

- Economic Development 141
- Electronic Data 227
- Emphasize 7, 21
- Employee Relationships 261
- Engage 159, 162
- Excluded Contracts 239
- Expanding 158
- Expansion 155, 158

F

- Family Cultures 167
- Flights 141

G

- Grievance 264, 269

H

- Hospitality Firms 145
- Hospitality Sector 146
- Human Relation 277, 279, 282, 284

I

- Implementation 190
- Implementing Change 213
- Implications 3
- Industrial Relations 276, 277, 278, 279, 280, 281, 283, 284
- Information Evaluation 38
- Information Eesources 230
- Integration 161
- Intemational 159

L

- Leadership Theories 22
- Legislation 269

Legislative 264

Linkages 161

M

Management 90, 119, 120, 121, 168, 191, 192

Marketing 180, 181

O

Ownership 262

P

Performance Management 220, 223

Political Imperatives 247

Procurement 9

Productivity 13, 19, 20

Provision 164

R

Relevant 259

Responsibility 5, 6, 7, 8, 10, 11, 12, 17

Restaurants 142, 147

Roethlisberger 13, 20

S

Scalability 190

Scientific Methods 9

Seniority 267

Significance 3, 4

Significant 155, 156, 157, 159, 160, 161, 162

Situational 20, 21

Social Process 3, 19

Sociology Approach 279

T

Theory Approach 280

Tourism Development 146, 148

Trade Unionism 281, 282

Transformation 23, 211, 216, 219, 224